THE DIGITAL JOURNEY



THE BANK FOR ALL

Annual Report
2020/21

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक





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AN OVERVIEW

Global IME Bank Ltd. (GIBL) has just completed glorious 15 years of its operation. The bank during this period has been able to establish itself as one of the leading financial institutions in the country. Originally established as Global Bank Limited in the year 2007 as the 19th commercial bank of the country with capital base of just Rs. 1 Billion the institution has proved what an institution can do in a relatively short span of corporate life.

GIBL has been offering a diverse array of customer oriented and value driven financial services to its customers since its inception. Initially established as Global Bank Limited, the bank was renamed as Global IME Bank after its merger with erstwhile IME Financial Institution Limited and Lord Buddha Finance Limited in the year 2012. These mergers proved to be the starting point of the journey to become the Global IME Bank, through the integration of 18 different banks and FIs, including 2 full-fledged commercial banks. The bank has been able to place itself as one of the leading financial institution of the country.

The bank today is the largest commercial bank in the country in many parameters, including the capital base. Through its more than 800 service outlets spread throughout the country and abroad, GIBL has been serving a base of more than 2.5 million valued customers.

The Bank's utmost vision to be "The Bank for All" has been well justified by its ever growing capital base, extensive branch network, diverse yet loyal customer base, and customer oriented products and services, dedicated and competent human resource and above all its strict adherence to the highest standards of ethics and corporate governance. The bank has always kept the need and wellbeing of its customers at the core of its daily operations which has enabled it to be the bank of choice within a diverse customer base spread throughout a wide geographical / demographic coverage.

The bank, not only boasts an ever growing business and profitability but also possess a well-diversified assets with a healthy

and balanced exposure in various areas, thereby contributing towards a balanced economic growth through its support to various priority sectors including hydropower, manufacturing, service industry, export, agriculture, trading and several micro-finance projects. The bank's utmost attention is to meet the financial requirement of its customers via an array of well thought, innovative and customer focused banking products and services along with its unaltered attention to the diversity and quality of its business portfolio. Adherence to various national and international rules and regulations, strict compliance to corporate governance as well as contribution to the economy through various corporate social responsibility projects have successfully established Global IME Bank as a trusted name amidst a group of diverse stakeholders. Not to forget, the Bank has been listed among a few commercial banks trusted by the Government of Nepal for handling the government revenue transactions.

The bank truly recognizes the value of its dedicated and committed staff base as the most valuable of all resources it has; as a result, it has placed an undivided attention for enhancement of skills, competencies and capabilities of its manpower.

The Bank has been able to bag several prestigious international awards for its excellence including "The Bank of the Year Award 2014" awarded by the Bankers Magazine (Publication of the Financial Times, UK), "Best Internet Bank 2016- Nepal" awarded by International Finance Magazine, London and the "Best Employer Award 2018" awarded by World HRD Congress, India just to name a few.

In a nutshell, Global IME Bank Limited has truly been living its slogan to be "The Bank for All" thereby serving its diverse customer base through various innovative products that are processed / served by its committed workforce in an environment where the quality and efficiency is a culture.

Vision

The Bank shares a common vision of "The Bank for All" amongst its Promoters, Directors, Management Team and Staff in commitment to providing the highest standard of services for customers from all regions and societies.

Mission

To win respectable market share through customer focused quality products and services, innovative business solutions and technology driven banking thereby enhancing the growth and profitability of the bank so as to ensure the optimum benefit to all stake holders at all times.

Strategic Objectives

The Bank aims to fulfill the needs and expectations of its valued customers and all other stakeholders while assisting the Government in its nationwide drive to ensure economic transformation in various sectors of the economy. In order to achieve the stated objective, the Bank plans to implement some key strategies as follows:

- Development of innovative technology based products and services
- Diversification of deposit and credit portfolio
- Expansion of new streams of revenues as well as emphasis on deposit mobilization
- Healthy growth of capital fund



CORE VALUES & CODE OF CONDUCT

ETHICS AND PROFESSIONAL INTEGRITY

The underlying business philosophy of the Bank is to conduct each and every business practices following higher standards of ethics and professional integrity.

TEAM WORK AND COLLABORATION

The Bank's success lies in its uncompromising emphasis on teamwork and collaboration. It is only through the combined efforts and contributions of all the concerned stakeholders that the Bank can achieve its vision, mission and its fundamental business philosophies. The Bank has always considered its customers as its business partners and valued members of its core team. As such it is continuously involved in exchange of ideas, skills, competencies and information with its valued clientele, which has enabled the Bank to scale greater heights not only in terms of business growth but also in aspects of customer loyalty.

RESPECT AND HUMILITY

The Bank strongly abides by the fact that an individual can achieve his/her strategic aims and aspirations by following the virtues of respect and humility. The Bank's focus has always been on creating an amicable atmosphere where it offers equal respect to various culture, language, race, ethnicity, social values and beliefs of diverse individuals and offers them equal opportunities so as to create synergistic effects in all of its activities.

PROFESSIONALISM

The Bank conducts each of its operations with strict adherence to the highest benchmarks of service excellence and professionalism. The Bank has been continuously strengthening its relationship with its varied stakeholders by offering them qualitative, dependable and safe banking services and this was achievable only because of the Bank's utmost focus on customer oriented, research based innovation in its market offerings and business processes.

CORPORATE GOVERNANCE

The Bank abides by the directives, guidelines and regulations necessitated by Nepal Rastra Bank with respect to corporate governance so that it is able to further strengthen transparency in its business and regular operations and create an empowering and robust internal control mechanism.

LOYALTY

The Bank has always been a loyal partner for its diverse stakeholders. It is fully committed to serve as a reliable partner for its business stakeholders especially its customers even during the tough times. The Bank intends to falsify the age-old belief of banks being there for customers only during favorable times and intends to validate the concept that 'bankers are partners for their customers at all times'.



BANK'S PERFORMANCE ALIGNMENT WITH STRATEGIES

In mere 15 years of its establishment, the Bank has gained infinite trust and credibility. Resonating the financial aspirations of our nation we reach out to a diverse spectrum of customers from SMEs, corporates to individuals representating all aspects of growth. With infinite trust earned through our robust performance and our contribution to society we stand strong as "The Bank for All".

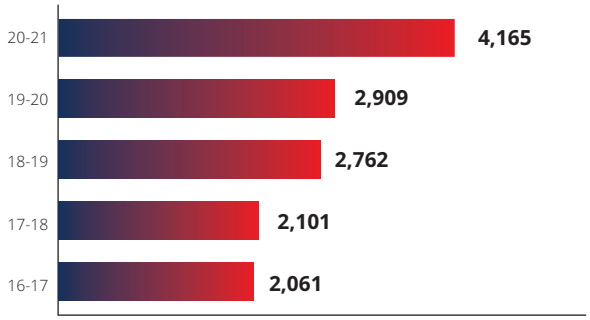
The bank has also been able to make its International presence with its Representative Offices in Sydney (Australia), New Delhi (India) and Hampshire (United Kingdom). The bank has been maintaining harmonious correspondent relationships with more than 90 different international banks from various countries to facilitate trade, remittance and other cross border services. With the leverage of international presence and relationship with international institutions Global IME Bank has been able to execute the loan agreement with International Finance Corporation (IFC), Commonwealth Development Corporation (CDC) and KFW Development Bank. The Bank has executed loan agreement of USD 20 million with International Finance Corporation (IFC) and USD 25 million with Commonwealth Development Corporation (CDC).

Due to the strength of GIBL on increasing SME/ Agriculture portfolio, KFW Development bank has entrusted the bank as one of the partner banks with soft loan in order to increase M-SME business under Sustainable Economic Development in Rural and Semi- urban Areas (SEDRA project).

FINANCIAL HIGHLIGHTS AND REVIEWS

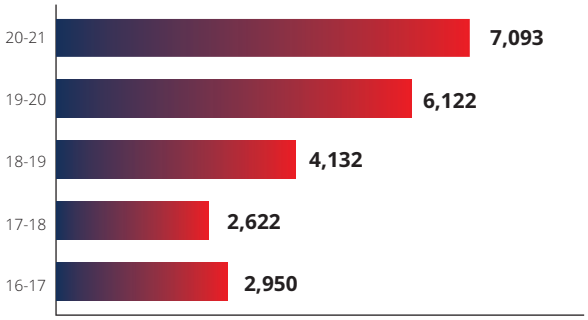
Profit After Tax

(Rs. in Million)



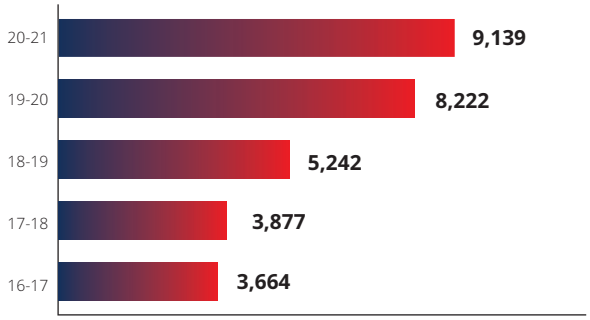
Operating Profit

(Rs. in Million)



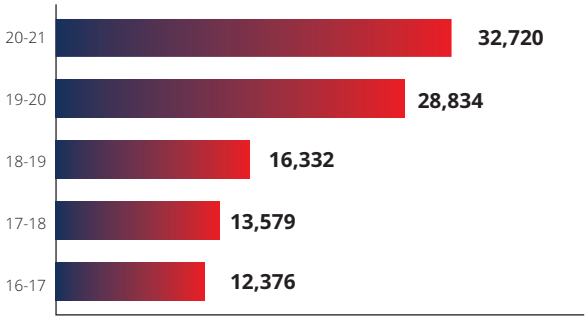
Net Interest Income

(Rs. in Million)



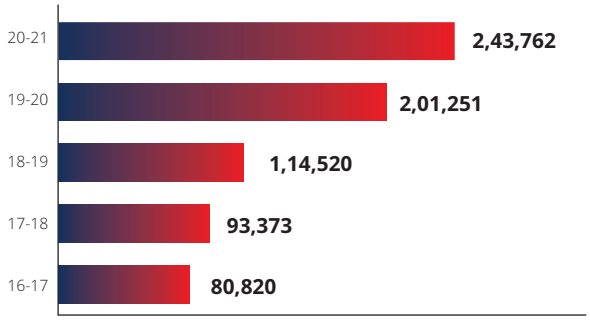
Shareholders Equity

(Rs. in Million)



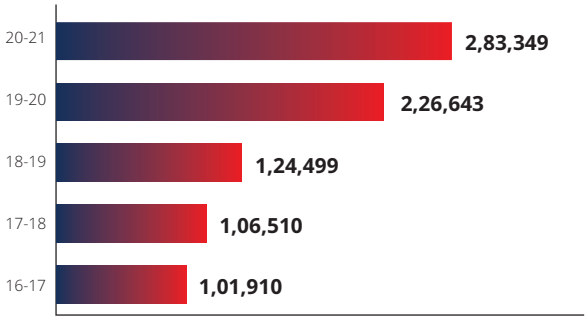
Total Loans and Advance

(Rs. in Million)



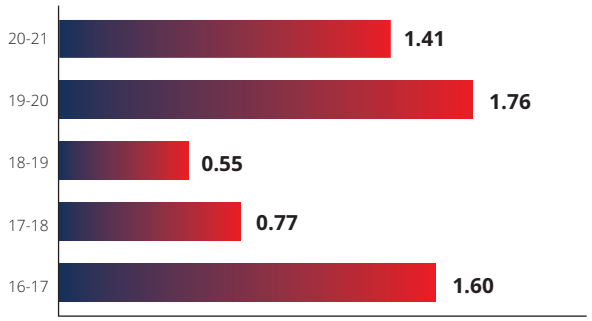
Deposits

(Rs. in Million)



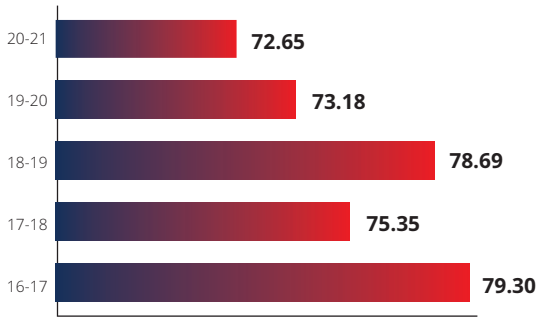
Non Performing Loan

(In %)



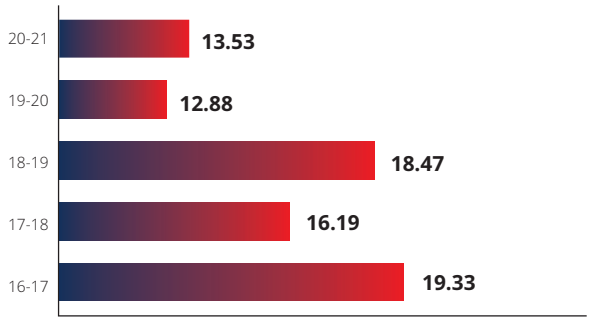
Credit to Deposit Ratio

(In %)



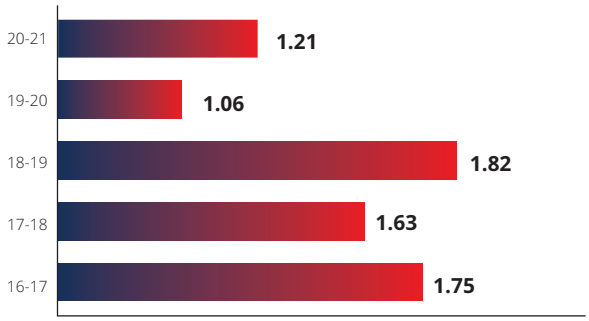
Return on Shareholder's Equity

(In %)



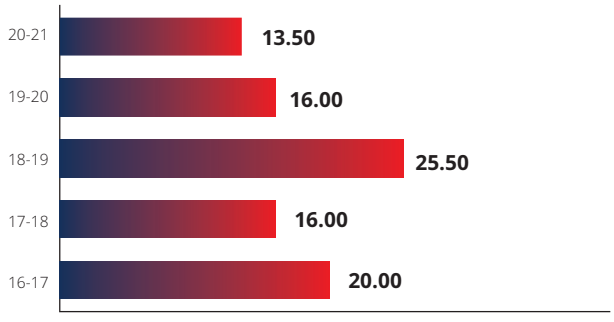
Return on Total Assets

(In %)

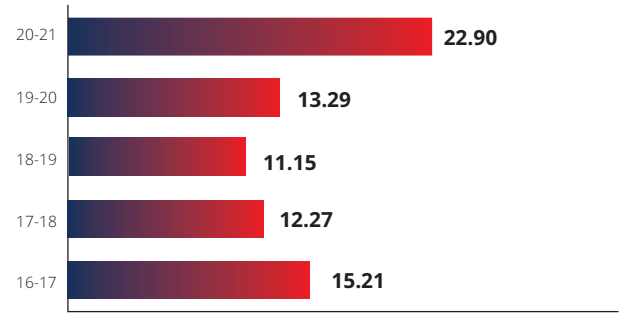


Dividend per Share

(In %)

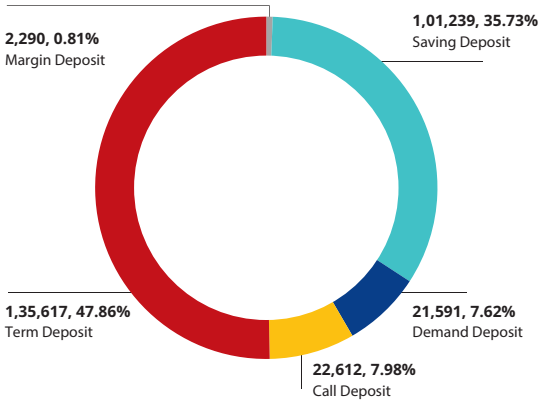


Price to Earning Ratio



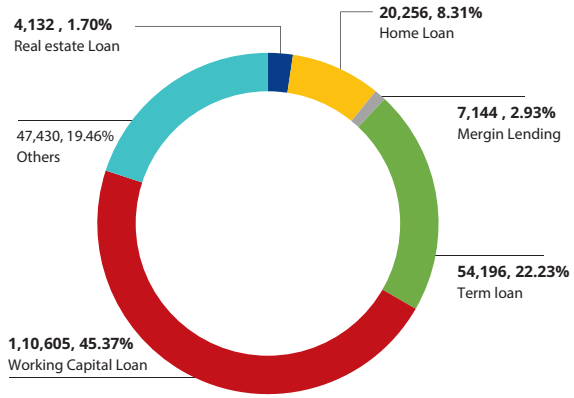
Deposit Mix

(Rs. in Million)



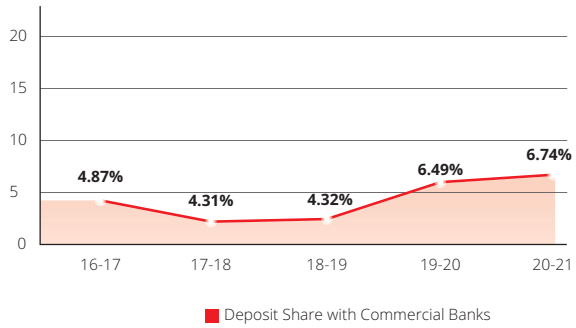
Credit Mix

(Rs. in Million)

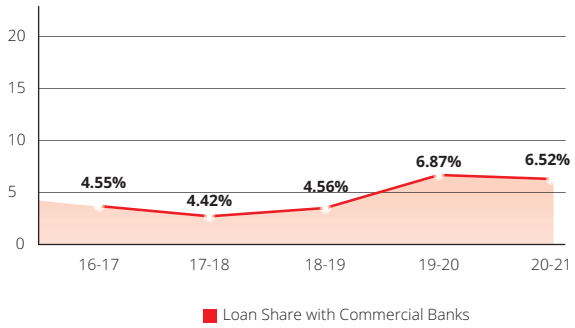


Comparision with Total Commercial Banks (Mid July 2021)

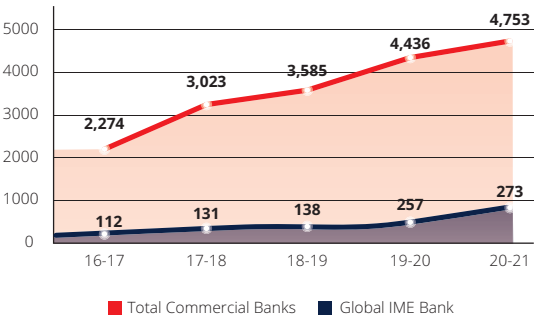
Deposit Share



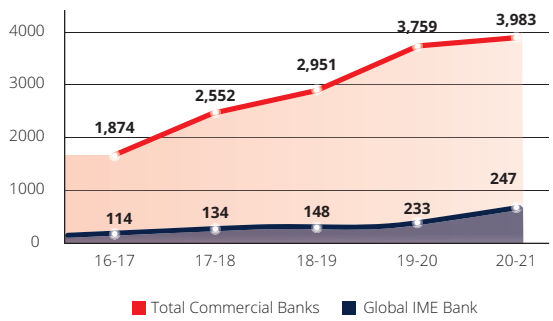
Loan Share



Number of Branches



Number of ATMs



Bank's Strength

LARGEST PAID UP CAPITAL AMONG COMMERCIAL BANKS

23.79 BILLION

LARGEST WORK FORCE AMONG COMMERCIAL BANKS

2,962 EMPLOYEES

Bank's Outlets

287 BRANCHES

252 ATMS

274 BRANCHLESS BANKING

50 EXTENSION/ REVENUE COUNTER

Only Bank in Nepal with International Presence



1. AUSTRALIA
Suite 12, Level 6, 321 Pitt Street
Sydney, NSW 2000, Australia
TEL: +612 8540 4785
EMAIL: giblsydney@gibl.com.np

2. INDIA
201, Arunachal Building,
19 Barakhamba Road, New
Delhi-110001, India
TEL: +91 11 43549190
EMAIL: giblindia@gibl.com.np/
roindia@gibl.com.np

3. UNITED KINGDOM
Unit 19B Union Street,
Aldershot, Hampshire
GU11 1EP
TEL: +44 1252 208773
EMAIL: gibluk@gibl.com.np

International Recognition

Credit Rating

ICRA Nepal Limited has assigned Issuer Rating of **"[ICRANP - IR] A"**

PROFILE OF DIRECTORS



Mr. Chandra Pd. Dhakal
Chairman

Mr. Chandra Prasad Dhakal is one of the reputed names when it comes to entrepreneurship and responsible business in the country. Mr. Dhakal leads the IME Group of Companies which is one of the rapidly growing business conglomerates of the country. Mr. Dhakal pioneered the Nepalese remittance industry thereby creating a dependable medium for numerous Nepalese citizens residing abroad to transfer funds to their families back home. He established International Money Express (IME) in 2001 in Nepal and Malaysia to offer remittance services to Nepalese migrant workers in Malaysia. The establishment not only proved to be an innovative move but also paved strong avenue for institutionalization of remittance inflow in the country that was mostly routed through informal channels till then.

Mr. Dhakal has been conferred with many prestigious awards from Nepal Government, and different bodies for his exemplary contribution in the economic development, in various fronts of the nation. His visionary leadership has represented in exemplary service for the merger policy of the Government of Nepal and Nepal Rastra Bank through Global IME Bank – an institution which has been formed through the merger and acquisition of 18 different financial institutions.

Mr. Dhakal is the Honorary Consul of the Republic of Indonesia to Nepal and is currently Vice Chairman and "Chairman in waiting" of Federation of Nepalese Chambers of Commerce and Industry (FNCCI).



Mr. Cabinet Shrestha
Director

Mr. Cabinet Shrestha is one of the most successful young entrepreneur, who leads the Agni Group of Companies. Mr. Shrestha had previously served as Board member of then Commerz and Trust Bank Nepal, which was later merged with Global IME Bank Ltd. Mr. Shrestha is a visionary leader with extensive work experience and proven track record in various areas, automobiles and energy sectors just to name a few.



Mr. Ram Bahadur Bhandari
Director

Mr. Ram Bahadur Bhandari is one of the renowned names in the field of solar energy in Nepal. He is the managing director of Suryodaya Urja Pvt. Ltd. and had previously served as Board member of then Janata Bank Nepal Ltd. Mr. Bhandari also served as the Chairman of Board in then Siddhartha Development Bank Ltd before its merger with erstwhile Janata Bank Nepal Ltd. He serves as coordinator in the Board of Audit Committee.



Mr. Sudarsun Krishna Shrestha
Director

Mr. Sudarshan Krishna Shrestha is one of the renowned names in the Nepalese banking fraternity. Mr. Shrestha with his extensive exposure and experience in a diverse areas of the industry, has been contributing as a strategic guide to the institution since a long time. He has served for 30 years at Rastriya Banijya Bank in the areas such as credit, branch operations and international banking.



Mr. Krishna Prasad Sharma
Director

Mr. Krishna Prasad Sharma is one of the prominent bankers of the Nepalese banking industry with more than 32 years of extensive banking experience in the areas of banking operations, business management and human resource management. Mr Sharma also served as the Chief Executive Officer at Rastriya Banijya Bank. In the past, he has also served in the capacity of Director in various esteemed organizations namely Nabil Bank Limited, Nepal Investment Bank Limited., Employees Provident Fund, National Life Insurance, NLG General Insurance, Credit Information Center, Deposit Insurance Credit Guarantee Company to name a few.



Mr. Devendra Pratap Shah
Independent Director

Mr. Devendra Pratap Shah is one of the pioneers in Nepalese banking industry with experience of more than 35 years in financial sectors. Mr. Shah, a qualified Chartered Accountant also holds Masters' Degree in Commerce (M. Com) and a Bachelor's Degree in Law. Mr. Shahs has successfully led Agricultural Development Bank Nepal Ltd. and Nepal Bank Ltd. in the capacity of Chief Executive Officer. Mr. Shah also served as the Executive Chairman of the Insurance Board of Nepal.



Mr. Chandra Pd. Dhakal
Chairman

CHAIRMAN'S STATEMENT

Amidst the challenges, in the Post COVID Era we cautiously look to the future with a degree of hope and optimism. Living the spirit of our slogan to be the Bank for all, we bear a greater responsibility to extend our full support to all stakeholders of the economy, including the Government of Nepal, on their effort to restart the economy thereby ensuring the smoothest recovery possible from the deepest and most abrupt socio economic crisis we might ever see in our lifetime.

Just like the previous one, Financial Year 2020-21 was full of challenges in many fronts. It was the year that saw even the bigger tragedy around the world. Socio economic hazard due to the closure of international borders, domestic travel restrictions and lockdowns imposed to battle the pandemic was unprecedented. The pandemic brought many countries and their economies to a complete standstill.

Continuation of service to our valued customers by ensuring all safety measures required for the security / safety of our staff deployed in the forefront and the customers visiting the bank appeared to be a bigger challenge for the moment; however ensuring the desired business growth and profitability amidst the limited / curtailed revenue streams and increasing precautionary cost proved to be a daunting task that appeared to be secondary, given the priority for the moment. Despite the challenges the bank stood firm towards its duty as a responsible corporate citizen and extended its full support in all fronts possible. The digital infrastructure set for the customer interface and those for internal processing of the bank proved to be instrumental in coping-up with these challenges.

Not to forget, the continuous commitment displayed by the team of committed manpower and dedication proved to be the key in the performance displayed by the entire bank given the tough situation mainly due to the pandemic and its side effects that hardly spared anybody. With integration of 18 banks and financial institutions in different forms, Global IME Bank today has proven itself to be a melting pot of a diverse culture and business orientations. This diversity within the institution come with its

unique challenges, but the opportunities created by this exposure is even greater and I strongly feel that the bank has done exceptionally well in harnessing potential which is well reflected in the bank's performance during the year.

During the year we witnessed a decline in our interest income despite of a satisfactory growth of business, thanks to the excessive liquidity and subsequent impact on yield. The bank had to provide a significant part of its earning as loan loss provisioning due to the requirement of additional 0.30% above the existing provision of 1.0% against its risk assets under pass category. Despite these challenges the bank was able to report a commendable net profit of Rs. 4.16 Billion, with a 43% growth as compared to the previous year along with an acceptable growth in business size. The bank's deposit base grew by 25% to reach Rs. 283 Billion, and lending portfolio increased by 21% making a total of Rs. 244 Billion during the fiscal year. The bank was able to achieve the landmark of Rs. 100 Billion on savings deposit base alone which well reflects its strength as a diverse institution with a stable deposit base.

Though the COVID-19 pandemic, that seems to be far from over, has affected the world economy at large, not to forget the "Digital Way" it has shown to all of us. The unlimited potential shown by the limited digital infrastructure during the period well illustrated where the future of banking lies. Through the approval of its mid-term strategy, namely LAKSHYA 2025, Global IME Bank has already started its digital journey towards being a more efficient bank with innovative digital products focused towards enhancing the customer experience in terms of the service and efficiency. Our online payments ecosystem continues to focus on leveraging its digital capabilities to make banking experience simple, secure and convenient to all our customers. The

digital journey envisioned and initiated by a leading financial institution like ours is well expected to contribute towards building a true cashless economy.

The bank has been able to reach a diverse customer base through its more than 800 service outlets that includes 287 branches, 252 ATMs, 3 foreign representative offices, 50 extension / revenue collection counters and 274 branchless banking centers. The bank's service / operation network is further strengthened by 7 provincial offices that are contributing towards implementing a sustained de-centralization strategy in line with the federal system adopted by the country.

I must place on record my appreciation for the cooperation extended by my fellow Board Members for their professionalism in providing a strategic guidance to the bank. I would also like to convey my appreciation to all the employees for their dedication and passion, which has become the greatest source of our competitive advantage.

I express my sincere gratitude for the guidance and support received from Nepal Rastra Bank, Securities Board of Nepal, Nepal Stock Exchange, Office of Company Registrar's Office, Ministry of Finance, Government of Nepal and all other regulatory bodies.

My sincere gratitude to our shareholders – your support over the years has been a source of immense strength for the institution and I look forward to your continued support in moving forward in this journey of excellence.

To our loyal customers, the Bank is infinitely grateful for the trust and confidence you have placed in Global IME Bank and you remain the reason we are driven to succeed, innovate and grow.

DIRECTOR'S REPORT

It gives me great pride to share with all our stakeholders again in 2021, Global IME Bank Ltd was able to mark the remarkable and consistent achievements as it has done over the past 14 years. It gives me honor to share with all, Bank completes its 15 years of service in coming January. It is a fact that the Bank's excellence and success, despite of ever present challenges and opportunities has been possible only because of the constant support and encouragement received from its diverse stakeholders including but not limited to shareholders, customers, regulatory authorities and employees.

On behalf of the Board of Directors, I present to you the Annual Report for the Financial Year 2020-21, along with Statement of Financial Position (Balance Sheet), Statement of Profit or Loss, Statement of Cash Flows, and various activities and disclosures as at 15th July 2021. This Annual report has been prepared in conformity with the provisions laid down in the Bank and Financial Institution Act, 2073, Companies Act, 2063 and Nepal Rastra Bank's Directives.

Overview of the National Economy

It is a known fact that Nepalese economy had to face the adverse effect of the global pandemic of COVID-19due to the much required precautionary measure of the extensive lockdown from the central and local level government. With the immense support of Nepal Government, in providing vaccine to the Nepalese people, this pandemic has been brought to low level. Also the policy decision from Nepal Rastra Bank has helped to revive the national economy.

In this scenario, Central Bureau of statistics has projected the national economy to grow by 4.01 % in the next financial year where we had seen decline of 2.09% in the current financial year. But the return of repeated wave of COVID pandemic will be the main hurdle in achieving those growth.

In financial year 2020/21, the portion of share in country's GDP for agriculture, industry and service sector has been 25.83%, 13.11%, and 61.06% respectively. In this period there has been decline of 62.8% in the people seeking foreign employment however the remittance flow has increased by 9.8% in compare to previous year. In foreign trade, the country saw 28.7% increase in import where we had witnessed 15.6% decline in previous year. Similarly the export has seen 44.4% growth in current year in compare to 0.6% growth in previous year. The country's current account deficit remained at 334 Billion whereas the deficit in previous year was Rs. 34 Billion. The Balance of payment remains at surplus of 1 Billion against the surplus of 282 Billion in previous year. Total foreign exchange reserve stood at 1399 Billion as on 15th July 2021 whereas there was surplus of 1402 Billion in corresponding previous year. Decline in export volume in compare to the import has led to decline in Balance of Payment and foreign exchange reserve. The country's inflation recorded a rate of 6.23 percent as compared to 6.15 percent in the preceding year.

The Financial Year 2020/21 saw a growth of 21.40% in the deposit mobilization of banks and financial institutions corresponding to 18.7% in previous year. As on mid July 2021, institutional deposits is 42.7% of the total deposit of banks and financial institutions as against 44.3% in previous year. The portion of share in total deposit of BFIs for current, saving and term deposit are 10.4%, 34.2% and 47% respectively. The same ratio was 10%, 31.9% and 48.6% in previous year. The Financial Year saw a growth of 27.30% in the credit mobilization of banks and financial institutions corresponding to 12% in previous year. The relief and relaxations in the policies brought forward by various regulatory authorities especially Nepal Rastra Bank has contributed commendably in increase of credit mobilization.

During the last quarter of financial year 2020/21, the country saw a heavy decline in Covid 19 cases which has boost the morale of government as well as private sector. This has contributed massively in creating the positive impact for the business environment. The result has been witnessed in the form of increasing credit mobilization, increase in export and decrease current account deficit.

Review of the Bank's overall performance in the FY 2020/21:

Financial snapshot:

RS IN MILLION

DESCRIPTION	MID JULY		GROWTH	
	2021	2020	AMOUNT (RS.)	PERCENTAGE (%)
Paid up Capital	21,633	18,976	2,657	14.00
Deposits	283,349	226,643	56,706	25.02
Loans and Advances	243,762	201,251	42,512	21.12
Investment	49,917	27,363	22,554	82.43
Reserve and Fund	11,088	9,859	1,229	12.47
Debenture and Bond	4,492	1,497	2,995	200.05

As evident in the above table, the Bank has been able to register remarkable growth in its capital base as well as deposit and credit portfolio. In the FY 2020/21, the Bank was able to generate Operational Profit of Rs. 5.97 billion and a Net Profit after tax of Rs. 4.16 billion. A brief snapshot of the Bank's profitability has been highlighted in the following table:

RS IN MILLION

DESCRIPTION	MID JULY		GROWTH	
	2021	2020	AMOUNT (RS.)	PERCENTAGE (%)
Interest Income	21,694	20,489	1,204	5.88
Interest Expenses	12,554	12,267	287	2.34
Net Interest Income	9,139	8,222	917	11.15
Fees and Commission	3,203	2,249	953	42.39
Employee and Operational Cost	5,248	4,349	900	20.69
Provision for loss against loans and other financial assets	1,125	1,954	(829)	(42.43)
Profit after all Operations	5,968	4,168	1,800	43.19
Tax Expenses	1,803	1,259	544	43.18
Net Profit	4,165	2,909	1,256	43.20

The Bank registered a growth of Rs. 1.2 billion in its interest income in the review period of 2020/21. In addition to the interest income there is positive growth in other income stream of the Bank. On the expenses side, there has been slight increment in the employee and operating expenses of the Bank due to significant rise in the employee base as well as branch network of the Bank after the merger with then Janata Bank Nepal Ltd in previous financial year. The imposition of additional 0.3% provision in loans and advances by Nepal Rastra Bank in the current financial year has increased the provision for loss against loans.

The positive growth in the Bank's overall revenue base has contributed to the significant rise in its net profit to 4.16 Billion in compare to 2.91 Billion of previous financial year which is 43% increment to of previous year. The Bank has been able to register satisfactory growth even amidst the challenges created by the pandemic namely increased market competition in terms of interest rates and the decline in economic activities in Nepal during the review period.

Review of the Bank's performance in the first three months of the FY 2021/22:

RS IN MILLION

DESCRIPTION	MID OCTOBER		GROWTH	
	2021	2020	AMOUNT (RS.)	PERCENTAGE (%)
Deposit	276,892	240,372	36,520	15.20
Loans	265,713	206,567	59,146	28.60
Interest Income	6,060	5,856	2,04	3.49
Interest Expenses	(3,721)	(3,262)	(459)	14.07
Net Interest Income	2,339	2,594	(255)	(9.82)
Fees and Commission	879	626	253	40.40
Employee and Operational Cost	(1,328)	(1,227)	(101)	8.27
Provision for loss against loans and other financial assets	(334)	(517)	183	(35.35)
Profit after all Operations	1,556	1,476	80	5.40
Net Profit	1,112	1,059	53	5.04

Though there seems positive growth in deposit in compare to corresponding previous year first quarter, deposit has decreased in compare to that of Mid July 2021. Due to the low liquidity witnessed in the Banking sector during these period, the fixed deposit interest rate for both individual and institution is on the rise. Due to the regulatory provision, where institutional deposit rate cannot be increased for a period of 3 months from the previous increase, fixed deposit which were in the renewal state could not be renewed because of the low interest rate of the Bank. As a result the deposit of the bank has decreased slightly. Though the deposit has decrease a bit but the flow of loans and advances has increased. Though there has been rise in demand for loan the same has not been able to be matched as a result of limited deposit resources, low government expenditure and low flow of remittance. With the crisis of deposit resource there is seen unbalanced rise in the deposit interest rate which has led the Nepal Rastra Bank to act on the same. Accordingly Nepal Rastra Bank imposed a cap of 10% for increase or decrease in previously published deposit rates.

Future Plans

The Bank plans to achieve healthy and balanced growth in its deposit base, credit portfolio and business expansion in line with its strategic objectives in the days to come as well. The Bank aims to enhance the effectiveness of its products and services by adopting customer friendly and robust digital technologies so that it is able to minimize the adverse effects of COVID-19 in its overall business and the entire economy and provide the maximum return and safeguard of investments of our investors.

The bank has implemented its strategic plan as "Lakshya 2025". The fundamental aim of this plan is to double its business resources and loans and advances along with the net profit by end of 2025. For this the bank has vigorous plan to enhance the employee's working capacity through the training module and the transformation of Bank's internal work module through digital modes. With this the bank aims to enhance the digital banking service among its customers and make the easy banking service accessible to all.

The Bank aims to implement allowing plans and strategies in the upcoming days:

- The Bank aims to further enhance the scope of its business through expansion of branch network as well as representative offices within and beyond the country so as to enhance the financial inclusion and also fulfill its motto of becoming 'Bank for All' for its diverse stakeholders. Currently the Bank has been serving more than 2.7 million customers through its extensive network of branches, branchless banking outlet, ATM, extension counters in 76 districts of the country. The Bank is committed as ever to bring the larger mass of customers still beyond the reach of the formal banking channels.

- In order to assure a dependable source of capital generation, the Bank has already completed the process for issuance of debenture with 10-year tenure and an amount of Rs. 3 billion in the FY 2020/21. This shall assist the Bank to enhance its business base along with the dividend offered to its shareholders. In addition to this the bank is in the process to issue Energy Bond worth 5 Billion. For this the Bank has already obtain the approval from Nepal Rastra Bank.

- On visualization of the problems faced during the resource mobilization in Nepal economy the Bank has mobilized the resources from the international financial institutions using the facilities provided by Nepal Rastra Bank and has further plans to mobilize additional resources from such sources this year as well. These additional resources from the international market shall not only enable the Bank to enhance its credibility but also help to identity itself in the international market.

- As per Nepal Rastra Bank's Directives the Bank has been able to flow its investments in the priority sector as depicted by Nepal Rastra Bank. For the year Nepal Rastra Bank has quoted the minimum investment of 11%, 6%, 11% and 5% in agriculture, energy, micro industry and deprived sector respectively. The Bank has been able to make the minimum investments quoted by Nepal Rstra Bank accordingly and plans to adopt the green financing as envisioned by Nepal Government.

- Ever since the inception, the Bank has prioritize in offering suitable credit facilities to the small and medium enterprises on the basis of underlying geographical structure, as the Bank believes that the country's economy can prosper only with the prosperity of small and medium enterprises. In addition to this, the Bank has also prioritized in deposits of the general public and has given utmost importance as Bank's sustainable resources. In the days to come, the Bank shall prioritize further enhancement of its financial reach to the nooks and corners of the country through expansion of its services networks.

- The Bank has established a dedicated department focusing on offering financing services to the agricultural sector - a sector which acts as the medium of survival for approximately 65 percent of the country's total population and also accounts for 26 percent of the national economy. The Bank aims to develop and implement appropriate policies and guidelines to achieve its aim of empowering the agricultural sector through proper financial back up.

- To minimize the effect of COVID 19 on business personnel, the Bank has remained in pole position to provide the relief packages and facilities as directed by Nepal Rastra Bank. Against

the refinancing relief package the bank has given 11 Billion to more than 3000 customers and restructured more than 12 Billion loans of 1145 customers who are severely affected by the pandemic.

■ In the present context where one can see continuous growth in infrastructure development activities, the Bank aims to forge fruitful collaborations with concerned businesses and stakeholders in the sector of construction and infrastructure development. In order to enhance the effectiveness of the reach of the service to be extended to this profitable sector, the Bank plans to establish a separate department and cater to the unique financial needs of the construction sector.

■ Apart from being backbone of the domestic economy, remittance is a vital and reliable source of business for Bank. The Bank has played an active role in ensuring the inflow of significant remittance income in the country through establishment of representative offices, remittance agents and strategic partners in different countries throughout the globe. The Bank shall continue prioritizing the systematic and effective management of its remittance business in the days to come so as to generate substantial remittance income for the overall country.

■ To extend the policy of international recognition and assist in increasing the remittance and international business the Bank has already established its representative offices in Australia, India and United Kingdom. Through these representative offices the Bank aims to identify the feasible markets for remittance business as well as to forge strategic partnerships with the concerned stakeholders to offer easy banking services to Nepalese working and residing abroad. The Bank shall continue to identify the similar additional avenues of offering remittance based services in other feasible countries as well.

■ The Bank has implemented the policy of offering world class banking services to its valued clientele via proper adaptation and implementation of innovative and robust banking technologies. As such, there is a separate unit entitled Digital Banking Unit in place that takes care of development of necessary digital infrastructure as well as identification and management of the inherent risks when it comes to adoption and implementation of such technologies. The bank has already initiated the automation of internal work process.

■ The Bank will minutely study, supervise and minimize the various operation costs of the Bank and implement appropriate mechanism to curtail the overall cost of operations. The Bank is continuously striving to automate its internal operations and processes to ensure that it is able to further strengthen its customer service and overall state of service excellence.

■ Apart from streamlining its business processes, the Bank has equally emphasized the fact that the Bank's core strength lies in the skills and competence of its dedicated employees. The Bank invests in enhancement of the skills and capabilities of its employees through appropriate training and development programs. In the days to come, the Bank intends to further enhance the effectiveness of such training and development initiatives through digital interventions and platforms that follow the timelines of the annual staff development and training calendar.

■ By following the government direction, the Bank has opened 40 branches in remote places of Nepal. The main purpose of those branches have been the handling of government transaction, which has not contributed much in the revenue of the bank. But the Bank shall continue to offer qualitative services to various governmental offices and authorities and further enhance its credibility as a dependable financial institution to effectively handle government transactions.

■ The Bank has always prioritized risk management and has taken a proactive role to identify and implement several risk management strategies and activities. For the intense focus on risk management, the Bank has a separate Risk Management Committee that is actively involved in identification of sources and incidences of risk as well as implementation of proper corrective measures to minimize those risks to which the Bank is exposed to. During the year, the central bank has reduced the additional risk weighted exposure under the overall risk management procedure of the bank to 2% from preexisted 3% of risk weighted exposure. The Bank aims to have positive assessment from the regulatory bodies in the operational risk and credit risk in times to come.

In the future as well, the Bank shall actively look out for feasible options for merger and acquisition while giving uncompromised attention on business expansion as well as sound risk management so that it is able to ensure a safe environment and justifiable returns to its valued shareholders.

Bank's Credit Rating

The Bank's credit rating has been upgraded to "A" category from the previously issued "A-" rating. This reflects the strength of the Bank's banking activities and fulfillment of its financial obligations towards the stakeholders.

Branch Network:

The Bank has always played an active role in enhancing the range of banking products and services that it offers to its customers considering their needs and expectations. The Bank currently has a total of 287 branches, 50 extension and Revenue Collection counters, 252 ATMs over 76 districts of Nepal and 3 representative offices in India, UK and Australia. In the current fiscal year the Bank added 17 new branches. The Bank has been facilitating banking services to its customers through all outlets and has also established the provincial offices

in each of the seven provinces of the country which oversees the branches under each provincial offices.

Information Technology

Rapid development and innovation in the field of information technology has created numerous opportunities for banking industry. At the same time, it has also added additional challenges and risks. The Bank aims to strike a fine balance between offering innovative, tech based products and services to offer high quality banking products and services to its customers while at the same time managing and minimizing the associated risks in the process of doing so. The Bank is committed to offer easily accessible digital or off the counter services to its customers in the future. For this, the Bank aims to adapt and implement relevant technologies in its business processes and procedures which shall also enable it to curtail its overall operating expenses.

The Bank shall also prioritize on updating the functional as well as security aspects of its tech based products and services namely VISA Card, Mobile Banking, QR Code Payment System, Internet Banking and so on. The Bank has successfully updated its core banking software from Finacle 7 to Financle Version 10. This has assist the Bank to further enhance the effectiveness of its service delivery to the myriad of customer segments scattered within and beyond the country as well as to streamline and minimize the various business and operational risks that might arise as a result of significant expansion in the Bank's customer base, branch networks and business portfolio. The Bank believes that its newly implemented Document Management System, Business Intelligence and BIG-IP Edge Client shall further enhance the robustness of its data and information management.

In line with the NRB Directives as well as the prevailing laws of Anti Money Laundering, the Bank aims to further enhance the effectiveness of its AML software that has been implemented with a view to ensure proper customer database management and identification and reporting of suspicious transactions.

The Bank is fully aware of the inherent risks related with information technology that might arise in the course of its business especially in the current scenario where digital platform has been an alternate to offer contact less banking services to the customers. For the same, the Bank has in place Information Technology Incident Response Team as necessitated by NRB while the Bank shall continue conducting Information System Audit to ensure robustness of its information technology infrastructures.

Purchase of Land

The business of the Bank has been regularly increasing, due to which the present corporate office has been congested and some of the corporate level department too have been scattered in different location. To overcome this the bank has purchased a bigger land to accommodate all the departments along with sufficient parking. The Bank has initiated the process to search the suitable land for the construction of province office in al the seven provinces.

Contribution in the National Economy

In the FY 2020/21, the bank has paid more than Rs.3 billion in the forms of corporate tax and tax deducted at source. In the review period, the Bank has made significant contribution in strengthening the industrial development of the country via collection and disbursement of funds in the form of loans and advances through its extensive branch network spread all over Nepal. The Bank has been able to generate employment opportunities for more than 3,200 Nepalese citizens creating a positive impact in the standard of living of its fellow citizens.

Corporate Social Responsibility

In addition to assisting in the overall economy of the country through financial and economic transactions with different groups of stakeholders, the Bank has effectively fulfilled its corporate social responsibility. The Bank has contributed more than Rs. 30 million in the FY 2020/21 in the sectors of education, health, sports, pandemic control, banking awareness, financial literacy, natural calamities, and environmental conservation and so on.

Apart from this, the credit facilities those are targeted to the small and medium enterprises has played a vital role in economic empowerment of the marginalized communities of the country by giving them a chance of self-employment. Likewise the Bank has been satisfying the banking needs of its customers in the far flung area via its branchless banking service and also assisted the government in revenue collection especially for Department of Transportation Management, Department of Immigration, Department of Passport, Department of Foreign Employment, Traffic Police Department to name a few.

Corporate Governance

The Bank's board of directors and management team have always focused on maintaining highest standards of corporate governance in the organization. It has also imparted enough attention on making timely and needed updates in the corporate

governance mechanism of the Bank in view of the expansion in the business base and points of representation of the Bank. The members of the Board of directors as well as employees are subject to the Code of Conduct, including the one issued by Nepal Rastra Bank which is being complied with in full.

On the basis of the Bank's extended businesses and other operating activities, internal process control and other workforce areas are being further strengthened. Additionally, for further extending the employee's capabilities, the bank's organizational structure and official responsibilities are being amended as per the necessity. The Audit Committee of the Bank monitors all activities and ensures that the processes and procedures in place are adequate and operational along with the compliance of the Nepal Rastra Bank directives. The Bank has always adopted a proactive approach towards good corporate governance practice with a commitment to operate in a very transparent manner.

Stock Dividend Recommended

Utilizing the profit of the Financial Year 2020-21 and retained earnings of previous years, the Board has recommended for the approval of the issuance of bonus shares equivalent to NPR 2,163,250,303.50 (10.00 percent of Paid up Capital) and cash dividend of NPR 757,137,606.23 (3.50 percent of Paid up Capital) to our valued shareholders. We would like to bring to your notice that after the issuance of such bonus shares the Issued Capital of our Bank will reach 23.80 billion. With this development in capital structure, we believe that we will be able to gain confidence from all the concerned parties which will indeed support us in increasing the business.

The fraction share shall be kept as it is in the name of the respective shareholder until it is converted into a whole share. Though the tax on dividend to shareholders is exempted in accordance with the Merger and Acquisition By Law, 2073 B.S. for a period of two years from the date of merger, the Income Tax Act has exempted such tax to only those shareholders who held the shares at the time of merger/acquisition. We propose that the tax on dividend for the bonus shares be collected from such shareholders after the acquisition date, at which time the bonus shares will be distributed accordingly.

Financial Statements and Audit

The Consolidated Statement of Financial Position as at the year ended 15 July 2021 (31st Ashad 2078), Consolidated Statement of Profit and Loss for FY 2020-21, Consolidated Cash Flow Statement, Related Annexure, as well as the Auditor's Report have been attached herewith and placed as an integral part of this report. The various details as required by the Companies Act, 2063 B.S. is presented in "Annexure A".

Change in Management and Board of Directors

The Bank's 14th Annual General Meeting held on 13th January 2021 has elected Mr. Chandra Prasad Dhakal (Chairman, Promoter Shareholder Group), Mr. Cabinet Shrestha (Promoter Shareholder Group), Mr. Ram Bahadur Bhandari (Promoter Shareholder Group) Mr. Sudarsun Krishna Shrestha (General Shareholder Group), Mr. Krishna Prasad Sharma (General Shareholder Group) and Mr. Dipak Sharma Pokharel (General Shareholder Group) as 6 directors of the Bank. However Mr. Dipak Sharma Pokharel did not take the oath for the director and the same position has remained vacant. The Bank has 6 Board of Directors including Mr. Devendra Pratap Shah (Independent Director).

Likewise to ensure efficiency within the governance structure and to carry out its independent oversight function the board has formed board level audit committee, employee service & benefit committee, risk management committee, assets (money) laundering prevention committee.

ACKNOWLEDGEMENT

Lastly, I would like to express my sincere gratitude to all of our shareholders. Your patronage over the years has been a source of immense strength for the Bank, and for our customers to perpetually believe in us. I would like to appreciate the Government of Nepal, Ministry of Finance, Nepal Rastra Bank, Company Registrar's Office, Securities Exchange Board of Nepal, Nepal Share Exchange Limited, other regulatory bodies, and the media for guiding us on the road map towards success, towards benefit, and towards progress. Similarly I would like to thank all of the Bank's employees who have worked tirelessly for the growth and prosperity of the Bank. I would like to once again reiterate our commitment to providing the highest quality services and to providing increasing returns to our respected shareholders in the years ahead.



Ratna Raj Bajracharya
Chief Executive Officer

CEO SAYS

Global IME Bank has again demonstrated strong resilience in the financial year 2020-21, the year that proved to the year of numerous challenges, by delivering the commitments and shared value to its stakeholders. The achievement well resembles the continuous growth of business, services, network and brand image.

THE NEW JOURNEY

During the year the Bank was successful in stepping to the new phase of its journey towards excellence. With the approval of its midterm corporate strategic plan of "Lakshya 2025" the bank has a clear picture of where it wants to be by the year 2025 and how the goals set in various parameters and avenues shall be achieved along with a clear timeline for each initiative envisioned. The key thrusts of the plan is to increase business, diversify its income streams, cost control through digitization and innovation and enhance efficiency at all fronts.

The plan was formulated through rigorous process with a professional approach where the business model and operational processes shall be re-examined and re-defined on a continuous basis in the context of the challenges and new opportunities that lies ahead in the current economic, business and operational environment. Formulation of this midterm strategy, though robust, was not just a simple top-down exercise but was a collective effort where all were involved extensively. The plan was launched with thorough orientation to all our staff ensuring commitment for its successful implementation.

With the achievement of the goals set under LAKSHYA 2025, Global IME Bank is expected to set a different standards in terms of digitization, efficiency and profitability.

COVID-19 AND THE WAY FORWARD

The effects of COVID-19 has caused significant changes to our daily lives, changes that have often happened rapidly and abruptly. The BFIs in Nepal have been brave enough to lead the new normal way after the pandemic effect. The services have not been compromised; business centric stimulus packages announced through Nepal Rastra Bank have been implemented sincerely to the impacted sector. As we absorbed the broad-based economic shocks of the pandemic and extended much-needed support to affected businesses, the Bank's financial

performance was inevitably impacted, although the strength of our balance sheet and capital position have cushioned these impacts to a great extent

The situation of the pandemic has been minimized to the great extent with the massive support of Nepal Government in vaccinating the Nepalese people. The economy is returning to normal though the challenges on the loss caused by this pandemic are yet to be witnessed by the economic industry. The Bank has envisioned those challenges and is prepared in every way to move forward and deliver its best amidst the challenges faced.

OUR VISION TOWARDS DIGITIZATION

The digital revolution in financial services has occurred at an unprecedented rate, transforming the way banks interact with their customers. Strengthening digital capabilities remains a key medium for our long term objectives. Given our unmatched customer reach, geographical presence we are mindful of the role we can play in driving digital literacy across our customers. The deliverable have been already seen through active participation of our branches in delivering the financial and digital literacy across the country. With the launch of our new "Global Smart Plus" mobile banking application we believe the banking service has more been quick and convenient.

The Bank has envision the digitization not only with the customer base, but also within the organization's department (automation of workflows). With the foresight of "Lakshya 2025" we believe our reach can only be fulfilled if we are to be digitized in our every work process and within ourselves. The Bank's internal work process have been digested to the great extent which has contributed in our additional capability enhancement. Though the digitization is a continuous process we aim to be front runners in every business automation.

WAY FORWARD

My stepping into Global IME Bank at this juncture has given many challenges in terms of post-merger mobilization of its dynamic yet diversified work force as well as streamlining the business pattern/ culture and focus on growth. Successful emergence out of COVID-19 effects will remain center stage. One good thing

about Nepalese economy is, there remain plenty of good business scope, which needs to be explored and focused on. An example would be, penetration in SMEs and Agriculture sector – the backbone of Nepalese economy. As mentioned earlier, the availability of more skilled manpower has to be looked upon as the potential partners in this progress. The expanded network of Global IME Bank (we have already reached to 76 districts out of 77) and its workforce has been considered very much ideal for venturing into the sector successfully. We intend to emerge as the most successful retail banking institution in Nepal.

Being one of the largest banks in the economy, we shoulder a greater responsibility in showing the path towards a prudent banking and highest standards of corporate governance. We are committed and prepared to lead the way in all functional areas from standing tall with exemplary corporate governance practices, digitization, reaching to far-flung denizens satisfying their need for their business, accomplishing targets in prioritized areas for economic development.

Nepal Rastra Bank has reduced the capital charge on account of inherent credit risk by 1%. It is surely a significant recognition of our continuous effort in bettering ourselves. ICRA, the credit rating agency has upgraded its rating of the bank to "A" category. We reiterate our commitment to stay up to their expectations and improve.

ACKNOWLEDGEMENT

We would like to express sincere gratitude to Board of Directors for their support, and strategic vision, which informs and strengthens our own belief in achieving new heights. Not to forget the tireless effort and effective leadership displayed by the Management Team and entire staff members. Only through our continued perseverance, dedication, and teamwork can we overcome the challenges facing us today. Special thanks to Nepal Rastra Bank and other regulatory authorities also for their oversight, as well as to our cherished customers who are the key source of our impetus for continuous betterment.

TEAM PROFILE



Mr. Ratna Raj Bajracharya
Chief Executive Officer

Mr. Ratna Raj Bajracharya has rejoined Global IME Bank Ltd as the Chief Executive Officer from August 17, 2020. Previously also he has served as the Chief Executive Officer of the bank from May 2011 to May 2015.

Before rejoining the bank, he has successfully completed his 4 years tenure as the Chief Executive Officer of Sunrise Bank Ltd. (2015-2019). He has also been Chief Executive Officer of Nepal Credit and Commercial Bank Ltd. (2007-2011), both "A" class commercial banks. He was a senior member of the foreign management team (2002-2005) that undertook the management contract for reform of Nepal Bank Ltd, the oldest commercial bank of the country under the World Bank funded Financial Sector Reform Project.

Mr. Bajracharya holds MBA degree and is a qualified Chartered Accountant bearing almost 5 decades professional experience in various areas, including but not limited to, as regulator, independent management / banking consultant and commercial banker. He started his career with Nepal Rastra Bank, the central bank of Nepal. After serving for 20 years in various positions, he opted out of the employment and founded his own accounting firm in 1992. The firm was primarily engaged in providing consulting and auditing services especially to financial sector and multinational companies. He also pioneered in setting up a training institution in the field of practical accounting, taxation, finance and general banking.

During his professional career, Mr. Bajracharya has served as the President of the Association of the Chartered Accountants of Nepal and President of the Institute of Chartered Accountants of Nepal. He has also served as member of the Board of Directors of Securities Board of Nepal (twice) and other various institutions.



Mr. Mahesh Sharma Dhakal
Senior Deputy Chief Executive Officer

Mr. Mahesh Sharma Dhakal, a professional banker with about 20 years of experience, is the Senior Deputy Chief Executive Officer of Global IME Bank Ltd.. He is a Fellow Chartered Accountant (FCA) by qualification and also holds a Master's Degree in Economics from Tribhuvan University.

Mr. Dhakal carries proven experience in various areas of banking including business, operations, finance, compliance, internal audit etc. He started his career from Nepal Bank Ltd. and he successfully fulfilled leadership roles in various financial institutions including then Commerz & Trust Bank Nepal Ltd. (Chief Manager), then Siddhartha Bank Ltd. (Chief Executive Officer), then Tourism Development Bank Ltd. (Chief Executive Officer) and Mega Bank Nepal Ltd. (Senior Deputy General Manager) before joining Global IME Bank Ltd. in 2018. Mr. Dhakal has also served as Council Member of the Institute of Chartered Accountants of Nepal (ICAN). Mr. Dhakal is representing to the board of Directors in Bank's subsidiary, Global IME Capital Ltd. and Bank's associate entities, Reliable Nepal Life Insurance Company Ltd. and Nepal Clearing House Ltd.



Mr. Surendra Raj Regmi
Deputy Chief Executive Officer

Mr. Surendra Raj Regmi joined Global IME Bank in the year 2008. During his service tenor with the Bank, he held various senior leadership roles such as- Risk Manager, Chief Credit Officer, Chief Risk Officer, Chief Operating Officer, and Chief Business Officer and currently as Deputy Chief Executive Officer of the Bank. Mr. Regmi is responsible for leading the credit business especially SME/Mid Corporate/Retail, ensuring robust Branch Operations of the Bank, other general administrations- thereby ensuring cost optimization and media management. He is also serving as Chief Information Officer of the Bank.

Mr. Regmi has more than 33 years of banking experience. He is also serving as Chairman of First Microfinance Laghubitta Bittiya Sanstha Limited representing Bank. Outside of work, his interest also includes teaching and was associated with different colleges in the department of Economics for around 15 years.

Mr. Regmi holds a degree in Economics and a MBA from University of Wales, Bangor, UK.



Mr. Kalyan Bikram Pande
Deputy General Manager

Mr. Kalyan Bikram Pande, MBA from Bangalore University along with Bachelor of Technology in Electrical Engineering started his banking career from Kumari Bank Ltd. as corporate credit relationship manager in 2004 Mr. Pande had assumed various senior roles including senior corporate relationship manger in Laxmi Bank Ltd. and joined erstwhile Janata Bank Nepal Ltd. (now Global IME Bank Ltd.) in 2009. With over 17 years of rich banking experience, Mr. Pande possess extensive knowledge in credit analysis, resource development and risk management. At present, he is leading corporate credit and Infrastructure & Project Financing portfolios of the bank in the capacity of Chief Business Officer. He is currently representing Global IME Bank Ltd. as the board member of Mero Microfinance Laghubitta Bittiya Sanstha Ltd.



Mr. Bhawani Dhakal
Assistant General Manager

Mr. Bhawani Dhakal possess more than 15 years of banking experience. Mr. Dhakal started his career as Private Legal Practitioner as an Advocate for about 13 years prior to joining Global IME Bank Ltd in 2006. Mr. Dhakal has worked in all facets of banking industry working as Head Human Resource, Head of Legal and Share Department, General Service Department, Credit Administration Department, and Branch Management. He has been currently heading Compliance Department. He is currently representing Global IME Bank Ltd. as the board member of Banking Finance & Insurance Institute of Nepal. Mr. Dhakal holds Master's Degree in Commercial Law from Tribhuvan University.



Mr. Buddhi Akela
Assistant General Manager

Mr. Buddhi Akela possess more than 17 years of banking experience. Mr. Akela started his banking career as Deputy Manager in Nepal Bank Ltd. in 2004. He has been associated with Global IME Bank since 2006. Mr. Akela has worked in various areas of banking like Credit, Credit Risk, and Credit Administration etc. He has been currently heading Integrated Risk Department. He is also serving as Chairman of Global IME Laghubitta Bittiya Sanstha Ltd; a subsidiary of Global IME Bank Ltd. Mr. Akela holds Master's Degree in Business Administration from Pokhara University.



Mr. Anil Joshi
Assistant General Manager

Mr. Anil Joshi possess more than 21 years of banking experience in the field of Information Technology. He holds Master Degree in Computer Engineering from Technological University of Podillia, Ukraine and Executive MBA degree from Purbanchal University. Mr. Joshi started banking career from Machhapuchchhre Bank Ltd. as a Head of IT. He served Machhapuchchhre Bank Ltd. from April 2000 to June 2008. He was appointed as a Head of IT in Global IME Bank on June 2008. Prior to joining the bank, he worked as a Software developer for 4 years in different reputed software houses like Professional Computer Systems and Mercantile Office Systems. He is currently representing Global IME Bank Ltd. as the board member of Nepal Electronic Payment System Ltd.



Mr. Raja Aryal
Assistant General Manager

Mr. Raja Aryal started his career as a Deputy Manager with Nepal Bank Limited before joining Global IME Bank Ltd. (then Global Bank Ltd.) in 2007. Mr. Aryal has an experience of more than 17 years in various areas of banking and has proven his leadership a diverse fields including credit, branch management, recovery, compliance, finance etc.

Mr. Aryal holds Master's Degree in Business Administration from Pokhara University and has attended various national / international trainings and seminars in the area of banking and finance. Currently he has been entrusted with responsibility of Chief Financial Officer.



Mr. Deep Chandra Regmi
Assistant General Manager

Mr. Deep Chandra Regmi with more than 14 years of banking career started his career from Standard Chartered Bank of Nepal as second in charge to Central Trade Finance prior to joining Global IME Bank Ltd in 2009. His experience includes working in entire area of banking activities. He has assumed various senior roles including senior relationship manager, Head- Trade Finance and Chief Financial Officer. He has been currently working as Chief Human Resource Officer. Mr. Regmi holds Master's Degree in Business Administration from Asian Institute of Technology, Thailand. He is currently representing Global IME Bank Ltd. as the board member of IME Life Insurance Company Ltd.



Mrs. Shanta Shiwakoti
Chief Manager

Ms. Shanta Shiwakoti began her banking career, with the erstwhile NIC Bank Ltd. in 2000; before moving on to Global IME Bank Ltd. in 2006, where she headed the Treasury and correspondent banking department. She subsequently led the Bank's operations as Chief Operating officer. She also played instrumental role in setting up of the Corporate Hub for the high profile corporate clients of the Bank and headed the corporate credit department. Ms. Shiwakoti was the initiator and the Project Head of CREF Handling Bank (Central Renewable Energy Fund; a collaborative effort of Nepal Government and Donor Funded Project) for three years. With diversified banking experience, Ms. Shiwakoti is now leading the Marketing and Business Promotion department, where she is playing instrumental role in scaling up of the Bank's business as well as uplifting the Bank's Brand. Ms. Shiwakoti is currently representing Global IME Bank Ltd. as the Board Member of Smart Choice Technologies Ltd. Ms. Shiwakoti holds Master's Degree in Business Studies from Tribhuvan University.

CORPORATE GOVERNANCE



AT A GLANCE

The Bank's board of directors as well as the management team have always emphasized on maintenance of vigorous corporate governance in the organization. The Bank has always taken a proactive approach to streamline and make necessary adaptations in its organizational structure and processes so as to further enhance the state of governance especially in the light of expansion of the overall service network and business portfolio of the Bank. The Bank fully abides by all the national and international directives, principles and regulations pertaining to corporate governance. The Bank's board of directors have a strict adherence to the expected roles and behaviors as necessitated by Nepal Rastra Bank for enhancement of the culture of corporate governance in the organization.

With the growth in the business base, operations and overall network of the Bank, necessary amendments are made in the internal control mechanism of the Bank including but not limited to change in the organizational structure, amendments in the roles and responsibilities of high ranking officials and enhancement of necessary skills and competence of the employees. The Bank's Audit Committee diligently scrutinizes the regular operations of the Bank and also ensures that the Bank is working at par with the various regulations and policies of the supreme regulator – Nepal Rastra Bank. The Audit Committee also ensures suitability and sufficiency of the Bank's workflow and processes with reference to such directives and policies. The Bank has always been committed to ensure transparency in each and every operations so as to enhance the state of corporate governance in the organization, thereby creating higher benchmarks of service and operational excellence.

Some of the major highlights that portray the Bank's adherence to Corporate Governance are shown below:

- The Bank conducts the meetings of the board of directors as well as other sub committees reporting the board of directors on a regular basis with main areas of discussion on strategy formulation, Information Technology, and cyber security, risk management and preserving the portfolio quality.
- The Board also reviewed and revised several key policies with due consideration to best practices, changes in the operating areas and regulatory developments.
- The Bank has streamlined and strengthened the composition and role of the Bank's internal audit department.
- The Bank's Management Committee (MANCOM) meeting is held on regular basis to discuss the prevailing issues and challenges faced and the strategic decisions that might be required to address the internal and external market dynamics.

It is an inevitable fact that corporate governance helps a bank to create a sense of direction, regularity and control in its operations. The Bank has clearly defined the rights, roles and responsibilities of its board of directors, shareholders, employees as well as all other concerned stakeholders so as to ensure effective implementation of corporate governance throughout the organization. The Bank's board of directors and the management team share a common vision to ensure higher degree of corporate governance in the Bank. The bank also maintains a watchful eye to initiate and implement suitable measures to adapt to the new realities resulting from expansion in its business and branch base to maintain its adherence to corporate governance principles and mechanisms.

The Bank has in place various committees and sub committees such as audit committee, risk management committee, employee welfare committee, anti-money laundering committee as well as various other managerial committees to enhance the effectiveness of its internal procedures while marinating the corporate governance and transparency standards necessitated by various national and international organizations. All of these committees and subcommittees are effectively fulfilling their designated roles and responsibilities while taking care of the authority entrusted to them by the Bank.

In order to ensure effective implementation of corporate governance, the Bank has developed and implemented a comprehensive code of conduct for its employees and also has a dedicated governance unit in place for monitoring and initiation of corrective actions as and when necessary. The Bank regularly updates all of its concerned stakeholders on the relevant information about the Bank and its activities through various notices and information sources.

RISK MANAGEMENT

Appropriate measures to timely identify and analyze various kinds of potential risks play an instrumental role in downsizing the risk exposure of a bank as well as to initiate and implement timely corrective measures to outplay the adverse impacts of the various risk categories. The Bank has in place a well-defined risk management mechanism comprising various committees and policies.



BOARD LEVEL COMMITTEE

The primary purpose of any risk management practice is to protect the quality of its assets by being fully aware of the inherent risks that might arise during the course of operation of a bank. There are various categories of risks to which any bank is exposed to. Some of the major categories of risks that a commercial bank has to curtail in the course of its operations includes credit risk, operational risk, market risk, liquidity risk, technological and human resource related risk to name a few. A commercial bank has to timely identify, analyst and minimize the triggers of these kinds of risks in order to ensure sustainability of its business and regular operations.

The Bank has in place both board level and management level committees for management of risks that address the various inherent risks that might arise in the course of business and operations and implements appropriate risk management measures depending on the severity of the risk incidents.

- Risk Management Committee (Board level committee)
- Integrated Risk Management Committee (Managerial Level committee)

The Board Level Committee is led by Director Devendra Pratap Shah as coordinator and Director Krishna Prasad Sharma as the Member of Committee. Further Chief Risk Officer serves as Member Secretary to the committee.

RISK MANAGEMENT & CONTROL ENVIRONMENT

The Bank has in place a well-defined risk management mechanism that is involved in creating an organizational culture that is not only aware of the inherent risks involved but also in the minimization of such risk through effective and integrated efforts. Under the supervision of its risk management department, the Bank not only identifies risk areas effectively and efficiently but also ensures full adherence to the various guidelines of Nepal Rastra Bank as well as its own internal policies and procedures that are developed in line with the risk management guidelines issued time and again by various national and international regulatory bodies.

The Bank's Integrated Risk Management Department has assisted the Bank to develop a proactive internal culture that supports effective risk management. The Department assists the Risk Management Committee with respect to credit risk, operational risk, market risk, management risks so as to ensure a risk management mechanism that is self-regulated as well as regulated by the relevant risk management directives and policies issued by various regulatory authorities. The Department is also responsible for development of a proactive risk management system inside the Bank in full coordination with various departments and divisions of the Bank. The Integrated Risk Management Department primarily emphasizes:

- Credit Control
- Credit Risk
- Operational Risk
- Market Risk
- Data Security
- Environmental and Social risks
- Risks associated with the Bank's Goodwill

CORPORATE SOCIAL RESPONSIBILITY

Over the last fourteen years, the Bank is continuously involved in contributing back to the society especially in corporate responsibility initiative targeting the overall society, general public and environmental conservation.

Ever since its inception, the Bank has been actively involved in directly or indirectly enhancing the livelihood of several sectors and classes of the society through its corporate social responsibility initiatives. The Bank has prioritized four major sectors for contributing to the society in form of various corporate social responsibility initiatives:

- Education and Sports
- Financial Literacy
- Conservation and promotion of cultural heritage and natural calamities management
- Community Health



PHOTO CAPTION:

1. Financial Literacy Program at Ghodagau.
2. Wheel Chair Support to Kedia Hospital.
3. Warm Clothes for Old age Home Devghat.
4. Financial Support to flood victim Dhorpatan.
5. Financial Literacy Program.

CSR POLICIES AND INITIATIVES

The Bank has always focused on the overall social welfare while conducting each of its Corporate Social Responsibility (CSR) initiatives. The Bank is actively involved in identification of varied sectors to carry out its CSR initiatives so as to ensure that its efforts benefit the entire society and not any hidden individual interests. While doing so, the Bank also ensures that the sectors that it choses for its CSR activities are at par with the CSR sectors identified and highlighted by Nepal Rastra Bank.

Currently, the Bank has allowed 5 percent of the fund of its Corporate Social Responsibility Fund for financial inclusion initiatives targeting women and socially disadvantaged communities. The Bank also provided COVID-19 insurance facilities as well as incurred all the expenses related to prevention and cure of COVID-19 for its staff members.

The Bank has in place a dedicated CSR Committee, comprising four members, that is responsible for identification of appropriate sectors to conduct the Bank's CSR activities. The Committee meets on a monthly basis to determine probate sectors for implementing CSR initiatives and to pave the way forward for effective CSR activities. The Bank has been actively involved in offering financial assistance for prevention and control of COVID-19 so as to lessen the public anxiety regarding the disease. The Bank has ensured that it conducts its CSR activities in view of the overall social and national welfare rather than just to abide by the regulatory requirement to contribute in CSR initiatives.



3.



4.



5.



HUMAN RESOURCE MANAGEMENT

Any commercial bank can offer qualitative banking services to meet the unique banking needs of its varied customers only through effective management of its available workforce. The Bank has in place a dedicated Human Resource Department that is actively involved in enhancement of skills and competence of its active employee base of around 3,000 employees through various kinds of training and development activities so that it can keep its promise of 'Bank for All' for its internal stakeholders as well.

One of the major tasks entrusted to the Human Resource Department includes identification and management of competent employees. To ensure this, the Department is involved in various activities and operations including recruitment and selection, promotion, annual performance review, compensation and benefits, compliance to employee bylaws, induction of new employees, training and development, employee database, salary and allowances, employee transfers to name a few.



1,887

TOTAL NUMBER
OF MALE EMPLOYEES

1,075

TOTAL NUMBER
OF FEMALE EMPLOYEES



HUMAN RESOURCE POLICIES

The Human Resource Department works in close coordination with various departments and their strategic partners and it also ensures proper compliance of various internal and external laws, guidelines and directives. The Department is fully committed to ensure effective implementation of and compliance with Labour Law, various directives and policies issued by Nepal Rastra Bank and internal policies and procedures of the Bank that assists it in maintaining effective human resource management and enhances the state of corporate governance in the Bank.

In line with the directives of Nepal Rastra Bank, the Bank allocates 3 percent of its total salary and allowances for the purpose of training and development of its dedicated employee base. It is imperative that effective employee performance is possible only through creation of a favorable work environment in the organization. To ensure this it is necessary that there is effective identification of priorities of human resource as well as proper identification of possible future trends in the sector of human resource development. The Human Resource Department of the Bank has already initiated operational policies and procedures to assist in the overall human resource development of the Bank.

With the assistance of the digital banking department of the Bank, the Department has initiated some regular operations related to human resource management. As such, the Bank has started training and development of its staff through digital platforms like MS Teams after properly scrutinizing the existing skill base of its staff. This has assisted the Bank to enhance not only the work based competence but also professional development of its staff. The digital platform has been especially effective to offer training facilities to its staff located in the rural areas of the country where it is sometimes challenging to conduct actual physical training. In addition to this, those platforms have also helped in regularly and effectively operating the branches located in those far flung areas. The e-learning platform of the Bank that is based on innovative digital technologies has enhanced the ease and effectiveness of the learning and development of its staff base without the restrictions of time and place to conduct such training and development activities. Some of such training provided to the staff have covered some mandatory areas like Anti Money Laundering (AML) and Know Your Customer (KYC).

KEY HR INDICATORS

The sustainable development and progress of any organization depends on clear understanding of the employees of the organization on what is expected of them in terms of their performance. It is also necessary that the organization has proper performance benchmarks in place as well as there is a proper mechanism to identify and ensure transparency and effectiveness of the performance of its employees. For this, the Bank has kept in place a few performance indicators to evaluate the overall performance of its employees working in various divisions and departments

The key performance indicators of the Bank shall also assist in enhancing the effectiveness of the performance evaluation mechanism of the Bank while at the same time increase the transparency in the regular work processes of the Bank. These indicators also play a vital role in promoting effective coordination amidst various departments and divisions of the Bank.



HUMAN RESOURCE COMMITTEE

As per the guidelines of Nepal Rastra Bank, the Bank has established a board level employee welfare committee. The committee has been fulfilling its roles and responsibilities in line with the provisions mentioned in Nepal Rastra Bank's Unified Directives No 6. Section 67. Director Krishna Prasad Sharma is the coordinator and director Cabinet Shrestha is member of the committee and Chief Human Resource Officer is the Member Secretary of the Committee. The committee has conducted a total of 5 meetings in the review period. The working scope of the committee has been highlighted below:

- Assist the management committee in development of 'Compensation Determination Policy'
- Identify and analyze pay scale of the employees at regular intervals as well as recommend amendments in the pay scale of the employees
- Recommend the management committee of the bank for necessary increment in the salary and benefits of the employees ranging from Chief Executive Officer to junior level staffs as per the prevalent policies and market trends
- Evaluate the performance of the employees on the basis of the performance evaluation mechanism of the Bank and the roles and responsibilities assigned to each staffs
- Recommend necessary policies, procedures and mechanism to the management committee regarding employee recruitment and selection, job division, promotion and transfers, skills development, rewards and punishment and labor laws
- Recommend the management committee regarding the roles and authorities assigned to staffs on the basis of their designation and work scope.



CUSTOMER CENTRIC BUSINESS MODEL

The Bank has always kept its customers at the forefront of its business philosophy and has always emphasized on developing qualitative, cost effective and reliable products and services to cater to their varied needs. Some of the key highlights of the customer centric initiatives of the Bank are presented below:

- Easily accessible digital banking services like mobile banking, internet banking, connectIPS along with facility of self-generated password facilities to customers for services like mobile banking and connectIPS

- Availability of customer friendly and prompt banking services namely online account opening, online loan application, online cheque book request and so on to offer banking service on the go for its customers

- Introduction of a new fixed deposit product entitled ' Meri Unilai' to enhance the financial inclusion of the female customers.

- Introduction of NRN saving and Fixed Deposit products making access for Non Resident Nepali to open their accounts on their respective residing country' currency.

- Introduction of "Hybrid Bachat Khata" where the saving deposit will automatically convert in Fixed Deposit on reaching balance of Rs. 100,000.

The customer centric business model of the Bank has not only enabled it to create a diverse pool of dependable customers but also enabled it to enhance its sustainability and profitability.







PRODUCTS AND SEREVICES

Global IME Bank Limited (GIBL) has always focused on offering tailored products and services to effectively fulfill the plethora of banking needs of its customers ranging from individual customers to business professionals, corporate houses, government organizations, multilateral agencies, NGO, INGO to name a few.

The Bank's drive to deliver customer centric products and services backed by world class technological infrastructure has not only enabled the Bank to create a varied pool of loyal customers but also to create newer and better benchmarks of service excellence in the banking industry of the country.

Global IME being one of the largest commercial bank of the nation, with a vision "Bank for All" has always positioned itself in forefront for providing qualitative & reliable service with its diverse products & services. With the aim to render hassle-free financial services and deliver superior customer experience, we have been focusing on building digital product/service portfolio capitalizing on available technological resources. With the objective of "GOING DIGITAL", Bank has designed its digital products i.e. GLOBAL SMART-Mobile banking & Global Online-Internet banking for its valued customers to access banking service from Anywhere & Anytime. The Bank Continues to reimagine sales, services and processes with an increased focus on digital channels and payment services.

252
TOTAL NUMBER OF ATMS

0.66 ↑(32%)
MILLION
TOTAL NUMBER OF DEBIT CARD USERS

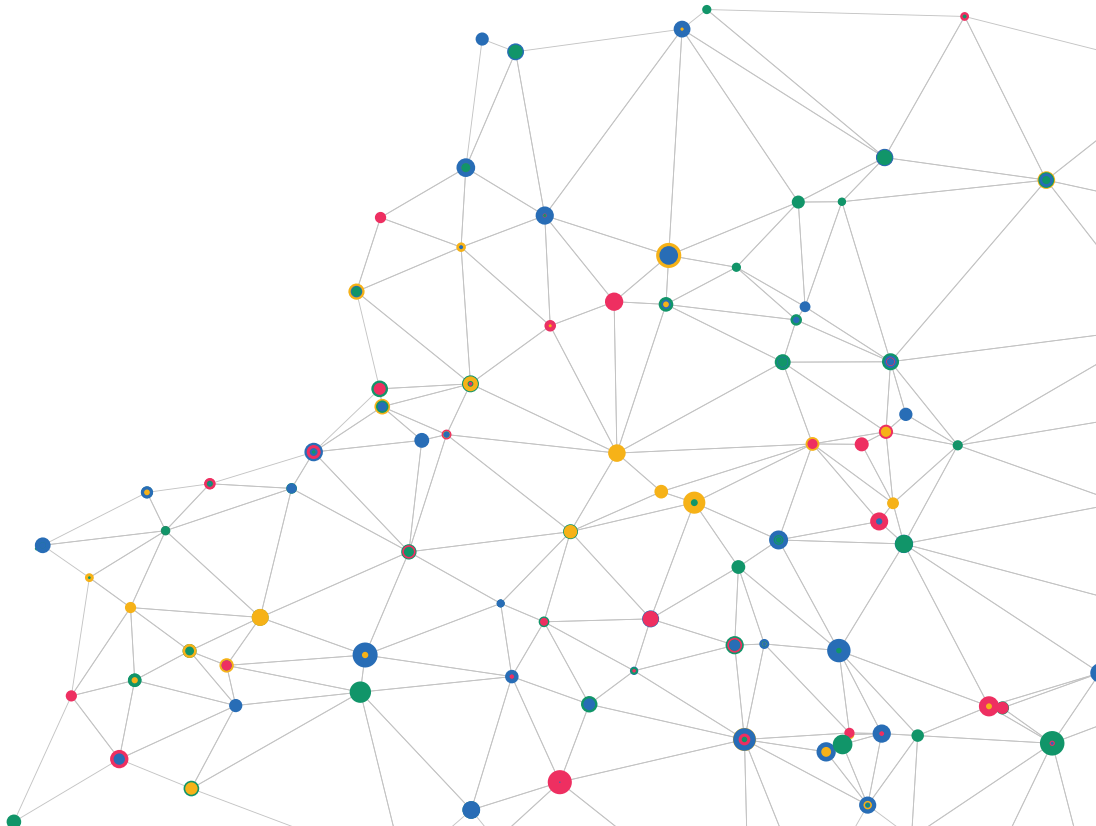
TECHNOLOGY DRIVEN

SECURED CONVENIENT AND EASE

Why Stand in queue when you can do online? You can Bank how, where and when it's most convenient for you. Global IME Bank gives you a powerful, comprehensive, low risk set of digital banking tools to the valued customers.

Some of the digital services that are offered by the Bank are as below:

1. Online Account Opening
2. Online Fixed Deposit
3. Global Remit
4. Online Loan Application
5. Online Credit Card
6. GIBL Secured eCom
7. QR Code Payments
8. Missed Call Banking
9. Viber Banking
10. Global IME Chatbot to respond customer queries



DEPOSITS

GIBL offers unique products and services to cater to the banking needs of its diverse customers. Its deposit products offer a unique blend of banking and technological services and facilities and are thus highly referred by both individual and institutional customers.

Under the saving deposit category, the bank has a variety of saving schemes namely Sabai Nepaliko Bachat Khata targeting small individual savers, Global Share Lagani Bachat Khata for stock investors, Global Navaratna Bachat Khata for savers seeking higher returns on their saving deposits, Global Sansthagat Bachat Khata for nonprofit making entities as well as a range of other saving schemes like Global Suraksha Bachat, Global Premium Savings Account, Global Branchless Banking Savings Account, Global Remittance Bachat Khata, Global Janmabhumi Bachat, Global Students Saving Account ,Foreign Currency Savings Deposit Account, Global Balbalika Bachat, Global Karmachari Bachat, Global Nari Bachat, Global Normal Savings, Global Senior Citizen Account, Global Nari Shakti Bachat Khata, Global NRN Deposit Account that have been serving almost every customer segment of the country.

GIBL offers Fixed Deposit facility to its customers who wish to maintain comparatively longer term deposits with the Bank. The Bank has various kinds of fixed deposit products namely Global General Fixed Deposit, Global Top-Up Fixed Deposit, Meri Unilai Fixed Deposit (a special term deposit for female customers) and Global IME Retirement Fund.

In addition to the saving and fixed deposit, the Bank also offers current deposit services to cater to the short term fund placement requirements of both its individual and institutional customers by offering them a dependable banking platform backed by world class infrastructure.



283 ↑(25%)
BILLION
TOTAL
DEPOSITS

2.53 ↑(20%)
MILLION
DEPOSIT
CUSTOMERS

SAVING DEPOSIT PRODUCTS

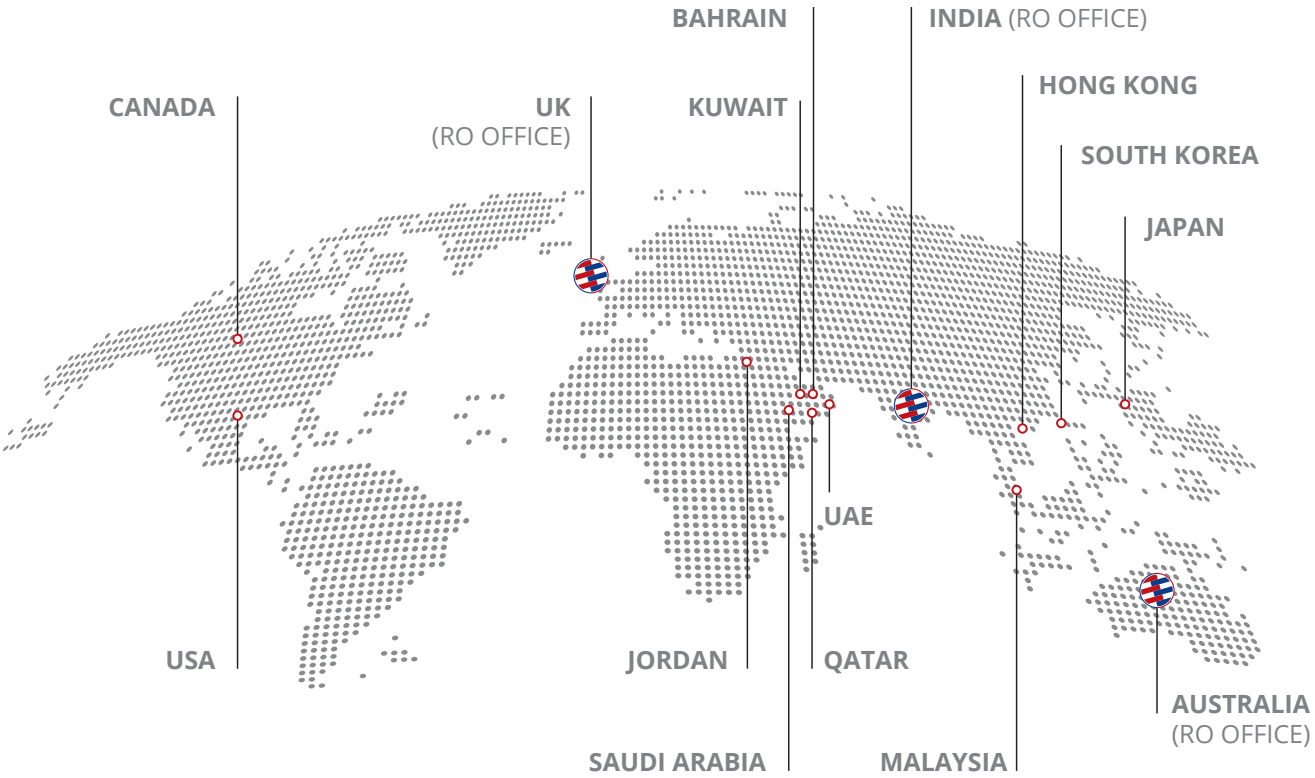
S.NO.	SAVING ACCOUNT	DESCRIPTION	WHAT IS OFFERED						
			MINIMUM BALANCE	INTERNET BANKING	MOBILE BANKING	VISA DEBIT CARD	LOCKER CHARGE	VISA CREDIT CARD	OTHERS
1	Sabai Nepaliko Bachat Khata	This saving product is designed for people who do not previously own a bank account and whose yearly transaction amount does not exceed Rs. 100,000/-. This account can be opened by filling up a simplified account opening form and a government issued photo-bearing ID card. In addition, the bank will deposit Rs. 100/- (tax applicable) after successful opening of the account.	-	Free	Available On Request	Available On Request			
2	Global Share Lagani Bachat Khata	This is a saving product designed especially to facilitate stock investors for online trading. It allows investors to avail waivers on various ancillary products and also provide attractive interest rate on their savings.	-	Free for First Year	Free for First Year	Free for First Year	50% discount	50% discount	
3	Global Navaratna Salary Account	Global Navaratna Salary Account is a premium salary account bearing high interest rate, with exclusive offers and waivers. Employees working in any organization / institutions aged 18 years or above upon receipt of the authorized letter from the employer are eligible to open thi account.	100.00	Free for First Year	Free for First Year	Free for First Year	50% discount	50% discount	Free accidental insurance coverage upto Rs. 500,000.00
4	Global Navaratna Bachat Khata	It is a saving deposit product intended for people looking for better returns on saving accounts and offers highest interest rate.	25,000.00	Free	Free for First Year	50% discount	50% discount	50% discount	
5	Global Premium Savings Account	Global Premium Saving is a savings deposit product designed to fulfill the requirement of saving with better returns and without having to spend more on fees/charges. This product focuses to meet the saving habit of those people wishing to form a consistent and regular saving habit.	10,000.00	Free for First Year	Free for First Year	Free for First Year	50% discount	-	
6	Global Branchless Banking Savings Account	This accounty is to be opened from our Branchless Banking Service points through our BLB agents.	-	Free	Available On Request	Available On Request	-	-	
7	Global Remittance Bachat Khata	This product is designed for people who are looking to travel foreign country for working purpose. They can open account here in Nepal and obtain an account number so that they can use the same account number to send money from abroad.	-	Free	Available On Request	Available On Request			0.25 % discount on pro cessing fess of Home Loan
8	Global Janmabhumi Bachat	This product is designed to facilitate everyone working in foreign countries who wish to send their hard earned money through safest way. This account can only be opened from foreign countries where bank's representatives are located.	-	Free	Available On Request	Available On Request			0.25 % discount on processing fess of Home Loan
9	Global Students Saving Account	"This product is targeted to College Students. The product is believed to cultivate banking habit among the youngsters, who are the future of the country."	-	Free for First Year	Available On Request	50% discount for first year			
10	Foreign Currency Savings Deposit Account	"People having income in foreign currency and wishing to maintain deposit in foreign currency are the target customers for this product."	-	Free	Available On Request	Available On Request			

SAVING DEPOSIT PRODUCTS

S.NO.	SAVING ACCOUNT	DESCRIPTION	WHAT IS OFFERED						
			MINIMUM BALANCE	INTERNET BANKING	MOBILE BANKING	VISA DEBIT CARD	LOCKER CHARGE	VISA CREDIT CARD	OTHERS
11	Global Balbalika Bachat	This product is designed to encourage saving habit amount parents for the future assistance of their children providing them with the benifits of banking services.	100.00	Free for First Year	Available On Request	Available On Request			0.25 % discount on proccessing fess of Home Loan
12	Global Karmachari Bachat	This product is designed to enable institutions to distribute salary of their employee through banking channel.	-	Free for First Year	Free for First Year	Free for First Year	30% discount		
13	Global Nari Bachat	This product is designed to encourage saving habits of women. The minimum balance has been set low to enable any women to open account whenever they wish.	100.00	Free for First Year	Free for First Year	Available On Request			
14	Global Normal Savings	Normal Savings Account is a savings deposit product designed to meet the savings needs of those people wishing to open a general saving account and facilitate them with the banking services.This product aims at developing banking habits among first time savers	-	Free	Available On Request	Available On Request			
15	Global Senior Citizen Account	This product is designed to cater special requirement of senior citizens of the country. The customers are provided with privileged service as respect to the senior citizens.	100.00	Free for First Year	Available On Request	Available On Request			Privelege Facility at our branches
16	Global Nari Shakti Bachat Khata	Nari Shakti Bachat Khata is a high-range saving deposit product exclusively bestowed and targeted to women of working age with regular source of income as well as housewives with good savings to facilitate them with the banking services as empowering women is the key to socioeconomic growth.	1,000.00	Free for First Year	Free for First Year	Free for First Year	50% discount		Discount on Medical Check up Facility
16	Global Nari Shakti Bachat Khata	Nari Shakti Bachat Khata is a high-range saving deposit product exclusively bestowed and targeted to women of working age with regular source of income as well as housewives with good savings to facilitate them with the banking services as empowering women is the key to socioeconomic growth.	1,000.00	Free for First Year	Free for First Year	Free for First Year	50% discount		Discount on Medical Check up Facility
17	Global NRN LCY Deposit Account	Global NRN Deposit Account is designed to cater the specific requirement of Non Resident Nepalese. So for such banking service to NRN Global IME Bank introduces various types NRN deposit account Schemes.	5,000.00	Available On Request	Available On Request	Available On Request	50% discount	50% discount	85% premium on buying rate spread during LCY conversion to NPR for deposit purpose. Waiver of 25 basis points on processing fee on home loan and auto loan to accountholder or his/her immediate family member.
18	Global IME Hybrid Bachat Khata	Global IME Hybrid Bachat Khata is designed with purpose of coverting the saving deposit to fixed deposit when the saving balance reaches Rs. 100,000 and its multiple. Default tenure of Fixed Deposit is 1 year, with option to choose other duration. And the fixed deposit rate will be prevailing published rate.	-	Free for First Year	Free for First Year	Free for First Year			
19	Global NRN FCY Saving Deposit Account	This product is designed especially to meet the financial demand/requirement of the Nepalese individual and institutional residing/working outside Nepal. The account can be opened in USD, AUD, GBP, CNY, JPY & EUR currency	Equivalent to USD 5,000						Hassle-free repatriation of principal and interest without any charge. Waiver on Card charges, Internet banking facility and mobile banking facility. Special concessions on conversion of FCY deposit into NPR, as per your need and convenience. As the account is opened in foreign currency, there is no exchange rate fluctuation risk.

TERM DEPOSIT PRODUCTS

TERM DEPOSITS	DESCRIPTION	MINIMUM BALANE	WHAT IS OFFERED FEATURES
General Fixed Deposit	This product is designed to allow general public and institution who wish to earn higher interest rate by keeping their fund in fixed deposit in the bank.	-	
Global Top Up Fixed Deposit	The Top-Up fixed deposit is a special kind of term deposit product which helps people with regular income to deposit amount every month into their deposit account from their normal account and earn interest at the rate applicable to fixed deposits. This deposit matures on a specific date in the future along with all the deposits made every time. Depositors may choose a core amount to open their deposit and increase the amount subsequently. This deposit scheme will allow customers an opportunity to build up their savings through regular deposits of a sum over a fixed period of time.	NPR 10,000.	Multiple Top-Up with variable amount and instant loan facility up to 90% of the total outstanding deposit amount with interest same as that of Loan Against Fixed Deposit of own bank by lien marking the account.
Meri Unilai Fixed Deposit	Meri Unilai Fixed Deposit is a special kind of term deposit designed for the women and all the female above 18 years. The basic objective of the product is to encourage person (He) to assist saving for his spouse and also to develop saving habit of women for their future. Depositors may choose a core amount (Minimum NPR 100,000) to open fixed deposit and increase the amount subsequently. The minimum top up then after in the fixed deposit is NPR 50,000 and the customer is not allowed for top up in case the fixed deposit has less than 3 months for maturity. This deposit matures on a specific date in the future along with all the deposits made every time. This deposit scheme will allow customers an opportunity to build up their saving through regular deposit of a sum over a fixed period of time.	"For fixed deposit opening NPR 100,000. Minimum top up amount NPR 50,000."	"Free Debit card for the 1st year 100% discount on locker charge 1st year Loan facility upto 90% of fixed deposit amount. Can be opened through mobile and internet banking." **"Additional Offers: For fixed deposit of 1 million and above:** Free debit card in saving account. Privileged card to the customers Privileged / personalized service will be provided by the branch. No credit card issuance charge. 100% waiver in processing fee for home loan. Personal Home service for account opening."
Global Sambriddha Awakas Recurring Deposit	This product is designed to allow the pension holders (Nepalese Citizen) who wish to earn higher interest rate by keeping their pension fund in fixed deposit in the bank.	"No specific requirement with a commitment to deposit minimum of 25% of the monthly pension amount. Additional deposit of any amount can be topped up in the account"	"Free Debit card . Free Mobile Banking . Loan facility upto 90% of fixed deposit amount. Instant payout of the account balance along with acrued interest in case of demise of accountholders." Free Issuance of Credit Card upon request Accidental Insurance of NPR 100,000.00 Privileged / personalized service will be provided by the branch. 100% waiver in processing fee for above processed loans Personal Home service for account opening."
Global IME Remitters Term Deposit	This product is designed to allow the migrant workers and beneficiaries (Nepalese Citizen) who wish to earn higher interest rate by keeping their foreign earned fund in fixed deposit in the bank.	NPR 10,000.	Premium of 1.00% p.a. on published individual fixed deposit rate for all tenures.
Global NRN FCY Saving Deposit Account	This product is designed especially to meet the financial demand/ requirement of the Nepalese individual and institutional residing/working outside Nepal. The account can be opened in USD, AUD, GBP, CNY, JPY & EUR currency	Equivalent to USD 5,000	Hassle-free repatriation of principal and interest without any charge. Waiver on Card charges, Internet banking facility and mobile banking facility. Special concessions on conversion of FCY deposit into NPR, as per your need and convenience. As the account is opened in foreign currency, there is no exchange rate fluctuation risk.



REMITTANCE

Global Remit is dedicated to provide fastest and safest way of money transfer and very competitive in terms of offering remittance with lowest sending fee and highest exchange rate. So far with the lowest sending fee and highest exchange rate offered to its customers, Global Remit has established a strong bond amongst its customers.

GIBL has been one of the strong market players in terms of offering premium customer centric, technology oriented remittance services to its customers. It offers a robust web based remittance service equipped with the latest security and technological features that support remittance from various International destinations to any bank's accounts and any locations in Nepal. Customer can send money through our international remittance partner using their branches or using digital platform.

With the presence of 3 representative offices in United Kingdom, Australia and India, Global IME Bank has tie up with licensed partners from more than 13 countries for international remittance to Nepal which consist of more than 40 receiving partners/banks. The remittance payment of the bank can be collected from more than 30,000 IME and GME's agents along with banks own 264 branches. In addition Bank also provides domestic remittance service in Nepal via all its branches.



LOANS AND ADVANCES

In order to cater to the needs of the customers who seek financial assistance to fulfill their personal as well as professional requirement of funds, GIBL has in place loans and advances facilities of various nature and duration. These credit services cater to the fund deficit of individual customers, small and medium enterprises, corporate houses, manufacturing organizations, infrastructure projects and so on.

Similarly to meet the requirements of the corporate and trading sector, the Bank offers credit facilities like Letter of Credit, Letter of Guarantee/Bank Guarantee, documentary collection to name a few so as to fulfill the trade finance requirements of its valued customers. In addition to this, the Bank offers facilities of funded loans to meet the fund requirement of corporate houses, infrastructure/project and consortium loans to back up large projects, Global IME Krishi Karja to empower the agricultural sector. It also uplifts the businesses of various small and medium enterprises by offering them credit facilities like Global Small Business Loan, Global IME SME Loan and so on.

↑(21%)
243
BILLION
TOTAL LOANS AND ADVANCES

↑(4%)
56
THOUSAND
LOAN CUSTOMERS

LOAN PRODUCTS

S.NO.	LOANS	DESCRIPTION
1	Loan against FD	Provides you flexibility of availing loan on your Fixed Deposit.
2	Global Mortgage Loan	Provided to suffice your personal financing/ business requirements such as for financing your long vacation plans, buying home equipments, electronics or any other unexpected needs.
3	Global Education Loan	Provided to suffice financing requirement for students to pursue sound academic career. Our education loan aims to provide financing in such a way that the requirements of the students are met without any hassles.
4	Global Hire Purchase Loan	Enables you to purchase commercial vehicles such as heavy and light commercial vehicles especially truck, bus, microbus excavator etc.
5	Global Auto Loan	An ultimate solution to your financing requirements of your dream vehicle
6	Global Home Loan	A financial solution to building your dream home.
7	Global Small Business Loan	This been proposed to help to the small businesses/individuals within the vicinity of the service outlet of bank
8	SME Loan	Flexible financial solutions for business operation and expansion.
9	Corporate Loan	"Different Industrial/ Business Loans to suffice financing requirement of different kinds of organizations. Followings are the different funded facilities offered by GIBL: a. Fixed Term Loan b. Working Capital Loan c. Overdraft Facility d. Demand Loan e. Import/Export Credit f. Cash Credit"
10	Infrastructure/Project Loan	"Financial solution to different types of infrastructure/project including "Green Field" projectsand other different types of projects such as Hydro, Cement, Steel, Hotels and Housing. Followings are the different funded facilities offered by GIBL: a. Fixed Term Loan b. Working Capital Loan c. Overdraft Facility d.Bridge Gap Facility e. Import/Export Credit f. Cash Credit "
11	Consortium Loan	Financial partner of consortium loans for large projects such as hydro, steel, cement, pharmaceuticals and hotel projects etc.
12	Global IME Krishi Karja	Solution to cater the rural and semi urban farmers, who have creditworthy plan, zeal, and candid attitude and lacks suffi cient capital to materialize their dream. The Bank shall provide easy excess of financing to cultivate different seasonal crops including livestock financing, fishery, poultry farming, sericulture, floriculture and horticulture etc.

BRANCHLESS BANKING

The Bank has played a crucial role in catering to the rural customers who were earlier devoid of formal banking services because of their geographical location. The Bank has been offering apt products and swift services to empower these rural customers by inculcating a habit of saving in them. The Bank's technologically robust and operationally efficient branchless banking service has not only served the banking needs of its rural customers but also played a major role in economic empowerment of the rural communities who were earlier untouched by the formal banking channels.



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BRANCHLESS BANKING CENTRE

1.14 ↑(48%)
MILLION
MOBILE BANKING USERS

0.17 ↑(41%)
MILLION
INTERNET BANKING USERS

MOBILE BANKING

Global Smart - the mobile banking service of GIBL has been a great tool for its varied customers to carry out their banking transactions at their fingertips. Though the quick, simple and convenient platform of mobile banking, the Bank has been offering services of fund transfer, bank statements, interbank fund transfer, missed call banking, utility payment, credit card payment, account information, information on exchange rates, bank branches, offers and discounts of the Bank to name a few.



ASBA & DEMAT SERVICES



CASBA is centralized application on ASBA (Application Supported By blocked Amount) Based issuance. Main objective of this system is to eliminate the invalid and error data by verifying the demat account number and bank account number before applying for public issues through ASBA system. Securities Board of Nepal (SEBON) provides the license for ASBA services. Global IME Bank is one of the leading ASBA member in Nepal to provide ASBA services to customers for share apply

DP CASBA Unit performs the functions of supporting, guiding, coordinating, and controlling the DP/ CASBA related activities carried out in branches and DP unit. We have now two separate DPs and one subsidiary companies/ Merchant Banking (Global IME Capital). This unit coordinates with capitals and branches. Main focus of this unit is to provide the support to branches and quality services to the customers related to DP/CASBA.

Services Offered:

1. Demat Account Opening and renewal, Mero Share Registration and renewal.
2. Providing Demat statement/ detail of customer.
3. Reset of Mero Share password of customers upon request.
4. Dematerialization of Share certificate.
5. Collection DRN DIS request from outside valley branches and provide to Global IME Capital Ltd and Global IME Bank Ltd. DP (erstwhile Janata Bank Ltd. DP) for needful action.
6. Pledge and release of shares as per request of customers on Global IME Bank Ltd.DP (erstwhile Janata Bank Ltd. DP) only.
7. Grievance handling of customer related to Demat, Mero Share, bonus, tax etc.

GLOBAL CONNECT CUSTOMER CARE SERVICE

Global IME Bank has launched Call Center Service called Global Connect from Bhadra 1, 2077. The Call Center is an important communication link to customers and is an important source of contact for requesting information and support services. The call center will be the primary contact point for responding to public enquiries. The Call Center centrally manages all calls coming into the Bank via a dedicated hotline telephone number.

In this age of digitization, we need to have a digital platform where the customers are attended by the Bank therefore the Global Connect has been established. In the initial phase, customers can contact Global Connect from 8:00 a.m. in the morning to 7:00 p.m. in the evening in weekdays and 8:00 a.m. in the morning to 4:00 p.m. in the evening during Fridays. Customers can also put up their query and complaints as well as request for information and give suggestions to the Bank via Global Connect.





TREASURY & INTERNATIONAL BANKING



"Treasury & International Banking is pivotal department of a bank dealing with acceptable level of risk and utilizing the consolidated fund of the bank optimally and profitably. The purpose of the department is to manage a bank's overall liquidity and to mitigate its financial and operational risk. The overall objective of the department is to safeguard the bank's holdings optimally and to follow the long-term strategy set out by the bank for obtaining desired results.

The Bank operates Treasury & International Banking within the parameters of the foreign exchange rules and regulations issued by Nepal Rastra Bank (NRB) and Foreign Exchange and Money Dealers' Association of Nepal (FEDAN). The department is accountable for balancing and managing the daily cash flow and liquidity of funds within the bank. The department also handles the bank's investments in securities, foreign exchange and cash instruments. The department is also highly focused on market research and development. The department recognizes and plans for the potential impact of deviations in market scenarios, banks operations, and the financial situation in which a bank operates. Treasury & International Banking has served as centralized function of the bank who administers buy/sell of foreign exchange currencies (FX), money market dealings, investment in government treasury bills/bonds, and bullion trading and transfer pricing.

Treasury & International Banking is also looking after bank's the correspondent banking relationship. Through correspondent banking relationships, bank has access to financial services in different jurisdictions and provide cross-border payment services to their customers, supporting international trade and financial inclusion. Treasury department facilities the branches/units with the management and funding of required nostros, cross border payment, pricing the international trade's deals. The department also act a communication bridge with correspondent bank for various kinds of issues like payment process, pricing, RMA and compliance requirement for both parties."





INTERNATIONAL CORRESPONDENT BANKS

List of International Correspondent Banks SWIFT/BIC Codes
For Settlement through: **GLBB NP KA**

CURRENCY	CORRESPONDENT BANK	SWIFT/BIC
AUD	**Standard Chartered Bank,** Singapore	SCBL SG 22
EUR	**Standard Chartered Bank,** Frankfurt am Main	SCBL DE FX
GBP	**Standard Chartered Bank,** London	SCBL GB 2L
INR	**HDFC Bank Ltd,** Mumbai	HDFC IN BB
INR	**Standard Chartered Bank,** Mumbai	SCBL IN BB
INR	**AXIS Bank,** Mumbai	AXIS IN BB FIC
INR	**IDBI Bank,** Chennai	IBKL IN BB 005
INR	**YES Bank,** Mumbai	YESB IN BB
INR	**RBL Bank,** Mumbai	RATNINBB
INR	**ICICI Bank,** Mumbai	ICICINBBA
JPY	**Standard Chartered Bank,** Tokyo, Japan	SCBL JP JT
KRW	**Kookmin Bank,** Seoul	CZNB KR SE
CNY	**China Construction Bank,** Shanghai, China	PCBC CN BJ
SGD	**Standard Chartered Bank,** Singapore	SCBL SG 22
USD	**Habib American Bank,** New York	HANY US 33
USD	**Kookmin Bank,** Seoul	CZNB KR SE
USD	**Standard Chartered Bank,** New York	SCBL US 33
USD	**KEB Hana Bank,** Seoul, Korea	KOEX KR SE
USD	**Mashreq Bank PSC,** New York	MSHQ US 33
USD	**Industrial Bank of Korea,** Seoul, Korea	IBKO KR SE
USD	**ICICI Bank,** Hong Kong	ICICHKHHCLR
AED	**Standard Chartered Bank,** Dubai	SCBL AE AD
AED	**Mashreq Bank,** Dubai	BOMLAEAD

AS REQUIRED BY SEC 109 OF COMPANIES ACT 2063, TO BE INCLUDED SEPARATELY WITH BOARD'S REPORT

1. **Information on shares forfeited by the Bank during the year:**
   There is no forfeiture of share during the Fiscal year 2020-21.

2. **Financial positions of the Bank and its subsidiary in the previous year ended:**
   The detailed financial position of the bank and its subsidiaries have been provided in the Director's Report and Audited Consolidated Financial Statement for the year 2020-21. The Bank's Performance has also been highlighted in the Board Report for FY 2020-21.

3. **Major transactions carried out by the Bank and its subsidiary during the financial year 2020-21, and any significant changes in the business of the Bank during the period:**
   The major transactions carried out by the bank and its subsidiary and the change in transactions is provided in the attached Consolidated Statement of Financial Position, Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Cash Flow Statement, Statement of Changes in Equity, Significant Accounting Policies and Notes to Accounts.

4. **Information provided by key shareholder to the company during the previous fiscal year.**
   No such transaction noted.

5. **Information regarding the purchase and ownership of shares by the Directors and high officials of the company, and further information received by the company from the directors if involved in the share transactions.**
   The Directors and members of management team are not involved in the share transaction of the company. Management team has not taken any shares apart from the ones separated for the employees. Shareholding patterns of the Directors are as follows:

S.NO.	NAME OF SHAREHOLDER	REPRESENTATIVE	NO. OF SHARES
1.	Mr. Chandra Prasad Dhakal	Promoter Shareholder	7,913,866
2.	Mr. Cabinet Shrestha	Promoter Shareholder	2,006,037
3.	Mr. Ram Bahadur Bhandari	Promoter Shareholder	124,410
4,.	Mr. Sudarsun Krishna Shrestha	General Shareholder	272
5.	Mr. Krishna Prasad Sharma	General Shareholder	2,094
6.	Mr. Devendra Pratap Shah	Independent Director	3,809

6. **Information provided to the company by any directors or his close relatives on their personal interest in the company related agreements in the previous fiscal year.**
   No such information have been provided to the company.

7. **If company has purchased its own shares, the reason for purchasing its own shares, the number of shares purchased and the amount and also the payment by the company for such kind of purchase details.**
   No such transaction took place.

8. **Distribution of Profit:**
   The board has recommended distributing bonus shares of Rs. 2,163,250,303.50 (i.e. 10.00%) and cash dividend of Rs. 757,137,606.23 (i.e. 3.50%) from its net profit of current year and retained earnings. Net profit has been transferred to various statutory and regulatory reserves as directed by Nepal Rastra Bank and such distribution has been shown in the financial statements accordingly.

9. Statement of the total management expenses for the financial year

Particulars of the total management expenses for the financial year 2020-21 are as follows:

PARTICULARS	AMOUNT
Staff Expenses *	3,164,815,841.58
Other Operating Expenses	2,083,541,078.43
Total	**5,248,356,920.01**

* Staff Expenses include provision for annual bonus amounting to Rs 663,119,783.19

10. Details on the members of the Audit Committee; salary, bonus and facilities provided to the members; work carried out by the committee and any suggestions given:

The Bank has Audit Committee comprising of the following members:
Mr. Ram Bahadur Bhandari - Coordinator
Mr. Krishna Prasad Sharma – Member
Mr. Sushil Shrestha - Member Secretary (Chief – Internal Audit Department)

For every audit meeting held, the audit committee members get Rs. 15,000/- allowance. In the current fiscal year, a total allowance of Rs. 450,000/-has been presented to the audit committee members. Audit committee in regular intervals discusses internal and annual audit report prepared by Internal Audit Department and presents it to the Board of Directors. During the review year, Audit Committee meeting was held 15 times with different agenda. As a result, the committee has given suggestions to the Board of Directors on various areas such as financial position, internal control operation, legal compliance and risk minimization.

11. Payments due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank and their close relatives, or from any firm, company or corporate body in which they are involved in.

No payment is due to the Bank from any Directors, Managing Director, Chief Executive or the basic shareholders of the Bank or any of their close relatives, or from any firm, company or corporate body in which they are involved in.

12. Remuneration, allowances and facilities provided to the Directors, Managing Director, Chief Executive Officer and other official of the bank.

The amounts paid as remunerations, allowances and facilities to the Directors, Chief Executive Officer and other office bearers are as provided below:

a. Chairman and Board members:

Chairman of the Board of Directors and the Board members get Rs. 17,000 and Rs. 15,000 respectively as meeting allowance per meeting and the sub-committee members get Rs. 15,000 as meeting allowance per meeting. Sum of Rs. 10,000 per month is provided to directors for communication and travelling facilities.

During the fiscal year a sum of Rs 2,818,000 has been paid to the Chairman and the board members as allowance and Rs 1,065,000 for sub-committee members (including audit committee members). Rs. 1,523,066.09 has been incurred as other expenses.

b. Chief Executive Officer, Company Secretary and other officials:

i. The detail of salary and allowance paid to CEO and Acting CEO are as below:
Mr. Ratna Raj Bajracharya was appointed as CEO of Global IME Bank Ltd from 17th August 2020. Before the appointment of Mr. Ratna Raj Bajracharya as CEO Mr. Mahesh Sharma Dhakal was working as Acting CEO till 16th August 2020. The following table is the combined details of Mr. Mahesh Sharma Dhakal till 16th August 2020 and Mr. Ratna Raj Bajracharya from 17th August 2020 to 15th July 2021.

PARTICULARS	AMOUNT
Salary	7,332,000.00
Allowance	4,860,000.00
Provident Fund	733,200.00
Dashain Allowance	1,053,000.00
Others	-
Total	**13,978,200.00**

ii. The performance based salary provided to the CEO is as follows:
Not Paid

ii. Other Facilities

a) Telephone & Mobile Expense	Rs. 57,390.00
b) Repair and maintenance of vehicle	Rs. 19,420.00
c) Fuel	Rs. 92,400.00

c. Other facilities

- For staffs up to the position of assistant manager, salary, allowance and provident fund totaling to Rs. 215,513,390.93 and in addition to this, fuel and mobile facility is provided as per the bank's rule.
- Company Secretary has been paid remuneration of Rs 1,950,000.00 during the year.
- Remuneration and facilities so provided has been paid only after deducting income tax and TDS as per Income Tax Act.
- Other facilities and allowances have been provided as per the company's employee bye- laws and any decision made by the board of directors.

d. During the fiscal year total employee expenses including the annual staff bonus provision is Rs. 3,164,815,841.58.

13. Dividend yet to be collected by the Shareholders:

The dividend yet to be collected by shareholders is Rs. 29,978,666.23.

14. Details of property purchased or sold u/s 141 by the Bank during the year:

a) The details of assets required by the bank such as vehicle, office equipment, capital expenditure, leasehold improvement purchased and sold has been shown under schedule 4.13 of the attached financial statement.

b) The bank has purchased or sold the assets as per the prevailing market price and the procedures prescribed in the financial policy of the bank.

15. Details of transactions between related companies u/s 175.

The details of transaction between the related companies have been provided in Note 5.7 of the financial statement published with this annual report.

16. Details to be disclosed as per the Company Act and other related acts regarding board meeting :

There are no such details for disclosure.

17. Any other issues:

There are no other issues for disclosure.

DISCLOSURE RELATED TO SUB RULE (2) OF RULE 26 OF SECURITIES REGISTRATION AND ISSUANCE REGULATION, 2073

1. **Report of Board of Directors:**
   Included in the Annual Report

2. **Report of the Auditors:**
   Included in the Annual Report

3. **Audited Financial Details:**
   Included in the Annual Report

4. **Details relating to Legal Action**

   a. Law Suits filed by/against the Bank:
   No such except business cases.

   b. Law Suits filed by/against the promoters/directors involving charge of regulatory violations or criminal offences:
   No information received by the Bank.

   c. Case filed against any promoters/directors for financial fraud:
   No information received by the Bank.

5. **Analysis of share transaction and progress of organized institution:**

a. **Management view on share transactions of the bank on Nepal Stock Exchange:** Since the share prices are determined by open market operations at Nepal Stock Exchange under the supervision of Securities Board of Nepal, management has no comment on the same.

b. **Maximum, minimum and closing share price of organized institution including total transacted number of shares and transacted days during the Year 2020-21:**

QUARTER (MONTHS)	MAXIMUM SHARE PRICE	MINIMUM SHARE PRICE	CLOSING SHARE PRICE	TOTAL TRANSACTED NUMBER OF SHARES	TOTAL NUMBER OF TRADING DAYS
I Quarter (Shrawan- Ashwin)	289	243	272	69,78,044	64
II Quarter (Kartik- Poush)	383	271	339	1,58,07,101	58
III Quarter (Magh- Chaitra)	522	328	450	2,44,35,376	59
IV Quarter (Baisakh- Ashad)	483	402	441	1,46,81,530	65

6. Problems and Challenges

a. Problems and Challenges Faced:

Internal

- Increase in operational risk and cost due to increase in transactions and branch as a result of merger.
- Challenges arising due to use of technology in Banking transactions and related problems.
- Safety of customers and employees during the period of pandemic and providing Banking Service.

External

- Default in payment due to the spread of worldwide COVID-19 pandemic
- Adverse effect in national economy due to the spread of COVID 19 worldwide and its direct effect in interest income of loans and other income of bank.
- High liquidity and Low liquidity effect in the market
- Unfair competition in the banking market
- Increasing NPL in banking sector and its management
- Inheritance risk due to the use of technology

b. Strategy followed by the management in solving such problems and challenges:

- Assets and liabilities management and diversification of portfolio on the basis of risk.
- Management of economic crisis by collaborating with business house and individual who are directly affected by COVID 19
- Effectively monitoring of Bank's Expenses and management of high risk assets
- Assessment of Operation, market and business risk and effectively managing such risks
- High priority in recovery and management of Non-Performing Loan.
- Strengthening of Compliance and Risk Management Department.
- Strategic Work schedule regarding employee's training.

7. Corporate Governance

- The Bank has been fully complying with the directions, guidelines issued by NRB regarding corporate Governance.
- Regular Central Management Committee meetings to review progress in various areas of operations.
- Bank's Internal Audit Department has been strengthened.
- Board of Directors and its Committees' meeting are held on regular basis.
- Asset Liabilities and Committee and Risk Management Committee (Operation, Credit and Market) meetings are held regularly.
- Board of Directors and Management are committed to maintain corporate governance.



RELATIONSHIP WITH SHAREHOLDERS

We are in forever gratitude to all of our shareholders for making this great journey possible.



Global IME Bank Ltd has always maintained the close relationship among its shareholders and other stakeholders to envision the long corporate journey. We focus on stabilizing the business and earnings so as to maximize our shareholders earnings and their confidence on us.

SHAREHOLDER'S QUERIES AND CURIOSITY

Global IME Bank Ltd addresses all the queries and curiosity raised by our shareholder during the time of our Annual General Meeting and other queries raised through various channels. All the necessary information that will be required by the shareholders for their decision making or being informed about the Bank's activities are shared through our official website, newspapers and information officer.



GRIEVANCE AND THEIR HANDLING

Global IME Bank Ltd addresses all the queries and grievances raised by our customers, for which the Bank has established the information and grievance handling desk. The details related to grievance handling desk are updated on website. During the year the Bank received 113,245 grievance from its customers which has been addressed immediately on the raise.

DISTRIBUTION OF OWNERSHIP

	ASHAD 2078		ASHAD 2077	
	NO. OF SHARES	PERCENT	NO. OF SHARES	PERCENT
Nepal Government	248,698	0.11%	218,156	0.11%
Public Shareholders	105,242,989	48.65%	92,316,832	48.65%
Promoter Shareholders	110,833,344	51.24%	97,223,810	51.24%
Total	**189,758,799**	**100%**	**189,758,799**	**100%**

DIVIDEND 2076-77

PARTICULARS	AMOUNT
14th AGM Notice Date	24th December 2020
14th AGM Holding Date	13th January 2021
Dividend Approved	
Cash (%)	2.00
Bonus (%)	14.00

DIVIDEND TAX ON THE DIVIDENDS

Tax on dividends declared by the Bank have been exempt for the period of two years from the date of merger with then Janata Bank Nepal Ltd. However tax is exempt for only those shareholders who held the shares till the date of merger. Tax on dividend declared for FY 2077-78 will be exempt accordingly.

STOCK DETAILS

PARTICULARS	NEPSE
Stock Symbol	GBIME
Market Category	Banking "A"
Year of Listing	25/12/2065
Face Value	100
Market Value as on Mid July 2021	441

MARKET PRICE INFORMATION

MONTH	NEPSE HIGH	NEPSE LOW	NO. OF SHARES TRADED
Shrawan 2077 (Mid-August 2020)	289	243	1,851,592
Bhadra 2077 (Mid-September 2020)	278	247	2,839,594
Ashwin 2077 (Mid October 2020)	285	263	2,286,858
Kartik 2077 (Mid November 2020)	308	271	3,360,037
Mangsir 2077 (Mid December 2020)	383	297	6,266,106
Poush 2077 (Mid-January 2021)	360	300	6,180,958
Magh 2077 (Mid February 2021)	464	328	10,535,802
Falgun 2077 (Mid March 2021)	522	421	9,550,410
Chaitra 2077 (Mid April 2021)	465	415	4,349,164
Baisakh 2078 (Mid May 2021)	483	402	4,316,534
Jestha 2078 (Mid June 2021)	478	428	6,298,831
Ashad 2078 (Mid July 2021)	471	417	4,066,165

CREDIT RATING

ICRA Nepal Limited has assigned Issuer Rating of "[ICRANP - IR] A" as on August 2021. Issuer with rating of "[ICRANP - IR] A" are considered to have adequate degree of safety regarding timely servicing of financial obligations and the rated entity carries very low credit risk.

QUARTERLY FINANCIALS

QUARTERLY RESULTS	AS OF	EPS (RS.)
Unaudited Results of 1st Quarter	16th October 2020	22.32
Unaudited Results of 2nd Quarter	13th January 2021	21.40
Unaudited Results of 3rd Quarter	13th April 2021	22.05
Audited Results of FY 2077-78	15th July 2021	19.25

FIVE YEARS FINANCIAL HIGHLIGHTS

	FY 2016/17	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21
INCOME STATEMENT					
Interest Income	7,463.64	11,481.73	13,530.88	20,489.40	21,693.58
Interest Expenses	3,799.26	7,604.85	8,288.54	12,267.39	12,554.46
Net interest income	**3,664.38**	**3,876.88**	**5,242.35**	**8,222.01**	**9,139.13**
Fees and Commission Income	866.51	933.46	1,181.10	1,472.135	1,914.286
Operating Income	399.40	462.01	602.47	776.970	1,288.279
Operating Expenses	1,980.07	2,650.21	2,893.81	4,348.803	5,248.357
Operating Profit (profit before provision and tax)	**2,950.22**	**2,622.14**	**4,132.11**	**6,122.31**	**7,093.34**
Provision for Loans, Investments and other Assets	(18.50)	(289.84)	198.19	1,954.43	1,125.26
Profit Before Tax	**2,968.73**	**2,911.98**	**3,933.92**	**4,167.89**	**5,968.08**
Tax Expense (Income Tax and Deferred Tax)	907.49	810.61	1,171.96	1,259.22	1,802.93
Profit After Tax	**2,061.24**	**2,101.36**	**2,761.95**	**2,908.66**	**4,165.15**
BALANCE SHEET					
Authorized Capital	10,000.00	10,000.00	16,000.00	25,000.00	25,000.00
Paid-up Capital	8,080.34	8,888.38	10,310.52	18,975.88	21,632.50
Shareholders' Equity	12,376.43	13,578.68	16,332.17	28,834.40	32,720.44
Deposits	1,01,910.48	1,06,510.44	1,24,499.32	2,26,643.08	2,83,348.58
Borrowings NRB	39.38	1,034.65	1,231.80	1,339.36	10,894.00
Borrowings Foreign	-	-	-	2,404.00	2,371.77
Debenture	400.00	400.00	1,500.00	1,500.00	4,500.00
Loans & Advances (Excl Staff Loans and Accrued Interest)	78,965.10	93,373.42	1,14,060.45	2,00,006.02	2,42,447.29
Accrued Interest	358.85	292.29	298.89	1,953.70	1,554.76
Investments	10,638.20	16,838.49	13,692.50	27,362.72	49,916.64
Fixed Assets (Net)	1,030.66	1,324.47	1,373.57	2,543.21	3,252.01
Total Assets	1,17,893.94	1,25,847.43	1,51,653.56	2,73,876.59	3,45,423.28
Total Liabilities	1,05,517.51	1,12,268.75	1,35,321.39	2,45,042.19	3,12,702.84
Total Off-balance Sheet Items	37,810.51	44,309.06	43,822.64	58,313.12	71,767.63
CAPITAL MEASURES					
Risk Weighted Exposures	1,01,537.94	1,17,890.25	1,40,948.19	2,37,628.88	2,78,717.95
Core Capital (Tier-I)	10,387.60	12,165.79	14,884.90	25,695.10	29,418.23
Supplementary Capital (Tier-II)	1,155.67	1,357.60	2,465.72	3,966.18	7,384.39
Total Regulatory Capital	11,543.27	13,523.39	17,350.62	29,661.28	36,802.62
Capital Adequacy Ratio	11.37%	11.47%	12.31%	12.48%	13.20%
Tier-I Capital Ratio	10.23%	10.32%	10.56%	10.81%	10.55%
CREDIT QUALITY					
Non Performing Loans (NPL)	1,296.57	717.44	622.52	3,520.71	3,422.24
NPL to Total Loans and Advances (%)	1.60%	0.77%	0.55%	1.76%	1.41%
Provision for Non Performing Loans	988.69	529.42	491.09	2,193.17	2,516.38
Provision for Performing Loans	866.04	1,035.49	1,272.01	2,979.84	3,782.26
DISTRIBUTION TO SHAREHOLDERS					
Earnings per Share	25.51	23.64	26.46	17.99	19.25
Market value per Share (Public)	388.00	290.00	295.00	239.00	441.00
Price to Earning Ratio	15.21	12.27	11.15	13.29	22.90
Total Assets Value Per Share	1,459.02	1,415.87	1,470.86	1,443.29	1,596.78
Net Worth Per share	153.17	152.77	158.40	151.95	151.26
Return on Equity (%)	19.33%	16.19%	18.47%	12.88%	13.53%
Dividend Paid					
Cash (%)	10.00%	0.00%	12.75%	2.00%	3.50%
Stock (%)	10.00%	16.00%	12.75%	14.00%	10.00%

	FY 2016/17	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21
PROFITABILITY & PERFORMANCE RATIO					
Net Interest Margin (Spread) (%)	3.36%	4.86%	4.47%	5.12%	5.12%
Credit to Deposit Ratio (%)	71.24%	75.35%	78.69%	73.18%	73.18%
Cost of Fund (%)	4.60	7.43	7.18	6.53	6.53
Cash Reserve Ratio (%)	6.44	6.21	4.34	5.72	5.72
Statutory Liquidity Ratio (%)	24.11	23.77	17.39	19.29	19.29
Total Cost to Total Income Ratio (%)	40.16	50.27	41.19	41.53	42.53
Operating Profit per Employee (Rs in Million)	2.19	1.60	2.44	2.00	2.39
Operating Profit per Branch (Rs in Million)	26.34	20.02	29.94	23.82	25.98
OTHER INFORMATION					
Number of Branches	112	131	138	257	273
Number of ATMs	114	134	148	233	247
Number of Represetative Offices	2	3	3	3	3
Number of BLB Agents	46	100	171	249	257
Number of Extension and Revenue Counters	20	21	29	38	47
Number of Deposit Accounts	7,79,346	9,64,841	11,36,122	21,16,464	25,29,309
Number of Loan Accounts	24,436	24,983	29,433	54,306	56,510
Debit Card reg	-	2,22,383	3,10,890	4,98,534	6,57,416
Credit Card reg	8,707	12,672	15,271	17,437	20,817
Mobile Banking Customer	2,60,780	4,25,707	6,56,154	7,68,894	11,37,218
Internet Banking Customer	60,158	81,577	1,05,943	1,23,290	1,74,237
Number of Employees	1,348	1,638	1,696	3,059	2,962
Male Employees	844	1,062	1,125	1,966	1,887
Female Employees	504	576	571	1,093	1,075
Managerial Level Female Employees	7	9	10	11	12
Managerial Level Male Employees	52	57	59	98	85

HORIZONTAL AND VERTICAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

(Rs. In Million)

	MID		HORIZONTAL ANALYSIS VARIANCE	VERTICAL ANALYSIS VARIANCE	
	JUL-21	JUL-20	2020-2021	2021	2020
Assets					
Cash and Cash Equivalents	15,594	20,084	-22.36%	4.51%	7.33%
Due from Nepal Rastra Bank	25,336	11,775	115.16%	7.33%	4.30%
Placement with Bank and Financial Institutions	-	-	100.00%	0.00%	0.00%
Derivative financial instruments	5,664	8,876	-36.19%	1.64%	3.24%
Other trading assets	-	-	0.00%	0.00%	0.00%
Loan and advances to B/FIs	10,367	7,672	35.13%	3.00%	2.80%
Loans and advances to customers	2,28,651	1,90,337	20.13%	66.19%	69.50%
Investment securities	48,902	26,401	85.22%	14.16%	9.64%
Current Tax Assets	2,233	1,640	36.16%	0.65%	0.60%
Investment in subsidiaries	371	557	-33.46%	0.11%	0.20%
Investment in associates	644	404	100.00%	0.19%	0.15%
Investment property	355	335	5.77%	0.10%	0.12%
Property and equipment	3,252	2,543	27.87%	0.94%	0.93%
Goodwill and intangible assets	240	240	-0.22%	0.07%	0.09%
Deferred Tax Assets	279	282	-0.78%	0.08%	0.10%
Other Assets	3,536	2,729	29.54%	1.02%	1.00%
Total Assets	**3,45,423**	**2,73,877**	**26.12%**	**100.00%**	**100.00%**
Liabilities					
Due to Banks and Financial Institutions	14,915	14,328	4.10%	4.32%	5.23%
Due to Nepal Rastra Bank	10,894	1,339	-100.00%	0.00%	0.49%
Derivative financial instruments	5,440	8,773	-37.99%	1.57%	3.20%
Deposit from customers	2,68,434	2,12,315	26.43%	77.71%	77.52%
Borrowings	2,372	2,404	100.00%	0.69%	0.88%
Current tax liabilities	1,845	1,295	42.53%	0.53%	0.00%
Provisions	-	-	0.00%	0.00%	0.00%
Deferred Tax Liabilities	-	-	0.00%	0.00%	0.00%
Other Liabilities	4,311	3,091	39.48%	1.25%	1.13%
Debt securities issued	4,492	1,497	200.05%	1.30%	0.55%
Subordinated Liabilities	-	-	0.00%	0.00%	0.00%
Total Liabilities	**3,12,703**	**2,45,042**	**27.61%**	**90.53%**	**89.47%**
Equity					
Share capital	21,633	18,976	14.00%	6.26%	6.93%
Share premium	-	5	100.00%	0.00%	0.00%
Retained earnings	2,990	1,674	78.67%	0.87%	0.61%
Reserves	8,098	8,180	-1.00%	2.34%	2.99%
Total equity attributable to equity holders	**32,720**	**28,834**	**13.48%**	**9.47%**	**10.53%**
Non-controlling interest					
Total Equity	**32,720**	**28,834**	**13.48%**	**9.47%**	**10.53%**
Total Liabilities and Equity	**3,45,423**	**2,73,877**	**26.12%**	**100.00%**	**100.00%**

HORIZONTAL AND VERTICAL ANALYSIS OF INCOME EXPENES

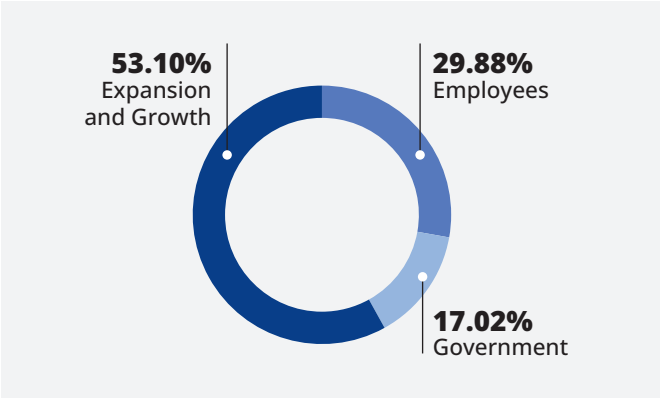
(Rs. In Million)

	MID		HORIZONTAL ANALYSIS VARIANCE	VERTICAL ANALYSIS VARIANCE	
	JUL-21	JUL-20	2020-2021	2021	2020
Interest Income	21,693.58	20,489.40	5.88%	100.00%	100.00%
Interest Expenses	12,554.46	12,267.39	2.34%	57.87%	59.87%
Net interest income	**9,139.13**	**8,222.01**	**11.15%**	**42.13%**	**40.13%**
Fees and Commission Income	1,914.29	1,472.14	30.03%	8.82%	7.18%
Fees and Commission Expenses	**380.25**	**242.01**	**57.12%**	**1.75%**	**1.18%**
Net fee and commission income	**1,534.04**	**1,230.13**	**24.71%**	**7.07%**	**6.00%**
Net interest, fee and commission income	10,673.16	9,452.14	12.92%	49.20%	46.13%
Net Trading Income	666.46	579.52	15.00%	3.07%	2.83%
Other Operating Income	611.28	196.81	210.59%	2.82%	0.96%
Total operating income	**11,950.90**	**10,228.47**	**16.84%**	**55.09%**	**49.92%**
Impairment charge/(reversal) for loans and other losses	1,125.26	1,954.43	-42.43%	5.19%	9.54%
Net Operating Income	**10,825.64**	**8,274.04**	**30.84%**	**49.90%**	**40.38%**
Operating Expenses					
Personnel Expenses	3,164.82	2,474.64	27.89%	14.59%	12.08%
Other Operating Expenses	1,369.43	1,248.83	9.66%	6.31%	6.10%
Depreciation and Amortization	333.86	304.12	9.78%	1.54%	1.48%
Operating profit	**5,957.53**	**4,246.46**	**40.29%**	**27.46%**	**20.73%**
Non operating income	10.55	0.64	1543.99%	0.05%	0.00%
Non operating expense	-	79.21	100.00%	0.00%	0.39%
Profit before income tax	**5,968.08**	**4,167.89**	**43.19%**	**27.51%**	**20.34%**
Income Tax Expense					
Current tax	1,844.54	1,294.60	42.48%	8.50%	6.32%
Deferred tax	(41.62)	(35.38)	17.62%	-0.19%	-0.17%
Profit for the Year	**4,165.15**	**2,908.66**	**43.20%**	**19.20%**	**14.20%**
Earnings per Share					
Adjusted Basic earnings per share	**19.25**	**15.33**	**25.61%**		
Adjusted Diluted earnings per share	**19.25**	**15.33**	**25.61%**		

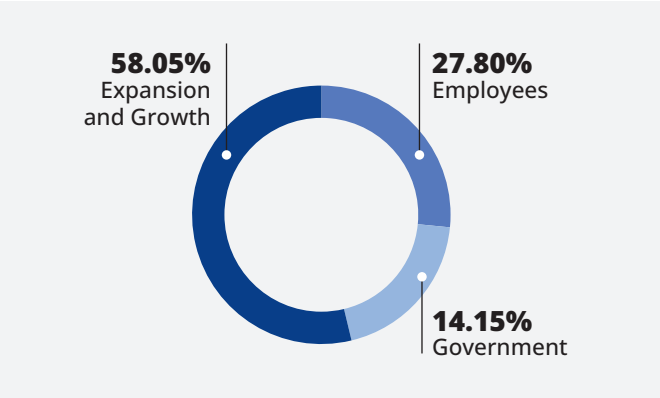
VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION

	FY 2020-21		FY 2019-20	
	RS. MILLION	IN PERCENTAGE	RS. MILLION	IN PERCENTAGE
Revenue	24,896.15		22,738.51	
Net Cost for the Services	(14,304.13)		(13,837.43)	
Total Wealth Created	**10,592.02**	**100.00%**	**8,901.07**	**100.00%**
Wealth Distributed as				
To Employees				
Benefits and Remuneration	3,164.82	29.88%	2,474.64	27.80%
To Government				
Current Taxation	1,802.93	17.02%	1,259.22	14.15%
To Expansion and Growth				
Depreciation, Amortization and Loan Impairment	1,459.12	13.78%	2,258.55	25.37%
Profit for the Year Attributable to Shareholders	4,165.15	39.32%	2,908.66	32.68%
		100.00%		**100.00%**

WEALTH DISTRIBUTION 2021



WEALTH DISTRIBUTION 2020



P.L.R.G. Associates
Chartered Accountants
Putalisadak, Kathmandu
Email: mailtoplrg@gmail.com
Tel: 01-4011079, 01-4011080

K.A.S. ASSOCIATES
Chartered Accountants
Baneshwor, Kathmandu
Email: binaypshrestha1973@gmail.com
Tel: 9851010832

INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF GLOBAL IME BANK LIMITED

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Global IME Bank Ltd (hereinafter referred to as "the Bank") and its subsidiaries (collectively referred to as the Group), which comprise consolidated statement of financial position as at Ashadh 31, 2078 (July 15, 2021), consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended and a summary of significant accounting policies and notes to the consolidated financial statements.

In our opinion, except for the effects of the matters described in the Basis for Opinion section here in below, accompanying consolidated financial statements give a true and fair view of the consolidated financial position of the group as at Ashadh 31, 2078, its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRSs).

Basis for Opinion

In the previous year, the Bank had acquired then M/S Hathway Finance Ltd and merged with then M/S Janata Bank Nepal Limited and the purchase consideration was provided in the form of equity shares of the Bank as per due diligence audit carried out for the purpose of the acquisition and merger. The Bank had followed the procedures for the business combinations as per NRB Merger and Acquisition Bylaws, 2073 which is binding on the Bank as per the regulatory requirement of NRB as referred to note no. 3.2 (a) of the financial statements. Accordingly, the resulting difference amount on share swap of the entities was transferred to Capital Reserve as per the provisions of the NRB Bylaws. The Bank also measured identifiable assets acquired and liabilities assumed on cost basis and purchase consideration transferred at face value. In this connection, goodwill, bargain purchase gain and share premium were not measured in accordance with NFRS 3 : Business Combinations. And accordingly, we had also issued qualified opinion in the previous year.

Our opinion on the current period's financial statements of the Bank is also qualified because of the continuation of the above matters not being resolved by the Bank as per NFRS 3 in the current period.

Key Audit Matters

Key audit matters are matters based on our judgment, are of most significance in the audit of the financial statements of the current period, which were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon. We do not provide separate opinion on these matters. In addition to the matters described in the Basis for Qualified Opinion section, we have determined the matters described below as the key audit matters to be communicated in our report.

The results of our audit procedures, including the procedures performed to address the matters below, provides the basis for our audit opinion on the accompanying financial statements.

Following are the Key Audit Matters:

S.No.	Key Audit Matters	How the matters were addressed in our audit
1.	**Investment Securities Valuation** Ref. Note no. 4.8 and accounting policies to the financial statements.	
	The Bank has total investment securities of Rs. 48,901,734,964 as at 31st Ashadh 2078 classified into different categories as Investment securities measured at amortized cost and Investment in equity measured at fair value through other comprehensive income, which in aggregate represent 14 % of the total assets of the Bank. Classification of investment into different categories as Investment securities measured at amortized cost and Investment in equity measured at fair value through other comprehensive income warrant management judgement and it impacts on valuation of investment securities and impairment allowance. Due to the percentage of volume over total assets and the requirement of management judgment for measurement of impairment allowance, considered this as key audit matter.	We applied following procedures in respect of Investment verification: ➢ Review of accounting policies adopted by the Bank based on Nepal Financial Reporting Standards and the Directives issued by NRB and compliance of the same. Evaluation of management's assessment to categorise investments classified into different categories as Investment securities measured at amortized cost and Investment in equity measured at fair value through other comprehensive income ➢ Verification of valuation of investment on sampling basis in reference to its cost and quoted market price as the case may be. ➢ Verification of impairment allowance provided for different investments in commensurate with NFRSs and NRB Directives. Accounting policies, classification, valuation and impairment allowances for the investments are considered acceptable.
2.	**Loan Loss Provision** Ref. Note no. 4.7 and accounting policies to the financial statements.	
	The Bank's advances to the customers represent 66 % of its	We applied following procedures in respect of verification of loan loss provision:

	total assets at the end of period under review and are stated at Rs. 228.65 billion which is net of provision of Rs. 6.16 billion. The provision against advances was identified as a key audit matter as it involves a considerable degree of management judgment and compliance with Directives and Circulars issued by Nepal Rastra Bank.	➢ Review of borrower's files, which includes evaluation of borrowers' repayment behavior, assessment of financial strength based on the available financial statements, adequacy of security/collateral, obtainment of required legal documents, CIC reports, and compliance with prudential regulations. ➢ Business sites visit of the borrowers on sampling basis. ➢ Review of IT system to provide loan loss provision based on overdue payments. ➢ On sampling basis, verification of accuracy of provision against non-performing loan calculated by the IT system and manual calculation sampling basis. ➢ Evaluation of appropriateness of subjective judgement made by the management for performing loans' borrowers. ➢ Review of Board's evaluation and decisions on loans. Loan loss provision made by the Bank is considered acceptable.

Other Matters

We did not audit the financial statements and other financial information of subsidiaries. Financial statements of Global IME Capital Ltd. and JBNL Securities Ltd (subsidiaries) have been audited by other auditors and financial statements of Global IME Laghubitta Bittiya Sanstha Ltd. are certified by the management only. Audited reports have been furnished to us by the management and our opinion on the financial statements in so far as it relates to the accounts and disclosures included in respect of these subsidiaries are based solely on the report of the other auditors and management certification.

Responsibilities of the Management and Those charged with Governance for the consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting standards (NFRSs) and for such internal control as management determines is

necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations or has no realistic alternative but to do so, those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements. As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

We communicate with those charged with governance regarding among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

On the basis of our examination, we would like to further report that:

I. We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of audit.

II. The accounts and records of the Bank have been maintained as required by law except as mentioned above.

III. Financial statements are in agreement with the books of account maintained by the Bank.

IV. The capital fund, risk bearing fund and the provision for possible impairment of assets of the Bank are adequate as per the Directives issued by Nepal Rastra Bank.

V. In our opinion and to the best of our information and according to the explanations given to us, the Board of Directors, the representative or any employee of the Bank has not acted contrary to the provision of law relating to accounts nor caused direct loss or damage to the Bank deliberately or acted in a manner that would jeopardize the interest and security of the Bank.

VI. The operations of the Bank are within its jurisdiction.

VII. The Bank has not acted in a manner to jeopardize the interest and security of the depositors and investors.

VIII. The Bank has a centralized core accounting system and details received from branches of the Bank though the statements are independently not audited, were adequate for our audit, and

IX. We have not come across any fraudulence in the accounts, so far as it appeared from our examination of the books of account.

K.A.S. ASSOCIATES Baneshwor Kathmandu

CA. Binay Prakash Shrestha
Proprietor
K.A.S. Associates
Chartered Accountants
UDIN No. 211018CA00116Uy6zW

P.L.R.G. Associates Kathmandu Nepal Chartered Accountants

CA. Prakash Lamsal
Partner
P.L.R.G. Associates
Chartered Accountants
UDIN No.: 211018CA00154SQqc7

Date : 2078.07.01
Place: Putalisadak, Kathmandu

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As on 31st Asar 2078 (15th July 2021)

Amount in Rs.

	NOTE	GROUP		BANK	
		CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Assets					
Cash and Cash Equivalents	4.1	15,731,886,191	20,776,412,504	15,593,942,410	20,083,658,794
Due from Nepal Rastra Bank	4.2	25,370,514,039	11,803,412,752	25,336,114,039	11,775,494,215
Placement with B/FIs	4.3	-	2,500,000	-	-
Derivative financial instruments	4.4	5,663,649,824	8,876,123,504	5,663,649,824	8,876,123,504
Other trading assets	4.5	909,799,615	490,759,779	-	-
Loan and advances to B/FIs	4.6	8,509,957,841	6,224,560,350	10,367,176,716	7,672,036,520
Loans and advances to customers	4.7	234,828,689,895	193,898,783,257	228,651,426,527	190,336,852,590
Investment securities	4.8	48,929,339,990	26,430,345,133	48,901,734,964	26,401,401,393
Current Tax Assets	4.9	2,449,733,516	1,712,793,918	2,232,790,396	1,639,870,182
Investment in subsidiaries	4.10	-	-	370,695,250	557,095,250
Investment in associates	4.11	1,012,568,378	551,669,736	644,186,910	404,222,561
Investment property	4.12	354,648,945	335,304,055	354,648,945	335,304,055
Property and equipment	4.13	3,305,766,899	2,589,596,362	3,252,012,205	2,543,213,440
Goodwill and intangible assets	4.14	243,363,671	242,660,855	239,743,409	240,269,800
Deferred Tax Assets	4.15	260,930,779	265,634,282	279,385,865	281,572,951
Other Assets	4.16	3,825,145,984	2,784,130,125	3,535,752,722	2,729,475,798
Total Assets		**351,395,995,570**	**276,984,686,611**	**345,423,260,183**	**273,876,591,053**
Liabilities					
Due to B/FIs	4.17	16,042,436,185	15,436,854,113	14,914,792,251	14,327,698,147
Due to Nepal Rastra Bank	4.18	11,320,998,526	1,339,361,371	10,893,998,526	1,339,361,371
Derivative financial instruments	4.19	5,440,370,187	8,773,443,817	5,440,370,187	8,773,443,817
Deposit from customers	4.20	270,114,842,725	212,949,111,584	268,433,791,603	212,315,385,060
Borrowings	4.21	2,371,769,589	2,404,000,000	2,371,769,589	2,404,000,000
Current tax liabilities	4.9	2,074,181,931	1,343,033,016	1,845,212,017	1,294,604,441
Provisions	4.22	-	-	-	-
Deferred Tax Liabilities	4.15	-	-	-	-
Other Liabilities	4.23	5,281,806,290	3,777,967,966	4,310,912,217	3,090,637,007
Debt securities issued	4.24	4,491,996,856	1,497,064,851	4,491,996,856	1,497,064,851
Subordinated Liabilities	4.25	-	-	-	-
Total Liabilities		**317,138,402,290**	**247,520,836,718**	**312,702,843,247**	**245,042,194,695**
Equity					
Share capital	4.26	21,632,503,035	18,975,879,857	21,632,503,035	18,975,879,857
Share premium			5,393,490		5,393,490
Retained earnings	4.27	3,858,761,730	2,037,412,184	2,990,203,516	1,673,609,973
Reserves	4.27	8,261,621,609	8,233,886,885	8,097,710,384	8,179,513,038
Total equity attributable to equity holders		**33,752,886,374**	**29,252,572,416**	**32,720,416,935**	**28,834,396,358**
Non-controlling interest		504,706,906	211,277,477		
Total Equity		**34,257,593,280**	**29,463,849,893**		
Total Liabilities and Equity		**351,395,995,570**	**276,984,686,611**	**345,423,260,183**	**273,876,591,053**
Contingent Liabilities and Commitment	4.28			71,767,634,509	58,313,120,337
Net Assets Value per Share				151.26	151.95

The accounting policies and notes on pages 82 through 164 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
CHIEF EXECUTIVE OFFICER

Chandra Prasad Dhakal
CHAIRMAN

Sudarsun Krishna Shrestha
DIRECTOR

Cabinet Shrestha
DIRECTOR

Raja Aryal
CHIEF FINANCIAL OFFICER

Ram Bahadur Bhandari
DIRECTOR

Krishna Prasad Sharma
DIRECTOR

Devendra Pratap Shah
DIRECTOR

DATE: **October 11, 2021**
PLACE: **Kathmandu, Nepal**

Prakash Lamsal, FCA
PARTNER
P.L.R.G. ASSOCIATES
CHARTERED ACCOUNTANTS

Binay Prakash Shrestha, FCA
PROPRIETOR
K.A.S. ASSOCIATES
CHARTERED ACCOUNTANTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31st Asar 2078 (15th July 2021)

Amount in Rs.

	NOTE	GROUP		BANK	
		CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Interest Income	4.29	22,326,142,857	21,123,338,411	21,693,582,784	20,489,400,668
Interest Expenses	4.30	12,744,201,379	12,568,161,660	12,554,455,241	12,267,387,871
Net interest income		**9,581,941,477**	**8,555,176,751**	**9,139,127,543**	**8,222,012,797**
Fees and Commission Income	4.31	2,132,609,842	1,587,652,225	1,914,286,460	1,472,135,345
Fees and Commission Expenses	4.32	375,008,511	246,306,898	380,249,905	242,005,492
Net fee and commission income		**1,757,601,332**	**1,341,345,327**	**1,534,036,555**	**1,230,129,853**
Net interest, fee and commission income		**11,339,542,809**	**9,896,522,078**	**10,673,164,098**	**9,452,142,650**
Net Trading Income	4.33	1,170,646,621	647,610,345	666,455,087	579,515,071
Other Operating Income	4.34	643,541,615	211,930,414	611,276,969	196,813,300
Total operating income		**13,153,731,045**	**10,756,062,837**	**11,950,896,155**	**10,228,471,021**
Impairment charge/(reversal) for loans and other losses	4.35	1,156,228,292	2,027,223,985	1,125,258,433	1,954,426,612
Net Operating Income		**11,997,502,752**	**8,728,838,851**	**10,825,637,721**	**8,274,044,409**
Operating Expenses					
Personnel Expenses	4.36	3,436,521,404	2,625,896,472	3,164,815,841	2,474,636,608
Other Operating Expenses	4.37	1,466,228,983	1,297,409,653	1,369,428,420	1,248,828,973
Depreciation and Amortization	4.38	344,518,720	314,871,185	333,862,753	304,121,934
Operating profit		**6,750,233,645**	**4,490,661,541**	**5,957,530,707**	**4,246,456,895**
Non operating income	4.39	236,676,507	45,518,526	10,547,342	641,568
Non operating expense	4.40	-	79,210,292	-	79,210,292
Profit before income tax		**6,986,910,152**	**4,456,969,775**	**5,968,078,049**	**4,167,888,171**
Income Tax Expense					
Current tax	4.41	2,073,359,331	1,343,033,015	1,844,541,228	1,294,604,441
Deferred tax	4.41	(50,187,427)	(9,513,792)	(41,615,019)	(35,380,637)
Profit for the Year		**4,963,738,248**	**3,123,450,552**	**4,165,151,840**	**2,908,664,367**
Profit attributable to:					
Equity holders of the Bank		4,785,499,612	3,083,634,662		
Non-controlling interest		178,238,637	39,815,890		
Profit for the Year		**4,963,738,248**	**3,123,450,552**	**4,165,151,840**	**2,908,664,367**
Earnings per Share	**4.42**				
Basic earnings per share				19.25	15.33
Diluted earnings per share				19.25	15.33

The accounting policies and notes on pages 82 through 164 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
CHIEF EXECUTIVE OFFICER

Chandra Prasad Dhakal
CHAIRMAN

Sudarsun Krishna Shrestha
DIRECTOR

Cabinet Shrestha
DIRECTOR

Raja Aryal
CHIEF FINANCIAL OFFICER

Ram Bahadur Bhandari
DIRECTOR

Krishna Prasad Sharma
DIRECTOR

Devendra Pratap Shah
DIRECTOR

DATE: **October 11, 2021**
PLACE: **Kathmandu, Nepal**

Prakash Lamsal, FCA
PARTNER
P.L.R.G. ASSOCIATES
CHARTERED ACCOUNTANTS

Binay Prakash Shrestha, FCA
PROPRIETOR
K.A.S. ASSOCIATES
CHARTERED ACCOUNTANTS

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st Asar 2078 (15th July 2021)

Amount in Rs.

	NOTE	GROUP		BANK	
		CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Profit for the year		**4,963,738,248**	**3,123,450,552**	**4,165,151,840**	**2,908,664,367**
Other comprehensive income, net of income tax					
a) Items that will not be reclassified to profit or loss					
Gains/(losses) from investments in equity instruments measured at fair value	4.8	352,087,782	13,137,011	338,611,496	12,617,770
Gains/(losses) on revaluation					-
Actuarial gain/(losses) on defined benefit plans	4.23	(190,368,517)	69,458,433	(190,368,517)	69,458,433
Income Tax relating to above items	4.15	(49,048,279)	(24,778,633)	(44,472,894)	(24,622,861)
Net other comprehensive income that will not be reclassified to profit or loss		**112,670,986**	**57,816,811**	**103,770,086**	**57,453,342**
b) Items that will be reclassified to profit or loss					
Gains/(losses) on cash flow hedge					
Exchange gains/(losses) (arising from translating financial assets of foreign operation)					
Income Tax relating to above items					
Reclassify to profit or loss					
Net other comprehensive income that will be reclassified to profit or loss				**-**	**-**
c) Share of other comprehensive income of associate accounted as per equity method					
Other comprehensive income, net of income tax		**112,670,986**	**57,816,811**	**103,770,086**	**57,453,342**
Total comprehensive income for the year		**5,076,409,234**	**3,181,267,363**	**4,268,921,926**	**2,966,117,709**
Total comprehensive income attributable to:					
Equity holders of the Bank		4,895,868,565	3,139,230,859		
Non-controlling interest		180,540,670	42,036,503		
Total comprehensive income for the period		**5,076,409,234**	**3,181,267,363**	**4,268,921,926**	**2,966,117,709**

The accounting policies and notes on pages 82 through 164 form an integral part of the Financial Statements.

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STATEMENT OF CHANGES IN EQUITY

For the period 1st Shrawan 2077 to 31st Asar 2078 (16th July 2020 to 15th July 2021)

Amount in Rs.

	GROUP										
	ATTRIBUTABLE TO EQUITY HOLDERS OF BANK										
	SHARE CAPITAL	SHARE PREMIUM	GENERAL RESERVE FUND	EXCHANGE EQUALIZATION FUND	REGULATORY RESERVE	FAIR VALUE RESERVE	ACCUMULATED PROFIT/LOSS	OTHER RESERVE	TOTAL SHAREHOLDERS' FUNDS	NON CONTROLLING INTEREST	TOTAL EQUITY
Balance as at Shrawan 1, 2077	**18,975,879,857**	**5,393,490**	**4,440,272,467**	**163,922,277**	**1,215,819,881**	**19,170,469**	**2,037,412,185**	**2,394,701,792**	**29,252,572,416**	**211,277,477**	**29,463,849,893**
Comprehensive Income for the year									-		-
Profit for the year							**4,785,499,612**		**4,785,499,612**	**178,238,637**	**4,963,738,248**
Other Comprehensive income, net of tax											
Gains/(losses)from investments inequity instruments measured at fair value						243,626,915			243,626,915	2,302,033	245,928,948
Gains/(losses) on revaluation									-		-
Actuarial gains/(losses) on defined benefit plans								(133,257,962)	(133,257,962)		(133,257,962)
Gains/(losses) on cash flow hedge									-		-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-		-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**243,626,915**	**4,785,499,612**	**(133,257,962)**	**4,895,868,565**	**180,540,670**	**5,076,409,235**
Transfer to reserve during the period											**-**
General Reserve Fund	-	-	884,837,016	-	-	-	(884,837,016)	-	-		-
Exchange Fluctuation Fund	-	-	-	26,301,424	-	-	(26,301,424)	-	-		-
Client Protection Fund	-	-	-	-	-	-	(399,164)	399,164	-		-
Corporate Social Responsibility Fund	-	-	-	-	-	-	(15,405,336)	12,139,899	(3,265,437)		(3,265,437)
Regulatory reserve	-	-	-	-	150,571,829	-	(150,571,829)	-	-		-
Investment Adjustment Reserve	-	-	-	-	-	-	18,420,000	(18,420,000)	-		-
Debenture Redemption Reserve	-	-	-	-	-	-	(300,164,474)	300,164,474	-		-
Transfer from reserve during the period									-		**-**
Fair Value reserve	-	-	-	-	-	(1,565,176)	1,565,176	-	-		-
Other Reserve	-	-	-	-	-	-	46,823,210	(46,823,210)	-		-
Transactions with owners, directly recognised in equity									-		**-**
Transfer from Merged/Acquired entity	-	-	8,445,617	-	-		6,188,171	8,970,647	23,604,435		23,604,435
Dividends to equity holders											
Bonus shares Issued	2,656,623,178	(5,393,490)	-	-	-	-	(1,246,088,702)	(1,491,986,799)	(86,845,813)		(86,845,813)
Cash Dividend Paid	-	-	-	-	-	-	(392,156,135)	-	(392,156,135)		(392,156,135)
Minority Interest	-	-	(5,049,383)	-	92,261,394	(27,003)	(21,222,544)	(2,854,122)	63,108,342	112,888,760	175,997,102
Balance at Asar end, 2078	**21,632,503,035**	**-**	**5,328,505,718**	**190,223,701**	**1,458,653,104**	**261,205,205**	**3,858,761,730**	**1,023,033,882**	**33,752,886,374**	**504,706,907**	**34,257,593,280**

STATEMENT OF CHANGES IN EQUITY For the period 1st Shrawan 2077 to 31st Asar 2078 (16th July 2020 to 15th July 2021)

Amount in Rs.

	BANK								
	ATTRIBUTABLE TO EQUITY HOLDERS OF BANK								
	SHARE CAPITAL	SHARE PREMIUM	GENERAL RESERVE FUND	EXCHANGE EQUALIZATION FUND	REGULATORY RESERVE	FAIR VALUE RESERVE	RETAINED EARNING	OTHER RESERVE	TOTAL SHAREHOLDERS' FUNDS
Balance as at Shrawan 1, 2077	**18,975,879,857**	**5,393,490**	**4,407,857,977**	**163,922,276**	**1,254,834,335**	**19,951,368**	**1,673,609,973**	**2,332,947,082**	**28,834,396,357**
Comprehensive Income for the year									
Profit for the year							**4,165,151,840**		**4,165,151,840**
Other Comprehensive income, net of tax									**-**
Gains/(losses)from investments in equity instruments measured at fair value						237,028,048			237,028,048
Gains/(losses) on revaluation									-
Actuarial gains/(losses) on defined benefit plans								(133,257,962)	(133,257,962)
Gains/(losses) on cash flow hedge									-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**237,028,048**	**4,165,151,840**	**(133,257,962)**	**4,268,921,925**
Transfer to reserve during the period									
General Reserve Fund			833,030,368				(833,030,368)		-
Exchange Fluctuation Fund				26,301,424			(26,301,424)		-
Corporate Social Responsibility Fund							(11,549,720)	8,165,970	(3,383,751)
Regulatory reserve					160,215,908		(160,215,908)		
Debenture Redemption Reserve							(300,164,474)	300,164,474	-
Transfer from reserve during the period									**-**
Investment Adjustment Reserve							18,420,000	(18,420,000)	-
Fair Value Reserve						(1,565,176)	1,565,176		-
Interest Capitalized reserve							43,720,000	(43,720,000)	
Other Reserve							3,616,245	(3,616,245)	
Transactions with owners, directly recognised in equity									**-**
Dividends to equity holders									
Bonus shares Issued	2,656,623,178	(5,393,490)					(1,205,100,227)	(1,446,129,461)	-
Cash Dividend Paid							(379,517,597)		(379,517,597)
Balance at Asar end, 2078	**21,632,503,035**	**-**	**5,240,888,345**	**190,223,700**	**1,415,050,243**	**255,414,240**	**2,990,203,516**	**996,133,856**	**32,720,416,935**

CONSOLIDATED STATEMENT OF CASH FLOWS

For year ended 31st Asar 2078 (15th July 2021)

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
CASH FLOW FROM OPERATING ACTIVITIES				
Interest Received	21,081,090,641	17,713,792,776	20,438,863,025	17,134,526,386
Fees and Other Income Received	2,212,925,892	1,604,633,892	1,989,454,446	1,489,117,012
Dividend received	-	-	-	-
Receipts from other operating activities	1,243,956,000	675,542,803	754,011,688	645,409,886
Interest Paid	(12,487,304,575)	(12,294,657,457)	(12,359,594,233)	(12,032,428,811)
Commission and Fees Paid	(375,008,511)	(245,625,791)	(380,249,905)	(242,005,492)
Cash Payment to Employees	(2,965,721,922)	(1,964,897,175)	(2,757,122,835)	(1,825,050,737)
Other Expenses Paid	(1,471,222,918)	(1,319,387,535)	(1,372,433,897)	(1,269,518,712)
Operating cash flows before changes in operating assets and liabilities	**7,238,714,606**	**4,169,401,511**	**6,312,928,289**	**3,900,049,532**
(Increase) / Decrease in operating assets				
Due from Nepal Rastra Bank	(13,567,101,288)	(6,563,946,100)	(13,560,619,825)	(6,558,181,537)
Placements with B/FIs	2,500,000	212,500,000	-	-
Other trading assets	(554,000,624)	(58,307,112)	-	-
Loans and advances to B/FIs	(872,009,165)	(2,725,013,595)	(2,753,689,890)	(3,635,770,150)
Loans and advances to customers	(42,509,299,263)	(81,501,615,854)	(39,793,661,588)	(81,081,144,753)
Other assets	2,304,609,097	(6,490,098,906)	2,316,661,333	(6,563,399,318)
	(55,195,301,244)	**(97,126,481,566)**	**(53,791,309,970)**	**(97,838,495,758)**
(Increase) / Decrease in operating liabilities				
Due to Nepal Rastra Bank	9,554,637,155	107,561,160	9,554,637,155	107,561,160
Due to bank and financial institutions	(1,294,586,623)	9,139,752,973	587,094,103	9,916,822,117
Deposit from customers	56,482,089,293	92,005,851,382	56,118,406,543	92,226,944,997
Borrowings	865,071,552	2,386,000,000	-	2,404,000,000
Other liabilities	(2,555,289,174)	4,405,726,173	(2,729,500,884)	4,317,136,388
	63,051,922,203	108,044,891,688	63,530,636,917	108,972,464,662
Net cash flow from operating activities before tax paid	**15,095,335,566**	**15,087,811,633**	**16,052,255,236**	**15,034,018,436**
Income taxes paid	(2,081,637,707)	(1,640,863,414)	(1,886,853,864)	(1,582,738,983)
Net cash flow from operating activities	**13,013,697,859**	**13,446,948,219**	**14,165,401,372**	**13,451,279,453**
CASH FLOW FROM INVESTING ACTIVITIES				
Purchase of investment securities	(22,528,752,095)	(13,474,024,104)	(22,533,913,783)	(13,474,024,105)
Receipt from sale of investment securities	1,177,242,926	8,887,318	683,586,341	-
Purchase of property and equipment	(851,223,350)	(1,463,409,031)	(829,272,923)	(1,457,801,994)
Receipt from sale of property and equipment	-	-	-	-
Purchase of intangible assets	(31,975,346)	(233,246,195)	(30,280,816)	(233,124,155)
Receipt from sale of intangible assets	-	-	-	-
Purchase of investment properties	(8,147,509)	(207,688,035)	(8,147,509)	(207,688,035)
Receipt from sale of investment properties	-	-	-	-
Interest received	1,522,844,947	947,255,834	1,522,844,947	898,621,726
Dividend received	14,199,713	37,367,784	14,199,713	31,465,890
Net cash used in investing activities	**(20,705,810,715)**	**(14,384,856,429)**	**(21,180,984,030)**	**(14,442,550,673)**

contd... CONSOLIDATED STATEMENT OF CASH FLOWS

contd... CONSOLIDATED STATEMENT OF CASH FLOWS

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
CASH FLOW FROM FINANCING ACTIVITIES				
Receipt from issue of debt securities	2,994,253,246	-	2,994,253,246	-
Repayment of debt securities	-	-	-	-
Receipt from issue of subordinated liabilities	-	-	-	-
Repayment of subordinated liabilities	-	-	-	-
Receipt from isssue of shares	-	137,542,515	-	-
Dividend paid	(460,241,685)	(1,316,570,517)	(446,266,685)	(1,264,359,990)
Interest paid	(102,509,799)	(155,913,057)	(95,095,571)	(155,377,902)
Other receipt/payment	143,109,497	10,866,764,091	-	10,866,764,091
Net cash from financing activities	**2,574,611,259**	**9,531,823,032**	**2,452,890,990**	**9,447,026,199**
Net increase/(decrease) in cash and cash equivalents	**(5,117,501,597)**	**8,593,914,822**	**(4,562,691,668)**	**8,455,754,979**
Cash and Cash Equivalents as at 1st Shrawan	20,776,412,504	12,086,150,756	20,083,658,794	11,531,556,889
Effect of exchange rate fluctuation on Cash & Cash Equivalents	72,975,284	96,346,926	72,975,284	96,346,926
Cash and Cash Equivalents as at Asar End	**15,731,886,191**	**20,776,412,504**	**15,593,942,410**	**20,083,658,794**

The accounting policies and notes on pages 82 through 164 form an integral part of the Financial Statements.

Ratna Raj Bajracharya
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DATE: **October 11, 2021**
PLACE: **Kathmandu, Nepal**

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Notes to Consolidated Financial Statement

1. BANK

1.1. CORPORATE INFORMATION

Global IME Bank Limited (hereinafter referred to as "The Bank") is a public limited company, incorporated on 29th May 2006 as per the then Companies Act 1964 of Nepal. The Bank obtained its operating license from Nepal Rastra Bank on 31st December 2006. The registered office of the Bank is located at Kamaladi, Kathmandu, Nepal. Its ordinary shares are listed on the Nepal Stock Exchange Limited (the sole stock exchange in Nepal) for public trading.

GLOBAL IME BANK LTD

The principal activities of the Bank are to provide commercial banking services including, agency services, trade finance services, remittance, card services, e-commerce products and services to its customers through its strategic business units, branches, extension counters, ATMs and network of agents.

GLOBAL IME CAPITAL LTD

The principal activities of the Global IME Capital Ltd is to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, and fund management of mutual fund schemes, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients.

GLOBAL IME LAGHUBITTA BITTIYA SANSTHA LTD

The principal activities of the Global IME Laghubitta Bittiya Sanstha Ltd (Previously Reliable Microfinance Bittiya Sanstha Ltd) is to provide the sustainable microfinance services to the deprived group of people and small entrepreneurs and mostly to the female entrepreneurs to help them in developing self-employment opportunities and various income generating activities. This microfinance is offering a broad range of microfinance products, to the public, who do not have access to mainstream financial services.

JBNL SECURITIES LTD

The principal activities of the JBNL Securities Ltd is to provide the share broker services. The entity is yet to obtain the business license.

2. BASIS OF PREPARATION

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1. STATEMENT OF COMPLIANCE

The Financial Statement of the Bank which comprises of Statement of Financial Position, Statement of Profit or Loss and Statement of Other Comprehensive Income shown as two separate statements, Statement of Changes in Equity, Statement of Cash Flows, Notes to the Financial Statements have been prepared in accordance with Nepal Financial Reporting Standards 2013 as issued by the Nepal Accounting Standard Board and in compliance with the requirements of the Companies Act ,2006, directives issued by Nepal Rastra Bank and required disclosures as per Securities Board of Nepal.

The Consolidated Financial Statements which comprises of the Bank and subsidiaries have both adopted the uniform accounting policy for all like transactions except that the Subsidiary has not recognized the Employee Benefits in accordance with NAS 19 "Employee Benefits".

2.2. REPORTING PERIOD AND APPROVAL OF FINANCIAL STATEMENTS

The Banks reporting period is from 1st Shrawan 2077 to 31st Asar 2078 (16th July 2020 to 15th July 2021).

These financial statements have been approved by the Board of Directors on 25th Ashwin 2078 (11th October 2021).

2.3. FUNCTIONAL AND PRESENTATION CURRENCY

Items included in these Financial Statements are measured using the currency of the primary economic environment in which the Bank operates. These Financial Statements are presented in Nepalese Rupees, the Bank's functional and presentation currency.

2.4. USE OF JUDGMENTS AND ESTIMATES

In preparing the Financial Statements of the Bank in conformity with NFRSs and NASs, the management has made judgments, estimates and assumptions which affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized prospectively. Significant areas of critical judgments, assumptions and estimation uncertainty, in applying accounting policies that have most significant effects on the amounts recognized in the Financial Statements of the Bank are explained below separately. The significant areas where the estimates and judgments have been used in

applying accounting policies that have the most significant effects on the amounts recognized in these Financial Statements are as below:

- Fair value of financial instruments
- Impairment losses on financial and non-financial assets
- Useful economic life of property and equipment
- Defined benefit obligations
- Provisions for liabilities, commitments and contingencies

Information about significant areas of estimation and critical judgments in applying accounting policies, other than those stated above, and which have significant effects on the amounts recognized in the financial statements are described in respective notes.

2.5. CHANGES IN ACCOUNTING POLICIES

Changes in accounting policies if any have been followed after the accounting standards were issued by the Institute of Chartered Accountants of Nepal which will be effective from the issued date have been consistently applied.

2.6. NEW STANDARDS ISSUED BUT NOT YET EFFECTIVE

Following are the list of new standards issued by International Accounting Standard Board but not yet effective in Nepal for FY 2077-78:

a. IFRS 9- Financial Instruments
b. IFRS 15 Revenue from contracts with Customers
c. IFRS 16 Leases

2.7. DISCOUNTING

Financial assets and liabilities which are of long term nature i.e. either receivable/ payable after more than a year have been discounted using the appropriate discount rate which reflects the market rate of borrowings. Interest income or expenses has been recognized on unwinding of the assets and liabilities appropriately.

2.8. GOING CONCERN BASIS

The management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue its business for the foreseeable future. Management is not aware of any material uncertainties that may cast doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements of the Bank continue to be prepared on going concern basis.

2.9. ESTIMATES AND ASSUMPTIONS

Information about assumptions and estimates uncertainties that have a significant risk of resulting in material adjustments for the year ended 31st Asar 2078 are explained in notes.

2.10. FAIR VALUE OF FINANCIAL INSTRUMENTS

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position, for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Bank measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements.

2.11. IMPAIRMENT LOSSES ON LOANS AND ADVANCES

The impairment losses on loans and advances has been calculated as per NAS 39 in accordance with incurred loss model.

The Bank has applied the carve out as issued by Institute of Chartered Accountants of Nepal Note no. 5 "Incurred Loss Model to measure the Impairment Loss on Loan and advances" which gives the option to charge the impairment amount higher of incurred loss model calculation and as per NRB directives. These are explained in detail in Note 4.7.

The Bank reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of Profit or Loss. In particular, the management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and hence, actual results may differ, resulting in future changes to the provisions made.

The individual impairment provision applies to financial assets evaluated individually for impairment and is based on management's best estimate of the present value of the future cash flows that are expected to be received. In estimating these cash flows, management makes judgments about a borrower's financial situation and the net realizable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows considered recoverable.

A collective impairment provision is established for:

- groups of homogeneous loans and advances that are not considered individually significant; and
- groups of loans and advances that are individually significant but that were not found to be individually impaired

The collective provision for groups of homogeneous loans is established using statistical methods (such as, net flow rate methodology, risk migration analysis) or a formula approach based on historical loss rate experience, using the statistical analysis of historical data on delinquency to estimate the amount of loss. Management applies judgment to ensure that the estimate of loss arrived at, on the basis of historical information is appropriately adjusted to reflect the economic conditions and portfolio factors as at the reporting date. The loss rates are regularly reviewed against actual loss experience.

In assessing the need for collective impairment, management considers factors such as credit quality (for example, loan to collateral ratio, level of restructured performing loans), portfolio size, concentrations and economic factors. To estimate the required allowance, assumptions are made to define how inherent losses are modeled and to determine the required input parameters, based on historical experience and current economic conditions. The accuracy of the provision depends on the model assumptions and parameters used in determining the collective provisions.

2.12. IMPAIRMENT OF FINANCIAL INVESTMENTS MEASURED AT FAIR VALUE

The Bank also records impairment charges on equity investments when there has been a significant or prolonged decline in the fair value below their cost along with the historical share price movements, duration and extent up to which the fair value of an investment is less than its cost.

2.13. USEFUL LIVES OF PROPERTY & EQUIPMENT

The Bank reviews the residual values, useful lives and methods of depreciation of property & equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. Details useful lives of property and equipment are disclosed in Note 4.38 "Depreciation and Amortization".

2.14. DEFERRED TAX ASSETS

Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available and can be utilized against such tax losses. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.15. DEFINED BENEFIT OBLIGATION

The cost of the defined benefit plans are determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, salary escalation rate, withdrawal rate, mortality rates, etc. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

2.16. PROVISIONS FOR LIABILITIES, COMMITMENTS AND CONTINGENCIES

The Bank may receive legal claims in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depends on the due processes in respective legal jurisdictions.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies other than those stated above that have significant effects on the amounts recognized in the financial statements are described in Note 4.28.

2.17. PRESENTATION OF FINANCIAL STATEMENTS

The assets and liabilities of the bank presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. Previous year's figures presented in the financial statements does not include the figures of merged/acquired entities.

2.18. OFFSETTING

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the assets and settle the liabilities simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by Nepalese Financial Reporting Standards or Interpretation (issued by the International Financial Reporting Interpretations Committee (IFRIC) and Standard Interpretations Committee (SIC)) and as specifically disclosed in the Significant Accounting Policies of the Bank.

2.19. MATERIALITY AND AGGREGATION

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately, unless they are immaterial as permitted by the Nepal Accounting Standard – NAS 1 on 'Presentation of Financial Statements'.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Bank. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

3. SIGNIFICANT ACCOUNTING POLICIES-GENERAL

3.1. BASIS OF MEASUREMENT

The financial statements have been prepared under the historical cost convention, except for following material items stated in the Statement of Financial Position:

- Fair value and impairment of financial instruments
- Defined Benefit Obligation where, net liability for defined benefit obligations are recognized as the present value of the defined benefit obligation, less net total of the plan assets, plus recognized actuarial gains, less recognized past service cost and recognized actuarial

losses.

3.2. BASIS OF CONSOLIDATION

a. Business Combination

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its Subsidiaries in accordance with the Nepal Accounting Standard - NFRS 10 (Consolidated Financial Statements).

During the previous year the Bank had acquired then Hathway Finance Company Ltd and merged with then Janata Bank Nepal Ltd, both institutions licensed by Nepal Rastra Bank (central bank of Nepal). With respect to differences in share swapping ratios arising out of the merger/ acquisition, the same has been recognized into Capital Reserve as required under the Merger and Acquisitions Bylaws, 2073 issued by Nepal Rastra Bank and in this connection no goodwill or bargain gain has been measured in accordance with NFRS 3 "Business Combinations".

b. Non-Controlling Interest

Nepal Accounting Standard 27 (NAS 27) defines non-controlling interest as "the equity in a subsidiary not attributable, directly or indirectly, to a parent". The similar term "**minority interest**" was previously used in standards. Non-Controlling Interest (NCI) refers to ownership of a company which does not give the shareholder the control of the company.

c. Subsidiaries

Subsidiaries are entities that are controlled by the bank. The bank is presumed to control an entity when it is exposed or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. At each reporting date the Bank reassesses whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as the bank, using consistent accounting policies.

d. Loss of Control

The loss of control of a subsidiary is a transaction or another event in which a parent company sells its controlling interest in a subsidiary to another party.

If a parent loses control of a subsidiary, the parent:

- derecognizes the assets and liabilities of the former subsidiary from the Consolidated Statement of Financial Position
- recognizes any investment retained in the former subsidiary when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant IFRSs. That retained interest is remeasured and the remeasured value is regarded as the fair value on initial recognition of a financial asset in accordance with NFRS 9 Financial Instruments or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.
- recognizes the gain or loss associated with the loss of control attributable to the former controlling interest.

e. Transaction elimination on consolidation

All the intergroup transactions between subsidiary and parent are eliminated on preparing consolidated financial statements.

3.3. CASH AND CASH EQUIVALENTS

Cash and cash equivalents as referred to in the cash flow statement comprises of cash on hand, non–restricted balances with Nepal Rastra Bank, amounts due from financial institutions and investments with an original maturity of three months or less.

3.4. FINANCIAL INSTRUMENTS- INITIAL RECOGNITION AND SUBSEQUENT MEASUREMENT

3.4.1. Date of recognition

Financial Instruments, including loans and advances to customers and balances due from customers, are initially recognized on the trade date, i.e., the date that the Bank becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention when acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

3.4.2. Classification of Financial assets or liabilities

The Bank classifies its financial assets into the following measurement categories:

- those to be measured at fair value (either through other comprehensive income or through profit or loss); and
- those to be measured at amortized cost.

The classification depends on the Bank's business model for managing financial assets and the contractual terms of the financial assets' cash flows.

The Bank classifies its financial liabilities at amortized cost unless it has designated

liabilities at fair value through profit or loss or is required to measure liabilities at fair value through profit or loss.

3.4.3. Financial instruments measured at amortized cost

Financial instruments are measured at amortized cost where they have:

- contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These financial instruments are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment. The measurement of credit impairment is based on the incurred loss model described below in Note 3.4.9 Impairment of financial assets.

Financial instruments measured at amortized cost are included in Note 4.1 "Cash and cash equivalents", Note 4.2 "Due from Nepal Rastra Bank", Note 4.3 "Placements with Bank and Financial Institutions" Note 4.6 "Loans and advances to BFIs", Note 4.7 "Loans and advances to customers", Note 4.8 "Investment securities".

3.4.4. Financial instruments measured at fair value through other comprehensive income (FVTOCI)

a. Equity Instruments

Investment in equity instruments that are not held for trading are measured at fair value through other comprehensive income, where an irrevocable election has been made by management.

Amounts presented in other comprehensive income are not subsequently transferred to profit or loss. However as per the clarification from Accounting Standard Board Nepal dated 4th Kartik 2077, for sale of investments measured at FVTOCI, fair value gain on investments recognized up to previous year of sale will be recognized in Other Comprehensive income and additional realization after recognizing in OCI will be recognized in profit and loss. The bank has recognized such sale proceeds accordingly which are disclosed in Notes 4.8. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

3.4.5. Financial instruments measured at fair value through profit or loss

Instruments measured at fair value through profit or loss comprise:

- Instruments held for trading
- Instruments specifically designated as fair value through profit or loss on initial recognition; and
- Debt instruments with contractual terms that do not represent solely payments of principal and interest.

Financial instruments measured at fair value through profit or loss are initially recognized at fair value, with transaction costs recognized in the income statement as incurred. Subsequently, they are measured at fair value and any gains or losses are recognized in the income statement as they arise

Classes of Financial Instruments

The bank classifies the financial instruments into the following classes as per NFRS 9.

Classification as defined by NFRS 9		Sub Class			Assets/ Liabilities
Financial Assets	Financial Assets at Fair Value Through Profit or Loss	Financial Assets Held for Trading	Debt Securities		NO
			Equity Securities		NO
		Designated at fair value through profit and loss	Debt Securities		NO
			Equity Securities		NO
	Financial Assets at Amortized Cost	Loans and Advances to Financial Institutions			YES
		Loans and Advances to Customers	Loans to Individuals	Overdrafts	YES
				Credit Cards	YES
				Term Loans	YES
				Mortgage Loans	YES
			Loans to Corporate Entities	Large Corporate Customers	YES
				SMEs	YES
				Others	YES
		Investment Securities –Debt Listed		Listed	NO
				Unlisted	NO
		Other Receivables			YES
	Financial Assets at Fair Value through OCI	Investment Securities -Debt		Listed	NO
		Investment Securities -Equity		Listed	YES
				Unlisted	YES
Financial Liabilities	Financial Liabilities At Fair Value Through Profit or Loss	Financial Liabilities Held for Trading			NO
		Designated at fair value through profit and loss			NO
	Financial Liabilities at Amortized Cost	Deposits from Banks			YES
		Deposits from Customers		Retail Customers	YES
				Corporate Customers	YES
				SMEs	YES
				Others	YES
		Debt Securities Issued			YES
		Other Financial Liabilities			YES
Off- Balance Sheet Financial Instruments	Loan Commitments				YES
	Guarantees, Acceptance and Other Financial Liabilities				YES

3.4.6. Determination of fair value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of principal market, in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- **Level 1 - financial instruments –** Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Bank has access to at the measurement date. The bank considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the balance sheet date.

- **Level 2 - financial instruments –** Those where the inputs that are used for valuation are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Bank will classify the instruments as Level 3.

- **Level 3 – financial instruments –** Those that include one or more unobservable input that is significant to the measurement as a whole. The bank evaluates the leveling at each reporting period on an instrument-by-instrument basis and reclassifies instruments when necessary based on the facts at the end of the reporting period. The bank also considers the following in measuring the fair value of financial assets.

a. Effective interest rate

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate at a shorter period, to the net carrying amount of the financial asset or financial liability. The amortized cost of the financial asset or financial liability is adjusted if the Bank revises its estimates of payments or receipts. The adjusted amortized cost is calculated based on the original or latest re-estimated EIR and the change is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities. The accounting policies for the EIR method vary by instruments and are further explained in Notes:

- for 'Financial Assets Measured at Amortized Cost'
- for 'Financial assets measured at fair value through other comprehensive income '
- for 'Financial assets measured at fair value through other profit or loss '
- for 'Due from banks and loans and advances to customers'
- for 'Debt securities issued and other borrowed funds'

3.4.7. De recognition of financial assets and liabilities

a. Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when the rights to receive cash flows from the asset have expired. The Bank also derecognizes the assets if it has both transferred the asset, and the transfer qualifies for de recognition.

The bank has transferred the asset if and only if, either:

- The bank has transferred its contractual rights to receive cash flows from the asset; Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement.

A transfer only qualifies for de recognition if either:

- The bank has transferred substantially all the risks and rewards of the asset; or
- The bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

b. Financial Liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as de recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognized in profit or loss.

3.4.8. Reclassification of Financial Instruments

The bank may choose to reclassify its financial assets when and only when, an entity changes its business model for managing financial assets. When the entity changes its business model all the affected financial assets are reclassified in accordance with Note 3.4. Financial assets measured at fair value through profit or loss will not be reclassified to other category.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before reclassification date are subsequently made. Effective interest rates for financial assets reclassified to financial assets measured at amortized cost are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively. The Bank has not made any reclassification among its financial assets from the initial recognition.

3.4.9. Impairment of financial assets

The bank assesses at the end of each reporting period whether there is any objective evidence that a financial asset or group of financial assets has impaired. A financial asset or group of financial assets is impaired and impairment losses are incurred if, and only if, there is an objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Objective evidence that financial assets are impaired can include:

- significant financial difficulty of the obligor
- default or delinquency by a borrower
- breach of loan covenants or conditions, restructuring of a loan or advance
- indications that a borrower or issuer will enter bankruptcy,
- the disappearance of an active market for a security,
- deterioration in the value of collateral,
- or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers in the group, or economic conditions that correlate with defaults in the group.

i. Financial assets carried at amortized cost

The bank's impairment methodology for financial assets carried at amortized cost, such as amounts due from banks, held to maturity investments comprises:

A. Specific impairment losses for individually significant or specifically identified exposures

B. Collective impairment of:
   i. Individually not significant exposures
   ii. Incurred but not yet identified losses

A. Specific impairment losses for individually significant or specifically identified exposures

It is the Bank's policy to regularly monitor its loan portfolio. For retail and consumer lending, a specific assessment is made on an individual basis for loans that are 180 days past due. For the corporate and small business portfolio impairment indicators include:

- internal rating of the borrower indicating default or near-default,
- the borrower requesting emergency funding from the Bank;
- the borrower having past due liabilities to public creditors or employees;
- a material decrease in the underlying collateral value where the sale of the financed asset is required to repay the loan;
- a material decrease in the borrower's turnover or the loss of a major customer;
- a material decrease in estimated future cash flows;
- any material facility at the debtor level falling beyond 90 past due;
- a covenant breach not waived by the Bank.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in "Impairment charges for Loans" in the income statement.

Loans and advances together with the associated allowances are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Bank. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced (but only up to the extent of the carrying amount had the impairment not been recognized) by adjusting the allowance account. If a future write–off is later recovered, the recovery is credited to the "Loan Impairment allowance".

B. Collective Impairment

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (that is, on the basis of the product characteristics, industry, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated. Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified by either the specific or collective assessment. These loans, similar to the 'individually not significant' exposures, are grouped into smaller homogenous portfolios by risk drivers. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified). The loss emergence period is determined and regularly monitored by the Bank for each portfolio.

3.5. TRADING ASSETS

A financial instrument is classified as trading assets if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative.

3.6. DERIVATIVE ASSETS AND DERIVATIVE LIABILITIES

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorized as trading unless they are designated as hedging instruments. All derivatives are initially recognized and subsequently measured at fair value, with all revaluation gains recognized in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers, or estimates based upon discounted expected cash flows as appropriate. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

3.7. PROPERTY AND EQUIPMENT

Property and equipment is stated at cost excluding the costs of day–to–day servicing less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with

the item will flow to the bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Depreciation on freehold land has not been calculated. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost to their residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization"

3.8. GOODWILL AND INTANGIBLE ASSETS

An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the bank.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite.

3.9. INVESTMENT PROPERTY

Non-Banking Assets which are acquired as part of recovery of loans are classified as investment property and are carried at cost i.e. acquired value. The Bank's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the repossessed value. Land and Building of repossessed collateral are classified as investment property. Assets for which selling is determined to be a better option are transferred to assets held for sale at their fair value or fair value less cost to sell for non-financial assets at the repossession date in line with the bank's policy.

3.10. INCOME TAX

i. Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are rates applicable as per income tax act 2058.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

ii. Deferred tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it becomes probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current and deferred taxes are recognized as income tax benefits or expenses in the income statement except for tax related to the fair value re measurement of available-for-sale assets, actuarial gains/ losses, which are charged or credited to Other Comprehensive Income. These exceptions are subsequently reclassified from Other Comprehensive Income to the income statement together with the respective deferred loss or gain.

The bank only off-sets its deferred tax assets against liabilities when there is both a legal right to offset and it is the Bank's intention to settle on a net basis.

3.11. DEPOSITS, DEBT SECURITIES ISSUED AND SUBORDINATED LIABILITIES

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, time, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate.

Financial instruments issued by the bank that are not held for trading or designated at FVTPL, are classified as liabilities under 'Debt securities issued' where the substance of the contractual arrangement results in the Bank having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

After initial measurement, deposits, debt issued and other borrowings are subsequently measured at amortized cost using the EIR. Amortized cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR.

3.12. PROVISIONS

Provisions are recognized when the Bank has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. When the effect of the time value of money is material, the Bank determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the income statement net of any reimbursement in other operating expenses.

3.13. REVENUE RECOGNITION

a. Interest Income

Interest income is booked on accrual basis using the effective interest rate (EIR) method. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

b. Fees and Commission Income

Fees and commission income earned from services that are provided over a certain period of time which includes fees and commission collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis.

c. Dividend Income

Dividend income from assets is recognized when the bank's right to receive the payment is established.

d. Net trading Income

All the gain/loss arising from change in fair value are recognized as net trading income.

e. Net income from other financial instrument at fair value through Profit or Loss

Changes in fair value for the financial instruments measured at fair value through profit or loss are recognized as net income from other financial instruments at FVTPL.

f. Net changes in financial instrument at fair value through Other Comprehensive Income

Changes in fair value of equity instruments and mutual funds which are measured at fair value through other comprehensive income are charged to Other Comprehensive Income

3.14. INTEREST EXPENSE

Interest expense is recorded using the effective interest rate (EIR) method. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability.

3.15. EMPLOYEE BENEFITS

a. Short Term Employee Benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. Benefits includes salaries, allowances, provident fund and annual staff bonus.

b. Long term Employee Benefits

Long term employee benefit obligations are measured on discounted basis using the actuarial valuation and are expensed over the service period of the employees. These benefits are gratuity and leave encashment which are settled at the time of resignation of staff or completion of service period of the employee.

3.16. LEASES

The determination of whether an arrangement is a lease, or contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets or whether the arrangement conveys a right to use the asset.

Bank as a lessee

Leases that do not transfer to the bank substantially the entire risks and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognized as an expense in the income statement on a straight-line basis over the lease term. Contingent rental payable is recognized as an expense in the period in which they it is incurred.

3.17. FOREIGN CURRENCY TRANSLATION

a. Functional and presentation currency

Items included in the financial statements of each of the Bank's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Nepalese Rupees, which is the Bank's presentation currency.

b. Transactions and balances

Transactions in foreign currencies are translated to the functional currency of the relevant Bank entity at the foreign exchange rate at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the foreign exchange rates at the respective reporting date. Non-monetary items that are measured at historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in

a foreign currency are translated using the exchange rates at the date when the fair value was determined.

All foreign exchange gains and losses recognized in the income statement are presented on net basis in the statement of profit or loss within the corresponding item. Foreign exchange gains and losses on other comprehensive income items are presented in other comprehensive income within the corresponding item.

As at 31st Asar 2078, the principal rates of exchange used for translating foreign currency balance is NPR 119.15 to USD 1 (31st Asar 2077: NPR 120.20 to USD 1)

3.18. FINANCIAL GUARANTEE AND LOAN COMMITMENT

In the ordinary course of business, the bank issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognized in the financial statements at fair value, being the premium received. The premium received is recognized in the income statement in net fees and commission income on a straight line basis over the life of the guarantee.

3.19. SHARE CAPITAL AND RESERVES

Share capital is increased when dividends in form of scrip are paid to the shareholders. Proposed bonus shares are not shown as increment to share capital until approval by annual general meeting. Reserves are the accumulation of profit over the years which comprises of statutory reserves and regulatory reserve created with the direction of Nepal Rastra Bank and the retained earnings after the allocation of statutory reserve and distribution of dividend to shareholders.

3.20. EARNINGS PER SHARE

The Bank presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary equity of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

3.21. SEGMENT REPORTING

An operating segment is a component of the Bank that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Bank's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available. For management purpose, the bank has identified seven province as operating segments. The detail disclosure regarding segment reporting are reported in Notes 5.4.

3.22. IMPAIRMENT OF NON-FINANCIAL ASSETS

The bank assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the bank estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or Cash Generating Unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre–tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the bank estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the income statement.

3.23. LOANS AND ADVANCES TO CUSTOMERS

Loans and advances to customers include non-derivative financial assets with fixed or determinable payments and are solely for the purpose of collecting contractual cash flows and are not quoted in an active market and are measured at amortized cost using the effective interest rate (EIR) method less allowance for impairment. Amortized cost is not calculated by taking into account of any discounts/ premium, fees and costs on acquisition.

3.24. COLLATERAL VALUATION

The bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's annual reporting schedule.

To the extent possible, the bank uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on

data provided by third parties such as valuators, government published price indices, audited financial statements, and other independent sources.

3.25. INVESTMENT IN SUBSIDIARY

Subsidiaries are entities that are controlled by the bank. The bank is presumed to control an entity when it is exposed or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. At each reporting date the Bank reassesses whether it controls an entity if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as per the bank, using consistent accounting policies.

3.26. INVESTMENT IN ASSOCIATES

An associate is an entity over which the Bank has significant influence but not control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control over these policies. The Bank's investments in associates, are accounted at cost as per NAS 28 "Investment in Associates and Joint Ventures" and with the principles of NAS 27 "Separate Financial Statements" and carve out issued by Institute of Chartered Accountants of Nepal. The carve out gives the exemptions for equity accounting under consolidated financial statements where the financial statements of associates are not prepared using uniform accounting policy of the bank. Equity accounting is based on the profit reported by associate entities on their financial statements using the policy disclosed in the financial statements.

3.27. DIVIDEND ON ORDINARY SHARES

Dividend on ordinary shares are recognized as a liability and deducted from equity when they are approved by the Bank's shareholders, through annual general meeting. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

3.28. CASH FLOW STATEMENT

The cash flow statement has been prepared using 'The Direct Method', whereby gross cash receipts and gross cash payments of operating activities, finance activities and investing activities have been recognized.

3.29. CARVE OUT TAKEN BY BANK FROM CARVE OUT ISSUED BY INSTITUTE OF CHARTERED ACCOUNTANTS OF NEPAL

i. Calculation of Effective Interest rate

Transaction cost and fees incurred and received in obtaining deposits and lending to customers are not included in calculating the effective interest rate. Those costs and fees are not of material item and the effect of these will not materially differ in the original effective interest rate and re-calculated effective interest rate.

ii. Incurred loss model to measure the Impairment Loss on Loans and advances.

Bank has applied carve out which mandate for providing loss allowance for loans and advances as per the directive issued by Nepal Rastra Bank.

iii. Accounting for Investment in Associates as per equity method using uniform accounting policies.

Investments in associates has been measured as per equity method using the reported profit of the associates at the year end. Carve out has been applied for the same where the entity's financials statements shall be prepared using uniform accounting policies for like transactions and events in similar circumstances unless, it is impracticable to do so.

4. NOTES TO CONSOLIDATED FINANCIAL STATEMENT

4.1. CASH AND CASH EQUIVALENT

Cash and cash equivalents include cash in hand, balance with local and foreign financial institution and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position.

Bank has classified financial investments with original maturities of less than three months as cash and cash equivalents. These investments are investments in treasury bills and placements with local financial institutions and foreign financial institutions which are considered highly liquid and held for the purpose of managing short term commitments of the Bank. Interest accrued on these cash and cash equivalents are also included in cash and cash equivalents.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
cash in hand	5,503,627,635	5,249,181,431	5,500,089,873	5,246,317,894
balance with financial institution	2,272,417,626	3,878,776,808	2,138,011,608	3,476,116,950
money at call and short notice	-	-	-	-
other cash and cash equivalent	7,955,840,929	11,648,454,265	7,955,840,929	11,361,223,949
	15,731,886,191	**20,776,412,504**	**15,593,942,410**	**20,083,658,794**

4.2. DUE FROM NEPAL RASTRA BANK

Due from Nepal Rastra Bank includes the balance maintained with Nepal Rastra Bank in local currency and convertible foreign currency. Theses balance are also used in maintaining the cash reserve and liquidity ratio required by Nepal Rastra Bank. As required by the Directives no. 13 (Mandatory Cash Reserve and Statutory Liquidity Ratio) issued by Nepal Rastra Bank, minimum cash balance is maintained with the Nepal Rastra Bank. As at 31st Asar 2078, the minimum cash reserve requirement was 3 % (2077: 3 %) of the total local currency deposit liabilities.

As at 31st Asar 2078, the statutory liquidity ratio to be maintained was 10 % (2077: 10 %) of the local currency deposit liabilities. For the purpose of calculating statutory liquidity ratio mandatory cash reserve can also be included. Balances with Nepal Rastra Bank are carried at amortised cost in the Statement of Financial Position.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
statutory balance with Nepal Rastra Bank	25,370,514,039	11,803,412,752	25,336,114,039	11,775,494,215
securities purchased under resale agreement	-	-	-	-
other deposit and receivable from NRB	-	-	-	-
	25,370,514,039	**11,803,412,752**	**25,336,114,039**	**11,775,494,215**

4.3. PLACEMENT WITH BANK AND FINANCIAL INSTITUTIONS

Placement with bank and financial institutions are the inter bank deposits within Nepal and outside Nepal placed for short term. This includes placements in nepalese rupees and foreign currency within the commercial bank of Nepal and foreign currency placements with international banks outside Nepal. Placements with maturities of less than 3 months are classified as cash and cash equivaleents as these are highly liquid in nature. Placements are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and are measured at amortised cost using the EIR, less provision for impairment, except when the bank designates placements at fair value through profit or loss.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
placements				
with domestic B/FIs Nepal	-	2,500,000	-	-
with foreign B/FIs	-	-	-	-
less: allowances for impairment	-	-	-	-
	-	**2,500,000**	**-**	**-**

4.4. DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Held for trading				
interest rate swap	-	-		
currency swap	-	-		
forward exchange contract	-	-		
others	-	-		
Held for risk management	**-**	**-**		
Interest rate swap	-	-		
Currency swap	-	-		
forward exchange contract assets	5,663,649,824	8,876,123,504	5,663,649,824	8,876,123,504
others	-	-		
	5,663,649,824	**8,876,123,504**	**5,663,649,824**	**8,876,123,504**

4.5. OTHER TRADING ASSETS

Trading assets are securities held by bank for the purpose of resselling them for profit. These assets include treasury bills, government and NRB bonds, equities, mutual fund units and other securities held for trading. These assets are initially recorded at fair value and are subsequently measured at fair value through profit or loss with any realized and unrealized gains and losses included in net trading income. The bank has not acquired any assets with the intention of trading them in short term.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Treasury bills	-	-	-	-
Government bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate bonds	46,686,328	44,472,452	-	-
Equities	863,113,288	445,392,327	-	-
Other	-	895,000	-	-
	909,799,615	490,759,779	-	-
Pledged			-	-
Non-pledged	909,799,615	490,759,779	-	-
	909,799,615	**490,759,779**	**-**	**-**

4.6. LOANS AND ADVANCES TO BANKS AND FINANCIAL INSTITUTIONS

Loans and advances to banks and financial institutions includes loans provided to class "D" financial institutions and cooperatives as classified under deprived sector as directed by Nepal Rastra Bank. These loans are in the form of short term lending or term loan. These loans are initially measured at fair value and subsequently measured at amortized cost using effective interest rate.

Loan loss provisions on loans and advances to banks and financial institutions are provided on the basis of directives issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category for providing the loan loss provisions.The loan loss provision provided are the percentage of total loan outstanding on the basis of their overdue days and other criteria set out in the directive number 2 issued by Nepal Rastra Bank.

Using the principles of NFRS, Loan loss provision are calculated separately. Bank has applied both collective and individual assessment for calculating the impairment for loans and advances to banks and financial institutions. Loans and advances to banks and financial institutions are individulally tested for impairment. No any specific impairment has occur for the year and the previous years. Collective impairment also did not occur for loans and advances to BFIs as no historical loss ratio exists for such loans and advances. Loans to microfinance institutions and others include interest income accrued on such loans.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Loans to microfinance institutions	8,521,035,060	6,063,717,445	10,402,715,784	7,525,814,586
Others	100,389,057	223,600,366	100,389,057	223,600,366
Less: Allowances for Impairment	(111,466,276)	(62,757,461)	(135,928,126)	(77,378,433)
	8,509,957,841	**6,224,560,350**	**10,367,176,716**	**7,672,036,520**

4.6.1: Allowances for impairment

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Balance at Shrawan 1	62,757,460	37,932,475	77,378,432	40,932,475
Impairment loss for the year:				
Transfer from Merger/Acquisition	-	18,078,722		18,078,722
Charge for the year	84,701,143	6,746,263	109,162,992	18,367,234
Recoveries/reversal	(35,992,327)	-	(50,613,299)	-
Amount written off			-	-
Balance at Asar end	**111,466,276**	**62,757,460**	**135,928,126**	**77,378,432**

4.7. LOANS AND ADVANCES TO CUSTOMERS

Loans and advances to customers comprises of non-derivative financial assets with fixed or determinable payments that are not quoted in an active market which includes short term lending, term based lending, hire purchase lending, mortgage lending, personal lending, loans to employees and others. Loans and advances are initially measured at fair value and subsequently measured at amortised cost.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. Bank has not taken in account of upfront service fees collected on the individual loans to customers for calculating EIR, as the upfront service fees collected in terms of term based loans are less than 1% of the loan amount. Total income from service fees earned from term based loan is not material to the net interest earned by the bank. As per NAS 1 these service fees are taken to the income and not taken for recalculating the EIR of loans on the basis of materiality.

Loan loss provisions on loans and advances to customers are provided on the basis of directive number 2 issued by Nepal Rastra Bank. These loans are categorised under pass, watchlist, sub-standard, doubtful and loss category and provisions are made accordingly. Loan loss provisions are provided on the basis of percentage of total loan outstanding or on the basis of their overdue days or other criteria set out in the directives of Nepal Rastra Bank.

Staff loans which are fair valued at initial recognition and subsequently measured at amortized cost are included in loans and advances to customers measured at amortized cost. Loans and advances to customers include accrued interest on these loans.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Loan and advances measured at amortized cost	241,175,698,617	199,117,529,514	234,814,144,895	195,432,483,944
Less: Allowances for Impairment				
Collective impairment	(3,561,451,300)	(3,064,667,012)	(3,377,160,946)	(2,941,552,108)
Individual impairment	(2,785,557,422)	(2,154,079,246)	(2,785,557,422)	(2,154,079,246)
Net amount	**234,828,689,895**	**193,898,783,257**	**228,651,426,527**	**190,336,852,590**
Loan and advances measured at FVTPL				-
Total	**234,828,689,895**	**193,898,783,257**	**228,651,426,527**	**190,336,852,590**

Impairment of loans and advances to customers under NFRS

Bank applies the principles of incurred loss model set out in NAS 39 for measurement of impairment of loans and advances to customers.

Impairment of individually assessed loans

Bank has reviewed its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of profit or loss. The bank has assessed more than 40% of its total loan portfolio for the specific impairment of individually significant loans under the five loan products namely hire purchase loans, home loans, term loans, mortgage loans and short term loans. All the possible objective evidence are assessed on such significant loans which the bank has designed in assessing the specific impairment tests. Reasonable estimates and assumptions are made on assessing the objective evidence, so that there is no understatement or overstatement of the impairment amount on the individually assessed loans.

Bank reviews its non-performing loans and receivables at each reporting date to assess whether an allowance for impairment should be recorded in the statement of comprehensive income. In particular, the judgment of the management is required in estimating the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors, and actual results may differ, resulting in future changes to the allowance.

Additionally the bank has conducted specific assessment on the 100% provisioned loans as per NRB directives. These assessments are made on the judgment and estimates of the management for the amount and timing of future cash flow recovery from such loans on the basis of the security value possessed and the projected cash flows to be received from such loans.

Impairment of collectively assessed loans

All other loans where no specific impairment is established are assessed collectively based on the products which bear similar type of risk characteristics. The bank has segregated five major products with similar risk characteristics namely:

a. Hire Purchase Loans | *b. Home Loans* | *c. Mortgage Loans* | *d. Short term Loans* | *e. Term Loans*

Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified

by either the specific or collective assessment. Collective assessment is performed on the net flow rate method where the bank assesses the movements of outstanding principal as per overdue days. This establishes the bank's historical trend for the amount of loans moving to default zone from the issue of loans. The bank has identified default zone as 180 days. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified).

Impairment amount calculated with the principles of NAS 39 are as below:

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Impairment under NFRS				
Collective impairment	-	-	1,868,582,331	1,946,626,260
Individual impairment	-	-	378,112,924	212,844,454
Total Impairment under NFRS	**-**	**-**	**2,246,695,255**	**2,159,470,714**
Loan Loss Provision under NRB	**-**	**-**	**6,162,718,368**	**5,095,631,354**

4.7.1. Analysis of Loans and Advances – By Product

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Product				
Term loans	60,557,442,803	46,337,639,445	54,195,889,081	42,712,088,088
Overdraft	45,933,208,534	41,923,673,689	45,933,208,534	41,923,673,689
Trust receipt/Import loans	15,895,631,584	11,473,664,167	15,895,631,584	11,473,664,167
Demand and other working capital loans	48,775,887,900	39,974,314,547	48,775,887,900	39,974,314,547
Personal residential loans	20,256,304,926	17,051,747,119	20,256,304,926	17,051,747,119
Real estate loans	4,131,984,435	4,703,791,582	4,131,984,435	4,703,791,582
Margin lending loans	7,144,013,848	2,205,665,529	7,144,013,848	2,205,665,529
Hire purchase loans	11,043,342,516	11,353,757,981	11,043,342,516	11,353,757,981
Deprived sector loans	4,168,575,992	3,130,541,981	4,168,575,992	3,130,541,981
Bills purchased	-	-	-	-
Staff loans	1,315,195,655	1,244,638,579	1,315,195,655	1,244,638,579
Other	20,446,440,956	17,738,930,578	20,446,440,956	17,738,930,578
Sub total	**239,668,029,149**	**197,138,365,196**	**233,306,475,427**	**193,512,813,839**
Interest Receivable	1,507,669,468	1,979,164,318	1,507,669,468	1,919,670,104
Grand total	**241,175,698,617**	**199,117,529,514**	**234,814,144,895**	**195,432,483,944**

4.7.2. Analysis of loan and advances – By Currency

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Nepalese rupee	226,918,558,499	188,581,197,264	220,557,004,777	184,955,645,907
Indian rupee			-	-
United State dollar	12,749,470,650	8,557,167,933	12,749,470,650	8,557,167,933
Great Britain pound				
Euro				
Japanese yen				
Chinese yuan				
Other				
Sub total	**239,668,029,149**	**197,138,365,196**	**233,306,475,427**	**193,512,813,839**

4.7.3. Analysis of loan and advances – By Collateral

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Secured				
Movable/immovable assets	208,253,346,613	174,511,815,110	201,891,792,891	173,613,922,495
Gold and silver	14,959,528	50,886,696	14,959,528	50,886,696
Guarantee of domestic B/FIs	-	-	-	-
Government guarantee	21,940,258	22,385,806	21,940,258	22,385,806
Guarantee of international rated bank	-	-	-	-
Collateral of export document	-	-	-	-
Collateral of fixed deposit receipt	1,213,311,847	568,779,073	1,213,311,847	568,779,073
Collateral of Governement securities	-	-	-	-
Counter guarantee	-	-	-	-
Personal guarantee	369,202,828	472,527,487	369,202,828	472,527,487
Other collateral	29,795,268,076	21,511,971,024	29,795,268,076	18,784,312,282
Sub total	**239,668,029,149**	**197,138,365,196**	**233,306,475,427**	**193,512,813,839**
Unsecured				-
Grand Total	**239,668,029,149**	**197,138,365,196**	**233,306,475,427**	**193,512,813,839**

4.7.4. Allowances for Impairment

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Specific allowances for impairment				
Balance at Shrawan 1	2,154,079,246	491,085,738	2,154,079,246	491,085,738
Impairment loss for the year:			-	-
Transfer from Merger/Acquisition	-	722,894,258		722,894,258
Charge for the year	1,210,172,148	940,099,250	1,210,172,148	940,099,250
Recoveries/reversal during the year	(578,693,972)	-	(578,693,972)	-
Write-offs			-	
Exchange rate variance on foreign currency impairment			-	
Other movement			-	
Balance at Asar end	**2,785,557,422**	**2,154,079,246**	**2,785,557,422**	**2,154,079,246**
Collective allowances for impairment				
Balance at Shrawan 1	3,064,667,011	1,272,285,669	2,941,552,108	1,231,075,705
Impairment loss for the year:				
Transfer from Merger/Acquisition	-	714,516,275		714,516,275
Charge for the year	2,252,856,145	1,077,865,067	2,191,680,695	995,960,128
Recoveries/reversal during the year	(1,756,071,857)	-	(1,756,071,857)	-
Exchange rate variance on foreign currency impairment				
Other movement				
Balance at Asar end	**3,561,451,300**	**3,064,667,011**	**3,377,160,946**	**2,941,552,108**
Total Allowances for impairment	**6,347,008,721**	**5,218,746,257**	**6,162,718,368**	**5,095,631,354**

4.7.5 Forbearance/Relaxation

Amount in Rs.

PARTICULARS	AS OF ASAR END 2078	
	NO. OF CUSTOMERS	AMOUNT
Accrued Interest Received after Asar end 2078 till 15 Bhadra 2078	33,029	240,323,049
Additional 0.3% Loan Loss Provision created on Pass Loan Portfolio	NA	653,970,920
Extension of moratorium period of loan provided to Industry or Project under construction	9	4,378,104,561
Restructured/Rescheduled Loan with 5% Loan Loss Provision	1,117	10,196,645,788
Enhancement of Working Capital Loan by 20% to COVID affected borrowers	28	313,989,000
Enhancement of Term Loan by 10% to COVID affected borrowers	3	155,700,000
Expiry Date of Additional 20% Working Capital Loan (COVID Loan) extended for up to 1 year with 5% provisioning	-	-
Expiry Date of Additional 10% Term Loan (COVID Loan) extended for up to 1 year with 5% provisioning	-	-
Time Extension provided for repayment of Principal and Interest for up to two years as per clause 41 of NRB Directives 2	12	235,423,449

4.7.6 Business Continuity Loans

Amount in Rs.

PARTICULARS	DURING FY 2077/78	
	NO. OF CUSTOMERS	AMOUNT
Refinance Loan	2,885	11,344,484,475
Business Continuity Loan	2	8,000,000

4.7.7 Subsidized Loan

Amount in Rs.

PARTICULARS	AS OF ASAR END,2078	
	NO. OF CUSTOMERS	AMOUNT
Subsidized Loan	2,704	6,820,930,253

4.7.8 Classification of Loans, Advances & Bills Purchase and Provisioning including loans to BFIS

Amount in Rs.

PARTICULARS	LOANS & ADVANCES				
	DOMESTIC			FOREIGN	TOTAL
	DEPRIVED SECTOR		OTHER		
	INSURED	UNINSURED			
	1	2	3	4	5=1+2+3+4
1 Performing Loan and Advances	**311,998,695**	**14,207,219,116**	**224,496,241,261**		**239,015,459,073**
1.1 Pass Loan	310,802,399	14,153,712,882	216,052,930,159		230,517,445,440
1.2 Watch List	1,196,297	53,506,234	8,443,311,102		8,498,013,634
2 Non-Performing Loan and Advances	**1,351,068**	**104,016,791**	**3,316,869,627**	**-**	**3,422,237,486**
2.1 Restructured / Rescheduled			1,294,089		1,294,089
2.2 Sub-standard		31,022,297	752,187,802		783,210,099
2.3 Doubtful		30,693,020	601,910,638		632,603,659
2.4 Loss	1,351,068	42,301,474	1,961,477,098		2,005,129,640
A Total Loan and Advances (1+2)	**313,349,763**	**14,311,235,907**	**227,813,110,889**	**-**	**242,437,696,559**
B Total Loan Loss Provision	**1,362,828**	**253,477,154**	**6,043,806,511**	**-**	**6,298,646,494**
3.1 Pass	1,010,108	185,398,284	3,172,008,053		3,358,416,445
3.2 Watch List	14,954	2,675,312	421,157,329		423,847,595
3.3 Restructured / Rescheduled		-	161,761.08		161,761
3.4 Sub-standard		7,755,574	188,046,951		195,802,525
3.5 Doubtful		15,346,510	300,955,319		316,301,829
3.6 Loss	337,767	42,301,474	1,961,477,098		2,004,116,339
C Total Provision Up to Previous Year	**6,588,111**	**174,637,128**	**4,991,784,547**	**-**	**5,173,009,786**
4.1 Pass	1,607,075	103,306,292	1,779,391,107		1,884,304,474
4.2 Watch List	662,849	6,748,816	1,103,864,605		1,111,276,270
4.3 Restructured / Rescheduled			-		-
4.4 Sub-standard	839,031	2,819,432	217,203,535		220,861,999
4.5 Doubtful	1,933,299	9,582,973	609,023,319		620,539,591
4.6 Loss	1,545,856	52,179,615	1,282,301,982		1,336,027,453
D Provision Write Back of this Year	**(6,102,555)**	**(104,106,381)**	**(2,275,170,191)**		**(2,385,379,127)**
E Transfer from Merged Entities			**-**		**-**
F Additional Provision for this Year	**877,272**	**182,946,407**	**3,327,192,155**		**3,511,015,834**
G Net Provision Change this year	**(5,225,283)**	**78,840,026**	**1,052,021,964**	**-**	**1,125,636,707**
Net Loans and Advances (A-B)	**311,986,935**	**14,057,758,753**	**221,769,304,378**	**-**	**236,139,050,065**

4.8. INVESTMENT SECURITIES

Investment in securities comprises of Investments in government securities like development bonds, treasury bills, Nepal Rastra Bank bonds, deposit instruments with Nepal Rastra Bank, equity instruments and units of mutual funds and others. Investment securities like are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NAS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active that the entity can access at the measurement date. For the promoter shares where the quoted prices cannot be accessed at the measurement date, they are at cost. All of unquoted equity securities are recorded at cost since it is the most reasonable value available to represent the market value of these investments at the reporting date. Management carried out an impairment assessment of the unquoted share investments held by the Bank and concluded that no impairment is required as there is no evidence for a permanent decline in value of the investment.

During the year the Bank had purchased the equity shares and mutual funds for the purpose of trading and such shares were disposed within the financial year. Gains realised on those shares have been recorded in the profit/loss. Nepal Rastra Bank later issued the circular, restricting commercial bank's to enter into short term share trading activities. Subsequently the Bank has reclassified its investment purchased for held for trading under fair value through other comprehensive income and any change in fair value has been recorded through other comprehensive income.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment securities measured at amortized cost	46,847,958,987	24,710,641,040	46,847,958,987	24,696,551,040
Investment securities measured as at FVTOCI	2,081,381,003	1,719,704,092	2,053,775,977	1,704,850,352
	48,929,339,990	**26,430,345,133**	**48,901,734,964**	**26,401,401,393**

4.8.1. Investment securities measured at amortized cost

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
debt securities	1,707,247,075	14,090,000	1,707,247,075	-
government bonds	26,819,874,929	22,320,067,079	26,819,874,929	22,320,067,079
government treasury bills	18,320,836,984	2,376,483,962	18,320,836,984	2,376,483,962
nepal rastra bank bonds	-	-	-	-
nepal rastra bank deposit instruments	-	-	-	-
	46,847,958,987	**24,710,641,040**	**46,847,958,987**	**24,696,551,040**
Less: specific allowances for impairment			-	-
Total	**46,847,958,987**	**24,710,641,040**	**46,847,958,987**	**24,696,551,040**

4.8.2. Investment in equity measured at fair value through other comprehensive income

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Equity Instruments				
unquoted equity instruments	10,996,179	1,337,628,400	9,996,179	1,336,628,400
quoted equity instruments	1,500,228,475	162,784,442	1,498,973,449	162,155,702
Mutual Funds	**570,156,349**	**219,291,250**	**544,806,349**	**206,066,250**
	2,081,381,003	**1,719,704,092**	**2,053,775,977**	**1,704,850,352**

4.8.3. Information relating to investmennt in quoted equities

4.8.3.1 Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Quoted Equity Investments												
Aarambha Chautari laghubitta bittiya sanstha ltd	2,000	3,182,100	3,148,000	-	-	-	-	-	-	-	-	-
Agricultural Development Bank Ltd.	2,824	1,372,145	1,352,696	3,337	1,250,460	1,284,745	-	-	-	-	-	-
Api Power Company Ltd.	1	-	403	20,726	2,561,505	2,238,408	-	-	-	-	-	-
Arun Kabeli Hydropower Company Ltd.	-	-		35,986	4,629,499	4,174,376	-	-	-	-	-	-
Arun Valley Hydropower Development Co. Ltd.	2	100	960	108,524	11,852,569	10,092,732	-	-	-	-	-	-
Bank of Kathmnadu Ltd	-	-	-	39,017	10,478,134	8,544,723	-	-	-	-	-	-
Butwal Power Company Ltd.	-	-	-	72,612	28,640,327	26,067,708	-	-	-	-	-	-
Century Commercial Bank Ltd.	39,427	11,665,537	11,473,257	15,065	2,636,319	2,485,725	-	-	-	-	-	-
Chandragiri Hills Limited (CGH)	30,093	51,676,836	45,289,965	-	-	-	-	-	-	-	-	-
Chhimek Laghubitta Bikas Bank Ltd.	6,800	11,842,105	11,818,400	839	627,387	914,510	-	-	-	-	-	-
Chilime Hydropower Company Ltd.	-	-	-	82,098	38,928,303	32,675,004	-	-	-	-	-	-
Citizen Investment Trust.	1,636	6,925,648	5,711,276	298	620,608	723,544	-	-	-	-	-	-
Citizens Bank International Ltd.				8,000	1,480,932	1,504,000	-	-	-	-	-	-
Civil Bank Ltd.	72,000	21,224,097	20,592,000	-	-	-	-	-	-	-	-	-
Deprosc Development Bank Ltd.	4,000	6,998,136	6,744,000	1,611	1,179,582	1,395,126	-	-	-	-	-	-
Everest Bank Ltd.	1	2	738	4,113	3,327,112	2,776,275	-	-	-	-	-	-
Everest Insurance co ltd promoter	59,904	24,012,243	30,011,904	-	-	-	-	-	-	-	-	-
First Micro Finance Development Bank Ltd.	11,001	9,113,208	9,053,823	1	491	555	-	-	-	-	-	-
Forward Community Microfinance Bittiya Sansthan Ltd.	2,677	6,702,498	7,415,290	1,002	1,353,333	1,602,198	-	-	-	-	-	-
Garima Bikas Bank Ltd.	-	-	-	2,240	520,279	499,520	-	-	-	-	-	-
Global IME Laghubitta Bittiya Sanstha Ltd.	-	-	-	33	35,435	43,494	-	-	-	-	-	-
Guheshowori Merchant Bank & Finance Co. Ltd.	-	-	-	2,000	237,359	246,000	-	-	-	-	-	-
Guras Life Insurance Co. Ltd.	-	-	-	1	389	465	-	-	-	-	-	-
Gurkhas Finance Ltd.	-	-	-	26,210	4,205,554	3,171,410	-	-	-	-	-	-
Himalayan Bank Ltd.	-	-	-	4,768	2,628,574	2,574,720	-	-	-	-	-	-
Himalayan Distillery Ltd.	-	-	-	628	946,779	1,004,172	-	-	-	-	-	-
Himalayan Power Partner Limited	106,473	50,629,087	47,806,377	-	-	-	-	-	-	-	-	-
Hydroelectricity Investment and Dev. Co. Ltd .	11	3,021	4,939	6,098	866,312	811,034	-	-	-	-	-	-
ICFC Finance Company Ltd.	-	-	-	2,479	452,112	428,867	-	-	-	-	-	-
IME General Insurance Ltd.	7,105	6,359,103	8,589,945	1,500	604,119	658,500	-	-	-	-	-	-
Joshi Hydropower Development Co Ltd.	-	-	-	8,960	584,759	448,000	-	-	-	-	-	-
Jyoti Bikas Bank Ltd.	64	26,905	30,592	11,141	2,021,912	1,849,406	-	-	-	-	-	-
Kisan Laghubitta Bittiya Sanstha Limited	879	1,480,153	1,529,460	-	-	-	-	-	-	-	-	-
Kumari Bank Ltd.				19,152	4,104,595	3,562,272	-	-	-	-	-	-

contd... Investment securities measured at FVTPL

contd... Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Laxmi Bank Ltd.	-	-	-	3,635	797,698	759,715	-	-	-	-	-	-
Lumbini Bikas Bank Ltd.	-	-	-	3,214	571,559	581,734	-	-	-	-	-	-
Lumbini General Insurance Ltd.	-	-	-	81	34,437	36,693	-	-	-	-	-	-
Machhapuchhre Bank Ltd.	632	158,029	243,320	17,859	4,865,009	3,928,980	-	-	-	-	-	-
Mahila Sahayatra Laghubitta Bittiya Sanstha Ltd.	243	190,890	305,937	2,252	1,666,335	1,711,520	-	-	-	-	-	-
Mahuli Laghubibitta Bittiya Sanstha Ltd.	-	-	-	1,000	947,000	895,000	-	-	-	-	-	-
Mega Bank Ltd.	-	-	-	2,238	501,919	465,504	-	-	-	-	-	-
Mero Microfinance Laghubitta Bittiya Sanstha Ltd.	7,000	12,209,811	10,822,000	3,096	2,060,771	2,086,704	-	-	-	-	-	-
Mithila Laghubitta Bittiya Sanstha Ltd.	204	328,552	478,380	-	-	-	-	-	-	-	-	-
Mountain Hydro Nepal Ltd.	-	-	-	170	14,745	13,430	-	-	-	-	-	-
Muktinath Bikas Bank Ltd.	-	-	-	12,381	3,958,187	3,862,872	-	-	-	-	-	-
Nabil Bank Ltd.	-	-	-	1,757	1,320,318	1,344,105	-	-	-	-	-	-
National Hydro Power Company Ltd.	-	-	-	63,503	4,470,084	3,365,659	-	-	-	-	-	-
National LIfe Insurance Company Ltd.	29,695	35,599,163	34,178,945	43,705	33,417,462	28,932,710	-	-	-	-	-	-
Neco Insurance Co. Ltd.	-	-	-	250	138,899	151,750	-	-	-	-	-	-
Nepal Bangladesh Bank.	-	-	-	13,218	3,057,155	2,762,562	-	-	-	-	-	-
Nepal Bank Ltd.	-	-	-	70,743	19,369,856	17,615,007	-	-	-	-	-	-
Nepal Credit And Commercial Bank Ltd.	1	-	367	2,000	400,274	372,000	-	-	-	-	-	-
Nepal Doorsanchar Company Ltd.	60,834	82,668,292	79,935,876	-	-	-	-	-	-	-	-	-
Nepal Infrastructure Bank Limited (NIFRA)	42,000	21,583,044	20,664,000	-	-	-	-	-	-	-	-	-
Nepal Insurance Company Ltd.	-	-	-	144	60,128	63,216	-	-	-	-	-	-
Nepal Investment Bank Ltd.	15,865	7,331,794	7,297,900	87,464	37,338,013	31,749,432	-	-	-	-	-	-
Nepal Investment Bank Ltd. (P)	26,009	10,383,851	10,481,627	-	-	-	-	-	-	-	-	-
Nepal Life Insurance Co. Ltd.	26,666	57,449,901	51,172,054	4,987	6,227,080	6,283,620	-	-	-	-	-	-
Nepal Reinsurance Co. Ltd.	42,787	76,504,686	68,202,478	-	-	-	-	-	-	-	-	-
Nepal Reinsurance Co. Ltd. (P)	302,363	76,195,476	76,195,476	302,363	30,236,331	76,195,476	-	-	-	-	-	-
Nepal SBI Bank Ltd.	-	-	-	168	77,550	73,080	-	-	-	-	-	-
Nerude Laghubitta Bikas Bank Limited	237	293,922	379,200				-	-	-	-	-	-
Ngadi Group Power Ltd.	90,857	45,957,359	51,788,490	9,554	1,399,687	1,098,710	-	-	-	-	-	-
NIC Asia Bank Ltd.				10,600	6,338,013	5,861,800	-	-	-	-	-	-
Nirdhan Utthan Bank Limited	1,442	2,145,924	2,307,200	-	-	-	-	-	-	-	-	-
NLG Insurance Company Ltd.	-	-	-	693	426,537	455,301	-	-	-	-	-	-
NMB Bank Ltd.	-	-	-	15,237	6,404,269	6,049,089	-	-	-	-	-	-
NMB Laghubitta Bittiya Sanstha Ltd.	-	-	-	501	353,857	404,808	-	-	-	-	-	-
Orinetal Hotal Ltd.	-	-	-	18,192	7,881,508	5,985,168	-	-	-	-	-	-
Panchakanya Mai Hydropower Ltd.	-	-	-	1,110	109,819	78,810	-	-	-	-	-	-
Prabhu Bank Ltd.	-	-	-	4,998	1,288,256	1,149,540	-	-	-	-	-	-
Prabhu Life Insurance Limited	16,814	13,915,252	12,677,756	-	-	-	-	-	-	-	-	-

contd... Investment securities measured at FVTPL

contd... Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Premier Insurance Co. Ltd.	5,530	6,307,934	6,470,100	-	-	-	-	-	-	-	-	-
Prime Commercial Bank Ltd.	-	-	-	37,575	11,445,323	9,581,625	-	-	-	-	-	-
Prime Life Insurance Company Ltd	35,099	36,699,219	33,484,446	-	-	-	-	-	-	-	-	-
Prudential Insurance Co. Ltd.	7,769	5,737,264	6,292,890	5,000	2,931,134	2,465,000	-	-	-	-	-	-
Rastriya Beema Company Ltd.	-	-	-	3,832	37,277,518	31,177,152	-	-	-	-	-	-
Ridhi Hydropower Co. Ltd.	265	42,610	152,640	45,597	4,129,348	3,830,148	-	-	-	-	-	-
Rural Microfinance Development Centre Ltd.	2,000	2,733,750	2,746,000	-	-	-	-	-	-	-	-	-
Sadhana laghubitta bittiya sanstha	10,000	18,181,696	16,820,000	-	-	-	-	-	-	-	-	-
Sahara Bikas Bank Ltd.	168	72,680	77,280	158	72,680	72,680	-	-	-	-	-	-
Sana Kisan Bikas Bank Ltd.	27,035	46,165,618	44,337,400	1,208	1,149,736	1,571,608	-	-	-	-	-	-
Sanima Bank Ltd.	-	-	-	5,398	1,887,694	1,781,340	-	-	-	-	-	-
Sanima Mai Hydropower Ltd.	-	-	-	16,709	3,949,385	3,726,107	-	-	-	-	-	-
Saptakoshi Development Bank Ltd.	-	-	-	26,910	4,564,536	3,229,200	-	-	-	-	-	-
Shangrila Development Bank Ltd.	-	-	-	1,266	187,177	189,900	-	-	-	-	-	-
Shikhar Insurance Co. Ltd.	6,422	8,872,339	12,535,744	2,133	2,028,494	2,173,527	-	-	-	-	-	-
Shine Resunga Development Bank Ltd.	-	-	-	6,304	1,396,261	1,399,488	-	-	-	-	-	-
Shivam Cement Ltd.	-	-	-	24,958	15,771,907	14,924,884	-	-	-	-	-	-
Shree Investment Finance Co.Ltd.	-	-	-	225	34,868	35,775	-	-	-	-	-	-
Shrijana Finance Financial Institution Ltd.	312	57,540	65,520	274	201	57,540	-	-	-	-	-	-
Siddhartha Bank Ltd.	-	-	-	30,218	9,861,734	8,944,528	-	-	-	-	-	-
Siddhartha Insurance Co. Ltd.	-	-	-	1,000	542,070	580,000	-	-	-	-	-	-
Sindhu Bikas Bank Ltd.	-	-	-	19,461	2,719,199	2,607,774	-	-	-	-	-	-
Soaltee Hotel Ltd.	-	-	-	13,373	2,632,581	2,059,442	-	-	-	-	-	-
Standard Chartered Bank Ltd.	24,519	15,774,580	14,466,210	5,450	3,558,171	3,515,250	-	-	-	-	-	-
Sunrise Bank Ltd.	811	232,229	294,393	99,986	30,038,614	23,396,724	-	-	-	-	-	-
Surya Life Insurance Company Ltd.	6,584	6,570,243	6,070,448	-	-	-	-	-	-	-	-	-
Swabalamban Bikas Bank Limited	623	972,432	1,033,557	-	-	-	-	-	-	-	-	-
Swabhimaan laghubitta Bittiya Sanstha	2,000	4,955,586	5,016,000	-	-	-	-	-	-	-	-	-
Synergy Power Development Ltd.	-	-	-	15,885	1,731,099	1,556,730	-	-	-	-	-	-
Tinau Mission Development Bank Ltd.	1,923	-	378,831	7,688	1,869,673	1,345,400	-	-	-	-	-	-
United Finance Ltd.	-	-	-	130	24,936	21,450	-	-	-	-	-	-
United Insurance Ltd.	-	-	-	10,660	4,272,911	3,944,200	-	-	-	-	-	-
Universal Power Company Ltd.	-	-	-	8,715	764,593	610,050	-	-	-	-	-	-
Womi Microfinance Bittiya Sansthan Ltd.	-	-	150,248	250	214,354	250,250	-	-	-	-	-	-
Nabil Balance Fund 2	73,800	842,056	1,040,580	50,000	500,000	495,000	-	-	-	-	-	-
Nabil Equity Fund	34,226	348,890	499,700	11,264	112,640	105,093	-	-	-	-	-	-
NIBL Pragati Fund-ordinar share	693,799	7,644,674	10,302,915				-	-	-	-	-	-
NIC Asia Balance Fund	379,700	4,141,098	5,213,281	400,000	3,885,416	4,152,000	-	-	-	-	-	-

contd... Investment securities measured at FVTPL

contd... Investment securities measured at FVTPL

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
NIC Asia Growth Fund	32,200	339,886	483,000	-	-	-	-	-	-	-	-	-
NMB 50 Mutual Fund	786,300	8,368,061	11,755,185	-	-	-	-	-	-	-	-	-
Nmb Hybrid Fund 1	98,707	1,171,460	1,347,351	40,776	408,983	387,372	-	-	-	-	-	-
Prabhu Select Fund	500,000	5,000,000	5,070,000	-	-	-	-	-	-	-	-	-
Sanima Equity Fund	880,700	10,714,085	14,786,953	-	-	-	-	-	-	-	-	-
Sanima Large Cap Fund	500,000	5,000,000	5,250,000	-	-	-	-	-	-	-	-	-
Siddhartha Equity Fund	440,880	4,782,950	6,194,364	-	-	-	-	-	-	-	-	-
Siddhartha Investment Growth Scheme-2	324,760	3,675,643	4,611,592	-	-	-	-	-	-	-	-	-
Sunrise Bluechip Fund	500,000	5,000,000	5,000,000	-	-	-	-	-	-	-	-	-
Sunrise First Mutual Fund	341,720	4,491,651	5,467,520	-	-	-	-	-	-	-	-	-
10% Sunrise Bank Debenture	6,250	6,734,630	6,550,000	5,000	5,000,000	5,428,327	-	-	-	-	-	-
10% Sanima Bank Debenture	75	79,200	83,325	75	76,731	79,200	-	-	-	-	-	-
10% Himalayan Bank Debenture	2,525	2,875,307	2,848,200	2,500	2,500,000	2,849,267	-	-	-	-	-	-
10.25% Nepal Banladesh Bank Debenture	25,270	30,244,304	28,934,150	25,000	25,000,000	29,950,438	-	-	-	-	-	-
10.25% Kumari Bank Ltd Debenture	120	125,277	125,277	-	-	-	-	-	-	-	-	-
10.35% Agriculture Dev. Bank Debenture	5,469	6,406,926	5,922,927	5,229	5,229,000	6,153,826	-	-	-	-	-	-
10.5% Siddhartha Bank Ltd Debenture	25	26,036	29,658	-	-	-	-	-	-	-	-	-
11% NIC ASIA Bank Ltd Debenture	150	169,616	186,900	-	-	-	-	-	-	-	-	-
		917,686,342	**909,799,615**		**490,276,462**	**490,759,779**	**-**	**-**	**-**	**-**	**-**	**-**

4.8.3.2 Investment securities measured at FVTOCI

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Quoted Equity Investments												
Chautari Laghubitta Bittiya Sanstha Ltd.	60,000	6,000,000	6,000,000	60,000	6,000,000	27,840,000	60,000	6,000,000	6,000,000	60,000	6,000,000	27,840,000
Chhimek Laghubitta Bikas Bank Ltd.	1	-	1,738	1,160	-	1,264,400	1		1,738	1,160	-	1,264,400
Kalika Microcredit Development Bank Ltd.	31	1,444	44,361	176	8,200	145,200	31	1,444	44,361	176	8,200	145,200
Laxmi Laghubitta Bittiya Sanstha Ltd.	11,050	26,663,250	25,304,500	173	12,300	210,022	11,050	26,663,250	25,304,500	173	12,300	210,022
Mithila Laghubitta Bikash Bank Ltd.	79	4,570	185,255	488	33,100	394,792	79	4,570	185,255	488	33,100	397,720
Nagbeli Laghubitta Bikash Bank Ltd.	27	959	49,950	88	5,300	51,744	27	959	49,950	88	5,300	51,744
Sarathi Nepal Laghu Bitta Bikas Bank Ltd.	19	1,503	35,435	300	28,400	250,200	19	1,503	35,435	300	28,400	250,200
Nerude Laghubitta Bikas Bank Ltd.	6	-	9,600	40	-	30,440	6	-	9,600	40	-	30,440
Rural Microfinance Development Centre Ltd.	102	47,423	140,046	1,875	1,154,323	1,314,375	102	47,423	140,046	1,875	1,154,323	1,314,375
NMB Microfinance Bittaya Sanstha Ltd.	-	-		50	4,000	40,400				50	4,000	40,400
Gurans Life Insurance Co. Ltd.	43,178	3,586,785	32,772,102	20,511	1,535,385	9,537,615	43,178	3,586,785	32,772,102	20,511	1,535,385	9,537,615
National Life Insurance Co. Ltd.	3,337	27,809	3,840,887	3,033	27,809	2,007,846	3,337	27,809	3,840,887	3,033	27,809	2,007,846
Nepal Life Insurance Co.Ltd	16,649	7,686,450	31,949,433	12,710	7,686,450	16,014,600	15,995	7,365,825	30,694,405	12,211	7,365,825	15,385,860
NLG Insurance Company Ltd.	53,660	3,117,683	65,465,200	4,518	239,545	2,968,326	53,660	3,117,683	65,465,200	4,518	239,545	2,968,326
NLG Insurance Company Ltd (P)	2,434	151,262	243,400	28,462	1,050,000	2,846,200	2,434	151,262	243,400	28,462	1,050,000	2,846,200
Nepal Reinsurance Co. Ltd. (P)	604,726	60,472,562	60,472,562	421,963	42,196,262	42,196,262	604,726	60,472,562	60,472,562	421,963	42,196,262	42,196,262
Jalvidhyut Lagani Tatha Bikas Company Ltd.	15,930	1,448,200	7,152,570	15,930	1,448,200	2,118,690	15,930	1,448,200	7,152,570	15,930	1,448,200	2,118,690
Chilime Hydropower Company Ltd.	15,677	5,029,893	10,770,099	14,269	5,029,893	5,679,062	15,677	5,029,893	10,770,099	14,269	5,029,893	5,679,062
Ngadi Group Power Ltd.	699	57,900	398,430	636	57,900	73,140	699	57,900	398,430	636	57,900	73,140
Ridi Hydropower Development Company Ltd.	442	26,000	254,592	402	26,000	33,768	442	26,000	254,592	402	26,000	33,768
Nepal Doorsanchar Company Ltd.	96,760	83,752,623	127,142,640	71,810	49,758,328	47,035,550	96,760	83,752,623	127,142,640	71,810	49,758,328	47,035,550
Soaltee Hotel Limited	5,443	1,079,180	1,426,066	4,733	1,079,180	728,882	5,443	1,079,180	1,426,066	4,733	1,079,180	728,882
General Insurance Company Ltd.	200,000	20,620,000	20,620,000	-	-	-	200,000	20,620,000	20,620,000	-	-	-
Nepal Infrastructure Bank Ltd	10,950,000	1,095,000,000	1,095,000,000	-	-	-	10,950,000	1,095,000,000	1,095,000,000	-	-	-
IME General Insurance Ltd.	1,330	1,348,711	1,607,970	-	-	-	1,330	1,348,711	1,607,970	-	-	-
Neco Insurance Co. Ltd.	6,930	9,545,593	9,341,640	-	-	-	6,930	9,545,593	9,341,640	-	-	-
		1,325,669,798	**1,500,228,475**		**117,380,573**	**162,781,514**		**1,325,349,173**	**1,498,973,448**		**117,059,948**	**162,155,702**

contd... Investment securities measured at FVTOCI

contd... Investment securities measured at FVTOCI

Amount in Rs.

	GROUP						BANK					
	CURRENT YEAR			PREVIOUS YEAR			CURRENT YEAR			PREVIOUS YEAR		
	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE	UNIT	COST	FAIR VALUE
Quoted Mutual Fund Investments												
Global IME Samunnat Yojana-I	15,230,328	152,303,280	308,871,052	15,230,328	152,303,280	130,679,143	13,980,328	139,803,280	283,521,052	13,980,328	139,803,280	119,951,214
NMB Hybrid Fund -1	946,441	9,464,410	12,918,920	946,441	9,464,410	8,991,190	946,441	9,464,410	12,918,920	946,441	9,464,410	8,991,190
Laxmi Equity Fund	1,169,916	11,699,160	16,144,841	1,169,916	11,699,160	10,260,163	1,169,916	11,699,160	16,144,841	1,169,916	11,699,160	10,260,163
Nabil Balance Fund-2	1,000,000	10,000,000	14,100,000	1,000,000	10,000,000	10,000,000	1,000,000	10,000,000	14,100,000	1,000,000	10,000,000	10,000,000
Nabil Equity Fund	788,550	7,885,500	11,512,830	788,550	7,885,500	7,357,172	788,550	7,885,500	11,512,830	788,550	7,885,500	7,357,172
NIBL Samriddhi Fund -1	173,890	1,738,900	2,497,060	173,890	1,738,900	1,721,511	173,890	1,738,900	2,497,060	173,890	1,738,900	1,721,511
NIC ASIA Balance Fund	750,000	7,500,000	10,297,500	750,000	7,500,000	7,785,000	750,000	7,500,000	10,297,500	750,000	7,500,000	7,785,000
Sunrise First Mutual Fund	500,000	5,000,000	8,000,000	600,000	6,000,000	6,000,000	500,000	5,000,000	8,000,000	500,000	5,000,000	5,000,000
Siddhartha Investment Growth Scheme II	2,000,000	20,000,000	28,400,000	2,000,000	20,000,000	20,000,000	2,000,000	20,000,000	28,400,000	2,000,000	20,000,000	20,000,000
NMB 50 Mutual Fund	1,500,000	15,000,000	22,425,000	1,650,000	16,500,000	16,500,000	1,500,000	15,000,000	22,425,000	1,500,000	15,000,000	15,000,000
Kumari Equity Fund	1,000,000	10,000,000	10,500,000	-	-	-	1,000,000	10,000,000	10,500,000	-	-	-
Sanima Large Cap Fund	1,000,000	10,000,000	10,500,000	-	-	-	1,000,000	10,000,000	10,500,000	-	-	-
NIBL Samriddhi Fund -2	3,672,123	36,721,230	39,695,650	-	-	-	3,672,123	36,721,230	39,695,650	-	-	-
Prabhu Select Fund	1,468,090	14,680,900	14,886,433	-	-	-	1,468,090	14,680,900	14,886,433	-	-	-
Sunrise Blue Chip Fund	4,605,026	46,050,260	46,787,064	-	-	-	4,605,026	46,050,260	46,787,064	-	-	-
Laxmi Unnati Kosh	1,000,000	10,000,000	12,620,000	-	-	-	1,000,000	10,000,000	12,620,000	-	-	-
		368,043,640	**570,156,349**		**243,091,250**	**219,294,179**		**355,543,640**	**544,806,349**		**228,091,250**	**206,066,250**
Unquoted Equity Investments												
Nepal Clearing House Ltd.	-	-	-	152,968	10,722,700	15,296,800	-	-	-	152,968	10,722,700	15,296,800
ICRA Nepal Ltd.	19,000	760,000	1,900,000	7,600	760,000	760,000	19,000	760,000	1,900,000	7,600	760,000	760,000
National Banking Training Institute P. Ltd	12,000	1,200,000	1,200,000	12,000	1,200,000	1,200,000	12,000	1,200,000	1,200,000	12,000	1,200,000	1,200,000
General Insurance Company Ltd.	-	-	-	200,000	20,620,000	20,620,000	-	-	-	200,000	20,620,000	20,620,000
Reliable Nepal Life Insurance Co. Ltd.	-	-	-	2,000,000	200,000,000	200,000,000	-	-	-	2,000,000	200,000,000	200,000,000
Care Ratings Nepal Ltd.	25,000	2,500,000	2,500,000	25,000	2,500,000	2,500,000	25,000	2,500,000	2,500,000	25,000	2,500,000	2,500,000
Nepal Infrastructure Bank Ltd.	-	-	-	10,950,000	1,095,000,000	1,095,000,000	-	-	-	10,950,000	1,095,000,000	1,095,000,000
Prabhu Capital Ltd.	-	-	-	3,066	300,000	306,600	-	-	-	3,066	300,000	306,600
Karja Suchana Kendra Ltd.	9,450	94,500	945,000	9,450	94,500	945,000	9,450	94,500	945,000	9,450	94,500	945,000
SWIFT	5	3,451,179	3,451,179	-	-	-	5	3,451,179	3,451,179	-	-	-
Nepal Finsoft Company Ltd.	10,000	1,000,000	1,000,000	10,000	1,000,000	1,000,000	-	-	-	-	-	-
		9,005,679	**10,996,179**			**1,337,628,400**		**8,005,679**	**9,996,179**		**1,331,197,200**	**1,336,628,400**
Total Investment in Securities measured at FVTOCI		**1,702,719,116**	**2,081,381,003**			**1,719,704,092**		**1,688,898,491**	**2,053,775,975**		**1,676,348,398**	**1,704,850,351**

4.9. CURRENT TAX ASSETS

Current tax assets consist of amounts paid to the Inland Revenue Department in respect of the current year and the carried forward balance of advance taxes paid in previous years net off of those years, income tax payable on those years using the tax rates enacted on the reporting date and any adjustment to tax payable in respect of prior years. Current tax liabilities consist of the amount of self assessed tax liabilities by the bank for the current year.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Current Tax Assets				
Current year income tax assets	2,449,733,516	1,712,793,918	2,232,790,396	1,639,870,182
Tax assets of prior periods	-	-		-
Current Tax Liabilities				
Current year income tax liabilities	2,074,181,931	1,343,033,016	1,845,212,017	1,294,604,441
Tax liabilities of prior periods	-	-		
Net tax assets / (liabilities)	**375,551,585**	**369,760,902**	**387,578,379**	**345,265,741**

4.10. INVESTMENT IN SUBSIDIARIES

Subsidiaries are entities in which the Bank directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which control ceases.

Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated. Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.

During the year Janata Capital Ltd, a 100% subsidiary of the bank has been liquidated and all the investment done on the subsidiary has been returned to the Bank. Additionally Global IME Laghubitta Bittiya Sanstha Ltd, a subsidiary of the Bank has acquired Sparsha Laghubitta Bittiya Sanstha Ltd, an associate company of the Bank. The Bank has reclassified its investment in Sparsha Lagubitta Bittiya Sanstha Ltd as investment in subsidiary from the date of the joint operation.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment in quoted subsidiaries	-	-	145,695,250	132,095,250
Investment in unquoted subsidiaries	-	-	225,000,000	425,000,000
Total investment	**-**	**-**	**370,695,250**	**557,095,250**
Less: Impairment allowances				
Net carrying amount	**-**	**-**	**370,695,250**	**557,095,250**

4.10.1. Investment in quoted subsidiaries

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
Global IME Laghubitta Bittiya Sanstha Limited	2,481,470	145,695,250	3,492,669,025	1,546,404	132,095,250	1,019,080,236
		145,695,250	**3,492,669,025**		**132,095,250**	**1,019,080,236**

4.10.2. Investment in unquoted subsidiaries

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
Global IME Capital Limited	1,612,529	165,000,000	165,000,000	1,612,529	165,000,000	165,000,000
Janata Capital Limited	-	-	-	2,000,000	200,000,000	200,000,000
JBNL Securities Limited	600,000	60,000,000	60,000,000	600,000	60,000,000	60,000,000
		225,000,000	**225,000,000**		**425,000,000**	**425,000,000**

4.10.3. Information relating to subsidiaries of the Bank

Amount in Rs.

	PERCENTAGE OF OWNERSHIP HELD BY THE BANK	
	CURRENT YEAR	PREVIOUS YEAR
Global IME Capital Ltd	75%	75%
Global IME Laghubitta Bittiya Sanstha Ltd	57.48%	70%
Janata Capital Ltd	-	100%
JBNL Securities Ltd	100%	100%

4.10.4. Non Controlling interest of the subsidiaries

Amount in Rs.

	CURRENT YEAR		PREVIOUS YEAR	
	GILBSL	GICL	GILBSL	GICL
Equity interest held by NCI (%)	42.52%	25%	30%	25%
Profit/(loss) allocated during the year	88,447,101	89,791,536	27,992,483	13,943,729
Accumulated balances of NCI as on Asar end	343,485,031	161,221,875	138,369,013	72,908,464
Dividend paid to NCI	-	-	-	-

4.11. INVESTMENT IN ASSOCIATES

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence.

The Group has accounted its investment in associates using equity method by taking the carve out issued by The Institute of Chartered Accountants of Nepal as disclosed in Note 3.29. The carve out gives the exemptions for equity accounting under consolidated financial statements where the financial statements of associates are not prepared using uniform accounting policy of the bank. Equity accounting is based on the profit reported by associate entities on their unaudited financial statements using the policy disclosed in the financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment in quoted associates	333,821,780	284,942,762	141,593,610	170,222,561
Investment in unquoted associates	678,746,598	266,726,974	502,593,300	234,000,000
Total investment	**1,012,568,378**	**551,669,736**	**644,186,910**	**404,222,561**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**1,012,568,378**	**551,669,736**	**644,186,910**	**404,222,561**

4.11.1. Investment in quoted associates

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
First Microfinance Dev Bank Limited	944,828	67,547,610	156,784,174	1,179,642	82,554,861	156,345,499
Mero Micro Finance Bittya Sanstha Ltd	1,400,056	74,046,000	177,037,607	1,197,545	74,067,700	114,997,263
Sparsha Laghubitta Bittiya Sanstha	-	-	-	136,000	13,600,000	13,600,000
		141,593,610	**333,821,781**		**170,222,561**	**284,942,762**

4.11.2. Investment in unquoted associates

Amount in Rs.

	CURRENT YEAR			PREVIOUS YEAR		
	UNITS	COST	FAIR VALUE	UNITS	COST	FAIR VALUE
IME Life Insurance Co. Limited	2,000,000	200,000,000	245,767,930	2,000,000	200,000,000	232,726,974
Nepal Electronics Payment System Ltd.	310,000	31,000,000	39,451,279	310,000	31,000,000	31,000,000
Banking Finance And Insurance Institution Ltd.	33,000	3,000,000	3,616,763	30,000	3,000,000	3,000,000
Reliable Nepal Life Insurance Co. Limited	2,000,000	200,000,000	284,354,125	-	-	-
Smart Choice Technologies Ltd	578,706	57,870,600	45,372,344	-	-	-
Nepal Clearing House Limited	294,055	10,722,700	60,184,157	-	-	-
		502,593,300	**678,746,598**		**234,000,000**	**266,726,974**

4.11.3. Information relating to associates of the Bank

Amount in Rs.

	PERCENTAGE OF OWNERSHIP HELD BY THE BANK	
	CURRENT YEAR	PREVIOUS YEAR
First Microfinance Dev Bank Limited (P)	12.05%	14.73%
Mero Micro Finance Bittya Sanstha Ltd (P)	14.00%	14.00%
Sparsha Laghubitta Bittiya Sanstha Ltd.	-	16.39%
IME Life Insurance Co. Limited	10.00%	10.00%
Reliable Nepal Life Insurance Co. Limited	10.00%	-
Nepal Clearing House Limited	7.15%	-
Smart Choice Technologies Ltd	15.50%	-
Nepal Electronics Payment System Ltd.	17.61%	17.61%
Banking Finance And Insurance Institution Ltd.	6.67%	6.67%

4.12. INVESTMENT PROPERTY

Bank classifies the non-banking assets as repossessed collateral which are non-financial assets acquired by the Bank in settlement of overdue loans. The assets are initially recognized at fair value when acquired and included in investment property or other assets depending on their nature and the bank's intention in respect of recovery of these assets and are subsequently re-measured and accounted for in accordance with the accounting policies for these categories of assets.

Land and Building are classified as investment property and all other assets repossessed for settlement of overdue loans are classified as other assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Investment properties measured at fair value				
Balance as on Shrawan 1				
Additions during the year				
Disposal during the year				
Net changes in fair value during the year				
Adjustment /transfer		-		
Net Amount	**-**	**-**	**-**	**-**
Investment properties measured at cost				
Balance as on Shrawan 1	335,304,055	118,685,464	335,304,055	118,685,464
Additions during the year	50,145,240	32,748,729	50,145,240	32,748,729
Disposal during the year	(30,800,350)	(18,225,000)	(30,800,350)	(18,225,000)
Adjustment/transfer	-	202,094,862	-	202,094,862
Accumulated depreciation			-	
Accumulated impairment loss			-	
Net Amount	**354,648,945**	**335,304,055**	**354,648,945**	**335,304,055**
Total	**354,648,945**	**335,304,055**	**354,648,945**	**335,304,055**

4.13. PROPERTY AND EQUIPMENT

Property and equipment is stated at cost excluding the costs of day–to–day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred. Depreciation on freehold land has not been calculated. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost to their residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization".

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date of the statement of financial position. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 31st Asar 2078 (2077: nil). Gains and losses on disposals are determined by comparing proceeds with carrying amount.

Amount in Rs.

	GROUP							
COST:	LAND	BUILDINGS	MACHINERY	OFFICE EQUIPMENT	MOTOR VEHICLES	LEASEHOLD IMPROVE-MENT	TOTAL	TOTAL ASAR 31 2077
As on Shrawan 1, 2077	**880,012,480**	**332,751,774**	**338,652,899**	**1,316,393,354**	**739,804,261**	**884,810,993**	**4,492,425,760**	**2,558,672,922**
Additions	1,124,978,434	-	5,451,728	70,711,807	64,504,795	70,877,830	1,336,524,594	171,890,590
Transfer from Merger/Acquisition	-	-	3,855,024	6,257,274	420,150	5,843,143	16,375,591	1,831,572,329
Disposals	(233,080,313)	-	(4,072,856)	(20,332,813)	(135,766,006)	(22,044,079)	(415,296,067)	(69,710,081)
Balance on Asar end 2078	**1,771,910,601**	**332,751,774**	**343,886,795**	**1,373,029,621**	**668,963,200**	**939,487,887**	**5,430,029,878**	**4,492,425,760**
Accumulated Depreciation								
As on Shrawan 1, 2077	-	34,986,444	222,252,225	847,864,130	351,001,242	446,725,358	1,902,829,399	1,139,562,160
Transfer from Merger	-	-	2,099,025	3,970,995	236,368	939,500	7,245,888	507,615,423
Depreciation charge for the year	-	8,092,335	25,918,031	143,595,507	77,115,726	58,229,992	312,951,590	292,074,814
Disposals	-	-	(2,158,913)	(14,012,846)	(78,880,776)	(3,711,362)	(98,763,898)	(36,422,999)
Balance on Asar end 2078	**-**	**43,078,779**	**248,110,367**	**981,417,786**	**349,472,559**	**502,183,487**	**2,124,262,979**	**1,902,829,399**
Capital WIP							-	
Net book value:								
As on Asar 31, 2077	**880,012,480**	**297,765,330**	**116,400,674**	**468,529,223**	**388,803,019**	**438,085,635**	**2,589,596,362**	
As on Asar 31, 2078	**1,771,910,601**	**289,672,995**	**95,776,428**	**391,611,836**	**319,490,640**	**437,304,400**	**3,305,766,899**	**2,589,596,362**

Amount in Rs.

COST:	BANK							
	LAND	BUILDINGS	MACHINERY	OFFICE EQUIPMENT	MOTOR VEHICLES	LEASEHOLD IMPROVE-MENT	TOTAL	TOTAL ASAR 31 2077
As on Shrawan 1, 2077	**868,566,836**	**332,751,774**	**320,632,505**	**1,296,715,516**	**717,150,267**	**876,628,830**	**4,412,445,728**	**2,488,850,952**
Additions	1,124,978,434	-	2,627,789	62,120,462	64,504,795	67,978,240	1,322,209,720	166,283,550
Transfer from Merger/Acquisition							-	1,827,021,307
Disposals	(233,080,313)	-	(4,072,856)	(17,393,098)	(135,766,006)	(13,283,460)	(403,595,733)	(69,710,081)
Balance on Asar end 2078	**1,760,464,957**	**332,751,774**	**319,187,438**	**1,341,442,881**	**645,889,056**	**931,323,610**	**5,331,059,716**	**4,412,445,728**
Accumulated Depreciation								
As on Shrawan 1, 2077	-	34,986,444	210,704,604	836,201,800	342,698,724	444,640,716	1,869,232,288	1,115,277,218
Transfer from Merger/Acquisition							-	507,399,100
Depreciation charge for the year		8,092,335	22,816,372	141,372,174	73,665,930	57,108,736	303,055,547	282,978,970
Disposals		-	(2,158,913)	(12,200,634)	(78,880,776)	-	(93,240,323)	(36,422,999)
Balance on Asar end 2078	**-**	**43,078,779**	**231,362,062**	**965,373,339**	**337,483,879**	**501,749,453**	**2,079,047,511**	**1,869,232,288**
Capital WIP							**-**	
Net **book** value:								
As on Asar 31, 2077	**868,566,836**	**297,765,330**	**109,927,901**	**460,513,717**	**374,451,542**	**431,988,114**	**2,543,213,440**	
As on Asar 31, 2078	**1,760,464,957**	**289,672,995**	**87,825,375**	**376,069,542**	**308,405,177**	**429,574,158**	**3,252,012,205**	**2,543,213,440**

4.14 GOODWILL AND INTANGIBLE ASSETS

The bank's intangible assets include the value of computer software, Core Banking Software and other software used in Banking. An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the bank. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortization period or methodology, as appropriate, which are then treated as changes in accounting estimates.

The amortization expense on intangible assets with finite lives is presented as a separate line item in the income statement. Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives, as mentioned in Note 4.38 "Depreciation and Amortization".

Amount in Rs.

PARTICULARS	GROUP					
	GOODWIL	SOFTWARE		OTHER	TOTAL	TOTAL ASAR 31 2077
		PURCHASED	DEVELOPED			
As on Shrawan 1, 2077		**425,955,563**			**425,955,563**	**123,367,432**
Additions		31,265,470			31,265,470	109,623,290
Transfer from Merger/Acquisition		1,846,041			1,846,041	197,805,291
Goodwill on consolidation					-	(3,750,000)
Disposals		(36,160)			(36,160)	(1,090,450)
Balance on Asar end 2078	**-**	**459,030,914**	**-**	**-**	**459,030,914**	**425,955,563**
Accumulated Amortization						
As on Shrawan 1, 2077		183,294,708	-	-	183,294,708	87,550,400
Transfer from Merger/Acquisition		816,496	-	-	816,496	73,091,918
Amortization for the year		31,560,860	-	-	31,560,860	22,796,371
Disposals		(4,821)			(4,821)	(143,980.83)
Balance on Asar end 2078	**-**	**215,667,243**	**-**	**-**	**215,667,243**	**183,294,708**
Net book value:						
As on Asar 31, 2077	**-**	**242,660,855**	**-**	**-**	**242,660,855**	**-**
As on Asar 31, 2078	**-**	**243,363,671**	**-**	**-**	**243,363,671**	**242,660,855**

Amount in Rs.

PARTICULARS	BANK					
	GOODWIL	SOFTWARE		OTHER	TOTAL	TOTAL ASAR 31 2077
		PURCHASED	DEVELOPED			
As on Shrawan 1, 2077		**417,287,531**			**417,287,531**	**111,107,600**
Additions		30,280,816			30,280,816	109,501,250
Transfer from Merger/Acquisition					-	196,678,681
Disposals					-	
Balance on Asar end 2078		**447,568,347**		**-**	**447,568,347**	**417,287,531**
Accumulated Amortization						
As on Shrawan 1, 2077		177,017,731			177,017,731	82,818,991
Transfer from Merger/Acquisition					-	73,055,777
Amortization for the year		30,807,206			30,807,206	21,142,964
Disposals					-	
Balance on Asar end 2078	**-**	**207,824,938**	**-**	**-**	**207,824,938**	**177,017,731**
Net book value:						
As on Asar 31, 2077	**-**	**240,269,800**	**-**	**-**	**240,269,800**	
As on Asar 31, 2078	**-**	**239,743,409**	**-**	**-**	**239,743,409**	**240,269,800**

4.15 DEFERRED TAX ASSETS / (LIABILITIES)

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax losses (if any), to the extent it is probable that taxable profit will be available gainst which the deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates that have been enacted at the reporting date.

Amount in Rs.

	GROUP			BANK		
	CURRENT YEAR			CURRENT YEAR		
	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)
Deferred tax on temporory differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	-	-	-	-	-
Investment properties	-	-	-			-
Investment securities		110,907,176	(110,907,176)		109,463,245	(109,463,245)
Property & equipment	24,565,375	-	24,565,375	27,495,574	-	27,495,574
Employees' defined benefit plan	357,900,060	-	357,900,060	355,817,906	-	355,817,906
Lease liabilities	4,485,906	-	4,485,906	4,485,906	-	4,485,906
Provisions	4,652,834	-	4,652,834	-	-	-
Other temporory differences		19,766,219	(19,766,219)	1,049,724	-	1,049,724
Deferred tax on temporory differences	**391,604,175**	**130,673,396**	**260,930,779**	**388,849,110**	**109,463,245**	**279,385,865**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Asar 31, 2078			**260,930,779**			**279,385,865**
Deferred tax (asset)/liabilities as on Shrawan 1, 2077			265,634,282			281,572,951
Transferred From Merged Entities/Adjustments			(6,513,440)			-
Origination/(Reversal) during the year			**(1,809,937)**			**2,187,086**
Deferred tax expense/(income) recognised in profit or loss			(50,187,427)			(41,615,019)
Deferred tax expense/(income) recognised in other comprehensive income			48,377,490			43,802,104
Deferred tax expense/(income) recognised in directly in equity			-			

Amount in Rs.

	GROUP			BANK		
	PREVIOUS YEAR			PREVIOUS YEAR		
	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)	DEFERRED TAX ASSETS	DEFERRED TAX LIABILITIES	NET DEFERRED TAX ASSETS/ (LIABILITIES)
Deferred tax on temporory differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	-	8,438,949.71	(8,438,950)	-	8,550,586	(8,550,586)
Property & equipment	17,672,169	-	17,672,169	20,330,442	-	20,330,442
Employees' defined benefit plan	267,021,947	-	267,021,947	265,442,776	-	265,442,776
Lease liabilities	3,586,844	-	3,586,844	3,586,844	-	3,586,844
Provisions	2,877,061	-	2,877,061	-	-	-
Other temporory differences	-	17,084,789.10	(17,084,789)	763,475	-	763,475
Deferred tax on temporory differences	**291,158,021**	**25,523,739**	**265,634,282**	**290,123,537**	**8,550,586**	**281,572,951**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Asar 31, 2077			**265,634,282**			**281,572,951**
Deferred tax asset/(liabilities) as on Shrawan 1, 2076			220,120,199			212,078,419
Transferred From Merged Entities			60,675,561			58,736,755
Origination/(Reversal) during the year			**15,161,478**			**(10,757,777)**
Deferred tax expense/(income) recognised in profit or loss			(9,513,792)			(35,380,637)
Deferred tax expense/(income) recognised in other comprehensive income			24,697,861			24,622,861
Deferred tax expense/(income) recognised in directly in equity			-			-

4.16 OTHER ASSETS

Other assets includes those assets which are not classified separately in the financial statements. Accrued income, prepayments, security deposits, account receivables and prepaid employee benefit balance are classified as other assets. Prepaid employee benefits are the benefits which arises as a result of lower interest rate on the staff loans. These benefits are amortized over the term of the staff loan availed by the employees.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Assets held for sale				-
Other non banking assets			-	-
Bills receivable			-	-
Account receivables	1,445,296,384	761,093,103	1,173,360,697	715,972,634
Accrued Income	-	590,080	-	-
Prepayments and deposit	226,803,912	189,468,494	223,383,686	186,399,425
Income tax deposit	29,655,988	22,926,444	29,655,988	22,926,444
Deferred employee expenditure	1,566,422,086	1,336,179,440	1,566,422,086	1,336,179,440
Other assets	556,967,615	473,872,564	542,930,266	467,997,855
	3,825,145,984	**2,784,130,125**	**3,535,752,722**	**2,729,475,798**

4.16.1 Deferred employee expenditure

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
opening balance	1,336,179,440	589,231,481	1,336,179,440	589,231,481
adjustment for new loan granted	418,264,057	872,373,306	418,264,057	872,373,306
adjustment for settled loan	(96,298,902)	(49,501,077)	(96,298,902)	(49,501,077)
charge to personnel expenses	(91,722,509)	(75,924,269)	(91,722,509)	(75,924,269)
closing balance	**1,566,422,086**	**1,336,179,440**	**1,566,422,086**	**1,336,179,440**

4.17 DUE TO BANK AND FINANCIAL INSTITUTIONS

Interbank borrowings and deposits from banks and financial institution are classified as due to bank and financial institutions. These are subsequently measured at amortized cost using effective interest rate. All the transaction cost are considered in calculating effective interest rate. The bank has not incurred any additional cost in collecting the deposits or borrowings from the banks. Deposits from BFIs are in nature of term, current deposits from B, C and D class financial institutions.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Money market deposits	-	-	-	-
Inter bank borrowings	1,127,643,934	1,109,155,965	-	-
Deposits from BFIs	14,914,792,251	14,327,698,147	14,914,792,251	14,327,698,147
Settlement and clearing accounts	-	-	-	-
	16,042,436,185	**15,436,854,113**	**14,914,792,251**	**14,327,698,147**

4.18 DUE TO NEPAL RASTRA BANK

Bank has classify any amount due to Nepal Rastra Bank as subsequently measured at amortized cost using effective interest rate. All the transaction cost, incurred if any, are considered in calculating effective interest rate. The bank has not incurred any additional transaction cost in taking the refinance facility from the Nepal Rastra Bank.

The Bank has borrowed fund of Rs. 518,505,701 from the Nepal Rastra Bank under the program "Sustainable Economic Development in Rural Areas", a program of German Financial Cooperation implemented by KFW **(Kreditanstalt für Wiederaufbau)** German government owned development bank and Government of Nepal (represented by Ministry of Finance) on December 2017. These borrowing is used to provide access to financial services to Micro Small and Medium Enterprises (MSMEs).This borrowing is classified as financial liability and are measured at amortised cost. The borrowing carry the interest rate as defined in the agreement between Nepal Rastra Bank which has acted as On - lending Agent and Global IME Bank acting as Project - Executing Agency. The borrowing will mature in 15 years with a grace period of up to 3 years from the first date of disbursement and payable in consecutive semi-annual installments. The repayment has already started from this fiscal year.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Refinance from NRB	10,823,233,053	820,855,670	10,396,233,053	820,855,670
Standing Liquidity Facility	-	-	-	-
Lender of last resort facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	497,765,473	518,505,701	497,765,473	518,505,701
Total	**11,320,998,526**	**1,339,361,371**	**10,893,998,526**	**1,339,361,371**

4.19 DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Held for trading				
interest rate swap	-	-	-	-
currency swap	-	-	-	-
forward exchange contract	-	-	-	-
others	-	-	-	-
Held for risk management				-
Interest rate swap	-	-	-	-
Currency swap	-	-	-	-
forward exchange contract liabilities	5,440,370,187	8,773,443,817	5,440,370,187	8,773,443,817
others	-	-		-
	5,440,370,187	**8,773,443,817**	**5,440,370,187**	**8,773,443,817**

4.20. DEPOSIT FROM CUSTOMERS

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, time, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate. Any transaction cost incurred if any are considered in determining the effective interest rate payable on deposit from customers. Bank launches the deposit collection programme, dormant account activation, new deposit products awareness on regular basis to the employees of the bank. Bank provides incentives and bonus for the motivation to carry out the programme effectively. These incentives and bonuses has not been included as transaction cost in calculating the effictive interest rate of the deposits as these cost are in immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Institutional Customers				
term deposits	77,399,486,681	60,414,592,980	77,399,486,681	60,649,592,980
call deposits	14,838,647,143	9,659,997,124	15,296,277,810	10,108,638,972
current deposits	13,610,652,660	13,929,633,751	13,610,652,660	13,929,633,751
other deposits	2,260,654,121	1,333,466,726	2,260,654,121	1,333,466,726
Individual Customers				
term deposits	57,083,039,567	49,278,817,772	57,083,039,567	49,278,817,772
saving deposits	103,377,914,924	77,458,808,699	101,239,233,135	76,141,440,328
current deposits	1,515,138,876	844,209,416	1,515,138,876	844,209,416
other deposits	29,308,753	29,585,116	29,308,753	29,585,116
	270,114,842,725	**212,949,111,584**	**268,433,791,603**	**212,315,385,060**

4.20.1. Currency wise analysis of deposit from customers

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Nepalese rupee	266,876,644,779	209,141,802,920	265,195,593,657	208,508,076,397
Indian rupee	-	-	-	-
United State dollar	3,186,183,918	3,784,566,592	3,186,183,918	3,784,566,592
Great Britain pound	9,251,237	3,640,511	9,251,237	3,640,511
Euro	26,049,246	18,957,579	26,049,246	18,957,579
Japanese yen	4,408,360	24,311	4,408,360	24,311
Chinese yuan	-	-	-	-
Other- AUD	12,305,185	119,670	12,305,185	119,670
Total	**270,114,842,725**	**212,949,111,584**	**268,433,791,603**	**212,315,385,060**

4.21. BORROWINGS

Borrowings are financial liabilities accepted by bank with fixed or determinable payments. Subsequent to initial recognition, these financial instruments are measured at amortised cost using effective interest rate. During the year the Bank had borrowed an amount of USD 20 Million from International Finance Corporation with three year tenure from the date of borrowing. The borrowing has been shown in equivalent NPR with revaluation at each year end at the closing rate. The borrowing interest rate is based on the Relevant spread plus LIBOR which changes on semiannually basis.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	-	-	-	-
Other	-	-		-
Sub total	**-**	**-**	**-**	**-**
Foreign Borrowing				
Foreign Bank and Financial Institutions	2,371,769,589	2,404,000,000	2,371,769,589	2,404,000,000
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	**2,371,769,589**	**2,404,000,000**	**2,371,769,589**	**2,404,000,000**
Total	**2,371,769,589**	**2,404,000,000**	**2,371,769,589**	**2,404,000,000**

4.22. PROVISIONS

A provision is recognised when the bank has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

There has not been any instances or arise of any obligation for which the bank is required to make the provisions for them. Any provisions that arises are reviewed at each reporting date and adjusted to reflect the current best estimate.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.22.1. Movement in provision

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Opening Balance	**-**	**-**	**-**	**-**
Provisions made during the year	-	-	-	-
Provisions used during the year	-	-	-	-
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Closing Balance	**-**	**-**	**-**	**-**

4.23. OTHER LIABILITIES

Creditors and accruals

Creditors and accruals are financial liabilities which are initially measured at fair value, and subsequently measured at amortised cost. These includes any payables to the vendors by bank for service gained from them in the business operation.

Liability against employees

Bank makes the provisions for long term benefits in the form of gratuity and accrued leave which are payable at the time of retirement or termination. These long term benefits are provided on the basis of actuarial valuation. The bank also makes a yearly provision for staff bonus at 10% of profit before tax and bonus as a short term benefits for the service rendered to the bank.

Defined benefit obligation has been valued as per actuarial valuation. Actuarial valuation has been conducted only for the parent. Liabilities accrued for subsidiaries are not valued using actuarial valuation. All the disclosures in Note 4.23.1 to 4.23.6 are the disclosure pertaining to the bank financial statements.

Statutory liabilities

Bank is under obligation to deposit the tax deducted at source collected from the payment of interest on deposits, borrowings, and other vendors by the 25th of next month. These liabilities to inland revenue are presented separately from other liabilities.

Other liabilities

All other liabilities in the form of bills payable, interest payable on deposits and borrowings, unpaid dividend are measured at amortized cost.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Liability for employees defined benefit obligations	833,057,429	511,289,866	819,908,541	503,458,376
Liability for long-service leave	464,275,721	388,063,465	451,637,785	381,350,876
Short-term employee benefits	449,226	945,254	154,969	394,147
Bills payable	52,909,332	28,828,025	52,870,417	28,828,025
Creditors and accruals	2,189,300,203	1,447,277,556	1,503,780,888	869,777,699
Interest payable on deposits	250,207,880	249,191,234	130,303,855	183,907,804
Interest payable on borrowing	245,489,002	89,263,198	241,875,742	89,185,116
Liabilities on defered grant income	-	-	-	-
Unpaid dividend	30,769,090	97,518,179	29,978,666	96,727,754
Liabilities under Finance Lease	-	-	-	-
Employee bonus payable	724,074,911	564,415,392	663,119,783	543,517,843
Other statutory liabilities	235,297,670	280,396,823	234,723,929	279,678,353
Other liabilities	255,975,823	120,778,974	182,557,642	113,811,014
Total	**5,281,806,290**	**3,777,967,966**	**4,310,912,217**	**3,090,637,007**

4.23.1. Defined benefit obligations

The amounts recognised in the statement of financial position are as follows:

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Present value of unfunded obligations	-	-	1,271,546,326	884,809,252
Present value of funded obligations	-	-	-	-
Total present value of obligations	**-**	**-**	**1,271,546,326**	**884,809,252**
Fair value of plan assets	-	-	-	
Present value of net obligations	-	-	1,271,546,326	884,809,252
Recognised liability for defined benefit obligations	**-**	**-**	**1,271,546,326**	**884,809,252**

4.23.2. Plan Assets

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Equity securities	-	-	-	-
Government bonds	-	-	-	-
Bank deposit	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**
Actual Return on Plan Assets	**-**	**-**	**-**	**-**

4.23.3. Movement in the present value of defined benefit obligations

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Defined benefit obligations at Shrawan 1	-	-	884,809,252	530,732,100
Actuarial losses/(gains)	-	-	211,672,094	35,595,676
Benefits paid by the plan	-	-	(111,533,156)	(57,363,469)
Acquisition/Business Combination/Divestiture	-	-	-	240,248,317
Current service costs and interest	-	-	286,598,136	135,596,628
Defined benefit obligations at Asar end	**-**	**-**	**1,271,546,326**	**884,809,252**

4.23.4. Movement in the fair value of plan assets

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Fair value of plan assets at Shrawan 1	-	-	-	-
Contributions paid into the plan	-	-	-	-
Actuarial losses	-	-	-	-
Benefits paid by the plan	-	-	-	-
Expected return on plan assets	-	-	-	-
Fair value of plan assets at Asar end	**-**	**-**	**-**	**-**

4.23.5. Amount recognised in profit or loss

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Current service costs	-	-	213,222,704	90,836,705
Interest on obligation	-	-	73,375,432	44,759,923
Expected return on plan assets	-	-	-	-
Total	**-**	**-**	**286,598,136**	**135,596,628**

4.23.6. Amount recognised in other comprehensive income

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Acturial (gain)/loss for the period	-	-	190,368,517	(69,458,433)
Total	**-**	**-**	**190,368,517**	**(69,458,433)**

4.23.7. Actuarial assumptions

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Discount rate			9%	9.0%
Expected return on plan asset			0%	0%
Future salary increase			As per Level	As per Level
Withdrawal rate			**11%**	**11%**

4.24. DEBT SECURITIES ISSUED

The bank has issued 3,000,000 debentures of Rs 1,000 each during the financial year on 23rd Chaitra 2077 (5th April 2021). The debenture carries an interest rate of 8.50 % per annum payable semi-annually and the term of the bond is 10 years from the date of issue. Debenture is measured at amortized cost using the effective interest rate. All the transaction cost incurred upto the time of allotment formed part of effective interest rate.

As per the NRB directive No. 16 licensed institutions which have issued the debentures shall compulsorily create the capital redemption reserve proportionately for the maturity term. Nepal Rastra Bank has exempted from creating the debenture redemption reserve on the year of issue of debenture and year of redemption. During the financial year Rs. 300,164,474 has been transferred to debenture redemption reserve for the "10.25% Global IME Debenture 2080/81" of Rs 1,500,000,000 issued on FY 2075-76. The total Debenture Redemption reserve as at 31st Asar 2078 is Rs. 679,276,316.00.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Debt securities issued designated as at fair value through profit or loss	-	-	-	-
Debt securities issued at amortised cost	4,491,996,856	1,497,064,851	4,491,996,856	1,497,064,851
	4,491,996,856	**1,497,064,851**	**4,491,996,856**	**1,497,064,851**

4.25. SUBORDINATED LIABILITIES

These are the liabilities which are in lower ranks to the borrowers and other debts in terms of obligations. These are the unsecured liabilities which are repaid only after the depositors in case of liquidation. The bank has not issued any subordinated liabilities till the date of reporting from its inception.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Redeemable preference shares	-	-	-	-
Irredemable cumulative preference shares (liabilities component)	-	-	-	-
Other	-	-	-	-
	-	**-**	**-**	**-**

4.26. SHARE CAPITAL

Ordinary share capital represents the par value of ordinary shares issued. Share issuance cost which were incurred for raising the capital has not been shown as deduction from share capital but are charged to statement of profit or loss. Share premium represents the excess consideration received by the bank over the par value of ordinary shares issued, and is classified as equity.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Ordinary shares	21,632,503,035	18,975,879,857	21,632,503,035	18,975,879,857
Convertible preference shares (equity component only)	-	-	-	-
Irredeemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**21,632,503,035**	**18,975,879,857**	**21,632,503,035**	**18,975,879,857**

4.26.1. Ordinary shares

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Authorized Capital				
250,000,000 Ordinary share of Rs. 100 each	25,000,000,000	25,000,000,000	25,000,000,000	25,000,000,000
Issued capital				
216,325,030.35 Ordinary share of Rs. 100 each	21,632,503,035	18,975,879,857	21,632,503,035	18,975,879,857
Subscribed and paid up capital				
216,325,030.35 Ordinary share of Rs. 100 each	21,632,503,035	18,975,879,857	21,632,503,035	18,975,879,857
Total	**21,632,503,035**	**18,975,879,857**	**21,632,503,035**	**18,975,879,857**

4.26.2. Ordinary shares ownership

Amount in Rs.

	CURRENT YEAR		PREVIOUS YEAR	
	PERCENT	AMOUNT	PERCENT	AMOUNT
Domestic ownership	**100%**	**-**	**100%**	**-**
Nepal Government	0.11%	24,869,797	0.11%	21,815,611
"A" class licensed institutions	0.00%	-	0.00%	-
Other licensed institutions	0.00%	-	0.00%	-
Other Institutions	11.01%	2,382,288,413	11.05%	2,096,144,773
Public	48.65%	10,524,298,881	48.65%	9,231,683,229
Other	40.22%	8,701,045,945	40.19%	7,626,236,242
Foreign ownership	**0.00%**	**-**	**0.00%**	**-**
Total	**100%**	**21,632,503,036**	**100%**	**18,975,879,856**

4.26.3. Share ownership 0.5% and above

Amount in Rs.

	CURRENT YEAR		PREVIOUS YEAR	
	NO. OF SHARES	PERCENT	NO. OF SHARES	PERCENT
IME Holdings Pvt Ltd	8,772,143	4.06%	7,694,862	4.06%
IME Investment Pvt Ltd	7,913,867	3.66%	6,941,988	3.66%
Sumit Kumar Agarwal	4,416,404	2.04%	3,801,390	2.00%
Bishnu Prasad Neupane	4,165,532	1.93%	3,276,796	1.73%
Continental Investment	3,638,403	1.68%	3,191,588	1.68%
Uttam Kumar Nepal	2,993,690	1.38%	2,608,823	1.37%
Homeland Developers	2,843,008	1.31%	2,493,867	1.31%
Nimisha Investment Pvt Ltd	2,344,010	1.08%	1,147,847	0.60%
Hem Raj Dhakal	2,120,321	0.98%	1,859,931	0.98%
Cabinet Shrestha	2,006,038	0.93%	1,759,682	0.93%
Kamadhenu Investment	1,823,487	0.84%	-	-
Sandeep Agarwal	1,811,048	0.84%	1,899,048	1.00%
Suraj Kumar Shrestha	1,580,697	0.73%	1,473,489	0.78%
Binod Kumar Bhimsaria	1,440,491	0.67%	1,246,548	0.66%
Durga Prasad Neupane	1,148,494	0.53%	1,007,450	0.53%
Rastriya Beema Sansthan	1,080,926	0.50%	1,291,207	0.68%
Usha Investment	-	-	2,354,874	1.24%

4.27. RESERVES

Statutory Reserves

Statutory reserves represents the mandatory reserves maintained by the bank as per Nepal Rastra Bank directives. This includes general reserve,exchange equilization reserve, capital redemption reserve, investment reserve, interest capitilized reserves, corporate social responsibility reserve, training and development reserve and other reserve notified by Nepal Rastra Bank. These reserves are not available for distribution of dividend to the shareholders.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Statutory general reserve	5,328,505,718	4,440,272,467	5,240,888,345	4,407,857,977
Exchange equilisation reserve	190,223,700	163,922,277	190,223,700	163,922,276
Corporate social responsibility reserve	50,309,622	38,283,568	45,488,637	37,322,668
Capital redemption reserve	679,276,316	379,111,842	679,276,316	379,111,842
Training Reserve	9,798,829	9,798,829	9,798,829	9,798,829
Interest capitalized reserve	-	43,720,000	-	43,720,000
Investment adjustment reserve	403,260,000	421,680,000	403,260,000	421,680,000
Capital reserve	6,439,432	1,491,986,799	-	1,446,129,461
Other reserve	15,639,609	18,552,717	-	-
Deferred Tax Reserve	-	-	-	3,616,245
Fair value reserve	261,205,206	19,170,469	255,414,240	19,951,368
Regulatory reserve	1,458,653,104	1,215,819,881	1,415,050,243	1,254,834,335
Actuarial gain/(loss)	(141,689,926)	(8,431,964)	(141,689,926)	(8,431,964)
Total	**8,261,621,609**	**8,233,886,885**	**8,097,710,384**	**8,179,513,038**

a. General Reserve

According to Banks and Financial Institutions Act, 2073 amount equal to 20% of net profit from each year is transferred to the general reserve fund. No type of dividend (cash or bonus share) shall be distributed from the amount in general/statutory reserve fund without prior approval of Nepal Rastra Bank .

b. Exchange Equalization Reserve

Financial Institutions which has earned foreign exchange revaluation gain on foreign currency other than Indian Currency has to allocate 25% of such revaluation gain to his reserve as per Banks and Financial Institutions Act, 2073.

c. Regulatory Reserve

Regulatory reserve represents the reserves created as a result of first time adoption of NFRS in Nepal. These reserve are the amounts allocated from profit or retained earnings of the Bank as per the Directive of NRB for the purpose of implementation of NFRS. These include interest income recognized but not received in cash, fair value of investment property, amount equal to deferred tax asset in financial statement, amount equal to actuarial (loss) recognized till date or reporting. These reserves too are not available for distribution of dividend to shareholders. Interest realized up to 31st August 2021 from the overdue interest as of 15th July 2021 has been considered for the allocation of regulatory reserve as per Nepal Rastra Bank Directives as shown in in table below:

Amount in Rs.

PARTICULARS	AMOUNT
Interest Receivable as on Asar 31 2078 (15th July 2021)	1,463,411,330
Less: Cash realized up to 15th Bhadra 2078 (31st August 2021)	240,323,049
Amount considered for Regulatory Reserve	**1,223,088,281**

Amount in Rs.

	DEFERRED TAX RESERVE	INVESTMENT PROPERTY	ACCRUED INTEREST	ACTUARIAL GAIN/LOSS	REGULATORY RESERVE
Balance as on Shrawan 1 2077	281,572,951	211,241,555	753,587,866	8,431,964	1,254,834,335
Transfer during the period		12,187,281	16,957,752	133,257,962	162,402,994
(Withdrawal) during the period	(2,187,086)				(2,187,086)
Balance as on Asar 31 2078	**279,385,865**	**223,428,835**	**770,545,617**	**141,689,926**	**1,415,050,243**

d. Fair Value Reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets that are measured at fair value and the changes in fair value is recognized in other comprehensive income, until the assets are derecognized. Difference of the purchase value and the market value of financial equity instruments and mutual fund units are recognized as fair value reserve. As per the clarification from Accounting Standard Board Nepal dated 4th Kartik 2077, for sale of investments measured at FVTOCI, fair value gain on investments recognized up to previous year of sale will be recognized in Other Comprehensive income and additional realization after recognizing in OCI will be recognized in profit and loss. The bank has withdrawn the amount of fair value recognized in previous year for those sold shares, from fair value reserve to retained earnings accordingly.

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Balance as on Shrawan 1	**19,951,368**	**(2,155,547)**
Transfer From Merged Entities	-	13,274,475
Transfer during the period	237,028,048	8,832,439
Withdrawal during the period	(1,565,176)	-
Balance as on Year End	**255,414,239**	**19,951368**

e. Revaluation Reserve

Fair value change of property and investment property if any revalued to match the market value of such assets are included in revaluation reserve. These amounts are not available for distribution.

f. Other Reserves

i. Capital Redemption Reserve

Capital redemption reserve is created for the payment of future long term liability, which the bank has raised for its capital. This reserve includes the reserve set aside for redemption of Bank's debenture at its maturity.

ii. Interest Capitalized Reserve

Interest accrued in the loans provided to infrastructure project and are under the monatarium period are capitalized and the same amount is kept in interest capitalized reserve as directed by Nepal Rastra Bank.

iii. Capital Reserve

Capital reserve had ben created as a result of acquisition of Hathway Finance Company Ltd and Merger with then Janata Bank Nepal Ltd. The differnce between combined total share capital of the entities before merger/acquisition and total share capital after merger/ acquisition was recognised as capital reserve amounting to Rs. 1,446,129,461. This amount has been used for distribution of bonus shares in the current fiancial year.

iv. Investment Adjustment Reserve

Investment adjustment reserve are created as a cushion for adverse price movements in the bank's investments as per the directive issued by Nepal Rastra Bank. The Bank has created investment adjustment reserve in the following investments.

Amount in Rs.

INVESTMENTS	CURRENT YEAR	PREVIOUS YEAR
ICRA Nepal Ltd.	760,000	760,000
Care Ratings Nepal Ltd	2,500,000	-
Prabhu Capital Ltd.	-	300,000
General Insurance Company Ltd.	-	20,620,000
Reliable Nepal Life Insurance Company Limited	200,000,000	200,000,000
IME Life Insurance Company Ltd	200,000,000	200,000,000
Total	**403,260,000**	**421,680,000**
Addition/ (Withdrawal) during the year	**(18,420,000)**	**378,423,738**

v. Corporate Social Responsibility Reserve

As per NRB directive financial institutions are required to allocate 1% of its Net profit on Corporate Social Responsibility Fund. Bank has used the fund in economic transformtion mainly in the field of education, financial awareness, community conservation and community health by directly or by support to various event organizers. This fund is used to expense out in next financial year in the welfare of society as directed by the directive created as below:

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Balance as on Shrawan 1	**37,322,668**	**43,428,258**
Transfer From Merged Entities	-	14,581,402
Transfer to COVID Fund NRB	(3,383,751)	-
Less: Corporate Social Responsibility expense during the year	(30,101,798)	(49,773,636)
Add: Additional Reserve for the next financial year	41,651,518	29,086,644
Balance at Year end	**45,488,637**	**37,322,668**

vi. Training Reserve

As per NRB directive financial institutions are required to incur minimum 3% of its total employee expenses of previous year on training and development of their employees. This reserve is created for the training and development of the Bank's employees as per said directive. However Nepal Rastra Bank has exempted from creating any training reserve for the financial year 2077-78.

Amount in Rs.

Balance as on Shrawan 1 2077	**9,798,829**
Less: Training expense during the year	
Add: Additional Reserve for the next financial year	
Balance as on Asar 31 2078	**9,798,829**

The detail movement in the other reserves are as below:

Amount in Rs.

	CAPITAL REDEMPTION RESERVE	CAPITAL RESERVE	INTEREST CAPITALIZED RESERVE	INVESTMENT ADJUSTMENT RESERVE	CSR FUND	TRAINING RESERVE	OTHER RESERVE	ACTUARIAL GAIN/LOSS	TOTAL OTHER RESERVE
Balance as on Shrawan 1 2077	**379,111,842**	**1,446,129,461**	**43,720,000**	**421,680,000**	**37,322,668**	**9,798,829**	**3,616,245**	**(8,431,964)**	**2,332,947,081**
Transfer during the period	300,164,474		-		8,165,970			(133,257,962)	175,072,482
(Withdrawal) during the period		(1,446,129,461)	(43,720,000)	(18,420,000)			(3,616,245)	-	(1,511,885,707)
Balance as on Asar 31 2078	**679,276,316**	**-**	**-**	**403,260,000**	**45,488,637**	**9,798,829**	**-**	**(141,689,926)**	**996,133,856**

Retained earnings

Retained earnings represents the cumulative net earnings or profit after accounting for dividends to shareholders and mandatory reserves required as per directives issued by Nepal Rastra Bank before distributing dividend.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
opening balance	**2,016,238,607**	**2,825,449,981**	**1,673,609,973**	**2,663,622,463**
add: profit for the year	4,785,499,612	3,081,514,339	4,165,151,840	2,908,664,367
add: transfer from merger	15,025,670	202,826,636	-	186,928,361
less: transfer to regulatory reserves	(160,215,908)	(141,454,831)	(160,215,908)	(209,447,934)
less: transfer from regulatory reserves	5,556,904	127,822,469	-	127,822,469
add: transfer from statutory reserves	67,321,421	31,991,450	67,321,421	-
less: transfer to statutory reserves	(1,232,344,677)	(1,359,206,318)	(1,171,045,986)	(1,342,668,193)
less: cash dividend for FY 2075-2076	-	(1,373,813,674)		(1,330,655,780)
less: scrip dividend for FY 2075-2076	-	(1,357,717,867)		(1,330,655,780)
less: cash dividend for FY 2076-2077	(389,998,847)	-	(379,517,597)	-
less: scrip dividend for FY 2076-2077	(1,248,321,052)	-	(1,205,100,227)	-
closing balance	**3,858,761,730**	**2,037,412,184**	**2,990,203,516**	**1,673,609,973**

4.28. CONTINGENT LIABILITIES AND COMMITMENTS

Even though these obligations may not be recognized on the statement of financial position, they do contain credit risk and are therefore part of the overall risk of the Bank.

Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Contingent Liabilities	49,336,791,943	38,169,017,386	49,336,791,943	38,169,017,386
Undrawn disbursed facilities	22,430,842,566	23,455,303,291	22,430,842,566	20,144,102,951
Capital commitments	-	-	-	-
Lease commitments	-	-	-	-
Litigations	-	-	-	-
	71,767,634,509	**61,624,320,677**	**71,767,634,509**	**58,313,120,337**

4.28.1. Contingent liabilities

Contingent liabilities are possible obligations that arise out of past events and whose existence will be confirmed only by the occurrence of or non-occurrence of one or more uncertain future events not wholly within the control of the Bank. These can also be present obligations that arise from past events but they are not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are measured with the provisions of as defined in Nepal Accounting Standard- NAS 37 - Provisions, Contingent Liabilities and Contingent Assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
1. Acceptances & Endorsements	**3,894,297,969**	**1,721,049,795**	**3,894,297,969**	**1,721,049,795**
2. Documentary Credit				
Expiring within 6 Months	8,383,977,984	5,042,794,896	8,383,977,984	5,042,794,896
Expiring within 6 Months to 1 Year	213,765,903	463,493,390	213,765,903	463,493,390
Expiring after 1 Year	201,927,217	461,608,705	201,927,217	461,608,705
3. Bills for collection	**-**	**-**	**-**	**-**
4. Forward exchange contracts	**5,604,612,262**	**8,754,924,321**	**5,604,612,262**	**8,754,924,321**
5. Guarantees/Bonds	**-**	**-**	**-**	**-**
i.) Advance Payment Guarantee				
Expiring within 6 Months	2,320,195,628	1,863,439,861	2,320,195,628	1,863,439,861
Expiring within 6 Months to 1 Year	739,499,809	1,313,541,577	739,499,809	1,313,541,577
Expiring after 1 Year	1,138,006,105	581,157,800	1,138,006,105	581,157,800
ii. Bid Bonds				
Expiring within 6 Months	2,800,192,011	1,449,802,890	2,800,192,011	1,449,802,890
Expiring within 6 Months to 1 Year	35,132,462	2,887,000	35,132,462	2,887,000
Expiring after 1 Year	64,981,000	3,996,246	64,981,000	3,996,246
iii. Performance Bonds				
Expiring within 6 Months	4,645,672,927	3,966,610,354	4,645,672,927	3,966,610,354
Expiring within 6 Months to 1 Year	4,332,943,613	3,045,344,695	4,332,943,613	3,045,344,695
Expiring after 1 Year	9,743,762,118	7,009,498,187	9,743,762,118	7,009,498,187
iv. Other Guarantee/ Bonds				
Expiring within 6 Months	2,838,850,000	1,283,156,385	2,838,850,000	1,283,156,385
Expiring within 6 Months to 1 Year	1,269,219,000	714,103,000	1,269,219,000	714,103,000
Expiring after 1 Year	970,080,000	364,683,000	970,080,000	364,683,000
6. Underwriting commitment		**-**	**-**	**-**
7. Contingent Liabilitiies on Income Tax	**139,675,936**	**126,925,283**	**139,675,936**	**126,925,283**
Total	**49,336,791,943**	**38,169,017,386**	**49,336,791,943**	**38,169,017,386**

4.28.2. Undrawn and undisbursed facilities

To meet the financial needs of customers, the Bank enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letters of credit and other undrawn commitments to lend.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
1. Undisbursed amount of loans	**3,708,846,298**	**3,502,631,844**	**3,708,846,298**	**3,502,631,844**
2. Undrawn limits of overdrafts	**11,924,226,672**	**11,924,226,672**	**11,924,226,672**	**10,454,085,593**
3. Undrawn limits of credit cards	**977,615,550**	**380,070,305**	**977,615,550**	**939,959,978**
4. Undrawn limits of letter of credit	**5,819,614,047**	**7,619,545,871**	**5,819,614,047**	**5,242,925,537**
5. Undrawn limits of guarantee	**540,000**	**28,828,600**	**540,000**	**4,500,000**
Total	**22,430,842,566**	**23,455,303,291**	**22,430,842,566**	**20,144,102,951**

4.28.3. Capital Commitments

There are no any Capital expenditure approved by the bank, which requires provision in financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Capital commitments in relation to Property and Equipment				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Capital commitments in relation to Intangible assets				
Approved and contracted for	-	-	-	-
Approved but not contracted for	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.28.4. Lease Commitments

Lease commitments entered by bank for the leasing of spaces for expanding branch operations but provision not made in financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Operating lease commitments				
Future minimum lease payments under non-cancellable operating lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Finance lease commitments				
Future minimum lease payments under non-cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
			-	-
Total	**-**	**-**	**-**	**-**

4.28.5. Litigations

a. Income Tax

Tax assessment cases which are pending for decision under Supreme Court, Revenue Tribunal and Inland Revenue Department there are provided below:

Amount in Rs.

CASES AT	CURRENT YEAR	PREVIOUS YEAR
Supreme Court	55,942,704	55,942,704
Revenue Tribunal	66,069,039	46,777,797
Inland Revenue Department	17,664,193	24,204,782
Total	**139,675,936**	**126,925,283**

b. Others

Except for the above cases there are no other litigation cases, which will give rise to material outflow of bank's resources and affect the going concern of the bank

4.29. INTEREST INCOME

Interest income is recorded using the effective interest rate (EIR) method. Interest incomes include interest income on loans and receivables to financial institutions and customers, on cash balances and on bonds and other interest bearing securities in all financial assets. Using the Carve Out issued by Institute of Chartered Accountants of Nepal, the origination fees on loans to customers or financial institution has not been considered in calculating the EIR. The Bank has not recognized the interest income that has been accrued on the bad loans due to the uncertainty of the cash flows. Further the Bank does not recognize accrued interest on Substandard and Doubtful classified loans, unless such interest along with principal are covered by the collateral valuation as defined by Nepal Rastra Bank Directives.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from cash and cash equivalents	149,313,217	219,430,704	130,562,847	168,066,253
from due from Nepal Rastra Bank	-	-	-	-
from placements with bank and financial institutions	-	1,608,524	-	1,608,524
from loans and advances to banks and financial institutions	684,550,364	506,315,253	749,508,690	584,096,393
from loans and advances to customers	19,857,007,376	19,412,037,905	19,178,546,355	18,751,536,927
from investment securities	1,536,157,548	912,519,424	1,536,157,548	912,519,424
from loans and advances to staff	98,426,220	66,483,874	98,119,212	66,379,702
from others agency balance	688,132	4,942,726	688,132	5,193,445
	22,326,142,857	**21,123,338,411**	**21,693,582,784**	**20,489,400,668**

4.30. INTEREST EXPENSE

Interest expense is recorded using the effective interest rate (EIR) method. Interest expenses include interest on deposits from customers, deposits from banks, debt securities issued, and other interest bearing financial liabilities. Expenses for promotion and incentives provided to bring the deposits are not included in the calculation of effective interest rate because of the immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on dues to bank and financial institutions	267,684,524	417,703,527	193,318,889	198,357,497
on dues to Nepal Rastra Bank	2,113,233	-	-	-
on deposit from customers	12,225,938,665	11,968,631,861	12,112,671,395	11,887,817,337
on borrowings	19,353,190	27,464,016	19,353,190	26,850,782
on debt securites issued	229,111,767	154,362,255	229,111,767	154,362,255
on subordinated liabilities	-	-	-	-
	12,744,201,379	**12,568,161,660**	**12,554,455,241**	**12,267,387,871**

4.31. FEES AND COMMISSION INCOME

Fees and commission income earned from services that are provided over a certain period of time which includes fees and commission collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis. Loan administration fees, service fees swap fees are collected at the time of issuing new loans or renewal of underlying credit facilities. These fees collected by the bank for managing the loans and are collected at the range of 0% to 1 % of the loan size.

The management estimates that these fees collected are not an alternative for reduction of interest rate charged to the customers and does not form part of calculating the effective interest rate. Other fees include commission income from remittance, custody and advisory fees as well as fees from insurance brokerage, foreign exchange transactions.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from loan administration fees	444,109,297	367,732,790	444,109,297	367,732,790
from service fees	238,288,683	265,676,829	120,955,990	173,277,270
from consortium fees	-	-	-	-
from commitment fees	7,995,437	4,222,283	7,995,437	4,222,283
from D.D/ T.T/swift fees	36,673,916	28,370,016	36,673,916	28,370,016
from credit card/ATM issuance and renewal fees	493,423,124	253,473,671	493,423,124	253,473,671
from prepayment and swap fees	20,247,567	9,000,299	20,247,567	9,000,299
from investment banking fees	-	-	-	-
asset management fees	-	561,934	-	-
from brokerage fees	-	-	-	-
from remittance fees	210,048,794	171,368,819	209,709,549	171,065,785
from commission on letter of credit	165,680,946	100,228,971	165,680,946	100,228,971
from commission on guarantee contract issued	257,664,591	249,140,345	257,664,591	249,140,345
from commission on share underwriting/issue	-	18,898,330	-	-
from locker rental	10,057,100	7,596,150	10,057,100	7,596,150
from other fees and commission income	248,420,386	111,381,786	147,768,943	108,027,763
Total fees and commission income	**2,132,609,842**	**1,587,652,225**	**1,914,286,460**	**1,472,135,345**

4.32. FEES AND COMMISSION EXPENSE

Fee and commission expense relate mainly to transactions and services fees which are expensed as the services are received. Fee and commission expense are recognized on an accrual basis.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on ATM management fees	-	-	-	-
on VISA/Master card fees	140,820,982	95,422,514	140,820,982	95,422,514
on guarantees	-	-	-	-
on brokerage	-	-	-	-
on D.D/ T.T/swift fees	12,929,396	13,345,290	12,929,396	13,345,290
on remittance commission	119,927,107	75,521,767	119,927,107	75,521,767
other commission expenses	101,331,026	62,017,326	106,572,420	57,715,921
Total fees and commission expense	**375,008,511**	**246,306,898**	**380,249,905**	**242,005,492**

4.33. NET TRADING INCOME

Net trading income includes all gains and (losses) from changes in fair value, related capital gains/ losses, foreign exchange trading gains/ (losses), interest income from trading assets and dividend from financial assets measured at fair value through profit or loss. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from changes in fair value of trading assets	48,100,326	48,124,046	-	-
from gain/loss on disposal of trading assets	456,091,208	19,971,228	-	-
from interest income on trading assets	-	-	-	-
from dividend income on trading assets	-	-	-	-
from gain/loss foreign exchange transation	666,455,087	579,515,071	666,455,087	579,515,071
from other trading income	-	-	-	-
Total net trading income	**1,170,646,621**	**647,610,345**	**666,455,087**	**579,515,071**

4.34. OTHER OPERATING INCOME

Gain/ (loss) from sale of investment securities, dividend on investment securities, gain/ (loss) on sale of investment securities and properties, gain/ (loss) from trading of gold and silver and subsidies received from the government or other financial institutions are recognized in other operating income. Subsidy received for the purchase of equipment are deducted from the cost of related equipment. Profit / (loss) on sale of property and equipment are recorded when the control over those are transferred to the buyer and fair consideration has been received.

Profit / (loss) on sale of repossessed collateral classified as investment property are recorded when control over those collateral are transferred and a fair consideration has been received from the buyer. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from foreign exchange revaluation gain	105,205,695	96,346,926	105,205,695	96,346,926
from gain/loss on sale of investment securities	221,083,532	913,850	221,083,532	-
from fair value gain/loss on investment properties	-	-	-	-
from dividend on equity instruments	19,837,792	37,377,784	14,199,713	31,465,889
from gain/loss on sale of property and equipment	180,992,930	(6,129,788)	182,581,388	(5,183,319)
from gain/loss on sale of investment property	11,197,381	8,930,556	11,197,381	8,930,556
from operating lease income	-	-	-	-
from gain/loss on sale of gold and silver	7,142,056	1,867,733	7,142,056	1,867,733
from others	98,082,228	72,623,353	69,867,203	63,385,515
Total other operating income	**643,541,615**	**211,930,414**	**611,276,969**	**196,813,300**

4.35. IMPAIRMENT CHARGE/ (REVERSAL) FOR LOANS AND OTHER LOSSES

Net impairment charge or reversal on loans are the movement in collective impairment allowance and specific impairment allowance from the previous year on the basis of individual assessment of loans and historical loss experience on loans. The Bank has applied the carve out as issued by Institute of Chartered Accountants of Nepal Note no. 5 "Incurred Loss Model to measure the Impairment Loss on Loan and advances" which gives the option to charge the impairment amount higher of incurred loss model calculation and as per NRB directives. Net impairment losses relate to allowance recognized both at individual and portfolio (collective) level.

The spread of COVID 19 across the globe has directly affected the economic activities of the country where in, many loans floated in the COVID impacted sector has been affected. Due to the rise in default for repayment credit risk has sore up significantly and affected the impairment charge in loans. Nepal Rastra Bank has issued various rebates in form of interest rates and time extension for repayment of loans. Nepal Rastra Bank has also issued the directives in charging the impairment for affected loans wherein the Bank has fully complied with those provisions and has charged the impairment charge/(reversal) for loans accordingly.

Impairment charge/ (reversal) for loans and other losses comprise of impairment losses and reversal of impairment on, investments, cash and bank balance measured at amortized cost and the account receivable balance identified for impairment.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on loans and advances to B/FIs	48,708,815	9,259,669	58,549,693	18,367,234
on loans and advances to customer	1,107,897,751	2,017,964,317	1,067,087,014	1,936,059,378
on investment securities	-	-	-	-
on cash and cash equivalents	(378,274)	-	(378,274)	-
on placement with banks and financial institutions	-	-	-	-
on property and equipment	-	-	-	-
on goodwill and intangible assets	-	-	-	-
on investment properties	-	-	-	-
on account receivables	-	-	-	-
Total impairment charge/(reversal)	**1,156,228,292**	**2,027,223,985**	**1,125,258,433**	**1,954,426,612**

4.36. PERSONNEL EXPENSES

The cost of all short-term employee benefits is recognized as an expense during the period in which the employee renders the related service. Accruals for employee entitlements to salaries, bonus and annual leave represent the amount which the bank has a present obligation to pay as a result of employees' services provided up to the reporting date.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
salaries	1,024,392,235	860,601,443	936,293,725	790,648,997
allowances	1,082,707,689	858,294,514	1,024,565,015	814,759,957
gratuity	166,411,535	73,974,029	161,966,769	70,263,769
provident fund	100,261,653	80,954,785	92,629,108	75,240,776
uniform	-	380,975	-	-
training and development expenses	32,132,208	18,748,778	30,306,344	16,411,159
leave encashment	150,474,353	159,254,453	145,997,307	155,425,936
medical insurance	6,746,092	5,820,259	6,746,092	5,802,495
life insurance	12,416,535	7,946,731	11,469,191	7,060,566
employee incentives	21,491,587	-	-	-
cash settled share-based payments	-	-	-	-
pension expenses	-	-	-	-
finance expense under NFRS	91,722,509	75,924,269	91,722,509	75,924,269
other staff expenses	-	-	-	-
	2,688,756,394	**2,141,900,236**	**2,501,696,058**	**2,011,537,922**
employees bonus	747,765,009	483,996,235	663,119,783	463,098,686
Total personnel expenses	**3,436,521,404**	**2,625,896,472**	**3,164,815,841**	**2,474,636,608**

4.37. OTHER OPERATING EXPENSES

Bank operates in a competitive environment for making the banking service easily available and accessible to the public. The bank incurs various expenses in form of lease rent, travelling, security, fuels and electricity, communication and advertisements and directly related expenses. These expenses are incurred and accounted on an accrual basis and are charged to income statement unless those expenses form the capital nature.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
directors' fees	5,730,300	5,998,500	3,883,000	4,027,000
directors' expenses	2,133,971	6,539,055	1,523,066	5,913,875
auditor's remuneration	3,195,250	3,023,950	2,858,900	2,644,200
other audit related expenses	1,214,662	40,749	900,000	-
professional and legal expense	16,777,905	15,457,053	16,710,081	15,097,741
office administration expenses	1,004,996,574	883,002,270	938,978,774	853,576,979
operating lease expenses	390,973,340	333,574,440	374,472,801	317,795,542
operating expense on investment properties	-	-	-	-
corporate social responsibility expenses	30,101,798	49,773,636	30,101,798	49,773,636
onerous lease provisions	-	-	-	-
other operating expenses	11,105,183	-	-	-
Total operating expense	**1,466,228,983**	**1,297,409,653**	**1,369,428,420**	**1,248,828,973**

4.37.1. Office administration expenses

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Water & electricity	59,914,816	53,104,203	58,887,098	52,069,693
Repairs and maintenance				
(a) Building	301,711	97,013	301,711	97,013
(b) Vehicle	9,409,078	7,903,173	8,740,127	7,903,173
(c) Computer and accessories	2,238,908	520,294	1,138,333	520,294
(d) Office equipment and furniture	9,287,845	6,414,634	9,250,315	6,414,634
(e) Other repairs	10,110,265	7,559,188	9,720,326	5,860,827
Insurance	14,932,307	13,521,259	14,254,734	12,978,810
Postage, telex, telephone,fax	82,799,543	70,635,727	79,639,537	68,081,609
Printing and stationery	79,162,007	74,340,289	72,483,360	70,738,802
Newspaper, books and journals	4,188,944	1,487,218	4,152,487	1,431,937
Advertisement	75,549,100	72,755,203	75,131,622	72,494,863
Donation	-	-	-	-
Security expenses	215,082,753	190,985,640	214,154,760	189,723,408
Deposit and loan guarantee premium	88,301,597	63,112,357	88,301,597	63,112,357
Travel allowance and expenses	35,361,350	50,080,567	32,835,298	48,010,407
Entertainment	2,526,497	2,415,171	2,525,877	2,348,600
Annual/special general meeting expenses	1,077,837	1,507,345	971,986	985,809
Other	-	-		
(a) ATS/AMC expenses	80,157,988	66,801,267	80,157,988	65,812,935
(b) Bank charges	10,226,436	8,113,945	10,226,436	8,099,213
(c) Business promotion	15,075,822	22,386,361	15,075,822	22,111,693
(d) Cleaning & gardening	15,038,522	14,698,543	14,635,352	14,276,198
(e) Fees & taxes	23,546,754	23,563,262	23,546,754	23,330,762
(f) Fuel & other lubricants	29,551,087	29,271,368	26,970,768	27,403,621
(g) Membership fees	2,767,290	4,067,107	1,470,022	3,971,597
(h) Office goods and supply	8,598,213	7,054,851	7,865,725	6,533,333
(i) Pantry expenses	10,899,663	10,293,069	9,854,994	9,054,457
(j) Share registration expenses	8,042,754	14,863,010	7,816,605	14,863,010
(k) Others	110,847,489	65,450,205	68,869,142	55,347,924
Total operating expense	**1,004,996,574**	**883,002,270**	**938,978,774**	**853,576,979**

4.38. DEPRECIATION AND AMORTIZATION

Depreciation of Property, and Equipment

Bank provides depreciation from the subsequent month of assets being put to use, while no depreciation is charged in the month of disposal, at the following rates on a straight line basis over the periods appropriate to the estimated useful lives of asset's future economic benefits are expected to be consumed by the bank. Leased assets are amortized over the period of 5 years or lease term which is earlier. Freehold lands are not depreciated as they are non depreciable assets. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date the asset is derecognised. Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

PROPERTY & EQUIPMENT	EXPECTED LIFE
Building	40 Years
Vehicle	7 Years
Furniture- Wooden	7 Years
Furniture- Metal	10 Years
Office Equipment	5 Years
Computer	5 Years
Machinery including ATMs	7 Years

Amortization of Intangible Assets

Intangible assets,except for goodwill, are amortized on a straight line basis in the Statement of Profit or Loss from the subsequent month of assets being put to use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank. The useful life estimated by the Bank is 5 years from the date put to use. Bank assumes that there is no residual value for its intangible assets.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on property and equipment	312,957,860	292,074,814	303,055,547	282,978,970
on investment property	-	-	-	-
on software and intangibles	31,560,860	22,796,371	30,807,206	21,142,964
Total Depreciation & Amortisation	**344,518,720**	**314,871,185**	**333,862,753**	**304,121,934**

4.39. NON OPERATING INCOME

Non-operating income are those generated by activities outside of the core operating activities of the banks. These includes recovery for earlier written off loans. Share of profit from investment in associates are shown separately as non-operating income as equity method has only been applied while preparing consolidated financial statements.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
from recovery of written off loans	10,547,342	641,568	10,547,342	641,568
from other income	5,194,872	-	-	-
from share of profit from investment in associates	220,934,293	44,876,958	-	-
Total non operating income	**236,676,507**	**45,518,526**	**10,547,342**	**641,568**

4.40. NON OPERATING EXPENSES

Non-operating expenses are those incurred outside of the core operating activities of the banks. These includes write off for uncollectible loans and others like expenses of redundancy and restructuring. During the year the Bank had opened Voluntary Retirement Scheme to the eligible employees. The cost incurred for the employees opting the scheme has been presented as expense of restructuring.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
on loan written off	-	58,520,553	-	58,520,553
on redundancy provision	-	-	-	-
on expense of restructuring	-	20,689,739	-	20,689,739
on other expense	-	-	-	-
Total non operating expense	**-**	**79,210,292**	**-**	**79,210,292**

4.41. INCOME TAX EXPENSE

Current Taxation

'Current tax' comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax receivable or payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted, as at the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purpose in accordance with the provisions of the Income Tax Act.

Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
current tax expense				
income tax expense based on profit for current year	2,073,511,142	1,343,033,015	1,844,541,228	1,294,604,441
adjustment for prior years under/(over) provision	(151,811)	-		
	2,073,359,331	**1,343,033,015**	**1,844,541,228**	**1,294,604,441**
deferred tax expense				
origination and reversal of temporary differences	(50,187,427)	(9,513,792)	(41,615,019)	(35,380,637)
change in tax rates	-	-		-
recognition of previously unrecognised tax losses	-	-		-
	(50,187,427)	**(9,513,792)**	**(41,615,019)**	**(35,380,637)**
Total income tax expenses	**2,023,171,904**	**1,333,519,223**	**1,802,926,209**	**1,259,223,804**

4.41.1: Reconciliation of tax expense and accounting profit

Amount in Rs.

	GROUP		BANK	
	CURRENT YEAR	PREVIOUS YEAR	CURRENT YEAR	PREVIOUS YEAR
Profit before tax			5,968,078,049	4,167,888,171
Tax Amount @ 30%			1,790,423,415	1,250,366,451
Add: Tax effect of expenses that are not deductible for tax purpose			167,975,973	152,838,589
Less: Tax effect on exempt income			(4,259,914)	(9,439,767)
Less: Tax effect of expenses that are deductible for tax purpose			(109,598,246)	(99,160,833)
Total Income tax	**-**	**-**	**1,844,541,228**	**1,294,604,441**
Effective tax rate			**30.91%**	**31.06%**

4.42. EARNINGS PER SHARE

The bank presents basic and diluted Earnings per Share (EPS) for its ordinary shares. Basic earnings per share (EPS) is calculated by dividing the net profit for the year attributable to ordinary equity holders of Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted Earnings per Share is determined by adjusting both the profit attributable to the ordinary equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

Profit after tax for previous year does not include the profit/(loss) earned by then Jananta Bank Ltd and Hathway Finance Company Ltd upto the date of merger/(acquisition)

a. Earnings per Share: Basic

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	4,165,151,840	2,908,664,367
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	216,325,030	189,758,799
Basic/Diluted earnings per ordinary shares (Rs)	**19.25**	**15.33**

b. Earnings per Share: Diluted

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	4,165,151,840	2,908,664,367
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	216,325,030	189,758,799
Basic/Diluted earnings per ordinary shares (Rs)	**19.25**	**15.33**

c. Weighted average Number of Ordinary Shares for basic/Diluted EPS

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Number of Shares held at 1st of Shrawan	189,758,799	103,105,160
Add: Additional shares issued to acquired entity in 18th Bhadra 2076	-	1,260,000
Add: Additional shares issued to merged entity in 19th mangsir 2076	-	72,087,081
Add: Number of shares issued due to final bonus	26,566,232	13,306,558
Adjusted Number of Shares eligible EPS calculation	**216,325,030**	**189,758,799**

4.43. PROPOSED AND DISTRIBUTED DIVIDEND

Provision for final dividend are recognised at the time the dividend is recommended by the Board of Directors, and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year.

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Final dividend paid for the financial years 2076-77 & 2075-76 respectively		
Bonus shares distributed	2,656,623,180	1,330,655,780
Cash dividend paid	379,517,597	1,330,655,780
	3,036,140,777	**2,661,311,559**
Dividend paid per ordinary share of Rs 100 each	**16.00**	**25.50**
Final dividend proposed for the financial years 2077-78 & 2076-77 respectively		
Bonus shares Proposed	2,163,250,304	2,656,623,180
Cash dividend proposed	757,137,606	379,517,597
	2,920,387,910	**3,036,140,777**
Dividend proposed per ordinary share of Rs 100 each	**13.50**	**16.00**

STATEMENT OF DISTRIBUTABLE PROFIT OR LOSS

For Year ended 31st Asar 2078 (As per NRB Regulation)

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Net profit or (loss) as per statement of profit or loss	**4,165,151,840**	**2,908,664,367**
Appropriations:		
a. General reserve	(833,030,368)	(581,732,873)
b. Foreign exchange fluctuation fund	(26,301,424)	(24,086,732)
c. Capital redemption reserve	(300,164,474)	(379,111,842)
d. Corporate social responsibility fund	(11,549,720)	20,686,992
e. Employees' training fund	-	-
f. Investment adjustment Reserve	18,420,000	(378,423,738)
g. Interest capitalise Reserve	-	-
h. Other	1,565,176	-
Profit or (loss) before regulatory adjustment	**3,014,091,030**	**1,565,996,174**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	(16,957,752)	(191,007,499)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	2,155,546
d. Short loan loss provision on Non Banking Assets (-)/resersal (+)	(12,187,281)	49,920,319
e. Deferred tax assets recognised (-)/ reversal (+)	2,187,086	(18,440,435)
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/resersal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	(133,257,962)	75,746,603
i. Other	-	-
Distributable profit or /(loss)	**2,853,875,122**	**1,484,370,708**

ADDITIONAL DISCLOSURES AND INFORMATION

5.1. RISK MANAGEMENT

Risk is inherent in the Bank's activities, it is managed through an integrated risk management framework, including ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is exposed to Credit Risk, Liquidity Risk, Market Risk and Operational Risk. It is also subject to country risk and various operating and business risks.

5.1.1. Definitions

A. Credit Risk

Credit Risk is the failure of customers (companies, individuals, banks, financial institutions, states etc) to perform their obligation towards Bank. Credit risk is paramount that bank is exposed to during the normal course of lending and credit under writing. Global IME Bank's Credit Policy Guidelines is the highest level policy document and it reflects long-term expectations and represents a key element of uniform, constructive and risk-aware culture throughout the Bank.

B. Liquidity Risk

Liquidity risk is the risk arising from our potential inability to meet all payment obligations when they come due or only being able to meet these obligations at excessive costs. Liquidity risk can be a situation arising from where short-term assets values are not sufficient to match short-term liabilities or unexpected cash outflows. Liquidity Risk arises from funding needs during challenging money market conditions.

The Bank has been maintaining Liquid Assets to Deposit Ratio as per approved guidelines of the bank and has been monitoring the ratio in the daily basis. The major liquid assets of the Bank includes investment government securities, which is easily convertible into cash level funds during times of liquidity tightness.

C. Market Risk

Market risk is the risk that the value of an investment will decrease due to changes in market factors. These factors will have an impact on the overall performance on the financial markets and can only be reduced by diversification into assets that are not correlated with the market – such as certain alternative asset classes. Market risk is sometimes called "systematic risk" because it relates to factors, such as a recession, that impact the entire market.

D. Operational Risk

Operational Risk is the risk of loss resulting from inadequate or failed internal processes, people and system or from external causes, whether deliberate, accidental or natural and includes legal risk

Operational Risk Management unit under Integrated Risk Management Department oversees the operational risk aspect. Operational risk is inherent in all business activities. Whilst risks can never be eradicated, Bank follow a number of procedures and practices to manage and mitigate them to preserve and create value of our business. Bank manages operational risks through standardization of internal processes and monitoring mechanisms. Staffs allowed participating in various trainings, workshops, conferences in different arena of the banking function to minimize operational risk caused due to lack of knowledge and skills on the part of staffs.

5.1.2. Risk Mitigation

Risk mitigation involves taking action to reduce an organization's exposure to potential risks and reduce the likelihood that those risks will happen again. Risk mitigation is one of the steps in risk management, which includes identifying the risk, analyzing the risk, and mitigating the risk.

A. Credit Risk

Risk Management Committee is constituted by the Board of Directors which oversee portfolio analysis, stress testing, existing product papers, policy, and procedures on credit, market and operational risk management on regular interval

The Bank's credit strategy is based on a clear understanding of various risks, disciplined risk assessment and measurement procedures and continuous monitoring. Number of proactive credit risk management techniques and tools under a broad risk framework used by the Bank is outlined below:

- Credit applications undergo a comprehensive credit evaluation and Bank has procedures for Credit Approval for both retail and corporate credit proposals that ensure appropriate resources and tools are employed for the type of credit assessment.

- Credit proposals are routed through Credit Control Unit with evaluation of underlying risk, where borrowers are classified according to risk grade to reflect the risk of default. Lending authority has not been assigned to the staff under Credit Control Unit and headed by Chief Manager. This Unit is independent of business unit and report to Chief Risk Officer of the Bank.

- Primary importance is given on understanding and assessing the existing and future cash flows of the business whereas secondary security is taken as fixed asset collateral security and personal guarantee / third part guarantee to support the life of loan as well as cash collateral to the possible extent.

- Credit Control Unit will support the credit proposal after reviewing inherited risk and forward to Lending Officer for approval with mitigating covenants. Bank is having various level approving authority depending upon proposed limits, inherent risks etc. Credit limits are approved under dual approval system.

- Credit Control Unit should mandatorily review the risks related with each credit exposure having exposure above Rs. 2.5 Million in individual or group accounts except loan against Fixed Deposit / Cash Back facilities. Earlier, the same threshold was of above Rs. 5.0 Million.
- Approved loans are forwarded to Credit Administration Department

that administers the post approval processes including review of security documentation, contracts and other legal paper in line with NRB directives, CPG, Product Papers and as per the approved terms and conditions. Credit Administration Department verifies the certification and completion of all formalities and disburses the loan in the system.

- Credit exposures once approved / disbursed are effectively monitored and reviewed on annual basis to determine changes in risk levels. Bank has standard procedures for credit review and monitoring systems, which is documented in Credit Policy Guidelines.

- Early warning signals from customers in financial difficulties are read early and remedial management action is implemented to minimize risk of default / loss.

- Bank reviews and monitors credit on a quarterly basis through diary notes, visit reports, customer's call/visit report and irregularity reports with respect to the management of excesses, overdue payments of principal or interest and past due bills and deficiencies identified therein reported to credit chain. The working capital loans are monitored through verification of statement of current assets provided by the borrower ensuring the utilization of limits are within the approved drawing power.

- Loans are priced appropriately through a Risk Based Pricing model. A template to this effect has been developed and circulated to branches. Relationship managers and Branch managers to identify/compute return on regulatory capital.

- Periodic reviews at portfolio levels are made in order to track performance and changes in quality of loan portfolio. Periodic business evaluation and quality of security / collateral to be done so as to avoid event of any negative downturns in their values. Various credit portfolio analyses to single client group, product and segment wise exposures etc. are reviewed on regular frequency and used to form strategies in future. Compliance of Acts, Policies and Laws promulgated by various governing bodies like Unified Directives, BAFIA, Company Act, Monetary Policy, Muluki Ain, etc. are being ensured.

- Bank has undertaken strategy to grow majority of business in the corporate sector followed by SME/Retail base in the current fiscal year in order to better manage the portfolio risk of the Bank. Product paper on various products have been developed/reviewed on periodic basis with settling of prudential lending limit to a single client / obligor along with portfolio level in different product on corporate level.

Bank has been adopting a practice of analyzing various levels of risks and mitigations in credit for different sectors Project, Corporate, SMEs and Retail. Details are assessed below:

Assessment of Macro Environment Aspects / External Impacts

Change in economic indicators affecting credit portfolio such as GDP, Inflation, per capita income, demand supply mismatch, changes in consumption patterns etc.

The risks that could trigger out of above indicators could ultimately lead to a credit default or even loss and Bank has developed a mechanism of assessing its impact to a potential credit loss through extensive and elaborative credit analysis such as industry/market risk assessment where various factors are assessed such as:

- Market Trend – Introductory, Growing, Mature, Local vs. Exports, Quality, Quantity, Market Substitutes, Prevailing Pricing Structures, Demand & Supply Scenario etc.

- Entry / Exit Barriers – License regulations, Associations Permits and Restrictions, Investments Prohibitions and Practices etc.
- Competition – Players in the Industry. Ability to withstand in the market place despite competition, development of core competence and distinctiveness to thrive in the market place.

- Vulnerability – Changes in Political scenario with corresponding changes in administration, Legal Framework, Socio-Cultural impacts and their affects in the credit.

Business Risks Analysis – To an individual client/group/section

Bank has also been undertaking various risks assessment mechanisms while assigning credit lines to an individual credit customer/group and they are:

- Product of the company whether are at introductory stage that warrant massive market penetration strategies involving costs factors or growing products in the market place with potentials of further growth or are at matured stage with declining tendencies.

- Buyer / Supplier – Size, Credibility, Performance, Conduct etc.

- Market Share – Small, Moderate. Leader etc.

- Technology – Obsolesce, Sound / Stable etc.

- Operating Cycle – Assets Conversion Time Frame etc.

- Networking - Sales and Distribution / Dependency on few

Financial Risks Analysis

Bank has been taking very cautious measures in order to analyze the financial aspects of a credit client. The major risks perceived in this area are considered to be timely submission of financial statements, audited balance sheets, validation of financial statements, disclosures and transparency. Whilst these phenomena are common issues in the industry, Bank has been adopting a practice of analyzing financial aspects more meticulously and with great degree of vigilance to overcome risks prevalent herein. Some of them are studied below:

- Trend Analysis – Sales, Profit, Cash Flows, Performance, Forecast, Projections etc.
- Key Indicators – Liquidity, Solvency. Margin, Debt Coverage, etc.
- Operating Cycle – Assets Conversion Cycle Time
- Payback Period, Internal Rate of Return, Break Even Analysis etc.
- Others – Costs Overrun Analysis, Sensitivity Analysis in project financing, etc.

Promoters Profile / Management expertise

The experience and expertise of promoters in the given filed of business play a pivotal role in the success of any business venture. Bank's analysis also encompasses detailed analysis in these critical areas some of which includes:

- Promoters / Management – Expertise and Experience in the given or related filed.
- Common / Diverse Interest of the promoters.
- Continuity and Succession Plans / Successors,
- Fall Back Position & Strength,
- Other Investment and Ventures

Bad Debt work-out procedures

Restructuring implies modifying the material terms and conditions of the initial agreement, that enables the client to fulfil its liabilities on more manageable terms (e.g.: modified principal or/and interest repayment term, interest rate, the rate calculation method, etc.).The Bank gives more attention to restructured loans through detailed monitoring.

In order to maximise the efficiency of bad debt work out procedures the bank has established a recovery department. Where possible, the Bank seeks to restructure loans to borrowers experiencing temporary financial difficulties rather than to take possession of collateral. This may involve modification of the contractual payment terms of loans in order to improve the management of customer relationships and maximise collection opportunities.

The Bank employs a set of preventive measures for identification of the financial difficulties experienced by clients. Such measures include:

- developing special expertise in identifying potential client risks prior to the critical deterioration of the issue
- timely cooperation with the client's management representatives in order to seek optimal solutions for problem situations.

B. Liquidity Risk

The Management defines the liquidity and funding risk strategy for the bank, as well as the risk appetite, based on recommendations made by the Asset Liability Committee ("ALCO"). The Board reviews and approves the limits which are applied to measure and control liquidity risk as well as Bank's long-term funding and issuance plan.

Treasury is mandated to manage the overall liquidity and funding position of the bank, and is responsible for reviewing the liquidity risk framework, proposing the risk appetite to ALCO and the validation of Liquidity Risk models which are developed by Treasury, to measure and manage the Bank's liquidity risk profile.

Treasury manages the maturity analysis of assets and liabilities. Modelling of assets and liabilities is necessary in cases where the contractual maturity does not adequately reflect the liquidity risk position. The most significant example in this context would be immediately repayable deposits from retail and transaction banking customers which have consistently displayed high stability throughout even the most severe financial crises. Financial assets and financial liabilities must be disclosed by their by their contractual maturity, based on undiscounted cash flows.The gap is monitored on periodic basis to maintain the sufficient liquidity by the Asset Liabilities Committee.

Treasury manages liquidity and funding, in accordance with the Board-approved risk appetite across a range of relevant metrics, and implements a number of tools to monitor these and ensure compliance. In addition, Treasury works closely in conjunction with ALCO, and the business, to analyze and understand the underlying liquidity characteristics of the business portfolios. The Bank has been regularly maintaining the minimum liquidity required to be kept as assigned by Nepal Rastra Bank. Further, bank has regular conducting Stress Tests to assess stress hypothetical scenarios on liquidity. ALCO is able to use this information as well as other analyses such as GAP to manage liquidity effectively for the Bank.

C. Market Risk

Bank's investments in form of foreign/local placements and foreign borrowings are subject to market risk. Risk can arise from changes in interest rates, credit spreads, foreign exchange rates and other relevant parameters, such as market volatility and market implied default probabilities.

Bank's aim to accurately measure all types of market risks by a comprehensive set of risk metrics reflecting economic and regulatory requirements. In accordance with economic and regulatory requirements, Bank measure market risks by several internally developed key risk metrics and regulatory defined market risk approaches.

The Risk Management Department of bank is responsible for monitoring market risk, reporting and analyzing, making proposals, setting limits and guidelines, and formulating and implementing plans relating to market risk management. Assets Liabilities Committee of the Bank have been monitoring the market risk as on date and recently Market Risk Unit have been established to closely monitor the fluctuations in interest rate and price and shall be involved in developing the policies related to market risk management. The strategy shall also be on strengthening Treasury Middle Office.

D. Operational Risk

The Chief of Country Operation (COCO) is fully accountable for the setup and maintenance of the Operational Risk

Management Framework, including the adherence to all applicable legal and regulatory requirements. COCO oversees its ongoing development as well as the capital calculation process and manages relevant model risks and sets up appropriate controls.

Bank manage operational risk using the Operational Risk management Framework which enables us to determine our operational risk profile in comparison to our risk appetite, to systematically identify operational risk themes and concentrations, and to define risk mitigating measures and priorities.

In order to cover the broad range of risk types underlying operational risk, Bank's framework contains a number of operational risk management techniques. These aim to efficiently manage the operational risk in our business and are used to identify, assess and mitigate operational risks.

The continuous collection of operational risk loss events, as a prerequisite for operational risk management, includes analyses and provision of timely information to senior management. The Lessons Learned process is triggered for events. This process includes, but is not limited to:

- systematic risk analyses, including a description of the business environment in which the loss occurred, previous events,
- root cause analysis,
- review of control improvements and other actions to prevent or mitigate the recurrence, and
- assessment of the residual risk exposure.

The bank has adopted the following strategies and measures in its endeavor to create an effective system of operational management and its impact on capital adequacy of the bank:

- Centralized monitoring and approval process of branch operations activities through central operations unit. Branch visits and surprise cash verification, vault checking is carried out on a periodical basis to ensure the branch has properly managed the vault and cash operations.

- Compliance policy of the bank to the suggestions and instruction on shortcomings as observed in internal, external audit and periodical inspections from Nepal Rastra Bank. Audit reports are reviewed periodically and follow up are made with the branch to update pending instances within the deadline as per commitments made by the branches.

- Periodical review of branch operations functions by dedicated team of Operational Risk Management Unit and Internal Audit Department.

- Periodical review, amendments and implementation of operational manuals and guidelines to address each aspect of branch operations.

- Communication and regular monitoring and follow up of policies, circulars and directives issued by Nepal Rastra Bank timely through the Compliance Department.

- Regular training and orientation of staffs of the Bank on various operational processes and procedures.

- Periodic visit, review and assessment of operational activities in branches by the central operations unit.

- Implementation of the system for data recording, management and reporting system for monitoring branch operation activities. Updates for additional field in system for mandatory requirement of customer data, KYC information has been implemented for required MIS and reporting purpose. Restriction has been placed in the system for user limits in cash transaction for proper control and double-check mechanism to avoid the instances of wrong postings and mistakes.

- Procedures for review of customer in case of account opening and draft issuance for sanction screening through sanction screening software has been procured and is to be implemented shortly.

- For central record and monitoring of draft and TT issuance for import related transaction, a system is being developed to insert transaction details by branches on issuance of draft/TT.

- Monitoring of pending documents, limit of applicants, follow up and NRB reporting shall be monitored through the system.

- Procedures for validation of Good for Issuance (GFP) cheque and Balance Certificate (BC) issuance and Bank guarantee issuance shall be implemented so that the authenticity of such documents can be checked and reviewed from the point of customers / beneficiary via the bank's website.

- Job description to each individual staff is provided so as to make clarity on the assignments and responsibility of individual staff and keep the staff more accountability while carrying out their assigned task.

Some of the potential risks associated with banking operation in current scenario are listed as follows:

Compliance Risk

Compliance Risk is the risk resulting from non-compliance with laws and regulations and lack of adequate documentation to demonstrate compliance and risk from failure to comply with financial reporting standards, agreements or regulatory requirements. The main Compliance Risk components are generally referred to as regulatory, financial reporting and legal risk. Bank is constantly monitoring and mitigating compliance risk through the adoption of appropriate policies and timely reporting as per the regulatory requirements.

Compliance Risk is the current or prospective risk to earnings and capital arising from violations or non-compliance with laws, rules, regulations, agreements, prescribed practices or ethical standards and can lead to fines, damages and/ or the voiding of contracts and can diminish an institution's reputation. Compliance Risk is managed by the Bank's Compliance department (supported by the Bank's business divisions and infrastructure functions) through identification of the adherence to material rules and regulations where non-compliance could lead to endangerment of the Bank's assets as well as acting to implement effective procedures for compliance and the setup of the corresponding controls. The Compliance department further provides advisory services on the above and performs monitoring activities in relation to the coverage of new or changed material rules and regulations and assesses the corresponding control environment; regularly reporting the results to the AML/CFT Committee.

Legal Risk

Legal Risk is the potential loss that a company or individual could face as the result of a legal issue. It could be a claim made against them, a change in the law or failure to take the proper legal measures to protect themselves. The Legal Department, is committed to the management of the Bank's legal risk.

People Risk

Human Resource Department is involved in managing people who are considered as one of the biggest assets of the organization. Hence, HRD is engaged in a broad range of human resource management practices to capitalize on those assets. In this regard, the risk is basically associated with the human capital and processes for their mitigation are cited follows:

Major Risk	Risk Mitigation Strategy
1. Submission of Fake Sheet along with all other Academic Credentials 2. Internal Fraud 3. Biasness in Performance Appraisal 4. Mismanagement in handling Staff Facilities 5.Out dated and inadequate HR policies and procedures 6. Late Attendance 7. HRIS System Failure 8. Poor Staff Management 9. Payroll Misappropriation 10. Lack of Departmental Co-ordination	The Bank has prepared and implemented Personnel policy guidelines to mitigate risk related to the people. Operational risk can occur due to poor or failed transaction processing or poor management of the process. These losses could be due to individual mistakes or due to a poor process itself like data entry errors, accounting errors, memos delivery failures, incomplete legal documentation etc. For making department's activities / workflow more effective more efficient, HRD is working to prepare an **Activities Process Management Manual.**

Information Security Risk

Bank functions in a dynamic operating environment marked by rising customer expectations, constantly changing economic landscape, widening scope and intensity of industry regulation, and leveraging technological innovation, while staying vigilant against evolving Information Technology risks. Further, the success of the banking sector is contingent upon maximizing the shareholders' wealth while controlling the financial health of the world economy with fairer practices amidst increasing transparency.

Major Risk	Risk Mitigation Strategy
1. Hardware system failure 2. Software system failure 3. Cyber Security and incident response 4. Electrical / Power system failure 5. Network / Connectivity system failure 6. System Intrusion 7. Risk of Human Errors	The bank has already prepared and implemented various IT related Policies and guidelines in line with IT guidelines issued by NRB along with IT Continuity of Business Plan & Policy. These policies/ guidelines outline IT related risk factors and their impact IT systems as well as impact on daily operations/business of the bank. In addition, these policies/guidelines also list down necessary risk mitigating techniques implemented and contingencies to continue IT operations in case of adverse conditions. Further Bank has full fledge Information Security Unit to monitor overall Information Security Risk of the Bank.

5.2. CAPITAL MANAGEMENT

The dynamic growth of financial markets and the increased use of complex banking products have brought about substantial changes in the business environment faced by the banks and financial institutions today. These challenges require functioning system for the limitation and targeted control of each institution's risk situation. In addition to describing methods for calculating regulatory capital requirements, the new regulatory capital framework (Basel III) places increased emphasis on risk management and integrated bank wide risk management. Therefore, to ensure the capital adequacy level of banks in commensurate with their risk profiles at all times, need to undertake in-depth analysis of their total risk exposure and capital and put in place the suitable procedures and systems. The ICAAP framework is rooted in the implementation of the Capital Adequacy Framework which implements BASEL framework as well as in the implementation of "ICAAP Guidelines (2012)" prescribed by NRB.

The ICAAP is therefore, based on the three pillars of Basel, in particular, the second pillar - Supervisory Review Process (SRP). The three-pillar model of Basel II ensures that banks not only have adequate capital to support all the risks in their business, but also to encourage banks to develop and use better risk management techniques in monitoring and managing their risks. Therefore, ICAAP enables banks to ensure this through stringent Board and Senior Management Oversight, Sound Capital Assessment, Comprehensive Assessment of risks, Monitoring & Reporting and internal Control Review. It further provides guidelines for the calculation of capital requirements and defining extended disclosure requirements.

Thus, in accordance with the model, GIBL is constantly faced with the challenge of developing the most efficient internal procedures and systems in order to ensure that the bank possesses adequate capital resources in the long run with due attention to all material risks involved.

The bank's management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

a. An appropriate identification and measurement of risks to which the Bank is or might be exposed to.
b. An appropriate level of internal capital in relation to Bank's risk profile; and
c. Application and further development of suitable risk management systems for the Bank.

5.3. CLASSIFICATION OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments are measured on an ongoing basis either at fair value or at amortized cost. The following table analyses the carrying amounts of financial instruments by category as defined in Nepal Financial Reporting Standard NFRS 9 (Financial Instruments) under headings of Statement of Financial Position.

Amount in Rs.

	NOTE	AS ON 31ST ASAR 2078			
		AT AMORTIZED COST	AT FVTPL	AT FVTOCI	TOTAL
Financial Assets					
Cash and Cash Equivalents	4.1	15,593,942,410	-	-	15,593,942,410
Due from Nepal Rastra Bank	4.2	25,336,114,039	-	-	25,336,114,039
Placement with Bank and Financial Institutions	4.3	-	-	-	-
Derivative financial instruments	4.4	-	5,663,649,824	-	5,663,649,824
Other trading assets	4.5	-	-	-	-
Loan and advances to B/FIs	4.6	10,367,176,716	-	-	10,367,176,716
Loans and Advances to Customers	4.7	228,651,426,527	-	-	228,651,426,527
Investment Securities	4.8	46,847,958,987	-	2,053,775,977	48,901,734,964
Investment in subsidiaries	4.9	370,695,250	-	-	370,695,250
Investment in associates	4.10	644,186,910	-	-	644,186,910
Investment property	4.12	354,648,945	-	-	354,648,945
Other Assets	4.16	1,154,160,221	-	-	1,154,160,221
Total Financial Assets		**329,320,310,006**	**5,663,649,824**	**2,053,775,977**	**337,037,735,807**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	14,914,792,251	-	-	14,914,792,251
Due to Nepal Rastra Bank	4.18	10,893,998,526	-	-	10,893,998,526
Derivative financial instruments	4.19	-	5,440,370,187	-	5,440,370,187
Due to Customers	4.20	268,433,791,603	-	-	268,433,791,603
Borrowings	4.21	2,371,769,589	-	-	2,371,769,589
Other Liabilities	4.23	2,569,058,935	-	-	2,569,058,935
Debt Securities Issued	4.24	4,491,996,856	-	-	4,491,996,856
Total Financial Liabilities		**303,675,407,760**	**5,440,370,187**	**-**	**309,115,777,947**

Amount in Rs.

	NOTE	AS ON 31ST ASAR 2077			
		AT AMORTIZED COST	AT FVTPL	AT FVTOCI	TOTAL
Financial Assets					
Cash and Cash Equivalents	4.1	20,083,658,794	-	-	20,083,658,794
Due from Nepal Rastra Bank	4.2	11,775,494,215	-	-	11,775,494,215
Placement with Bank and Financial Institutions	4.3	-	-	-	-
Derivative financial instruments	4.4	-	8,876,123,504.16	-	8,876,123,504
Other trading assets	4.5	-	-	-	-
Loan and advances to B/FIs	4.6	7,672,036,520	-	-	7,672,036,520
Loans and Advances to Customers	4.7	190,336,852,590	-	-	190,336,852,590
Investment Securities	4.8	24,696,551,040	-	1,704,850,352	26,401,401,393
Investment in subsidiaries	4.9	557,095,250	-	-	557,095,250
Investment in associates	4.10	404,222,561	-	-	404,222,561
Investment property	4.12	335,304,055	-	-	335,304,055
Other Assets	4.16	1,074,528,127	-	-	1,074,528,127
Total Financial Assets		**256,935,743,152**	**8,876,123,504.16**	**1,704,850,352**	**267,516,717,008**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	14,327,698,147	-	-	14,327,698,147
Due to Nepal Rastra Bank	4.18	1,339,361,371	-	-	1,339,361,371
Derivative financial instruments	4.19	-	8,773,443,817	-	8,773,443,817
Due to Customers	4.20	212,315,385,060	-	-	212,315,385,060
Borrowings	4.21	2,404,000,000	-	-	2,404,000,000
Other Liabilities	4.23	2,193,695,240	-	-	2,193,695,240
Debt Securities Issued	4.24	1,497,064,851	-	-	1,497,064,851
Total Financial Liabilities		**233,666,725,746**	**8,773,443,817**	**-**	**242,440,069,463**

5.4. OPERATING SEGMENT INFORMATION

1. General Information.

Chief operating decision maker uses the branch wise information to make the decision. These information are generated on a daily basis. The bank is in the process of establishing the province office which will monitor their respective branches. Bank derives its revenue from the following products and services:

a.Lending	Sevices
b.Treasury	Services
c.Remittance	Services
d. Card Services	

2. The following table shows the operating segment information:

Amount in Rs.

PARTICULARS	PROVINCE 1	PROVINCE 2	BAGMATI PROVINCE	GANDAKI PROVINCE	LUMBINI PROVINCE	KARNALI PROVINCE	SUDUR PASCHIM PROVINCE	OTHERS	TOTAL
Revenue from external customers	2,185,841,463	2,093,042,271	12,156,644,101	1,188,922,753	2,611,311,745	320,685,324	784,475,279	3,550,887,488	24,891,810,423
Intersegment revenues	103,947,225	48,217,183	7,647,770,521	309,513,269	665,898,628	100,302,007	164,952,767	46,597,224	9,087,198,824
Gross Revenues	**2,289,788,688**	**2,141,259,453**	**19,804,414,622**	**1,498,436,022**	**3,277,210,373**	**420,987,331**	**949,428,046**	**3,597,484,712**	**33,979,009,248**
Interest Revenue	2,029,835,805	1,941,648,612	11,238,902,034	1,105,772,653	2,392,519,845	293,593,186	705,504,807	1,985,805,843	21,693,582,784
Interest Expenses	674,025,327	398,830,003	8,994,753,690	594,107,502	1,125,844,642	83,446,738	240,626,262	442,821,076	12,554,455,241
Net Interest Revenue	**1,355,810,478**	**1,542,818,608**	**2,244,148,344**	**511,665,151**	**1,266,675,202**	**210,146,447**	**464,878,545**	**1,542,984,768**	**9,139,127,543**
Depreciation and amortisation	24,407,776	20,176,096	69,828,988	21,421,625	36,123,566	7,791,136	14,270,664	139,842,903	333,862,753
Segment profit/(loss)	**469,964,324**	**467,413,134**	**3,371,670,740**	**367,893,847**	**664,182,496**	**75,379,707**	**110,018,500**	**441,555,302**	**5,968,078,049**
Entity's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-				-
Other material non-cash items	-	-	-	-	-				-
Impairment of assets	767,927,996	443,989,646	2,891,368,503	238,747,822	888,225,890	93,759,653	252,616,642	722,756,430	6,299,392,581
Segment assets	**26,191,795,399**	**21,665,509,061**	**144,487,229,295**	**12,960,850,586**	**27,382,606,635**	**3,070,907,166**	**8,103,764,979**	**28,751,950,970**	**272,614,614,091**
Segment liabilities	**16,805,614,898**	**12,169,247,595**	**192,069,792,553**	**16,884,358,994**	**32,062,696,296**	**4,057,462,075**	**8,174,328,575**	**1,125,082,867**	**283,348,583,854**

3. Any transactions that occurred between the reportable segments are recorded using interbranch transaction account. This account is used mainly for accounting the inter branch revenue. These reveneus are cancelled out at the reporting date. There is no difference between the measurement of reportable segment's assets and entity's assets.

4. Reconciliations of reportable segment revenues, profit or loss, assets and liabilities.

a. Revenue

Amount in Rs.

Total Revenues for reportable segments	**33,979,009,248**
Elimination of intersegment revenues	(9,087,198,824)
Entity's revenues	**24,891,810,423**

b. Profit or Loss

Amount in Rs.

Total profit/loss for reportable segments	**5,968,078,049**
Elimination of intersegment revenues	-
Profit before Income Tax	**5,968,078,049**

c. Assets

Amount in Rs.

Total assets for reportable segments	**272,614,614,091**
Other assets	3,535,752,722
Unallocated amounts- Staff Loans & Int Receivable	2,869,960,286
Unallocated amounts- Cash and Balance with NRB	7,955,840,929
Unallocated amounts- Investment Securities	49,916,617,124
Unallocated amounts- Current Tax Assets	2,232,790,396
Unallocated amounts- Investment Property	354,648,945
Unallocated amounts- Derivative financial Instruments	5,663,649,824
Unallocated amounts- Deferred Tax Assets	279,385,865
Entity's Assets	**345,423,260,183**

d. Liabilities

Amount in Rs.

Total liabilities for reportable segments	**283,348,583,854**
Other liabilities	4,310,628,673
Unallocated amounts-Due to Nepal Rastra bank	10,893,998,526
Unallocated amounts- Current tax liabilities	1,845,212,017
Unallocated amounts- Derivative financial Instruments	5,440,370,187
Unallocated amounts-Debt Securities and Borrowing	6,863,766,445
Entity's Liabilities	**312,702,843,247**

5. Information about products and services

Amount in Rs.

Loans and advances	20,026,548,407
Investment securities	1,667,034,377
Remittance	209,709,549
Card services	504,301,782
Others	2,484,216,308
Total Entity's Revenue	**24,891,810,423**

6. Information about geographical areas

Amount in Rs.

Domestic	
Province 1	2,185,841,463
Province 2	2,093,042,271
Bagmati Province	12,156,644,101
Gandaki Province	1,188,922,753
Lumbini Province	2,611,311,745
Karnali Province	320,685,324
Sudur Paschim Province	784,475,279
Others	3,550,887,488
Foreign	
Total	**24,891,810,423**

7. Information about major customer.

The bank does not have any customer, which generates more than 10% of the entity's revenue.

5.5. SHARE OPTIONS AND SHARE BASED PAYMENT

The bank does not issue shares and options to its employees that would be accounted as per NFRS 2 " Share based payments".

5.6. CONTINGENT LIABILITIES AND COMMITMENT

Details of contingent liabilities and commitments have been explained in Note 4.28.

5.7. RELATED PARTY DISCLOSURES

The bank carries out transactions in the ordinary course of business with the parties who are defined as related parties in the Nepal Accounting Standard – NAS 24 (Related Party Disclosures), the details of which are reported below:

Amount in Rs.

S. NO.	NAME	TYPE	RELATIONSHIP WITH BANK	DATE OF JOINING/ (RESIGNATION)
1	Mr. Chandra Prasad Dhakal	Key Management Personnel	Chairman	Reelected w.e.f. 14.01.2021
2	Mr. Sudarshan Krishna Shrestha	Key Management Personnel	Director	Reelected w.e.f. 14.01.2021
3	Mr. Cabinet Shrestha	Key Management Personnel	Director	With effect from 14.01.2021
4	Mr. Ram Bahadur Bhandari	Key Management Personnel	Director	With effect from 14.01.2021
5	Mr. Krishna Prasad Sharma	Key Management Personnel	Director	Reelected w.e.f. 14.01.2021
6	Mr. Devendra Pratap Shah	Key Management Personnel	Director	
7	Mr. Keshav Bahadur Rayamajhi	Key Management Personnel	Director	Term ended w.e.f. 13.01.2021
8	Mr. Suman Pokharel	Key Management Personnel	Director	Term ended w.e.f. 13.01.2021
9	Mr. Vineet Kumar Agrawal	Key Management Personnel	Director	Term ended w.e.f.13.01.2021
10	Mr. Ratna Raj Bajracharya	Key Management Personnel	CEO	With effect from 17.08.2020
11	Global IME Laghubitta Bittiya Sanstha Ltd	Entities where control exists	Subsidiary	
12	Global IME Capital Ltd	Entities where control exists	Subsidiary	
13	JBNL Securities Ltd	Entities where control exists	Subsidiary	
14	Mero Microfinance Bittiya Sanstha Ltd	Entities where significant influence exists	Associate	
15	First Microfinance Laghubitta Bittiya Sanstha Ltd	Entities where significant influence exists	Associate	
16	IME Life Insurance Company Ltd	Entities where significant influence exists	Associate	
17	Reliable Nepal Life Insurance Company Ltd	Entities where significant influence exists	Associate	
18	Nepal Clearing House Ltd	Entities where significant influence exists	Associate	
19	Nepal Electronic Payment System Ltd	Entities where significant influence exists	Associate	
20	Smart Choice Technologies Ltd	Entities where significant influence exists	Associate	
21	Banking Insurance and Financial Institution Ltd	Entities where significant influence exists	Associate	

Parent and ultimate controlling party

The bank does not have an identifiable parent of its own.

Key Management Personnel

As per Nepal Accounting Standard – NAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of entity.

According to above definition, a person can not be considered as a KMP unless such person has both the authority and responsibility to carry out all three activities metioned in the above definition (i.e. planning, directing and controlling the activities of entity). In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Accordingly the board of directors and chief executive officer are considered as Key Management Personnel of the bank.

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Employment benefits		
salaries and allowances	13,245,000	11,784,000
post employment benefits	733,200	902,700
Director's fees and expenses	5,406,066	9,940,875
	19,384,266	**22,627,575**

In addition to above, the bank has also paid non cash-benefits such as fuel, repairs, telephone to KMPs who are employee of the bank in line with the approved benefit plans of the bank.

Close Family Members (CFM) of Key Management Personnel

CFMs of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's domestic partner, children of the KMP's domestic partner and dependents of the KMP.

Subsidiaries and associates

The bank has subsidiaries with an equity interest of 75%, 57.48% and 100% in Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd and JBNL Securities Ltd. The subsidiaries nature of business are mentioned in Note 1.1.

The bank has associate entities with following equity interest:

	PERCENTAGE OF OWNERSHIP HELD BY THE BANK	
	CURRENT YEAR	PREVIOUS YEAR
First Microfinance Dev Bank Limited (P)	12.05%	14.73%
Mero Micro Finance Bittya Sanstha Ltd (P)	14.00%	14.00%
Sparsha Laghubitta Bittiya Sanstha Ltd.	-	16.39%
IME Life Insurance Co. Limited	10.00%	10.00%
Reliable Nepal Life Insurance Co. Limited	10.00%	-
Nepal Clearing House Limited	7.15%	-
Smart Choice Technologies Ltd	15.50%	-
Nepal Electronics Payment System Ltd.	17.61%	17.61%
Banking Finance And Insurance Institution Ltd.	6.67%	6.67%

Amount in Rs.

	CURRENT YEAR	PREVIOUS YEAR
Global IME Capital Limited		
loans and receivables		
deposits	392,421,585	24,542,825
Payables		-
For the year ended		
interest paid on deposit	1,038,032	3,038,808
dividend received	9,957,367	25,800,464
other commission received by Bank	5,241,394	2,934,096
other commission paid by subsidiary	5,241,394	2,934,096
Global IME Laghubitta Bittiya Sanstha Limited		
loans and receivables	1,881,680,725	1,462,097,141
deposits	2,761,284	407,045,493
For the year ended		
interest received on loans	57,705,197	77,781,140
interest paid on deposit	47,060	250,719
service fee received by Bank		1,550,000
service fee paid by Subsidiary		1,550,000
Janata Capital Limited		
deposits		190,017,319
For the year ended		
interest paid on deposit		14,946,618
JBNL Securities Limited		
deposits	62,447,798	62,036,212
For the year ended		
interest paid on deposit	714,458	1,229,473
Mero Microfinance Bittiya Sanstha Limited		
loans and receivables	878,104,011	559,045,757
deposits	10,466,999	110,552,095
For the year ended		
interest received on loans	27,142,810	49,928,629
interest paid on deposit	235,324	580,629
First Microfinance Laghubitta Bittiya Sanstha Limited		
loans and receivables	1,347,043,517	904,501,513
deposits	147,387,258	89,158,682
For the year ended		
interest received on loans	59,289,324	67,208,932
interest paid on deposit	150,302	392,207
Sparsha Laghubitta Bittiya Sanstha Limited		
loans and receivables		56,985,515
deposits		1,621,477
For the year ended		
interest received on loans		5,322,996
interest paid on deposit		56,058
IME Life insurance co. Ltd.		
deposits	184,398,183	232,777,615
For the year ended		
interest paid on deposit	14,200,812	16,116,774
Reliable Nepal Life insurance co. Ltd.		
deposits	275,426,580	1,727,888
For the year ended		
interest paid on deposit	19,129,598	

5.8. MERGER AND ACQUISITION

Merger with Janata Bank Nepal Ltd.

During the financial year 2076-77 Global IME Bank Ltd and Janata Bank Nepal Ltd a "A" Class Financial Institution completed the successful merger with the approval of Nepal Rastra Bank and Annual General Meeting to form a single entity Global IME Bank Ltd.

The merger was concluded with the swap ratio determined at 85 shares for every 100 shares held at then Janata Bank Nepal Ltd. The swap ratio was duly approved by both the entity's Annual General Meeting held on 2nd Mangsir 2076.

Joint Operation of the two entities commenced from 20th Mangsir 2076.

Acquisition of Hathway Finance Ltd.

During the financial year 2076-77 the bank acquired Hathway Finance Company Ltd. A "C" Class Financial Institution with the swap ratio determined at 42 shares for every 100 shares held at then Hathway Finance Ltd. The swap ratio has been duly approved by the Special General Meeting held on Shrawan 14 2076. Joint Operation of the two entities commenced from Bhadra 18 2076.

5.9. ADDITIONAL DISLOSURE OF NON CONSOLIDATED ENTITIES

All the subsidiaries of the bank are consolidated and presented as a single entity. However for the accounting of associates of bank the bank has applied the carve out issued by Institute of Chartered Accountants of Nepal for NAS 28 "Investments in associates and joint venture".

- The entity's financial statements shall be prepared using uniform accounting policies for like transactions and events in similar circumstances unless, in case of an associate, it is impracticable to do so.

5.10. EVENTS AFTER REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. No circumstances have arised since the reporting date which would require adjustments to, or disclosure in the financial statements.

Capital Structure and Capital Adequacy Related disclosure as per New Capital Adequacy

Tier 1 Capital and breakdowns of its Components

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Paid Up Capital	21,632,503	18,975,880
Share Premium	-	5,393
Proposed Bonus Equity Shares	-	-
Statutory General Reserve	5,240,888	4,407,858
Retained Earning	2,990,204	1,673,610
Capital Redemption Reserve	679,276	379,112
Capital Adjustment Reserve	-	-
Dividend Equalization Reserve	-	-
Other Free Reserve	-	1,489,849
Less: Intangible Assets	(239,610)	(240,439)
Less: Deferred Tax Asset	-	-
Less: Investment in equity of institutions with financial interests	(853,674)	(964,803)
Less: Purchase of land & building in excess of limit and unutilized	(31,356)	(31,360)
Adjustment under Pillar II	**29,418,231**	**25,695,100**
Less: Loans & Facilities extended to related parties and restricted lending		-
Common Equity Tier I Capital	**29,418,231**	**25,695,100**
Additional Tier I Capital		
Perpetual Non-Cumulative Preference Share Capital		-
Perpetual Debt Instruments		-
Core Capital (Tier I)	**29,418,231**	**25,695,100**

Tier 2 Capital and breakdowns of its Components

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Subordinated Term Debt	3,600,000	900,000
General Loan Loss Provision	3,190,902	2,480,580
Exchange Fluctuation Reserve	190,224	163,922
Investment Reserve Fund	403,260	421,680
Supplementary Capital	**7,384,386**	**3,966,182**

Total qualifying Capital

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Common Equity Tier I	29,418,231	25,695,100
Additional Tier I Capital	-	-
Total Core Capital (Tier I)	**29,418,231**	**25,695,100**
Supplementary capital (Tier II)	7,384,386	3,966,182
Total Capital Fund	**36,802,618**	**29,661,282**

Capital Adequacy Ratios

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Common Equity Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	10.55%	10.81%
Tier 1 Capital to Total Risk Weighted Exposures (After Bank's adjustments of Pillar II)	10.55%	10.81%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures(After Bank's adjustments of Pillar II)	13.20%	12.48%

Deductions from capital

Amount in Rs.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Bank's equity investment in institutions with financial interest	853,674	964,803
Intangible Assets	239,610	240,439
Purchase of land & building in excess of limit and unutilized	31,356	31,360
Total Deductions	**1,124,640**	**1,236,602**

Detailed information about the Subordinated Term Debts with information on the outstanding amount, maturity, amount raised during the year and amount eligible to be reckoned as capital funds:

Amount in Rs.

PARTICULARS	10.25% DEBENTURE	8.5% DEBENTURE	TOTAL
Issue Size	1,500,000,000.00	3,000,000,000.00	4,500,000,000.00
Issue Date	11th April 2019	5th April 2021	
Maturity Date	10th April 2024	4th April 2031	
Interest Rate per annum	10.25%	8.5%	
Term from date of Issue	5 Years	10 Years	
Redemption Reserve up to Asar 2078	**679,276,315.79**	**-**	**679,276,315.79**
Amount Considered for Capital fund	**600,000,000.00**	**3,000,000,000.00**	**3,600,000,000.00**

Risk Exposure

Risk weighted exposures for Credit Risk, Market Risk and Operational Risk:

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Risk Weighted Exposure for Credit Risk	255,272,200	209,246,693
Risk Weighted Exposure for Operational Risk	14,418,718	11,899,628
Risk Weighted Exposure for Market Risk	301,896	124,606
Total Risk Weighted Exposures	**269,992,813**	**221,270,927**
Add: 2% of the total RWE as per NRB directives (6.4 a 9) (3% in previous year)	5,400,647	6,638,128
Add: Desired level of disclosure requirement has not been achieved. Add 3% of RWE (6.4 a 10)	-	6,638,128
Add: additional capital charge of 3% of Gross Income as per NRB directives (6.4 a 7)	3,324,486	3,081,693
Total Risk Weighted Exposures (After Bank's Adjustments of Pillar II)	**278,717,946**	**237,628,876**

Risk Weighted Exposures under each of 11 categories of Credit Risk:

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
a) Claims on government & central bank	-	-
b) Claims on other official entities	370,000	712,470
c) Claims on banks	4,301,656	5,501,677
d) Claims on corporate & securities firms	137,389,638	113,068,952
e) Claims on regulatory retail portfolio	37,864,731	35,279,696
f) Claims secured by residential properties	12,986,486	12,181,874
g) Claims secured by commercial real state	2,292,980	1,301,452
h) Past due claims	4,943,673	2,559,058
i) High risk claims	11,448,347	12,699,650
j) Other assets	17,258,306	6,435,348
k) Off balance sheet items	26,416,383	19,506,516
Total Risk Weightage Assets	**255,272,200**	**209,246,693**

Non-Performing loan (Total amount and net amount)

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Restructured and rescheduled loan	1,294	-
Substandard loan	783,210	898,473
Doubtful loans	632,603	1,261,266
Bad loan	2,005,130	1,360,969
Total	**3,422,237**	**3,520,708**
Provision For Loss	2,516,382	2,193,174
Net Amount	**905,855**	**1,327,534**

Non-Performing Loan Ratio

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
NPA / Total Loan	1.41%	1.76%
Net NPA / Net Loan	0.38%	0.68%

Movement of Non-performing Assets:

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR	CHANGES (%)
Non-Performing Assets (Gross)	3,422,237.49	3,520,707.90	-2.80%
Non-Performing Assets (Net))	905,855.03	1,327,533.91	-31.76%

Write off of loans and interest Suspense during the year :

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
Write off of loans during the year	-	58,521
Write off of interest Suspense during the year	-	10,520

Details of additional Loan Loss Provision:

Amount in Thousand.

PARTICULARS	CURRENT YEAR	PREVIOUS YEAR
1. Pass	876,450	692,991
2. Watch List	(74,400)	282,242
3. Restructured	162	-
4. Substandard	(25,059)	141,847
5. Doubtful	(304,238)	523,470
6. Loss	652,344	313,877
Total Loan Loss Provision	**1,125,258**	**1,954,427**

STATEMENT OF LOANS AND ADVANCES TO DIRECTORS/CHIEF EXECUTIVE /PROMOTERS/EMPLOYEES AND SHAREHOLDERS

Amount in Rs.

NAME OF PROMOTER/DIRECTOR/ CHIEF EXECUTIVE	OUTSTANDING UP TO PREVIOUS YEAR		RECOVERED IN CURRENT YEAR		ADDITIONAL LENDING	OUTSTANDING AS ON ASAR END 2078	
	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	CURRENT YEAR	PRINCIPAL	INTEREST
A. Directors							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
3.	-	-	-	-	-	-	-
B. Chief Executive							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
C. Promoters							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
3.	-	-	-	-	-	-	-
D. Employees		-					
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
E. Shareholders							
1.	-	-	-	-	-	-	-
2.	-	-	-	-	-	-	-
3.	-	-	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**	**-**	**-**

Risk Weighted Exposure for Credit Risk

Amount in Thousand

A. BALANCE SHEET EXPOSURES	BOOK VALUE	SPECIFIC PROVISION	ELIGIBLE CRM	NET VALUE	RISK WEIGHT	RISK WEIGHTED EXPOSURES	PREVIOUS YEAR
	a	b	c	d=a-b-c	e	f=d*e	
Cash Balance	5,500,090	-	-	5,500,090	0%	-	
Balance With Nepal Rastra Bank	25,336,114	-	-	25,336,114	0%	-	
Gold	435	-	-	435	0%	-	
Investment in Nepalese Government Securities	26,509,510	-	-	26,509,510	0%	-	
All Claims on Government of Nepal	115,855	-	-	115,855	0%	-	
Investment in Nepal Rastra Bank securities	22,163,411	-	-	22,163,411	0%	-	
All claims on Nepal Rastra Bank	-	-	-	-	0%	-	
Claims on Foreign Government and Central Bank (ECA 0-1)	-	-	-	-	0%	-	
Claims on Foreign Government and Central Bank (ECA -2)	-	-	-	-	20%	-	
Claims on Foreign Government and Central Bank (ECA -3)	-	-	-	-	50%	-	
Claims on Foreign Government and Central Bank (ECA-4-6)	-	-	-	-	100%	-	
Claims on Foreign Government and Central Bank (ECA -7)	-	-	-	-	150%	-	
Claims On BIS, IMF, ECB, EC and MDB's recognized by the framework	-	-	-	-	0%	-	
Claims on Other Multilateral Development Banks	-	-	-	-	100%	-	
Claims on Domestic Public Sector Entities	370,000	-	-	370,000	100%	370,000	712,470
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	20%	-	
Claims on Public Sector Entity (ECA 2)	-	-	-	-	50%	-	
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	100%	-	
Claims on Public Sector Entity (ECA 7)	-	-	-	-	150%	-	
Claims on domestic banks that meet capital adequacy requirements	12,477,197	-	-	12,477,197	20%	2,495,439	1,960,512

contd... RISK WEIGHTED EXPOSURE FOR CREDIT RISK

Amount in Thousand

A. BALANCE SHEET EXPOSURES	BOOK VALUE	SPECIFIC PROVISION	ELIGIBLE CRM	NET VALUE	RISK WEIGHT	RISK WEIGHTED EXPOSURES	PREVIOUS YEAR
	a	b	c	d=a-b-c	e	f=d*e	
Claims on domestic banks that do not meet capital adequacy requirements	32,848	32,848	-	-	100%	-	
Claims on foreign bank (ECA Rating 0-1)	2,216,246	-	-	2,216,246	20%	443,249	1,446,283
Claims on foreign bank (ECA Rating 2)	178,358	-	-	178,358	50%	89,179	119,789
Claims on foreign bank (ECA Rating 3-6)	1,191,500	-	-	1,191,500	100%	1,191,500	1,864,914
Claims on foreign bank (ECA Rating 7)	-	-	-	-	150%	-	
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	411,442	-	-	411,442	20%	82,288	110,179
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	-	80%	-	
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	-	85%	-	
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	-	90%	-	
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	-	100%	-	
Claims on Domestic Corporates (Unrated)	137,460,538	-	70,900	137,389,638	100%	137,389,638	113,068,952
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	20%	-	
Claims on Foreign Corporates (ECA 2)	-	-	-	-	50%	-	
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	100%	-	
Claims on Foreign Corporates (ECA 7)	-	-	-	-	150%	-	
Regulatory Retail Portfolio (Not Overdue)	51,094,902	-	608,595	50,486,308	75%	37,864,731	35,279,696
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	100%	-	
Claims secured by residential properties	21,156,800	-	-	21,156,800	60%	12,694,080	10,886,744
Claims not fully secured by residential properties	-	-	-	-	150%	-	
Claims secured by residential properties (Overdue)	389,559	97,153	-	292,406	100%	292,406	224,681
Claims secured by Commercial real estate	2,292,980	-	-	2,292,980	100%	2,292,980	1,301,452
Past due claims (except for claims secured by residential properties)	5,715,626	2,419,230	614	3,295,782	150%	4,943,673	2,559,058
High Risk claims	6,424,776	-	521,953	5,902,823	150%	8,854,234	8,231,136
Lending against securities (bonds & shares)	7,136,995	-	2,700	7,134,295	100%	7,134,295	2,189,454
Investments in equity and other capital instruments of institutions listed in stock exchange	1,829,293	-	-	1,829,293	100%	1,829,293	460,469
Investments in equity and other capital instruments of institutions not listed in the stock exchange	1,729,408	-	-	1,729,408	150%	2,594,113	1,818,590
Staff loan secured by residential property	2,502,281	-	-	2,502,281	50%	1,251,140	1,070,449
Interest Receivable/claim on government securities	432,279	-	-	432,279	0%	-	
Cash in transit and other cash items in the process of collection	-	-	-	-	20%	-	
Other Assets (as per attachment)	8,963,295	1,919,718	-	7,043,577	100%	7,043,577	6,435,348
TOTAL (A)	**343,631,738**	**4,468,948**	**1,204,762**	**337,958,028**		**228,855,817**	**189,740,178**

contd... RISK WEIGHTED EXPOSURE FOR CREDIT RISK

contd... RISK WEIGHTED EXPOSURE FOR CREDIT RISK

Amount in Thousand

B. OFF BALANCE SHEET EXPOSURES	BOOK VALUE	SPECIFIC PROVISION	ELIGIBLE CRM	NET VALUE	RISK WEIGHT	RISK WEIGHTED EXPOSURES	PREVIOUS YEAR
	a	b	c	d=a-b-c	e	f=d*e	
Revocable Commitments	-	-	-	-	0%	-	-
Bills Under Collection	-	-	-	-	0%	-	-
Forward Exchange Contract Liabilities	14,063,725	-	-	14,063,725	10%	1,406,372	1,541,535
LC Commitments With Original Maturity Upto 6 months domestic counterparty	6,816,559	-	490,260	6,326,299	20%	1,265,260	679,695
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	1,646,734	-	56,504	1,590,231	50%	795,115	1,052,285
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	26,700,833	-	836,161	25,864,673	40%	10,345,869	8,585,450
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Underwriting commitments	-	-	-	-	50%	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	100%	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	100%	-	-
Advance Payment Guarantee	4,197,702	-	63,680	4,134,021	100%	4,134,021	3,696,102
Financial Guarantee	-	-	-	-	100%	-	-
Acceptances and Endorsements	3,894,298	-	-	3,894,298	100%	3,894,298	1,721,050
Unpaid portion of Partly paid shares and Securities	-	-	-	-	100%	-	-
Irrevocable Credit commitments (short term)	12,901,842	-	-	12,901,842	20%	2,580,368	2,087,817
Irrevocable Credit commitments (long term)	3,708,846	-	-	3,708,846	50%	1,854,423	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	20%	-	-
Other Contingent Liabilities	126,925	-	21,090	105,835	100%	105,835	105,835
Unpaid Guarantee Claims	18,020	-	610	17,410	200%	34,820	36,747
TOTAL (B)	**74,075,485**	**-**	**1,468,304**	**72,607,180**		**26,416,383**	**19,506,516**
Total RWE for credit Risk Before Adjustment (A) +(B)	**417,707,223**	**4,468,948**	**2,673,066**	**410,565,208**		**255,272,200**	**209,246,693**
Total RWE for Credit Risk after Bank's adjustments under Pillar II	**417,707,223**	**4,468,948**	**2,673,066**	**410,565,208**		**255,272,200**	**209,246,693**

Eligible Credit Risk Mitigants

Amount in Thousand

CREDIT EXPOSURES	DEPOSITS WITH BANK	DEPOSITS WITH OTHER BANKS/FI	GOLD	GOVT.& NRB SECURITIES	G'TEE OF GOVT. OF NEPAL	SEC/G'TEE OF OTHER SOVEREIGNS	G'TEE OF DOMESTIC BANKS	G'TEE OF MDBS	SEC/G'TEE OF FOREIGN BANKS	TOTAL	PREVIOUS YEAR
	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)	(I)		
Balance Sheet Exposures											
Claims on Foreign government and Central Bank (ECA -2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -3)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA-4-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -7)	-	-	-	-	-	-	-	-	-	-	-
Claims on Other Multilateral Dev. Banks	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Public Sector Entities	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on domestic banks that meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	-
Claims on domestic banks that do not meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Unrated)	70,900	-	-	-	-	-	-	-	-	70,900	77,550
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Regulatory Retail Portfolio (Not Overdue)	593,205	-	15,389	-	-	-	-	-	-	608,595	440,514

contd... ELIGIBLE CREDIT RISK MITIGANTS

contd... ELIGIBLE CREDIT RISK MITIGANTS

Amount in Thousand

CREDIT EXPOSURES	DEPOSITS WITH BANK	DEPOSITS WITH OTHER BANKS/FI	GOLD	GOVT.& NRB SECURITIES	G'TEE OF GOVT. OF NEPAL	SEC/G'TEE OF OTHER SOVEREIGNS	G'TEE OF DOMESTIC BANKS	G'TEE OF MDBS	SEC/G'TEE OF FOREIGN BANKS	TOTAL	PREVIOUS YEAR
	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)	(I)		
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims not fully secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties (Overdue)	-	-	-	-	-	-	-	-	-	-	-
Claims secured by Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-
Past due claims (except for claims secured by residential properties)	4	-	611	-	-	-	-	-	-	614	541
High Risk claims	521,953	-	-	-	-	-	-	-	-	521,953	30,794
Lending against securities (bonds & shares)	2,700	-	-	-	-	-	-	-	-	2,700	-
Investments in equity and other capital instruments of institutions listed in stock exchange	-	-	-	-	-	-	-	-	-	-	-
Investments in equity and other capital instruments of institutions not listed in the stock exchange	-	-	-	-	-	-	-	-	-	-	-
Other Assets (as per attachment)	-	-	-	-	-	-	-	-	-	-	
Total (A)	**1,188,762**	**-**	**16,000**	**-**	**-**	**-**	**-**	**-**	**-**	**1,204,762**	**549,399**
Off Balance Sheet Exposures											
Forward Exchange Contract Liabilities	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Upto 6 months domestic counterparty	490,260	-	-	-	-	-	-	-	-	490,260	235,652
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	56,504	-	-	-	-	-	-	-	-	56,504	60,384
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	836,161	-	-	-	-	-	-	-	-	836,161	669,181
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-

contd... ELIGIBLE CREDIT RISK MITIGANTS

contd... ELIGIBLE CREDIT RISK MITIGANTS

Amount in Thousand

CREDIT EXPOSURES	DEPOSITS WITH BANK	DEPOSITS WITH OTHER BANKS/FI	GOLD	GOVT.& NRB SECURITIES	G'TEE OF GOVT. OF NEPAL	SEC/G'TEE OF OTHER SOVEREIGNS	G'TEE OF DOMESTIC BANKS	G'TEE OF MDBS	SEC/G'TEE OF FOREIGN BANKS	TOTAL	PREVIOUS YEAR
	(A)	(B)	(C)	(D)	(E)	(F)	(G)	(H)	(I)		
Underwriting commitments	-	-	-	-	-	-	-	-	-	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	-	-	-	-	-	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	-	-	-	-	-	-	-
Advance Payment Guarantee	63,680	-	-	-	-	-	-	-	-	63,680	62,037
Financial Guarantee	-	-	-	-	-	-	-	-	-	-	-
Acceptances and Endorsements	-	-	-	-	-	-	-	-	-	-	-
Unpaid portion of Partly paid shares and Securities	-	-	-	-	-	-	-	-	-	-	-
Irrevocable Credit commitments (short term)	-	-	-	-	-	-	-	-	-	-	-
Irrevocable Credit commitments (long term)	-	-	-	-	-	-	-	-	-	-	-
Other Contingent Liabilities	21,090	-	-	-	-	-	-	-	-	21,090	21,090
Unpaid Guarantee Claims	610	-	-	-	-	-	-	-	-	610	1,050
Total (B)	1,468,304	-	-	-	-	-	-	-	-	1,468,304	1,049,395
Grand Total (A+B)	**2,657,066**	**-**	**16,000**	**-**	**-**	**-**	**-**	**-**	**-**	**2,673,066**	**1,598,794**

Risk Weighted Exposure for Operational Risk

Amount in Thousand

S.N.	PARTICULARS	FISCAL YEAR			PREVIOUS YEAR
		2074-75	2075-76	2076-77	
1	Net Interest Income	6,279,354	8,638,936	9,642,700	
2	Commission and Discount Income	1,337,797	1,790,626	1,678,016	
3	Other Operating Income	242,924	229,548	212,258	
4	Exchange Fluctuation Income	372,461	641,562	658,170	
5	Addition/Deduction in Interest Suspense during the period				
6	**Gross income (a)**	**8,232,536**	**11,300,672**	**12,191,144**	
7	**Alfa (b)**	**15%**	**15%**	**15%**	
8	**Fixed Percentage of Gross Income [c=(a×b)]**	**1,234,880**	**1,695,101**	**1,828,672**	
9	**Capital Requirement for operational risk (d) (average of c)**	**1,586,218**			**1,309,090**
10	**Risk Weight (reciprocal of capital requirement of 11%) in times (e)**	**9.09**			**9.09**
11	**Equivalent Risk Weight Exposure [f=(d×e)]**	**14,418,718**			**11,899,628**

Risk Weighted Exposure for Market Risk

Amount in Thousand

S.NO.	CURRENCY	OPEN POSITION (FCY)	EXCHANGE RATE	OPEN POSITION (NPR)	RELEVANT OPEN POSITION	PREVIOUS YEAR RELEVANT OPEN POSITION
1	INR	(3,085,485)	1.60	(4,939,244)	4,939,244	89,680
2	USD	1,652	119.15	196,887	196,887	82,062
3	GBP	663	164.72	109,270	109,270	1,177
4	EUR	53	140.84	7,499	7,499	2,316
5	THB	270	3.64	982	982	1,507
6	CHF	74	130.07	9,625	9,625	471
7	AUD	287	88.75	25,514	25,514	7,962
8	CAD	42	95.18	3,960	3,960	4,172
9	SGD	10	88.01	860	860	2,039
10	JPY	41,774	1.08	45,225	45,225	548
11	HKD	301	15.34	4,617	4,617	2,222
12	DKK	640	18.92	12,100	12,100	1,792
13	SEK	45	13.75	619	619	21
14	SAR	8,447	31.69	267,653	267,653	18,052
15	QAR	21,108	32.21	679,946	679,946	12,295
16	AED	3,782	32.43	122,669	122,669	27,516
17	MYR	1,852	28.31	52,419	52,419	4,272
18	KRW	173,140	0.10	18,128	18,128	218
19	CNY	5,979	18.44	110,231	110,231	5,132
20	KWD	84	396.18	33,267	33,267	10,241
21	BHD	5	315.22	1,658	1,658	466
	(a) Total Open Position			**(3,236,115)**	**6,642,373**	**274,161**
	(b) Fixed Percentage				**5%**	**5%**
	(c) Capital Charge for Market Risk (=a×b)				**332,119**	**13,708**
	(d) Risk Weight (reciprocal of capital requirement of 11%) in times				**9.09**	**9.09**
	(e) Equivalent Risk Weight Exposure (=c×d)				**3,018,958**	**124,606**

Statements of loan taken by Promoters/ Group of Promoters from Other Bank and Financial Institution against pledge of Promoters Shares

S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	% OF WITH TOTAL CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE
1	Ajay Kumar Jalan	21,763	0.01%	SUNRISE BANK LIMITED	2,189,400	14,596
2	Alok Agarwal	115,863	0.05%	MEGA BANK NEPAL LIMITED	784,657	12,368
3	Ambar Bahadur Basnet	14,284	0.01%	NEPAL CREDIT & COMMERCE BANK LIMITED	900,000	12,530
4	Ambika Prasad Ghimire	29,999	0.01%	RASTRIYA BANIJYA BANK LIMITED	1,847,374	26,314
5	Amit Agrawal	122,782	0.06%	LAXMI BANK LIMITED	3,401,275	45,050
6	Amita Agrawal	40,130	0.02%	CIVIL BANK LIMITED	2,361,899	35,201
7	Amod Prasad Shrestha Simangainda	34,124	0.02%	BANK OF KATHMANDU LIMITED	2,242,805	29,932
8	Anita Kumari Saunthalia	130,736	0.06%	NEPAL BANGLADESH BANK LIMITED	7,490,500	100,000
9	Anu Gautam	8,508	0.00%	RASTRIYA BANIJYA BANK LIMITED	473,837	7,462
10	Archana Thakur Mishra	6,824	0.00%	JYOTI BIKASH BANK LIMITED	1,017,719	5,569
11	Arjun Poudel Sharma	110,971	0.05%	SANIMA BANK LIMITED	7,349,321	97,342
12	Asharam Suwal	122,444	0.06%	MEGA BANK NEPAL LIMITED	6,767,715	107,407
13	Ashok Govinda Rajbhandari	125,809	0.06%	SIDDHARTHA BANK LIMITED	9,250,000	110,358
14	Basanta Raj Adhikari	142,256	0.07%	IME CO-OPERATIVE SERVICE LIMITED	15,000,000	83,358
15	Base Enterprises Pvt. Ltd	33,252	0.02%	PRIME COMMERCIAL BANK LIMITED	3,165,000	21,081
16	Bhaban Bhatta	56,482	0.03%	LUMBINI BIKAS BANK LIMITED	4,292,480	56,480
17	Bharat Raj Sharma	78,451	0.04%	NABIL BANK LIMITED	4,438,000	68,816
18	Bhesh Bahadur Paudel	98,662	0.05%	NABIL BANK LIMITED	6,014,000	86,545
19	Bhim Kumari Thapa	14,561	0.01%	NEPAL INVESTMENT BANK LIMITED	3,230,000	12,772
20	Bhimsen Kumar Gautam	42,856	0.02%	RASTRIYA BANIJYA BANK LIMITED	5,629,026	37,592
21	Bicky Hardware House Pvt. Limited	374,477	0.17%	NABIL BANK LIMITED	23,240,000	328,486
22	Bijaya Kumar Chaudhari	41,836	0.02%	NEPAL BANGLADESH BANK LIMITED	2,665,284	36,698
23	Bimal Kumar Khadka	13,651	0.01%	NABIL BANK LIMITED	748,000	11,974
24	Binaya Regmi	37,993	0.02%	CIVIL BANK LIMITED	2,906,388	37,992
25	Binaya Upadhyay	33,402	0.02%	MUKTINATH BIKAS BANK LIMITED	1,541,805	13,407
26	Birendra Bahadur Adhikari	14,284	0.01%	PRIME COMMERCIAL BANK LIMITED	799,000	12,530
27	Bishnu Hari Bhandari	40,346	0.02%	NEPAL CREDIT & COMMERCE BANK LIMITED	3,027,291	40,345
28	Bishnu Mani Gautam	56,216	0.03%	PRIME COMMERCIAL BANK LIMITED	3,518,813	49,000
29	Bishwamitra Lamichhane	9,441	0.00%	NMB BANK LIMITED	609,916	8,281
30	Buddha Lal Shrestha	57,654	0.03%	NABIL BANK LIMITED	3,287,000	50,572
31	Captive Investment Company Pvt.Ltd	58,281	0.03%	LAXMI BANK LIMITED	7,044,238	51,123
32	Chandra Bir Singh Tuladhar	34,124	0.02%	NEPAL INVESTMENT BANK LIMITED	5,186,544	34,122
33	Chandra Lal Shrestha	14,284	0.01%	SIDDHARTHA BANK LIMITED	961,000	14,284
34	Continental Investment	3,029,330	1.40%	SANIMA BANK LIMITED	113,653,748	1,514,664
35	Dan Bahadur Karki	21,427	0.01%	MEGA BANK NEPAL LIMITED	1,194,923	18,794
36	Dasi Ram Khanal	20,475	0.01%	PRIME COMMERCIAL BANK LIMITED	1,099,950	15,646
37	Dayaram Bhattarai	14,284	0.01%	SIDDHARTHA BANK LIMITED	813,000	12,530
38	Deepak Koirala	14,284	0.01%	MEGA BANK NEPAL LIMITED	1,102,909	12,529
39	Deepak Kumar Faiju	14,284	0.01%	CIVIL BANK LIMITED	821,154	12,530
40	Deepak Kumar Karki	34,124	0.02%	PRIME COMMERCIAL BANK LIMITED	1,720,000	22,885
41	Dhan Bahadur Sherchan	115,954	0.05%	SUNRISE BANK LIMITED	6,000,000	90,000
42	Dhruba Bhattarai	5,656	0.00%	NEPAL BANK LIMITED	595,200	4,960
43	Dilip Narsingh Adhikari	146,426	0.07%	NABIL BANK LIMITED	8,280,000	128,443
44	Dinesh Aryal	70,595	0.03%	SUNRISE BANK LIMITED	5,309,239	70,595
45	Dipak Prasad Dahal	29,964	0.01%	CIVIL BANK LIMITED	1,940,540	26,283

contd... STATEMENTS OF LOAN ...

contd... STATEMENTS OF LOAN ...

S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	% OF WITH TOTAL CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE
46	Dipendra Karki	88,532	0.04%	RASTRIYA BANIJYA BANK LIMITED	5,086,665	77,659
47	Dipesh Babu Tiwari	1,451	0.00%	NEPAL INVESTMENT BANK LIMITED	190,800	1,272
48	Dol Raj Sharma	115,531	0.05%	LAXMI BANK LIMITED	7,462,000	101,342
49	Durga Kumari Karki	169,685	0.08%	RASTRIYA BANIJYA BANK LIMITED	9,749,413	148,846
50	Durga Prasad Neupane	824,915	0.38%	HIMALAYAN BANK LIMITED	18,435,311	81,827
51	Gajendra Wagle	20,331	0.01%	LUMBINI BIKAS BANK LIMITED	958,729	14,535
52	Gaya Prasad Shrestha	35,714	0.02%	SIDDHARTHA BANK LIMITED	2,305,000	31,327
53	Gayatri Kumari Sharma	22,729	0.01%	SHREE INVESTMENT AND FINANCE CO. LIMITED	2,720,210	13,660
54	Geha Nath Dhungana	164,273	0.08%	SIDDHARTHA BANK LIMITED	6,414,000	60,256
55	Giri Raj Pokhrel	14,284	0.01%	SANIMA BANK LIMITED	816,455	12,530
56	Guru Prasad Neupane	324,983	0.15%	MEGA BANK NEPAL LIMITED	24,698,480	324,980
57	Gyanendra Lal Makaju	58,569	0.03%	SIDDHARTHA BANK LIMITED	3,315,000	51,376
58	Hari Bikram Kunwar	26,548	0.01%	KUMARI BANK LIMITED	3,469,614	23,286
59	Hari Lal Kandel	10,999	0.01%	NMB BANK LIMITED	835,848	10,998
60	Hari Narayan Shrestha	13,651	0.01%	SANIMA BANK LIMITED	765,618	11,974
61	Hari Om Makaju	31,910	0.01%	PRIME COMMERCIAL BANK LIMITED	1,800,000	27,991
62	Hari Prasad Aryal	13,208	0.01%	CIVIL BANK LIMITED	932,108	12,281
63	Harihar Uperty	62,462	0.03%	CENTURY COMMERCIAL BANK LIMITED	4,022,819	54,790
64	Hathway Investment Nepal	306,784	0.14%	NEPAL BANK LIMITED	18,367,357	275,398
65	Him Bahadur Gurung	4,546	0.00%	GURKHAS FINANCE LIMITED	228,607	2,771
66	Homeland Developers	2,071,307	0.96%	NMB BANK LIMITED	593,446,336	554,603
67	Ishwari Prasad Pandey	13,273	0.01%	NABIL BANK LIMITED	1,009,000	13,273
68	Ishwor Gopal Shrestha	9,441	0.00%	PRIME COMMERCIAL BANK LIMITED	621,075	8,281
69	Janesh Shrestha	197,920	0.09%	CITIZENS BANK INTERNATIONAL LIMITED	21,766,499	144,149
70	Jay Bahadur Tandan	47,980	0.02%	NABIL BANK LIMITED	2,630,000	42,087
71	Jay Ram Sharma	5,484	0.00%	LAXMI BANK LIMITED	419,526	5,484
72	Jeevan Kumar Bista	18,882	0.01%	CIVIL BANK LIMITED	1,460,959	18,881
73	Jhuma Vaidya	54,599	0.03%	SIDDHARTHA BANK LIMITED	2,894,000	28,756
74	Kailash Chandra Goyal	93,477	0.04%	NABIL BANK LIMITED	5,124,000	81,997
75	Kalpana Baral	11,387	0.01%	CENTURY COMMERCIAL BANK LIMITED	1,730,672	11,386
76	Kalpana Kharel	34,124	0.02%	LAXMI BANK LIMITED	4,011,000	29,932
77	Kamadhenu Investment	974,555	0.45%	RASTRIYA BANIJYA BANK LIMITED	64,115,475	854,873
78	Kamal Bhattarai	27,300	0.01%	MATA PANCHAKUMARI SAVING AND CREDIT CO-OPERATIVE LIMITED	2,300,000	23,946
79	Kamal K.C	49,354	0.02%	SIDDHARTHA BANK LIMITED	4,047,000	43,292
80	Kamal Kumar Shrestha	78,442	0.04%	NABIL BANK LIMITED	4,919,000	68,808
81	Kamal Poudel	228,865	0.11%	IME CO-OPERATIVE SERVICE LIMITED	21,200,000	153,980
82	Kamal Shrestha	14,284	0.01%	SANIMA BANK LIMITED	911,933	12,530
83	Kamlesh Kumar Rateria	27,299	0.01%	HIMALAYAN BANK LIMITED	1,815,000	12,100
84	Keshab Prasad Timalsina	9,441	0.00%	GARIMA BIKAS BANK LIMITED	521,000	8,281
85	Khem Lal Kharel	40,950	0.02%	HIMALAYAN BANK LIMITED	6,363,510	35,920
86	Kiran Malla	35,712	0.02%	LAXMI BANK LIMITED	4,801,965	31,325
87	Kishor Silwal	424,501	0.20%	NEPAL INVESTMENT BANK LIMITED	24,696,017	330,260
88	Krishna Bahadur Thapa	12,574	0.01%	CIVIL BANK LIMITED	806,734	11,030
89	Krishna Prasad Pandey	363,903	0.17%	BANK OF KATHMANDU LIMITED	47,420,687	319,213
90	Krishna Prasad Tamrakar	35,714	0.02%	NABIL BANK LIMITED	2,004,000	31,327
91	Kuber Mani Nepal	21,636	0.01%	CIVIL BANK LIMITED	1,211,335	18,979

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S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	% OF WITH TOTAL CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE
92	Kunal Kayal	483,176	0.22%	SANIMA BANK LIMITED	26,217,800	415,000
93	Kusang Dorje Lama	222,552	0.10%	ICFC FINANCE LIMITED	14,334,537	222,550
94	Lank Bahadur K.C	647,520	0.30%	CENTURY COMMERCIAL BANK LIMITED	35,000,000	568,000
95	Laxman Poudel	42,856	0.02%	NABIL BANK LIMITED	2,575,000	37,592
96	Madhav Gyawali	6,637	0.00%	KUMARI BANK LIMITED	436,953	5,821
97	Mahesh Raj Pandey	13,651	0.01%	MAHALAXMI BIKAS BANK LIMITED	865,522	11,973
98	Maheswor Paudel	7,370	0.00%	MUKTINATH BIKAS BANK LIMITED	836,151	6,464
99	Mira Pandey	34,123	0.02%	MAHALAXMI BIKAS BANK LIMITED	1,000,000	20,052
100	Mohana Lohani	34,124	0.02%	SANIMA BANK LIMITED	3,662,694	17,972
101	Moti Prasad Paudel	42,856	0.02%	NABIL BANK LIMITED	2,424,000	37,592
102	Moti Raj Gyawali	206,210	0.10%	MEGA BANK NEPAL LIMITED	8,227,500	150,000
103	Mukunda Prasad Gautam	9,441	0.00%	PRABHU BANK LIMITED	610,228	8,282
104	Naresh Man Shrestha	14,284	0.01%	HIMALAYAN BANK LIMITED	2,111,620	14,000
105	National Investment Company Pvt Ltd	49,890	0.02%	SIDDHARTHA BANK LIMITED	3,200,000	43,763
106	Nawa Datta Kaphle	68,247	0.03%	PRIME COMMERCIAL BANK LIMITED	4,482,991	59,865
107	Nimisha Investment Pvt.	1,807,930	0.84%	NEPAL INVESTMENT BANK LIMITED	237,822,014	1,585,903
108	Nir Prasad Lamichhane	95,864	0.04%	NEPAL CREDIT & COMMERCE BANK LIMITED	10,675,099	84,089
109	Niraj Kharel	13,651	0.01%	LAXMI BANK LIMITED	1,604,000	11,973
110	Niraj Shrestha	55,455	0.03%	CENTURY COMMERCIAL BANK LIMITED	3,302,062	48,642
111	Pawan Lal Pradhan	34,124	0.02%	NABIL BANK LIMITED	2,661,000	34,123
112	Prabin Bahadur K.C.	14,284	0.01%	NEPAL CREDIT & COMMERCE BANK LIMITED	1,879,500	12,530
113	Prabin Man Shrestha	56,736	0.03%	MACHHAPUCHCHHRE BANK LIMITED	6,536,545	44,139
114	Pradip Nepal	6,824	0.00%	SHINE RESUNGA DEVELOPMENT BANK LIMITED	1,064,544	6,824
115	Prakash Joshi	85,061	0.04%	NEPAL BANK LIMITED	9,292,710	67,830
116	Prakash Kumar K.C	17,856	0.01%	NABIL BANK LIMITED	1,350,000	17,854
117	Pramesh Kunwor	29,148	0.01%	NMB BANK LIMITED	3,016,215	19,549
118	Pramod Prasad Shrestha	34,124	0.02%	BANK OF KATHMANDU LIMITED	3,960,902	29,932
119	Pratima Koirala Poudel	35,714	0.02%	NABIL BANK LIMITED	2,145,000	31,327
120	Pravin Subedi	28,571	0.01%	NABIL BANK LIMITED	1,578,000	25,062
121	Purushottam Parajuli	1,011	0.00%	CIVIL BANK LIMITED	77,342	1,011
122	Pushpa Man Shrestha	203,711	0.09%	HIMALAYAN BANK LIMITED	12,462,497	178,693
123	Rabindra Karki	21,427	0.01%	MAHALAXMI BIKAS BANK LIMITED	1,263,897	18,794
124	Rachit Agrawal	5,038	0.00%	SHANGRILA DEVELOPMENT BANK LIMITED	250,000	4,417
125	Radha Kumari Basnet	14,284	0.01%	NEPAL CREDIT & COMMERCE BANK LIMITED	900,000	12,530
126	Radheshyam Agrawal	180,516	0.08%	NABIL BANK LIMITED	8,707,000	135,000
127	Rajendra Khatri	14,508	0.01%	PROGRESSIVE FINANCE LIMITED	818,000	11,568
128	Rajendra Prasad Ghiraiya	134,724	0.06%	NMB BANK LIMITED	7,559,615	118,179
129	Rajesh Kumar Agrawal	10,034	0.00%	SANIMA BANK LIMITED	664,400	8,800
130	Rajesh Upadhyay	391,099	0.18%	NIC ASIA BANK LIMITED	159,978,000	172,285
131	Raju Sapkota	18,638	0.01%	PRABHU BANK LIMITED	1,037,692	14,500
132	Rakesh Kumar Marwadi	39,133	0.02%	CENTURY COMMERCIAL BANK LIMITED	2,211,093	25,186
133	Ram Gopal Chochhe Shrestha	14,284	0.01%	LUMBINI BIKAS BANK LIMITED	946,015	12,530
134	Ram Kumar Timalsina	9,440	0.00%	MAHALAXMI BIKAS BANK LIMITED	592,641	8,280
135	Ram Prasad Adhikari	13,040	0.01%	SIDDHARTHA BANK LIMITED	848,000	11,439
136	Ram Prasad Ghimire	13,274	0.01%	HIMALAYAN BANK LIMITED	600,000	9,389
137	Ramchandra Shah	307,933	0.14%	MACHHAPUCHCHHRE BANK LIMITED	37,219,284	270,116
138	Ramesh Kumar Agrawal	34,124	0.02%	NABIL BANK LIMITED	1,792,000	28,000

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S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	% OF WITH TOTAL CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE
139	Ramesh Poudyal	47,754	0.02%	NEPAL CREDIT & COMMERCE BANK LIMITED	2,755,877	41,889
140	Rameshwor Aryal	69,356	0.03%	NMB BANK LIMITED	5,811,655	30,931
141	Ramshanker Karmacharya	9,441	0.00%	SANIMA BANK LIMITED	760,175	8,281
142	Renu Shrestha	19,761	0.01%	SUNRISE BANK LIMITED	1,494,190	17,334
143	Richa Dahal	41,127	0.02%	MUKTINATH BIKAS BANK LIMITED	4,309,160	34,000
144	Rishab Rungta	34,124	0.02%	MEGA BANK NEPAL LIMITED	1,988,532	29,932
145	Roshan Kumar Shrestha	7,142	0.00%	NABIL BANK LIMITED	353,000	5,521
146	Roshani Swar	18,051	0.01%	SAPANA MULTIPURPOSE CO-OPERATIVE SOCEITY LIMITED	650,000	3,197
147	Ruchika Dugar	26,148	0.01%	NEPAL CREDIT & COMMERCE BANK LIMITED	1,322,000	17,537
148	S R Hydro And Investment Pvt. Ltd.	100,590	0.05%	NEPAL INVESTMENT BANK LIMITED	13,147,164	88,236
149	Sabin Maharjan	14,284	0.01%	LUMBINI BIKAS BANK LIMITED	800,510	12,530
150	Sachin Kumar Agrawal	2,901	0.00%	BANK OF KATHMANDU LIMITED	452,400	2,900
151	Sagar Pangeni	116,565	0.05%	MUKTINATH BIKAS BANK LIMITED	17,834,292	116,564
152	Saika Joshi	9,469	0.00%	CITIZENS BANK INTERNATIONAL LIMITED	1,253,300	8,300
153	Sajjan Kumar Khetan	42,222	0.02%	SIDDHARTHA BANK LIMITED	2,736,000	37,033
154	Samita Shrestha	34,124	0.02%	SIDDHARTHA BANK LIMITED	1,900,000	29,932
155	Sandeep Kumar Agarwal	28,571	0.01%	BANK OF KATHMANDU LIMITED	4,457,076	28,571
156	Sangeeta Gyawali	27,450	0.01%	IME CO-OPERATIVE SERVICE LIMITED	1,900,000	13,928
157	Sangita Pradhan	947	0.00%	SINCERE SAVINGS AND CREDIT CO-OPERATIVE LIMITED	361,050	830
158	Sangita Sibakoti	36,103	0.02%	MANJUSHREE FINANCIAL INSTITUTION LIMITED	2,100,000	22,012
159	Sanjeev Neupane	185,268	0.09%	NEPAL CREDIT & COMMERCE BANK LIMITED	11,448,053	76,550
160	Santosh Babu Lohani	164,103	0.08%	NEPAL INVESTMENT BANK LIMITED	12,000,000	164,100
161	Santosh Mani Nepal	14,284	0.01%	CIVIL BANK LIMITED	1,604,151	12,529
162	Saraswati Gyawali	22,800	0.01%	SUNRISE BANK LIMITED	1,421,400	20,000
163	Saraswoti Sharma	48,897	0.02%	PRABHU BANK LIMITED	8,336,278	40,316
164	Shankar Bahadur Tandan	26,547	0.01%	EVEREST BANK LIMITED EVEREST BANK LIMITED	3,820,000	23,286
165	Shanta Man Shrestha	14,284	0.01%	CITIZENS BANK INTERNATIONAL LIMITED	1,891,879	12,529
166	Sharad Chenka	215,803	0.10%	MEGA BANK NEPAL LIMITED	16,825,964	215,801
167	Shasikala Jajodiya	12,529	0.01%	MEGA BANK NEPAL LIMITED	984,028	12,529
168	Shatrughan Poudel	42,855	0.02%	CIVIL BANK LIMITED	2,522,329	37,592
169	Sher Bahadur Chhetri	34,124	0.02%	PRIME COMMERCIAL BANK LIMITED	1,983,385	26,270
170	Shikha Joshi	103,788	0.05%	CENTURY COMMERCIAL BANK LIMITED	6,180,318	91,041
171	Shila Kumari Pokharel	26,148	0.01%	SIDDHARTHA BANK LIMITED	1,392,000	17,537
172	Shiva Bahadur Thapa	38,446	0.02%	SANIMA BANK LIMITED	1,827,771	25,062
173	Shiva Prasad Sharma Paudel	24,998	0.01%	SANIMA BANK LIMITED	1,412,976	21,927
174	Shova Mishra	68,627	0.03%	RASTRIYA BANIJYA BANK LIMITED	4,415,597	60,199
175	Shovakar Neupane	709,190	0.33%	INTERNTIONAL DEVELOPMENT BANK LIMITED	88,198,039	475,644
176	Shrawan Kumar Goyal	92,228	0.04%	NMB BANK LIMITED	7,009,328	92,228
177	Shyam Bahadur G C	2,959	0.00%	JYOTI BIKASH BANK LIMITED	142,848	1,984
178	Shyam Prasad Shrestha	101,799	0.05%	NABIL BANK LIMITED	6,206,000	89,296
179	Shyam Sundar Khetan	143,970	0.07%	KUMARI BANK LIMITED	8,111,478	126,288
180	Sita Devi Poudel	75,858	0.04%	BANK OF KATHMANDU LIMITED	9,981,150	66,541
181	Sonam Gyatso	260,433	0.12%	SIDDHARTHA BANK LIMITED	14,500,000	228,229
182	Srijana Pandey Lamsal	13,650	0.01%	MAHALAXMI BIKAS BANK LIMITED	865,522	11,973
183	Subarna Kumar Shrestha	6,824	0.00%	CIVIL BANK LIMITED	445,883	5,985

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S.NO	NAME OF PROMOTERS/ GROUP OF PROMOTERS	TOTAL NO OF SHARE	% OF WITH TOTAL CAPITAL	NAME OF THE BANK/ FINANCIAL INSTITUTION	LOAN AMOUNT	NO OF PLEDGED SHARE
184	Subhash Kumar Khetan	17,150	0.01%	SIDDHARTHA BANK LIMITED	1,005,000	15,040
185	Subit Agrawal	60,054	0.03%	NMB BANK LIMITED	2,633,900	52,678
186	Sudhir Kumar Palanchoke	14,284	0.01%	NEPAL INVESTMENT BANK LIMITED	2,228,304	14,284
187	Suhrid Raj Ghimire	674,138	0.31%	SANIMA BANK LIMITED	42,211,922	564,962
188	Sujana Pradhan	947	0.00%	SINCERE SAVINGS AND CREDIT CO-OPERATIVE LIMITED	361,050	830
189	Sumit Kumar Agarwal	4,416,404	2.04%	KUMARI BANK LIMITED	126,700,595	1,550,140
190	Sunita Sureka Agrawal	318,113	0.15%	NEPAL BANGLADESH BANK LIMITED	12,006,183	159,848
191	Suraj Adhikary	72,221	0.03%	SUNRISE BANK LIMITED	4,547,318	63,348
192	Suraj Ghiraiya	93,151	0.04%	NMB BANK LIMITED	5,226,784	81,710
193	Suraj Kumar Shrestha	1,332,696	0.62%	HIMALAYAN BANK LIMITED	162,786,000	650,000
194	Surendra Bahadur Nhuchhe Pradhan	12,909	0.01%	SINCERE SAVINGS AND CREDIT CO-OPERATIVE LIMITED	4,925,505	11,323
195	Suresh Bhandari	13,651	0.01%	SAMRIDDHI FINANCE COLIMITED	1,626,552	10,701
196	Suresh Prasad Acharya	40,950	0.02%	MUKTINATH BIKAS BANK LIMITED	6,224,248	40,949
197	Suresh Shah	83,687	0.04%	SANIMA BANK LIMITED	5,000,000	83,686
198	Sushma Dwivedi Lohani	90,257	0.04%	NEPAL CREDIT & COMMERCE BANK LIMITED	4,343,315	60,534
199	Tikaram Neupane	764,060	0.35%	PRABHU BANK LIMITED	105,199,478	594,436
200	Tila Rupa Bhandari Karki	21,427	0.01%	MEGA BANK NEPAL LIMITED	1,672,892	18,794
201	Tilak Raj Khatiwada	71,425	0.03%	NEPAL CREDIT & COMMERCE BANK LIMITED	4,690,830	62,653
202	Tirtha Raj Pangeni	8,295	0.00%	KUMARI BANK LIMITED	1,244,598	8,294
203	Uma Devi Sharma Agarwal	54,282	0.03%	BANK OF KATHMANDU LIMITED	8,467,992	54,282
204	Uttam Prasad Vaidya	35,714	0.02%	CIVIL BANK LIMITED	2,088,258	31,327
205	Vivek Agarwal	145,827	0.07%	PRIME COMMERCIAL BANK LIMITED	8,126,216	127,918
206	Yagya Raj Ghimire	21,427	0.01%	CITIZENS BANK INTERNATIONAL LIMITED	1,879,500	18,795
207	Yubak Rajbhandari	35,714	0.02%	NABIL BANK LIMITED	2,004,000	31,327
208	Jiban Kumari Aryal Paudel	176,355	0.08%	MUKTINATH BIKASH BANK LIMITED	20,853,484	137,203
				CITIZENS BANK INTERNATIONAL LIMITED	2,851,359	

Comparison of Unaudited and Audited financial statement as of financial year 2077/78

Amount in Thousand

	UNAUDITED FINANCIAL STATEMENT	AUDITED FINANCIAL STATEMENTS	VARIANCE		REASON FOR VARIANCE
			RS	%	
Assets					
Cash and Cash Equivalents	11,627,844	15,593,942	3,966,099	25.43%	Note 1
Due from Nepal Rastra Bank	25,336,114	25,336,114	-	0.00%	
Placement with Bank and Financial Institutions	-	-	-	-100.00%	
Derivative financial instruments	5,663,650	5,663,650	-	0.00%	
Other trading assets	-	-	-	0.00%	
Loan and advances to B/FIs	10,320,091	10,367,177	47,085	0.45%	Note 2
Loans and advances to customers	228,893,978	228,651,427	(242,551)	-0.11%	Note 2
Investment securities	52,511,823	48,901,735	(3,610,088)	-7.38%	Note 3
Current Tax Assets	2,232,790	2,232,790	-	0.00%	
Investment in subsidiaries	370,695	370,695	-	0.00%	
Investment in associates	575,594	644,187	68,593	10.65%	Note 3
Investment property	354,649	354,649	-	0.00%	
Property and equipment	3,252,012	3,252,012	0.00	0.00%	
Goodwill and intangible assets	239,534	239,743	208.94	0.09%	
Deferred Tax Assets	311,200	279,386	(31,814)	-11.39%	Note 4
Other Assets	3,682,905	3,535,753	(147,153)	-4.16%	Note 5
Total Assets	**345,372,880**	**345,423,260**	**50,380**	**0.01%**	
Liabilities					
Due to Banks and Financial Institutions	14,914,792	14,914,792	-	0.00%	
Due to Nepal Rastra Bank	10,893,999	10,893,999	-	0.00%	
Derivative financial instruments	5,440,370	5,440,370	-	0.00%	
Deposit from customers	268,433,792	268,433,792	-	0.00%	
Borrowings	2,383,000	2,371,770	(11,230)	-0.47%	Note 6
Current tax liabilities	1,823,038	1,845,212	22,174	1.20%	Note 7
Provisions	-	-	-	0.00%	
Deferred Tax Liabilities	-	-	-	0.00%	
Other Liabilities	4,297,762	4,310,912	13,151	0.31%	
Debt securities issued	4,497,744	4,491,997	(5,747)	-0.13%	
Subordinated Liabilities	-	-	-	0.00%	
Total Liabilities	**312,684,496**	**312,702,843**	**18,348**	**0.01%**	
Equity					
Share capital	21,632,503	21,632,503	-	0.00%	
Share premium	-	-	-	0.00%	
Retained earnings	2,850,895	2,990,204	139,308	4.66%	
Reserves	8,204,986	8,097,710	(107,276)	-1.32%	
Total equity attributable to equity holders	**32,688,384**	**32,720,417**	**32,033**	**0.10%**	
Total Liabilities and Equity	**345,372,880**	**345,423,260**	**50,380**	**0.01%**	

contd... COMPARISON OF UNAUDITED AND AUDITED FINANCIAL STATEMENT

contd... COMPARISON OF UNAUDITED AND AUDITED FINANCIAL STATEMENT

Amount in Thousand

	UNAUDITED FINANCIAL STATEMENT	AUDITED FINANCIAL STATEMENTS	VARIANCE		REASON FOR VARIANCE
			RS	%	
Interest Income	21,554,994	21,693,583	138,589	0.64%	Note 8
Interest Expenses	12,554,636	12,554,455	(181)	0.00%	
Net interest income	**9,000,358**	**9,139,128**	**138,770**	**1.52%**	
Fees, charges and commission income	1,909,045	1,914,286	5,241	0.27%	
Fees, charges and commission expenses	380,250	380,250	-	0.00%	
Net fee and commission income	**1,528,795**	**1,534,037**	**5,241**	**0.34%**	
Net interest, fee and commission income	**10,529,153**	**10,673,164**	**144,011**	**1.35%**	
Net Trading Income	666,455	666,455	-	0.00%	
Other Operating Income	616,825	611,277	(5,548)	-0.91%	
Total operating income	**11,812,432**	**11,950,896**	**138,464**	**1.16%**	
Impairment charge/(reversal) for loans and other losses	1,184,808	1,125,258	(59,549)	-5.29%	Note 9
Net Operating Income	**10,627,625**	**10,825,638**	**198,013**	**1.83%**	
Operating Expenses					
Personnel Expenses	3,068,249	3,164,816	96,567	3.05%	Note 10
Other Operating Expenses	1,363,442	1,369,428	5,987	0.44%	
Depreciation and Amortization	333,863	333,863	-	0.00%	
Operating profit	**5,862,071**	**5,957,531**	**95,459**	**1.60%**	
Non operating income	10,547	10,547	-	0.00%	
Non operating expense	-	-	-	0.00%	
Profit before income tax	**5,872,619**	**5,968,078**	**95,459**	**1.60%**	
Income Tax Expense					
Current tax	1,823,038	1,844,541	21,503	1.17%	
Deferred tax	(76,932)	(41,615)	35,317	-84.87%	Note 4
Profit for the period	**4,126,512**	**4,165,152**	**38,639**	**0.93%**	

Note 1 Reclassification of Placements with BFIs and T Bills with maturity less than 90 days to cash and cash equivalents

Note 1 Reclassification of T Bills with maturity less than 90 days to cash and cash equivalents

Note 2 Change in LLP, classification of Interest receivable on loans to B/FIs and staff loan amortization

Note 3 Reclassification of T Bills with maturity less than 90 days to cash and cash equivalents and reclassification of investment in Nepal Clearing House Ltd and Smart Choice Technologies to Investment in Associates

Note 4 Change in Tax Base Calculation for Deferred Tax

Note 5 Reclassification of Interest receivable in investment securities to Investment securities and cash and cash equivalents

Note 6 Amortization of expenses incurred on borrowings.

Note 7 Cumulative effect of change in LLP and additional income/expenses

Note 8 Interest Subsidy from NRB and Interest Income on Staff Loan as per NFRS recognized

Note 9 Revision of LLP expenses on completion of statutory audit

Note 10 Prepaid Staff Loan Benefit Amortization as per NFRS recognized

PRINCIPAL INDICATORS

PARTICULARS	INDICATORS	F.Y. 2077/78	F.Y. 2076/77	F.Y. 2075/76	F.Y. 2074/75	F.Y. 2073/74	F.Y. 2072/73	F.Y. 2071/72	F.Y. 2070/71	F. Y. 2069/70	F. Y. 2068/69
1. Percentage of Net Profit / Gross Income	%	34.85	28.44	40.72	41.24	43.41	35.03	30.32	41.05	24.40	28.97
2. Earnings Per Share	Rs.	19.25	17.99	23.47	23.64	25.51	19.33	15.58	19.57	16.15	11.79
3. Market Value per Share	Rs.	441	239	293	290	388	515	479	640	432	160.00
4. Price Earnings Ratio	Ratio	22.91	13.29	12.48	12.27	15.21	26.64	30.74	32.70	26.74	13.57
5. Stock Dividend on share capital (Bonus Share)	%	10.00	14.00	12.75	16.00	10.00	16.00	23.00	21.00	15.00	3.00
6. Cash Dividend on share Capital	%	3.50	2.00	12.75	0.00	10.00	-	-	4.00	-	10.00
7. Interest Income/Loans & Advances	%	10.86	12.02	12.29	12.88	10.20	8.98	10.00	10.88	13.43	13.27
8. Employee Expenses/Total Operating Expenses	%	65.01	61.44	59.00	56.54	59.13	44.26	46.10	36.96	37.40	34.22
9. Interest Expenses to Total Deposits and Borrowings	%	4.92	6.99	7.18	7.26	4.24	3.06	4.21	4.74	5.97	7.47
10. Exchange Fluctuation Gain/Total Income	%	6.46	6.61	7.38	6.91	5.89	6.36	6.41	5.84	3.97	5.52
11. Staff Bonus/ Total Staff Expenses	%	20.95	18.71	24.90	22.16	26.92	29.77	22.02	34.43	22.51	24.09
12. Total Operating Expenses/Total Assets	%	1.41	1.47	1.77	1.85	1.54	1.70	1.99	1.69	1.99	1.51
13. Net Profit/Loans & Advances	%	1.65	1.40	2.42	2.25	2.62	2.27	1.91	2.26	1.66	1.28
14. Net Profit/ Total Assets	%	1.21	1.06	1.82	1.67	1.75	1.58	1.39	1.62	1.15	0.87
15. Credit to Deposit Ratio											
a. Total Credit / Deposit	%	85.59	88.25	91.62	84.70	79.30	81.47	83.47	82.27	79.13	77.15
b. Total Credit / Deposit and Core Capital	%	72.65	73.18	78.69	75.35	71.24	72.96	74.41	73.64	72.28	70.51
16. Adequacy of Capital Fund on Risk Weightage Assets											
a. CET1	%	10.55	10.81	10.56	10.32	10.23	11.01				
b. Core Capital	%	10.55	10.81	10.56	10.32	10.23	11.01	11.24	10.94	9.17	9.21
c. Total Capital Fund	%	13.20	12.48	12.31	11.47	11.37	12.35	12.69	12.38	11.14	11.66
17. Liquidity	%	29.89	24.58	22.13	25.34	33.54	35.14	30.12	31.11	32.25	34.13
18. Non-Performing Loans/Total Loans	%	1.41	1.76	0.55	0.77	1.60	1.89	2.23	2.55	2.27	1.64
19. Weighted Average Interest Rate Spread	%	4.51	4.43	4.47	4.86	3.36	4.52	4.11	5.34	4.21	3.88
20. Book Net worth (Rs. in Mio)	Rs.	32,720	28,834	16,332	13,579	12,376	8,706	7,323	6,126	3,231	2,537
21. Total Employees	No.	2,961	3,059	1,696	1,638	1,348	1,107	1,117	1,098	838	664

ABOUT SPECIAL RESOLUTION TO BE PRESENTED BEFORE 15TH ANNUAL GENERAL MEETING OF BANK TO BE HELD ON 13TH DECEMBER, 2021

Three Columns Format (Tin-Mahale) of the Amendments in the Memorandum of Association

S.N.	Clause	Existing Provision	Proposed Provision	Reason for the Amendment
2	5 (Kha)	The Issued share capital of the Bank shall be Rs. 21,632,503,036.98 (Rupees Twenty One Billion Six Hundred Thirty Two Million Five Hundred Three Thousand Thirty Six and 98/100 only).	The Issued share capital of the Bank shall be Rs. 23,795,753,340.52 (Rupees Twenty Three Billion Seven Hundred Ninety Five Million Seven Hundred Fifty Three Thousand Three Hundred Forty and 52/100 only).	To increase Bank's capital after issue of bonus share to shareholders.
3	5 (Ga)	The Paid-up share capital of the Bank shall be Rs. 21,632,503,036.98 (Rupees Twenty One Billion Six Hundred Thirty Two Million Five Hundred Three Thousand Thirty Six and 98/100 only).	The Paid-up share capital of the Bank shall be Rs. 23,795,753,340.52 (Rupees Twenty Three Billion Seven Hundred Ninety Five Million Seven Hundred Fifty Three Thousand Three Hundred Forty and 52/100 only).	To increase Bank's capital after issue of bonus share to shareholders.

NOTE

NOTE

MANAGEMENT COMMITTEE

Mr. Ratna Raj Bajracharya
Chief Executive Officer

Mr. Mahesh Sharma Dhakal
Senior Deputy Chief Executive Officer

Mr. Surendra Raj Regmi
Deputy Chief Executive Officer

Mr. Kalyan Bikram Pande
Deputy General Manager

Mr. Bhawani Dhakal
Assistant General Manager

Mr. Buddhi Akela
Assistant General Manager

Mr. Anil Joshi
Assistant General Manager

Mr. Raja Aryal
Assistant General Manager

Mr. Deep Chandra Regmi
Assistant General Manager

Mrs. Shanta Shiwakoti
Chief Manager

HEAD OF DEPARTMENT

Anil Joshi Information Technology	**Raja Aryal** Finance and Planning	**Deep Chandra Regmi** Human Resources Department	**Shanta Shiwakoti** Financial Resource Management	**Rupendra Wagle** SME Banking
Sulav Hari Joshi Credit Control	**Anamika Singh** Country Operations	**Sushil Shrestha** Internal Audit	**Sushovan Devkota** Corporate Banking Hub	**Madhu Sudan Shrestha** Corporate Banking Hub
Satish Karki General Service Department	**Pukar Subedi Chhetri** General Compliance	**Narahari Silwal** Retail Banking	**Aashish Raj Pandey** AML/CFT Unit	**Ananta Raj Kafle** Treasury and International Banking
Swaicha Rana Remittance Department	**Shashi Shekhar Sharma** Trade Operations	**Pralhad Nidhi Tiwari** Credit Administration	**Bhoj Raj Bhandari** Legal Department	**Krishna Hari Adhikari** Recovery Department
Prakash Paudel Transaction Banking and Card Operations	**Shishir Shakya** Trade Promotion & Marketing	**Yogesh Pokharel** Public Relations	**Sudarshan Raj Gurung** Branding and CSR	

HEAD OF PROVINCE

Subash Sapkota	Sujan Shrestha	Dhoje Saud	Mahesh Silwal	Ravi Shrestha	Bishnu Aryal	Mukunda Prasad Bhatta
Province 1	Province 2	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudur Pachhim Province

BRANCHES AND BRANCH MANAGERS - **PROVINCE 1**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Bhadrapur	Sanita Khanal	Bhadrapur Municipality-5, Sabjihat, Jhapa	+977 023-590392/93	9802261277
Bhojpur	Shishir Ghimire	Bhojpur Municipality-7, Dandagaun, Bhojpur	+977 029-420522/23	9849027160
Bhotkhola	Gourab Trital	Bhotkhola Rural Municipality-3, HatiyaBazar, Shankhuwasabha	+977 016-220261	"9849357420 9742127186"
Biratchowk	Krishna Prasad Luitel	Sundar Haraicha 10,Morang	+977 021-545457	9802261120
Biratnagar	Dhundi Raj Bhattarai	Hanumandas Road-7, Biratnagar, Morang	+977 021-590070/75 /76/78/79"	9802261015
Biratnagar Traffic Chowk	Mukesh Kumar Shah	Biratnagar Metropolitan-9, Traffic Chowk, Morang	+977 021-513412	9802261165
Birtamod	Pawan Kumar Poudyal	Sanisare Road, Birtamod, Jhapa	"+977 023-533860/ +977 023-536038/ +977 023-534703"	9802261058
Chainpur	Prajal Shrestha	Chainpur Municipality-06, Tudikhel, Shankhuwasabha	+977 029-570250	9802261069
Charali	Suresh Kumar Shrestha	Charali Chowk, Duwagadhi, Jhapa	+977 023-460601	9802261077
Damak	Prabesh Lamsal	Mangal Deep Marga, Damak, Jhapa	+977 023-582364/65	9802261115
Dangihat	Rashmi Koirala	Belbari 11, Morang	+977 021-411188/90	9802261199
Dharan	Bhupal Ghimire	Pakhrin plaza, Dharan 9 Putaliline, Dharan	+977 025-535340	9802261068
Dhulabari	Sanjeeb Koirala	Mechinagar Nagarpalika-1, Dhulabari Bazar, Jhapa	+977 023-564773/74	9802261023
Faktanglung	Sudan Thapa	Faktanglung Gaunpalika 5, Taplejung	+977 024-460632	9802261241
Gaighat	Rabin Raj Dahal	Triyuga-11,Shantimarga Gaighat Udayapur	+977 035-422931/32	9802261022
Hile	Anup Shakya	Dhankuta Municipality-1, Hile, Dhankuta	+977 026-540705/06	9802261144
Ilam	Pitambar Khadka	Nikunjapath Ilam 7	+977 027-520577/17	9802261231
Inaruwa	Binod Kumar Yadav	Shanti Chowk, Inaruwa 1	+977 025-561773	9802261164
Itahari	Binod Karki	Itahari Municipality-01, Hongkong Bazar Line, Sunsari	+977 025-586617	9802261051
Jhumka	Binod Karki	Ramdhuni Municipality 5, Jhumka, Sunsari	+977 025-562480/ +977 025-562474	9849272926
Jirikhimti	Rajiv Madhikarmi	Myanglung-6, Jirikhimti, Terhathum	+977 026-410085	9802261178
Kanchanbari	Suman Sangroula	Biratnagar Metropolitan-04, Pipalchowk, Morang	+9777 021-461721, +977 021-461821	9802261276
Katari	Manish Kumar Magar	Katari Municipality - 03, Katari, Udayapur	+977 035-450374/75	9857069119
Khotang	Prakash Regmi	Diktel, Rupakot Majuwagadhi Municipility-01, Sangam Chowk, Khotang	+977 036-420460/70	9802261142
Khadbari	Prakash Dahal	Khadbari Municipality - 1, Khadbari, Sankhuwasabha	+977 029-520290/91	

BRANCHES AND BRANCH MANAGERS - **PROVINCE 1**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Okhaldhunga	Badri Kumar Acharya	Ramailodada-11, Okhaldhunga	+977 037-520726/27	9802261154
Pakhribas	Yadu Kumar Shrestha	Pakhribas Buddha Chowk 4, Dhankuta	+977 026-405151	9802261175
Phidim	Umesh Gautam	Phidim Municipality-1, Ganatantra Chowk, Panchthar	+977 024-520323/ +977 024-520990	9802261074
Phikkal	Santosh Kumar Dahal	Suryodaya 10,Phikkal,Ilam	+977 027-540472	9802261027
Solu	Nawanidhi Dhakal	Solu Dudhkunda Municipality-6, Zero Point, Solukhumbu	+977-38-520327	9802261143
Taplejung	Subash Parajuli	Fuling Bazar, Taplejung	+977 024-460630	9802261054
Teenpaini	Rajesh Bista	Teenpaini, Morang	+977 021-351242	9802261243
Tehrathum	Om Prakash Bhandari	Myanglung Bazar, Terhathum	+977 026-460732	9802261076

BRANCHES AND BRANCH MANAGERS - **PROVINCE 2**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Bardibas	Dharmendra Yadav	Bardibas 1,Mahottari	+977 044-550197/651/ +977 044-550684	9802261141
Belwa	Raj Kumar Mahato	Birgunj Metropolitan city -31, Milan Chowk, Parsa		9802261131
Birgunj	Vivek Tibrewal	Adarshanagar Birgunj - 13, Parsa	+977 051-530337/38	9802261011
Chandrapur	Sajan Kumar Prajapati	Chandrapur-4, Rautahat	+977 055-540035	9802261218
Dakneshwari	Ranjit Kumar Mahato	Dakneshwori Municipality 5, Pato, Saptari		9802261127
Dhalkebar	Dron Bahadur Khatri	Mithila Municipality 6, Dhanusha	+977 041-560231/48	9854034900
Fatuwa	Mukesh Kumar Thakur	Fatuwa Bijaypur Municipality 8, Rautahat		9802261130
Feta	Bidhyananda Chaudhary	Feta Bazar 3, Bara		9802261129
Gaur	Yam Prasad Mainali	Nagarpalika road, Gaur	+977 055-521440/41	9802261163
Golbazar	Shrawan Kumar Mahaseth	Golbazar, Siraha	+977 033-540390	9802261055
Hariwon	Sanjib Kumar Shah	Krishnamandir Chowk, Hariwon Municipality 11	+977 046-530754/55	9802261217
Janakpur	Bijay Kumar Shah	Bhanu Chowk, Janakpur	"+977 041-420305/ +977 041-420206"	9802261044
Jitpur	Pramod Giri	Jeetpur, Simara-7	+977-053-412262/63	9802261223
Lahan	Mahesh Kumar Mahato	Main road, Lahan	+977 033-561261/62	9802261016
Lalbandi	Maheshwor Parajuli	Lalbandi 1, Sarlahi	+977 046-501672/73	9802261073
Mirchaiya	Lok Nath Paudel	Ramnagar, Mirchaiya, Siraha	+977 033-550804	9802261056
Mithila Bihari	Hari Narayan Sah	Mithila Bihari Municipality 7, Tarapatti Dhanusha		9802261128
Nawalpur	Sonalal Mahato	Nawalpur, Sarlahi	+977 046-570211	9802261149
Nijgadh	Abinash Sapkota	Nijgadh Municipality, 9, Nijgadh, Bara	+977 053-540174	9802261121
Rajbiraj	Manish Mahaseth	Gajendrachok Rajbiraj 4 Saptari	+977 031-533582/83/84	9802261063
Rupani	Basant Kumar Chaudhary Tharu	Rupani, Saptari	+977 031-450030/31	9802261233
Simraungadh	Kishwor Chaudhary	Simraungadh Municipality 6, Bara	+977 053-411047/48	9802261225
Siraha	Saroj Kumar Jha	Siraha Bazar, Siraha	+977 033-521165	9802261060
Sukhipur	Sanjay Adhikari	Sukhipur Municipality-8, Sukhipur,	+977 033-413081/82	9802261271

BRANCHES AND BRANCH MANAGERS - **BAGMATI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Anamnagar	Nitesh Rijal	Anamnagar, Kathmandu	+977 01-5705764/ +977 01-5706242	9802261039
Asan	Nisha Shrestha	Asan 27, Kathmandu	+977 01-5909386/87	9802261095
Bafal Kalanki	Bhuban Neupane	Kalanki-13, Kathmandu	+977 01-5388816/17	9802261168
Baireni	Sayar Upreti	Baireni VDC-9, Dhading	+977 010-692655/ +977 010-403086	9802261081
Balaju	Subodh Adhikari	Balaju , Machhapokhari, Kathmandu- 16	+977 01-4389912/13/14	9802261169
Balaju Chowk	Bimala Dhakal Gyawali	Kathmandu Metropolitan City - 16, Balaju Chowk	+977 01-5909317/18	9802261286
Baluwapati	Ramesh Sanjel	Baluwapati,Kathmandu	+977 01-5158702/ +977 01-5158690	9802261260
Banasthali	Hemanta Acharya	Near Banasthali School, Banasthali, Kathmandu	+977 01-4966074	9802261010
Banepa	Yek Raj Bartaula	Chadanichowk 8, Banepa, Kavre	+977 011-663017/19	9802261089
Barhabise	Krishna Prasad Sapkota	Bus Park, Barhabise Bazar,Ramche VDC	+977 011-489268	9802261078
Battar	Prakash Shrestha	Battar-4, Bidur, Nuwakot	+977 010-561948	9802261216
Belchowk	Ramesh Niroula	Belchowk, Chitwan	+977 056-596637/ +977 056-596449	9802261104
Bethanchowk	Saroj K.C	Bethanchowk,Kavrepalanchok	+977 011-421005	9802261111
Bhaisepati	Priyanka Karki	Lalitpur Metropolitan City - 25, Bhaisepati, Lalitpur	+977 01-5909801	9802261281
Bhakundebeshi	Ujwal Pokharel	Namobuddha Municipality-7, Kavrepalanchowk	+977 011-404022	9802261194
Bhandara	Manoj B.K	Rapti-05, Bhandara Bazar, Chitwan	+977 056-550645	9802261234
Bharatpur	Keshav Prasad Woli	Paras Bus Park-10, Bharatpur, Chitwan	+977 056-521100/ +977 056-521800	9802261188
Chabahil	Raju Devkota	Chabahil, Kathmandu	"+977 01-4469560/ +977 01-4488933"	9802261037
Chandol	Vivek Dhakal	Kathmandu Metropolitan City - 4, Chandol Kathmandu		
Charikot	Krishna Raj Neupane	Bhimeshwor – 6, Charikot, Dolakha	+977 049-421372/73	9802261152
Charkhal	Suresh Gautam	Charkhal,Dillibazar, Kathmandu	+977 01-4419087/88	9802261177
Chautara	Navin Shrestha	Chautara,Sangachowkgadhi 5, Sindhupalchok	+977 011-620406/07	9802261162
Chhetrapati	Dipak Pokhrel	Chhetrapati, Hotel Harati Kathmandu	+977 01-4249033/50	9802261025
Corporate Branch	Pratikshya Ojha	Kamaladi Kathmandu	+977 01-4243891/ +977 01-4241219	9802261116
Dhandingbesi	Bimala KC	Nilkantha Municipality - 3, Bichbazar, Dhadingbesi,	+977 010-590071/72	9802261283
Dhapasi	Bishnu Prasad Pokhrel	Basundhara Chowk, Dhapasi, Kathmandu	+977 01-4355919/ +977 01-4356449	9802261008
Dhobighat	Manisha Shah	Lalitpur Metropolitan City - 4, Dhobighat, Lalitpur	+977 01-5188584/ +977 01-5188642	9802261280
Dhunche	Brajesh Aryal	Dhunche, Rasuwa	+977 010 540028	9802261160
Dillibazar	Shruti Hada Shrestha	Dillibazar, Kathmandu	+977 01-4537388/ +977 01-4537071	9802261032
Doramba	Basu Dev Dhungana	Doramba-3, Ramechhap		9855070725 9854040204
Gatthaghar	Poonam Prasai	Thimi Municipality - 3, Gatthaghar, Bhaktapur	+977 01-5909348/49	9802261282
Geetanagar	Devendra Raj Adhikari	Bharatpur -6, Geetanagar, Chitwan	+977-056-400303/04	9802261184

BRANCHES AND BRANCH MANAGERS - **BAGMATI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Gongabu	Peshal Kumar Dahal	Gongabu Chowk, Kathmandu	+977 01-4358657/ +977 01-4385986	9802261035
Gothatar	Shailaja Rajya Laxmi Shah	Kadaghari, Kathmandu	+977 01-4993182	9802261114
Gwarko	Bibek Thapa	Gwarko, Lalitpur	+977 01-5547660/ +977 01-5546661	9802261088
Gyaneshwor	Rajan Subedi	Charter Tower,Sano Gaucharan Kathmandu	+977 01-4543648	9802261004
Gyaneshwor II	Deepa Neupane	Gyaneshwor - 33, Kathmandu	+977 01-4441861	9802261107
Hattigauda	Nabin Acharya	Budhanilkantha, Municipality 6, Hati Gauda, Kathmandu	+977 01-4375275/ +977 01-4376241	9802261124
Hetauda	Bibekananda Aryal	Kantirajpath Hetauda-2, Makwanpur	+977 57-527368	9802261046
Imakhel	Narayan Kumar Puwar Magar	Chandragiri-4, Thankot	+977 01-4312702/04	9802261255
Jorpati	Suresh Sharma	Jorpati - 3, Kathmandu	+977 01-4911845/46	9802261117
Jyatha	Ganga Bahadur Roka	Jyatha Ason,Kathmandu	+977 01-5904112/18	9802261173
Kalanki	Chamatkar Paudel	Kalanki, Kathmandu	+977 01-5234074/75	9802261038
Kalikasthan	Maheshwar Acharya	Kalika Rural Municipality 2, Rasuwa	+977 010-542116/17	9802261174
Kamaladi	Rakesh Gyawali	Tindhara Road, Kamaladi, Kathmandu	+977 01-4446150/51	9802261075
Kamalbinayak	Kalpana Devi Sharma	Bhaktapur Municipality-10, Kamalbinayak	+977 01-6619395/96	9802261261
Kandaghari	Surya Prasad Sedai	Kageshwori Manahara-7, Birendrachowk, Kadaghari.	+977 01-4993409	9802261257
Kantipath	Yadav Sharma	Kantipath,Kathmandu	+977 01-5328265/ +977 01-5331198/09/ +977 01-5348805/06	9802261001
Kapan	Suroj Karki	Bhaluwakhani Kapan, Budhanilkantha-10,Kathmandu	+977 01-4164350/51	9802261265
Khadichaur	Samjhana Shrestha	Mankha-6, Khadichaur, Sindhupalchowk	+977 011-482143	9802261147
Kharibot	Anuja Dangol	Kharibot-16, Banasthali.	+977 01-5139287/ +977 01-5139332	9802261254
Kholesimal	Khem Nath Sharma Paudel	Kholesimal, Chitwan	+977 056-413045	9802261103
Khumaltar	Mandita Ghimire	Loktantrik Chowk-14, Khumaltar, Lalitpur	+977 01-5230781/ +977 01-5230137	9802261258
Khusibu	Pravin Acharya	Khusibu, Link Road, Kathmandu	+977 01-4250044/55	
Kirtipur	Shova Neupane	Tribhuwan University, Kirtipur, Kathmandu	+977 01-4335941/ +977 01-4336264/ +977 01-4336397/ +977 01-4336166	9802261005
Koteshwor	Pratikshya Shakya	Koteshwor, Kathmandu	+977 01-4602030	9802261036
Kuleshwor	Prabhu Narayan Pradhan	Kuleshwor, Kathmandu	+977 01-4286445/49	9802261006
Kumaripati	Bishal Dhwaj Shrestha	Kumaripati 19, Lalitpur	+977 01-5408792/93/94	9802261167
Kuntabeshi	Laxman Kumar Regmi	Mandandeupur Municipality 7, Kuntabeshi, Kavre	+977 011-412064	9802261196
Kupondole	Rithee Shahi	Kandevtasthan, Kupondole, Lalitpur	+977 01-5449872/63	9802261028
Kurintar	Ramhari Bhandari	Lamsal Complex, Darechowk VDC,3 Chitwan	+977 056-410003	9802261110
Lagankhel	Merina Shrestha	Lagankhel Bus Park, Lalitpur-12	+977 01-5548950/51	9802261007
Madi	Pratap Kumar Tamang	Madi Munivipality Ward No 3, Basantapur,Chitwan	+977 056-501001/02	9802261187
Maharajgunj	Achala Poudel	Kathmandu Metropolitan City - 3, Maharajgunj, Kathmandu	+977 01-5917777/ +977 01-5916666	
Manamaiju	Devendra Prasad Rijal	Tarakeshwor-10, Loktantrikchowk, Manamaiju, Kathmandu	+977 01-4027307	9802261123

BRANCHES AND BRANCH MANAGERS - **BAGMATI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Mangalbazar	Parash Dangol	Lalitpur Metropolitan City - 16, Mangalbazar, Lalitpur	+977 01-5524931/32	
Manthali	Sabin Maharjan	Devkota Chowk-1, Manthali, Ramechhap	+977 048-540456	9802261100
Nagarjun	Deepak Dhakal	Sitapaila,Harisiddhi, Nagarjun	+977 01-4271155/56	9802261150
Nakkhu	Prakash KC	Nakkhu, Lalitpur	+977 01-5185346/ +977 01-5185084	9802261085
Narayanghat	Narayan Prasad Paudyal	Bharatpur-3,Chitwan	+977 056-596035/ +977 056-596536/ +977 056-596435/ (मालपोत काउण्टरः +977 056-596081)	9802261018
Narayanghat III	Laxman Paudel	Sahid chowk Narayangarh	+977 056-596064/65	9802261179
Narefat	Santosh Prasad Dhungel	Kathmandu Metropolitan City - 32, Narephat, Kathmandu		
Naukunda	Ramesh Paneru	Naukunda-3, saramthali, Rasuwa	+977 01-6924572/73	9802261237
Nayabazar Kirtipur	Jaya Maharjan	Nayabazar-9, kirtipur, Kathmandu	+977 01-4334292/94	9802261253
New Baneshwor	Shusil Kumar Budhathoki	White House Complex, Mid Baneshwor, Kathmandu	+977 01-4464366	9802261029
Newroad	Surendra Sharma Dhakal	New Road, Kathmandu	+977 01-5312770, +977 01- 5320507/08/18 +977-01-5368849 +977 01-5368471/72	9802261002
Panauti	Raj Gopal Shrestha	Panauti Buspark Panauti 7 Kavrepalanchok	+977 011-440682/83 977 011-441344	9802261193
Panipokhari	Basant Raj Regmi	IME Complex, Panipokhari, Kathmandu	+977 01-4002503/04/05	9802261033
Parsa	Himal Poudel	Khairahani - 8, Parsa, Chitwan	+977 056-583260/61	9802261183
Pulchowk	Saroja Hada Nyachhyon	Pulchowk, Lalitpur	+977 01-5409275/76	9802261080
Putalisadak	Pranab Tiina	New Plaza-29, Putalisadak	+977 01-4521227/ +977 01-4517166	9802261204
Rampur	Reeshi Lohani	Rampur-17 Chitwan	+977 056-591149/50	9802261182
Sanagaun	Bhawana Shrestha	Mahalaxmi Municipality-6, Sanagaun,Lalitpur	+977 01-5709254/ +977 01-5709356	9802261264
Sankhamul	Sachin Neupane	Sankhamul Marga-10, New Baneshwor	+977 01-4796100	9802261232
Satdobato	Sama Shah	Satdobato, Lalitpur	+977 01-5152431/ +977 01-5152267	9802261040
Shantinagar	Sagar Shrestha	Kathmandu Metropolitan - 31, Shantinagar	+977 01-4117795/96	9841891619
Sinamangal	Jeshika Sunuwar	Airport, Sinamangal Kathmandu	+977 01-4478616/18	9802261084
Sindhuli	Arbind Kumar Shah	Kamalamai Municipality -1, Madi Bazar, Sindhuli	+977 047-521356	9802261140
Sitapaila	Kabita Bartaula	Kathmandu Metropolitan City - 15, Kathmandu	+977 01-5909257/ +977 01-5313965	9802261003
Sukedhara	Bimal Dhakal	Dhumbarai-04, Sukedhara Chowk, Kathmandu	+977 01-4375639	9802261091
Sundhara II	Sarad Sharma Dhungel	Baghdurbar-11, Sundhara	+977 01-5905624/25	9802261099
Sundhara Lalitpur	Anup Mangal Joshi	Sundhara-7, Lalitpur	+977 01-5555617/18	9802261252
Suryabinayak	Dipak Khanal	Suryabinayak Chowk, Suryabinayak, Bhaktapur	+977 01-6615389/90	9802261061
Tandi	Yubaraj Poudel	Ratnanagar-10, Bakhlahar Chowk, KN Plaza	+977 056-562780	9802261042
Thamel	Sudip Bhakta Wagle	Saatghumti Chowk, Thamel, Kathmandu-29	+977 01-4701326/ 4701327/23	9802261009

BRANCHES AND BRANCH MANAGERS - **BAGMATI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Thankot	Rabindra Prasad Nepal	Chandragiri Municiaplity-10,Thankot, Kathmandu	+977 01-4310235/36	9802261090
Thapathali	Shambhu Karki	Central Business Park,Thapathali, Kathmandu	+977 01-4101636/37/38	9802261195
Thimi	Pushkar Bala	Sankhadhar Chowk-4, Thimi, Bhaktapur	+977 01-5093317/ +977 01-5093172	9802261251
Timure	Phurpa Moktan	Timure-2 Rasuwa	+977 010-543010	9802261181
Tinkune	Sanat Acharya	Tinkune-19, Kathmandu	+977 01-5199232/ +977 01-5199115/ +977 01-5199471	9802261215
Tokha	Sudhir Prasad Dhakal	Tokha Municipality, Tokha	+ 977-01-5159225/26	9802261269
Tripureshwor	Ritu Pradhan	Malla Complex, Tripureshwor, Kathmandu	+977 01-4239170/71	9802261034
Trishuli	Karna Bahadur Shahi	Bidur, Nuwakot	+977 010-561626	9802261101

BRANCHES AND BRANCH MANAGERS - **GANDAKI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Amarsingh Chowk	Kamana Poudel	Pokhara Metropolitan City -10, Uttam Chowk , Pokhara	+977 061-432696, +977 061-432377, +977 061-430849	9802261125
Baglung	Hem Raj Sharma	Loktantrik Chowk, Baglung	+977 068-522245/46	9802261012
Bandipur	Shobhit Shrestha	Bandipur,Tanahun	+977 065-520204	9802261153
Begnas	Dinesh Adhikari	Pokhara-31, Begnastal	+977 061-561779	9802261106
Beni	Sokendra Thapa Magar	New Road, Beni, Myagdi	+977 069-521004	9802261048
Besisahar	Deepak Basnet	Besisahar -11, Lamjung	+977 066-521035	9802261092
Bhorletar	Bikash Thapa	Madhyanepal-6, Bhitri Bazar, Bhorletar, Lamjung	+977 066-410032/33	9802261097
Bhotewodar	Janmabhumi Gurung	Seudibar, Sundarbazar Municipality 9, Lamjung	+977 066-400075/76	9802261096
Budhibazar	Madhuri Thapa	Pokhara-26, Budhibazar	+977 061-411491/92	9802261227
Bungdikali	Sanjaya Adhikari	Baudikali-2, Nawalpur		9802261246
Burtibang	Ishwor Rajbhandari	Dhorpatan Muncipality-1, Burtibang	+977 068-410173/74	9802261098
Daldale	Kishan Shrestha	Daldale, Nawalparasi	+977 078-575553/54	9802261185
Damauli	Raju Shiva Bhakti	Vyas Municipaliy, Damauli	+977 065-563009/ +977 065-565746	9802261093
Dordi	Heera Kumar Moktan	Dordi -4, Lamjung serabazar		9802261220
Dulegauda	Jeevan Gurung	Suklagandaki Municipality 4, Dulegauda, Tanahu	+977 065-414483	9802261266
Dumkibas	Lok Bahadur Bakabal Thapa	Binaitriveni 1 Dumkibas, Nawalparasi	+977 078-416187/88	9802261229
Dumre	Nirajan Shrestha	Dumre,Tanahun	+977 065-580317/ +977 065-580447	9802261108
Gaidakot	Sunil Poudel	Bijaya Chowk, Gaidakot Municipality,	+977 078-503047, +977 078-501155	9802261136
Galkot	Shyam Prasad Dhakal	Galkot Municipality-3, Hatiya, Baglung	+977 068-412040	9802261094
Gorkha Bazar	Ram Chandra Kandel	Gorkha Municipality-6 Shakti Chwok,Gorkha	+977 064-420337	9802261119
Kawasoti	Khem Raj Neupane	Kawasoti, Nawalparasi	+977 078-540527/28	9802261052

BRANCHES AND BRANCH MANAGERS - **GANDAKI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Kushmishera	Hari Prasad Sharma	Kushmisera,Baglung	+977 068-421077	9802261045
Kusma	Prakash Sharma	Dhaneshwor Chowk, Kushma Bazar, Parbat	+977 067-421244	9802261066
Lakeside Pokhara	Rabindra Paudel	Pokhara Lekhnath Metropolitan City-6, Lakeside Pokhara, Kaski	+977 061-457653/ +977 061-457774	9802261219
Lekhnath	Bhuwan Wagle	Bhandardik, Lekhnath	+977 061-561805/06	9802261214
Manakamana	Keshav Paudel	Manakamana, Gorkha	+977 064-460210	9802261079
Manang	Subash Kanta Joshi	Manang Ngisyang Rural Municipality – 4, Manang		9856046192
Mustang	Bhola Nath Paudel	Gharapjhong Rural Municipality-3, Airport, Mustang district	+977 069-590001/02	9802261263
Newroad Pokhara	Arjun Paudel	Newroad, Pokhara	+977 061-527504, +977 061-536241	9802261014
Pokhara IV	Arun Bhat	Newroad,Pokhara-IV,Kaski	+977 061-537791/92/93/94	9802261159
Rukum East	Bishal Bhatta	Sisne Rural Municipality-6, Chhipridaha, Rukum East	+977 088-413187	9802261273
Sabhagriha Chowk	Mandip Baral	Sabhagriha Chowk, Newroad, Pokhara	+977 061-539406/ +977 061-587881	9802261065
Siranchowk	Rajendra Dhakal	Siranchowk Rural Municipality 4, Chorkate, Gorkha	+977 064-691154	9802261109
Sulikot	Pradip Gurung	Barpak Sulikot Rural Municipality-6, Palkhu, Gorkha		9802261224
Sundarbazar	Pradeep Joshi	Sundarbazar municipality 6, milanchowk, Lamjung	+977 066-402039	9802261105
Udipur	Chandra Kala Ghale Gurung	Besisahar -1, Udipur, Lamjung	+977 066-620038	9802261148
Waling	Ram Bahadur Kshetri	Waling-8, Syangja	+977 063-440750	9802261230

BRANCHES AND BRANCH MANAGERS - **LUMBINI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Arghakhanchi	Pralhad Neupane	Sandhikharka, Arghakhanchi	+977 077-420754	9802261049
B.P Chowk, Butwal	Sanjay Bangale	B.P Chow, Satyawati Complex, Butwal	+977 071-551484/85	9802261017
Bangain	Manoj Sharma	Banganga-7 Bangain,Kapilvastu	+977 076-411011	9802261207
Bardaghat	Anil Bhandari	Bardaghat-4 Nawalparasi	+977 078-580615	9802261200
Bhairahawa	Prem Sagar Agrahari	Narayansthan 8, Bhairahawa, Rupandehi	+977 071-523803/04	9802261157
Bhairahawa SEZ	Sushma Sharma	Rohini Gaupalika 1,Rupandehi		9802261157
Bhalwari	Basanta Shrestha	Tilottama-7, Bhalwari	+977 071-561540/41	9802261208
Bhumahi	Bimlesh Chaudhary	Bhumahi, Nawalparasi	+977 078-415134/35	9802261102
Bhurigau	Laxmi Narayan Sharma	Bhurigaun,Bardiya	+977 081-403143	9802261228
Bijuwar	Dipendra KC	Bijuwar,Pyuthan	+977 086-460710/11	9802261211
Butwal Hospital Line	Hemanta Kandel	Butwal - 6, Hospital Line Puspalal Park	+977 071-550556/57/58	9802261166
Butwal Milan Chowk	Navin Kumar Panthi	Rajmarg Chauraha, Butwal	+977 071-438174	9802261047
Butwal Milanchowk 2	Damber Thakurathi	Milan chowk Gyawali Path	+977 071-551510	9802261186
Chandrauta	Bishnu Kunwar	Chandrauta,Kapilvastu	+977 076-540435	9802261205
Chhahara	Prem Singh Ale	Rainadevi Chhahara-4, Palpa		9857068113/ 9841892407
Devinagar	Pitambar Pokharel	Butwal- 11,Devinagar, Rupandehi	+977 071-410559/ +977 071-410152	9802261212

BRANCHES AND BRANCH MANAGERS - **LUMBINI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Duikholi	Dadhiram Belbase	Paribartan Rural Municipality, 5 Putalachaur		9802261244
Gaudakot	Krishna Prasad Nepal	Gulmi Darbar Gaupalika, Gulmi	+977 079-620038	9802261112
Ghorahi	Dilli Raj Bhusal	Ghorahi, Dang	+977 082-562285	9802261041
Gulariya	Rajesh Singh	Gulariya-6, Bardiya	+977 084-420617/18	9802261158
Holeri	Raj Kumar Thapa	Holeri,Rolpa		9802261151
Jeetpur Kapilbastu	Dilli Raj Dhakal	Jeetpur, Kapilbastu	+977 076-550352/53	9802261086
Kerwani	Raju Bhandari	Kerwani,Rupandehi		9802261209
Khaireni	Kamal Sharma	Devdaha Municipality 5, Khaireni, Rupandehi	+977 71 577502	9802261256
Kohalpur	Nirmal Raj Budhathoki	Kohalpur Municipality Ward No. 11, Kohalpur, Banke	+977 081-540241/ +977 081-540391	9802261083
Krishnanagar	Loknath Sharma	Krishnanagar,Kapilvastu	+977 076-520822/23	9802261156
Lamahi	Pradeep Gautam	Lamahi Municipality, Ward no. 5, Lamahi, Dang	+977 082-540904/07	9849144106
Liwang	Santosh Adhikari	Rolpa Municipality 4 Libang	+977 086-440285	9802261050
Lumbini	Anil Karki	Lumbini,Rupandehi	+977 071-580341	9802261202
Maharajgunj Kapilvastu	Kamal Poudel	Maharajgunj 1, Kapilvastu	+977 076-400025/26	9802261210
Majuwa	Shiva Prasad Gaire	Chandrakot 8 Gulmi	+977 079-421010/11	9802261071
Motipur	Uma Gyawali	Butwal Sub-Metropolitan City -19, Motipur Rupandehi		9802261197
Murgiya	Padam Raj Pokhrel	Murgiya Branch, Rupandehi	+977 071-440079	9802261189
Nayamil	Bishnu Prasad Acharya	Tilottama-5, Naya Mill	+977 071-562991/92/	9802261221
Nepalgunj	Lokendra Bhandari	Nepalgunj-2, Dhamboji	+977 081-411085/86/87	9802261062
Palpa Pravash	Madhav Prasad Gyawali	Pravash, Tansen-7	+977 075-411172	9802261203
Parasi	Pradeep Sapkota	Ramgram Municipality – 3, Nawalparasi	+977 078-590154/55	9802261278
Pipara	Prakash Deo	Pipara,Kapilvastu	+977 076-550044	9802261206
Pokharathok	Lil Bahadur Saru	Aaphra Bazar Pokharathok		9802261192
Pratappur	Santosh Bhakta Pant	Belatari, Pratappur	+977 078-419031/32	9802261176
Purbhakhola	Suman Raut	Purbakhola Rural Municipality – 5, Birkot		9855063828
Rampur Palpa	Baburam Lamsal	Rampur Municapality 5, Bejhad, Palpa	+977-075-400499	9802261222
Saljhandi	Ajaya Kumar Shrestha	Saljhandi,Rupandehi	+977 071-465147	9802261201
Sarai	Tej Narayan Neupane	Sarai Branch, Palpa		9802261190
Sukidaha	Sugam Shrestha	Sukidaha Rural Municipality, Rolpa		9802261245
Sulichaur	Uday Kumar Sharma	Mijhing VDC 7, Rolpa	+977 086-401069	9802261082
Tamghas	Yogendra Rayamajhi	Putalibazar-1,Tamghas, Gulmi	+977 079-520038, +977 079-520744	9802261070
Taahu	Prabin Dev Pant	Rambha Rural Municipality 5, Palpa		9802261191
Tansen	Bir Bahadur Saru	Tansen-4, Silkhan Tole, Palpa		9802261118
Taulihawa	Lok Narayan Neupane	Kapilvastu Municipality -01, Taulihawa, Kapilvastu	+977 076-560714/15	9802261242
Thawang	Bishnu Raut	Thawang RMC-2,Rolpa		9802261259
Tribhuwan Chowk, Nepalgunj	Vikash Shrestha	Tribhuwan Chowk, Nepalgunj-11, Banke	+977 081-522037/38	9802261021
Tulsipur	Umang Adhikari	BP Chowk, Tulsipur, Dang	+977 082-522844	9802261057
Wami	Madhav Upadhyay	Musikot Municipality 7, Buspark Gulmi	+977 079-412071/72	9802261072

BRANCHES AND BRANCH MANAGERS - **KARNALI PROVINCE**

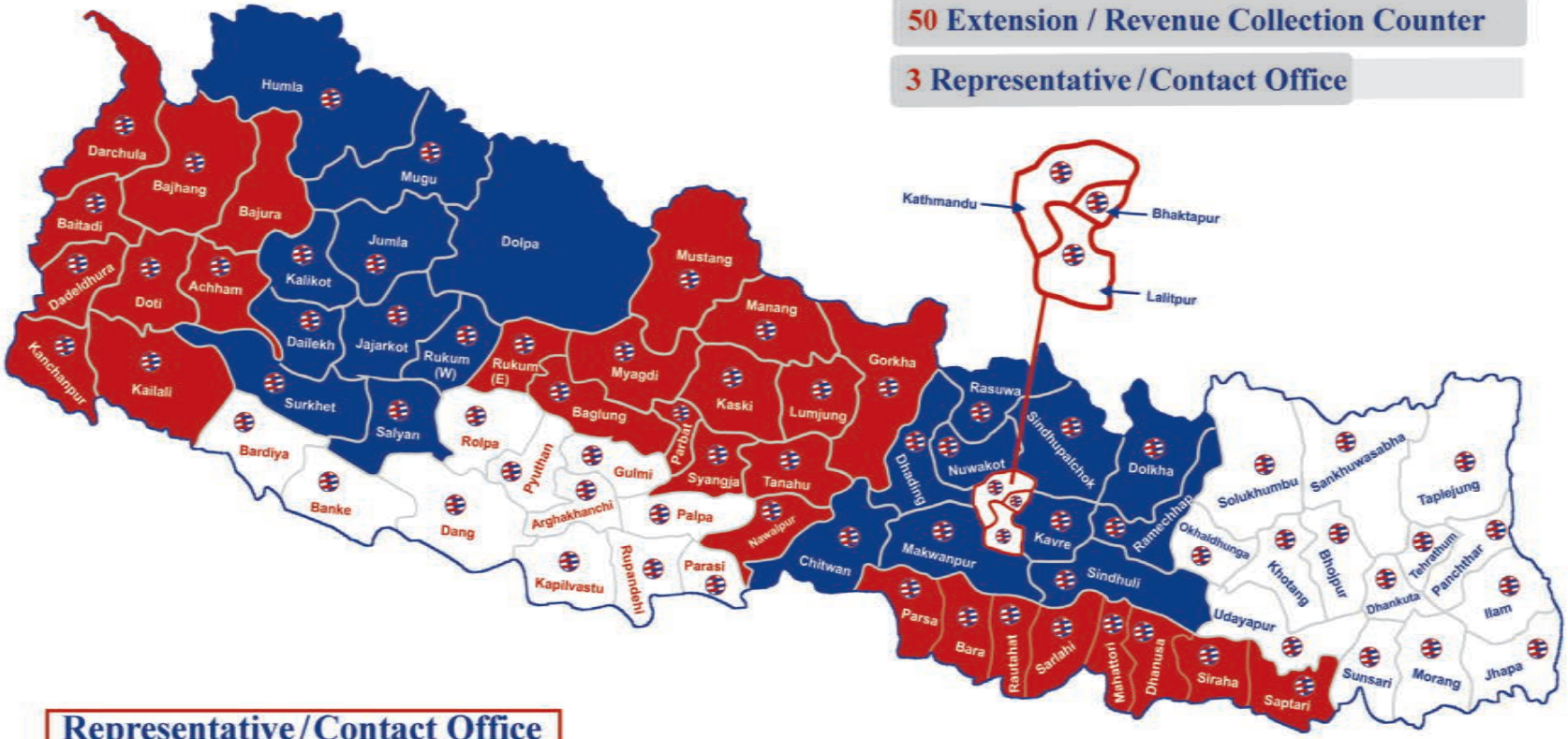
BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Adanchuli	Ramesh Kumar Rawal	Aadanchuli Rural Municipality 3, Fadera Gaun, Humla		9868528566
Chankheli	Govinda Gyawali	Chankheli Rural Municipality-4, Piplang Humla		9849318762
Chhedagad	Khushi Ram Sapkota	Chhedagad Municipality-5 Thalah Bazar, Jajarkot		9748120440 9748169499
Dailekh	Arun Upadhyay	Narayan Municipality-1, Devkota Chowk, Dailekh Bazar, Dailekh	+977 089-410259/60	9802261145
Gurbhakot	Padam Timilsena	Pabitra Bazar Surkhet		9802261235
Kalikot	Nishan Bhattarai	Khadachakra Municipality-1 Manma Bazzar Kalikot	+977 87-440273/74	9802261087
Mugu	Anuj Aryal	Chhayanath Rural Municipality - 2, Gamgadhi,Mugu	+977 087-460311	9802261262
Raskot	Dabal Bahadur Bohara	Raskot Municipality-5, Kalikot		9802261126
Rukum	Nimesh Puri	Musikot-1, Rukum	+977 088-530218	9802261053
Salyan	Subodh Jnawali	Sharada Municipality-1, Shreenagar, Salyan	+977 088-400255/56	9802261138
Surkhet	Krishna Raj Barakoti	Birendra Chowk, Birendra Nagar - 6, Surkhet	+977 083-513013/14	9802261030
Tajakot	Parwa Budha	Tajakot Rural Municipality 3, Chhaprela, Humla		9849032912
Tatopani Jumla	Binod Kumar Acharya	Tatopani– 3 Litakot, Jumla		9858320688
Tharmare	Anil Chaudhary	Baaghachur -2 Salyan	+977 088-412047	9802261213

BRANCHES AND BRANCH MANAGERS - **KARNALI PROVINCE**

BRANCH NAME	BRANCH MANAGER	ADDRESS	PHONE NUMBER	MOBILE NUMBER
Achham	Krishna Sodari	Mangalsen Municipality -5, Mangalsen Bazar Achham	+977 097-620317/19	9802261171
Ajayameru	Deepak Pandey	Ajaymeru Rural Municipality 3, Bhadrapur, Dadeldhura		9802261133
Attariya	Bhuban Prasad Bhatt	Godawari Municipality 2 , Attariya, Kailali	+977 091-550987	9802261137
Baitadi	Khagendra Panday	Dashrathchand Municipality-4, Gothalapani, Baitadi	+977 095-520542/43	9802261031
Bajhang	Hari Chandra Regmi	Jayaprithbi Municipality 10, Bajhang	+977 092-421340/90	9851139961
Bajura	Subhash Sharma	Badimalika Municipality – 8, Martadi, Bajura	+977 097-541416/ +977 097-541405	9802261279
Baliya	Santosh Singh Nagari	Lamki Chuha Municipality-4, Baliya, Kailali	+977 091-419071/72	9802261250
Bogtan	Paresh Bista	Bogtan Phudsil Rural Municipality-7, Chawara Chautara, Doti		9802261122
Dadeldhura	Prakash Datt Bhatt	Amargadhi 5, Bagbazar, Dadeldhura	+977 096-420275/76	9802261019
Darchula	Arogya Joshi	Mahakali Municipality 4, Khalanga, Darchula	+977 093-420383/ +977 093-420102	9802261172
Dhangadi	Shambhu Prasad Joshi	Dhangadhi Submetropolitan 3, Chauraha, Kailali	+977 091-417238/39	9802261024
Dogada Kedar	Liladhar Bhatt	Dogadakedar,Baitadi		9802261134
Gokuleshwor	Bashu Dev Bhatt	Shailayashikhar Municipality 9, Gokuleshwor, Darchula	+977 093-400080/81	9802261180
Lamki	Subash Kandel	Lamki Chuha Municipality-1, Lamki, Kailali	+977 091-540506/07	9802261020
Mahendranagar	Dipendra Bahadur Singh	Mahendranagar,Kanchanpur	+977 099-521124	9802261043
Naugad	Dharmanand Bhatt	Naugad Rural municipality 5, Hoparigad Darchula		9749598100 9749598101 9802261240
Pipallabazar	Shiv Raj Bist	Dipayal Silgadhi 4, Pipalla Bazar, Doti	+977 094-412045/63	9802261155
Purbi Chauki	Man Bahadur Dhanuk	Purbi chauki Rural Municipality 4, Sana gaun, Doti		9802261132
Purchoudi	Keshab Raj Joshi	Purchoudi Municipality 1, Baitadi	+977 096-690808	9802261113
Setopul Dhangadi	Thek Raj Binadi	Setopul, Dhangadhi Sub Metropolitan City 1, Kailali	+977 091-526923	9802261170
Tikapur	Harish Chandra Bhatt	Tikapur Municipality 1, Tikapur, Kailali	+977 091-560557/37	9802261226

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GLOBAL IME BANK LIMITED
Kamaladi, Kathmandu
P.O. BOX.: 19327
TEL.: +977 1 4228671 / 4226247
EMAIL: info@gibl.com.np

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